PVA TePla

ANNUAL REPORT 2025

JANUARY 1 TO DECEMBER 31, 2025



TECHNOLOGY LEADER WITH EXPERTISE AND INNOVATIVE STRENGTH

Revenue
EUR 244.3 million

Order intake
EUR 267.6 million

EBITDA margin
10.4%

12 sites in
8 countries

Scope 1 + 2,
CO_2 emissions*
910 t

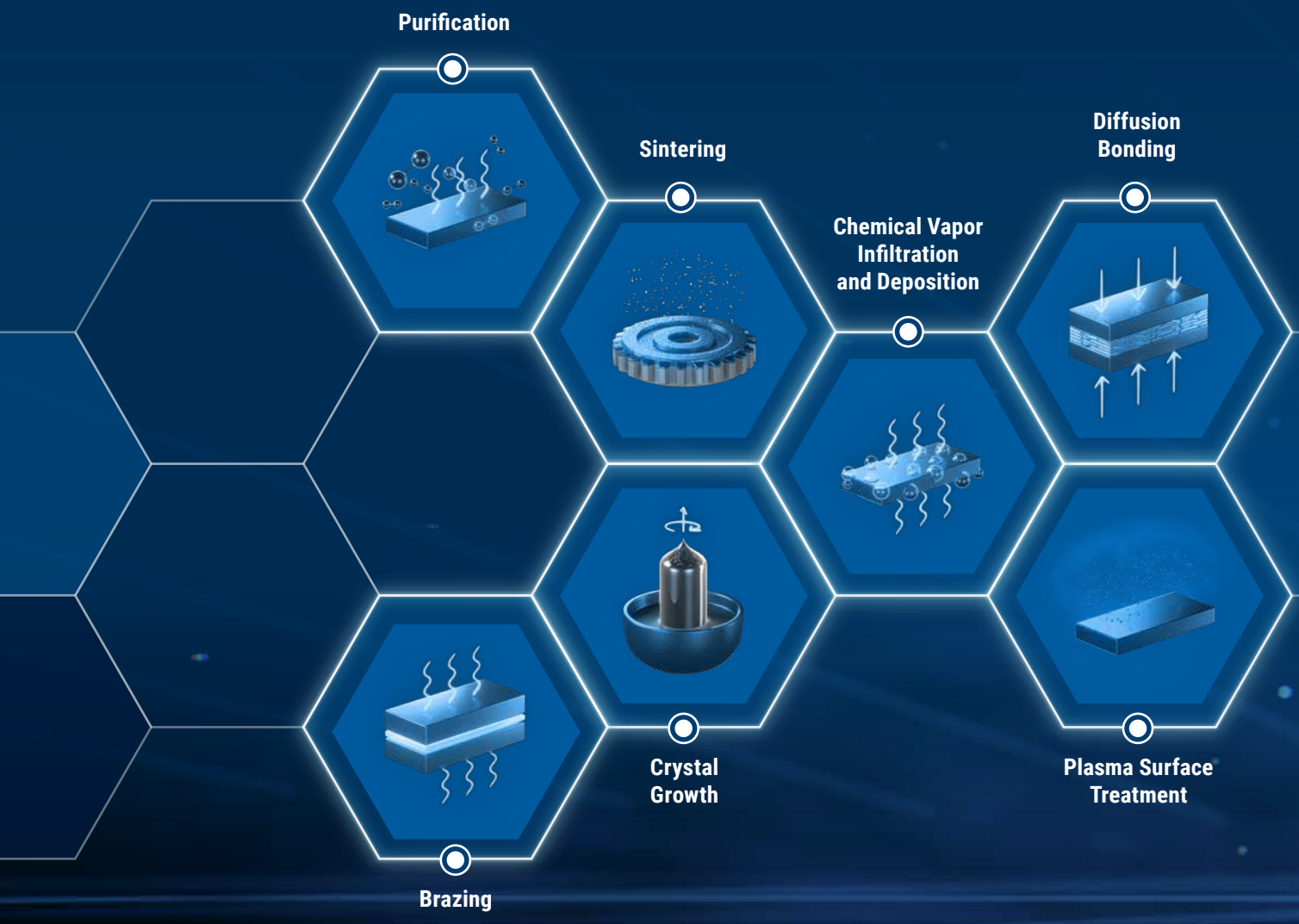
Employees**
925

*** market based**
**** annual average**

CUTTING-EDGE PERFORMANCE FOR HIGH-TECH APPLICATIONS

TECHNOLOGICAL LEADERSHIP FOR MANY DECADES

With high-tech solutions, PVA TePla has consistently reinforced its leadership position in various fields of materials and measurement technology since its founding 35 years ago. Our success is driven not only by an excellent and highly motivated team but also by our many years of experience in research and development. This enables us to create systems that are precisely tailored to our customers' needs – innovative, technologically advanced, and durable.





In many of the areas in which we operate, we are therefore regarded as market leader. This applies, for example, to acoustic microscopy and our high-temperature vacuum systems. To further strengthen this leading position by leveraging synergies, we are working even more closely together across the Group in the various technology fields. Under the guiding principle of “One PVA,” we redefined our corporate culture during the past fiscal year.



ONE PVA APPROACH

SUCCESS THROUGH COMBINED EXPERTISE

PVA TePla appeals to customers worldwide with a broad product portfolio in the fields of Metrology and Material Solutions. The organization behind it has grown significantly in recent years and now employs around 1,000 people.

Under the guiding principle of “One PVA,” we actively combine technology, sales, and service expertise across all segments. This allows us to increase our market penetration, realize cross-selling potential, and support customers across multiple stages of their value chain. The closer integration of our internationally and technologically diverse group paves the way for further growth and strengthens our position in strategic target markets. Our customers also benefit from this, as we offer them integrated solutions from a single source.

With our broad-based expertise, we are among the European companies driving the development of resilient intercontinental value chains forward.

Resilient value-creation

Our broad expertise also allows us to participate in public European funding projects for industry that aim, for example, to secure semiconductor supply chains within Europe.

PVA at Semicon Europe



A COMMITMENT TO LEADERSHIP FOR 35 YEARS

WITH INNOVATIVE STRENGTH AND FORESIGHT

Since 1991, what is now the PVA TePla Group has evolved from a vacuum equipment manufacturer into a leading high-tech company with an extensive product portfolio. We have always been committed to offering high-quality solutions to our customers. This has enabled us to secure a leading market position in several sectors.

This applies, among other things, to ultrasound microscopy. By integrating this business segment in 2007, company leaders demonstrated entrepreneurial foresight at an early stage of the growing digitalization trend. We also secured strong expertise in process technology in 2022 with the takeover of MPA Industrie. Our French subsidiary is particularly active in the aerospace sector.

New group members

To further expand our metrology division, we strengthened this division in the 2025 fiscal year by integrating two additional companies: PVA Vision and PVA desconpro.

PVA Vision

PVA desconpro

We also continue to hold a leading position in the market in our original business, the vacuum sector. With our innovative solutions, we support, among others, the rapidly evolving energy sector.



METROLOGY

A SIGNIFICANT CONTRIBUTION TO QUALITY ASSURANCE

The metrology product group offers PVA TePla significant growth potential due to the continuing strong rise in demand for high-precision inspection and characterization systems. We hold a leading position in this market with our broad, technologically advanced portfolio. Especially in ultrasonic microscopy, our high-resolution systems for non-destructive quality inspection rank among the world's most powerful solutions. They enable our customers to reliably identify even the finest defects in complex component structures – a decisive factor for the latest generations of chips, whose architectures are becoming increasingly dense and sophisticated.

This also increases the demand for seamless inspection of every single chip – a trend that is driving demand for our technologies. This is particularly true in North America and Asia, where the semiconductor market is currently experiencing the most dynamic growth. Our systems help customers there increase yield, reliability, and process control in demanding production environments.

High-End-Applications

Comprehensive quality inspection is used in particular in the high-end segment – for example, in high-priced chips for computing data centers, high-performance GPUs, or safety-critical applications. Maximum hardware reliability is essential here, which is why precise and end-to-end metrology is indispensable.

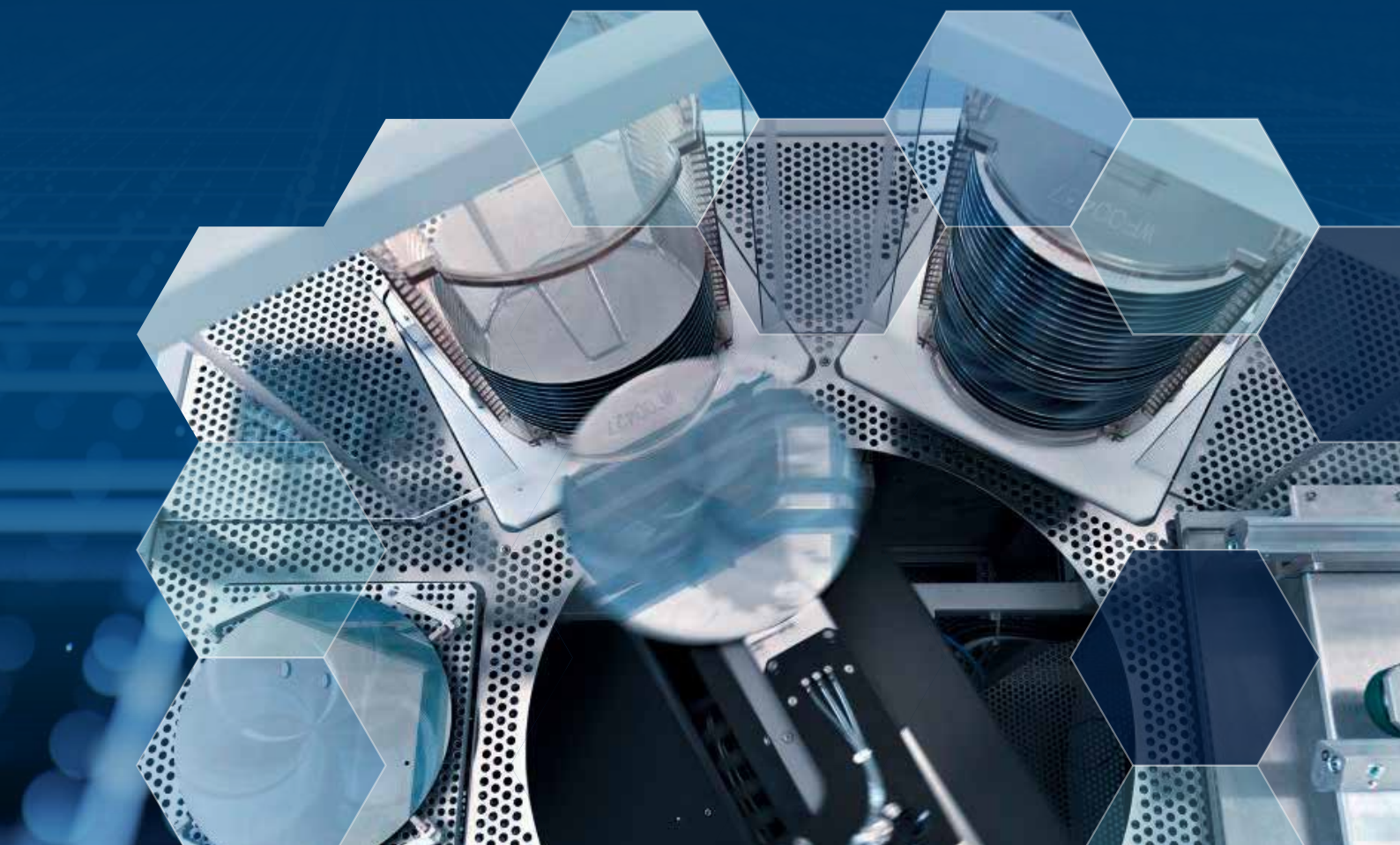
Silicon Carbide

The compound semiconductor silicon carbide is more prone to defects than, for example, silicon. Precise, fast, and fully non-destructive inspection solutions make it possible to sort out defective wafers early on and thereby significantly reduce costs in power semiconductor production.

In the field of optical metrology, we successfully launched a new system for the non-destructive analysis of stress fields and defects in silicon carbide during the past fiscal year. This key material for next-generation power electronics is significantly more sensitive to material defects than silicon. Precise and fast inspection solutions are therefore increasingly becoming a critical economic factor for our customers.

An important milestone in actively driving the integration of new measurement methods was the introduction of hyperspectral vision technology by our new subsidiary, PVA Vision. This inspection solution generates exceptionally high data density at maximum throughput and enables advanced material and surface analysis. It can be used in a wide range of applications, from industrial production and coating processes to semiconductor manufacturing and optical components.

With our metrology systems, we now cover an ever-wider range of applications – from research and development and pilot production to fully automated in-line inspection in series production. Through continuous innovation, strategic product expansions, and the adoption of new technologies, we are thereby strengthening our leading role in the global metrology landscape for the long term.



MATERIAL SOLUTIONS

TECHNOLOGIES WITH INTERNATIONAL REPUTATION

Within the broad portfolio of the Material Solutions product group, PVA TePla brings together numerous cutting-edge technologies that are in high demand internationally. These include solutions for vacuum switches, the heart of electrical switchgear in medium- and high-voltage grids. Major suppliers of grid infrastructure rely on our technology.

Our diffusion bonding systems are also highly advanced. In 2025, we developed a design upgrade for specific applications. This includes a product variant designed for the manufacture of special high-pressure heat exchangers. The heat exchangers diffusion-bonded in PVA plants are used, among other things, for waste heat recovery and for hydrogen infrastructure.



The use of ceramic matrix composites increases corrosion resistance and reduces weight, for example in brakes for the aerospace industry.

Ceramic Matrix Composites

We also possess special expertise in ceramic matrix composites. Our market-leading role in this area is demonstrated by the orders received last year from North American companies in the aerospace and defense industries. At the same time, crystal growth – for example for silicon, silicon carbide, calcium fluoride, or indium phosphide – remains an important focus at PVA TePla.

A relatively new area of activity within Material Solutions is the synthesis of nano-materials. Here, PVA TePla is collaborating with key customers on new synthesis concepts that enable the production of nanomaterials on an industrial scale, for example for battery applications.

Graphite Powder

From our intensive dialogue with customers in the battery technology, we know that there will be high demand in the future for purified and coated graphite powder. That is why we are proactively developing system solutions to meet this need.

LEADING THE WAY IN R&D

ONE STEP AHEAD OF THE MARKET

To bring comprehensive solution packages to market quickly, PVA TePla established an in-house research and development center in 2024. This move once again underscored our position as a leading driver of innovation in the industry. At the Technology Hub, we research production processes for materials that play a significant role in high-performance technologies of the present and future, enabling us to offer our customers comprehensive solutions across the value chain. Our in-house research center is therefore a key pillar in our consistent evolution from a system supplier to a provider of system solutions.

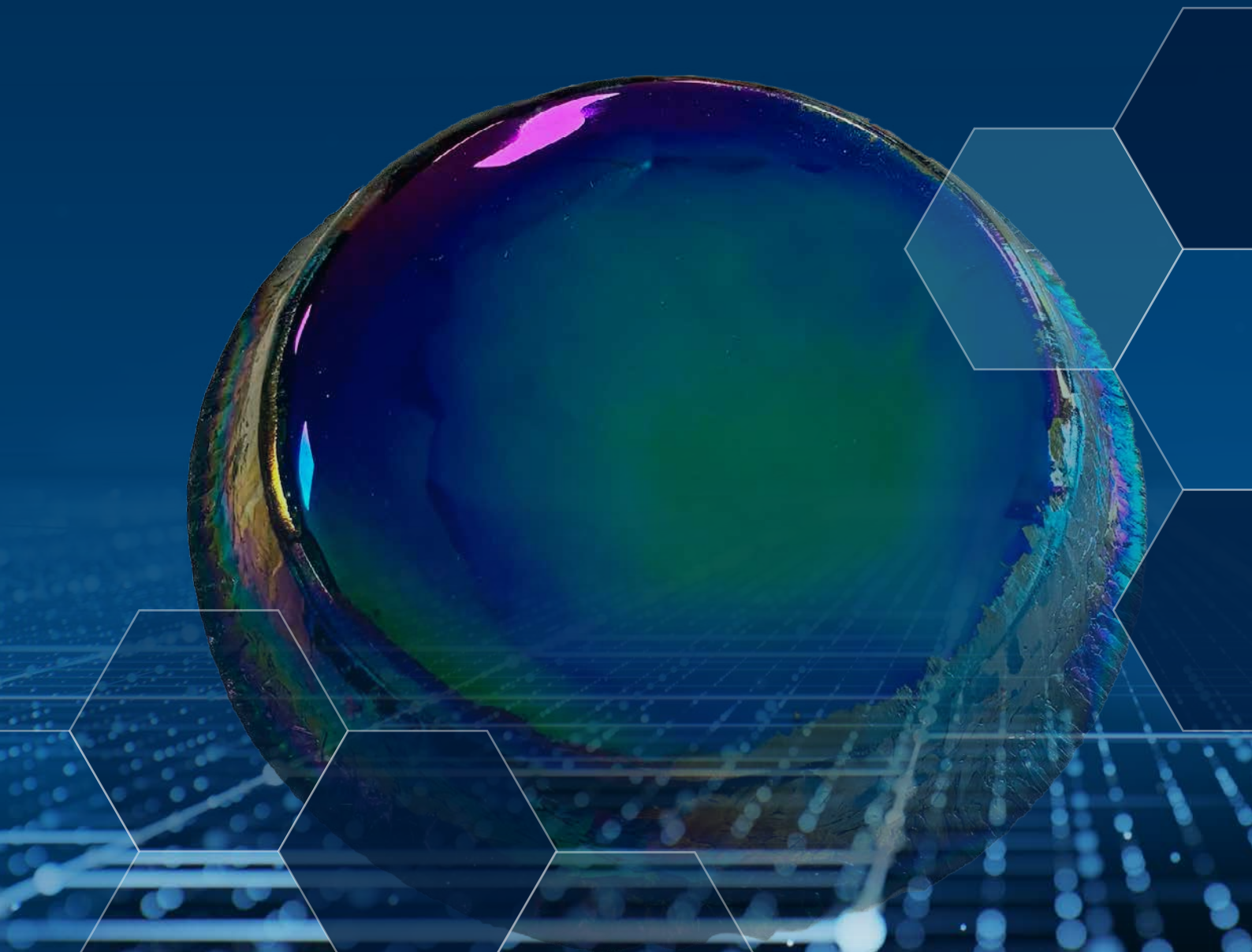
Silicon Carbide Crystal Growth

The Technology Hub team successfully completed the crystal growth of 6-inch silicon carbide in 2025; the completion of the 8-inch process is scheduled for 2026.

Aluminium Nitride

With its numerous beneficial properties, aluminum nitride is considered a key material for electronics and semiconductor technology. Through the crystal growth of this material, PVA TePla is involved at a very early stage in building up plant and process expertise and can play a central role in industrialization.

In an initial project at the Technology Hub, we are focusing on silicon carbide, which, thanks to its numerous positive properties, ensures greater efficiency and resilience in power electronics. Last year, we also launched another groundbreaking project involving the growth of aluminum nitride crystals.

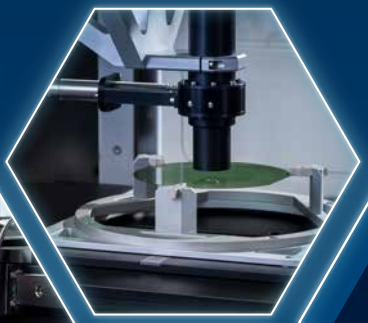


RENOWNED RESEARCH PARTNERS

SHAPING THE FUTURE TOGETHER

To participate in new developments from the earliest stages and secure our innovation leadership, the PVA TePla Group has long maintained partnerships with renowned research institutes. In fiscal year 2025, we renewed and significantly expanded our more than 20-year cooperation with imec, the world's leading research and innovation center for nanoelectronics. In the future, all PVA TePla metrology solutions will be used in research projects at imec.







imec

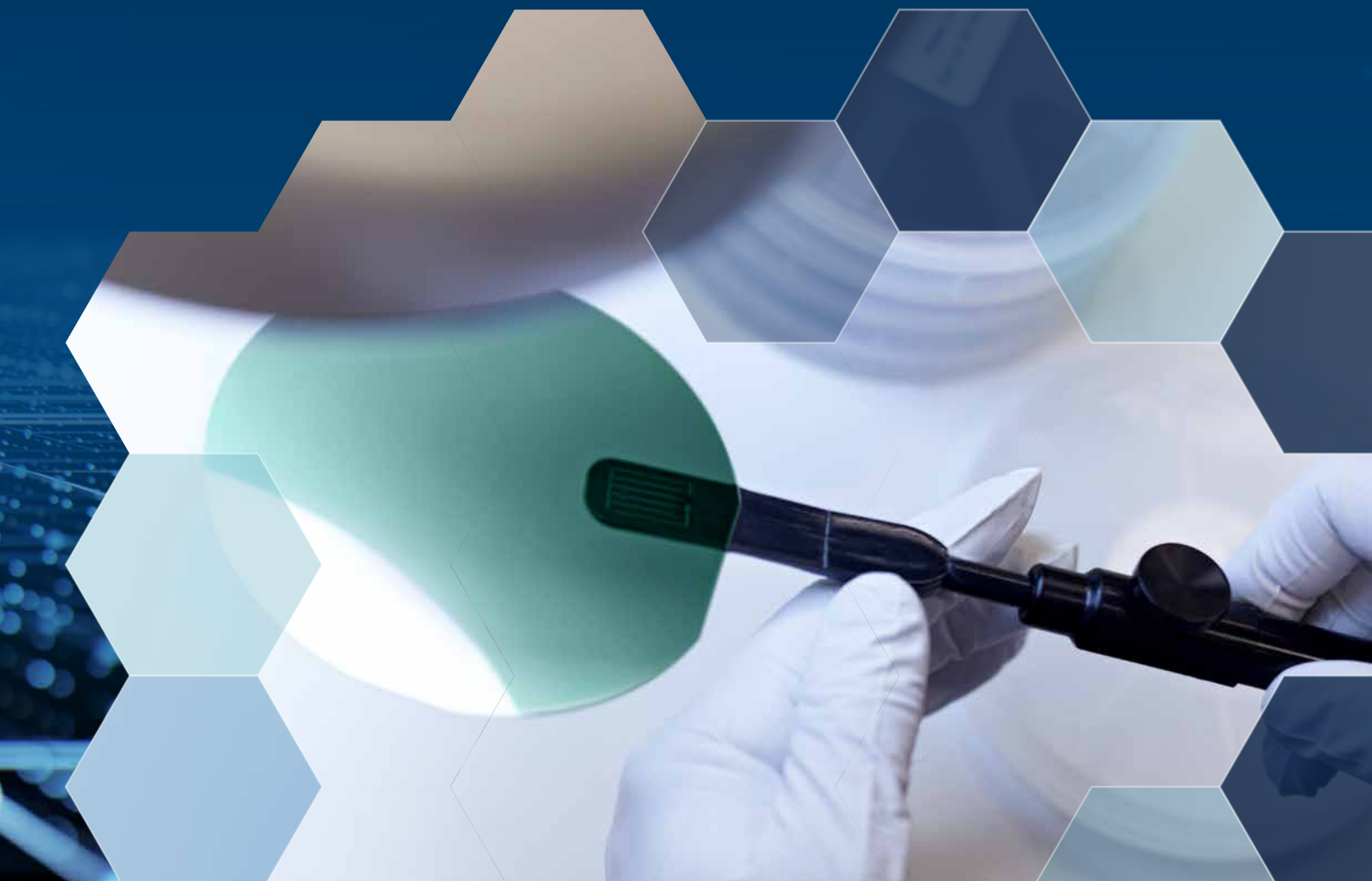
Leibniz-Institute for Crystal Growth

SENTECH Instruments

Fraunhofer-Institutes



In addition, we have been working on an aluminum nitride project with the renowned Leibniz Institute for Crystal Growth since the middle of last year. Siltronic is also involved in this collaboration. Another new collaboration partner is SENTECH Instruments, with whom we are developing metrology systems for the semiconductor market. In addition, several Fraunhofer Institutes and universities are part of our R&D network. At the same time, we are involved in European projects that address the future of our industry sector.



MANAGEMENT BOARD



Jalin Ketter, CEO

- CEO since January 2024
- Member of the board since June 2020



Carl Markus Groß, CFO

- CFO since January 2025

SUPERVISORY BOARD



Dr Myriam Jahn,
Chairwoman of the Supervisory Board

- Chairwoman of the Supervisory Board since August 2024
- Member of the Supervisory Board since July 2023



Christoph von Seidel,
Member of the Supervisory Board and Chairman of the Audit Committee

- Member of the Supervisory Board and Chairman of the Audit Committee since August 2024



Rudolf Weichert,
Member of the Supervisory Board

- Member of the Supervisory Board since June 2025



Prof Dr Ingrid De Wolf,
Member of the Supervisory Board

- Member of the Supervisory Board since April 2025

FOREWORD



CEO Jalin Ketter leads the PVA TePla Group together with her colleague, CFO Carl Markus Groß.

Dear shareholders, Dear business partners,

the 2025 fiscal year was marked by a challenging market environment. Delays in individual projects, as well as a temporary decline in capacity utilization in the Material Solutions division, weighed on revenue and earnings. However, structural demand for our technologies remained strong. The robust order intake underscores the technological relevance of our portfolio and our customers' confidence in our solutions.

We deliberately used the reporting year to structurally strengthen and strategically further develop the PVA TePla Group. One example of this is the consolidation of activities in China. In addition, we have implemented organizational measures to reduce complexity, define responsibilities more clearly, and shorten decision-making processes. In doing so, we are laying the foundation for greater scalability of our business model and a sustainable improvement in our profitability.

The strategic direction of the PVA TePla Group continues to be based on the medium-term strategy, with the goal of sustainably strengthening growth and profitability.

A key strategic focus is on further diversification into additional technology-driven application areas outside the semiconductor industry. In sectors such as aerospace, defense, and energy-related applications, there are high demands on material quality, process stability, and quality assurance. These open up additional growth potential for our technologies while simultaneously strengthening the resilience of our business model.

We are further strengthening our position in the semiconductor sector. Our metrology business is increasingly established in production-relevant applications. Systems are already integrated into the production lines of leading global semiconductor manufacturers. Additional applications are being deployed and validated under real production conditions at leading Asian semiconductor manufacturers. These processes typically span several quarters and form the basis for the transition to series production as well as for a sustainable expansion of our market position.





We are expanding recurring revenue streams, particularly in the after-sales business. This increases the predictability and stability of our business development across market cycles.

Our target markets are significantly shaped by the global megatrends of digitalization, mobility, and decarbonization. The semiconductor industry, in particular, is developing dynamically, as the increasing use of artificial intelligence further raises requirements for material quality, process stability, and quality assurance, and opens up additional application opportunities for our material and inspection technologies across various manufacturing stages.

Our broad regional and application-focused footprint strengthens the resilience of our business model. Our global presence, strategic partnerships, and the continuous development of our organization form the foundation for stable and sustainable growth, even in a volatile market environment.

Based on these strategic initiatives and structural market dynamics, we see substantial growth potential in our core markets. Our goal of increasing consolidated revenue to approximately EUR 500 million in the medium term remains unchanged as a strategic ambition and continues to serve as the guiding framework for our actions. We expect to achieve this goal as part of our strategic planning, even though the exact timing of achieving the goal depends significantly on investment dynamics in our core markets and is subject to market-related influences that could moderately affect the timeline.

For the 2026 fiscal year, we expect a gradual stabilization of business performance as well as moderate growth. We provide a detailed assessment of the expected revenue and earnings development in the forecast report.

We would like to thank our employees for their hard work, as well as our customers, business partners, and shareholders for their trust and constructive cooperation.

Wettenberg, March 2026

The Management Board of PVA TePla AG

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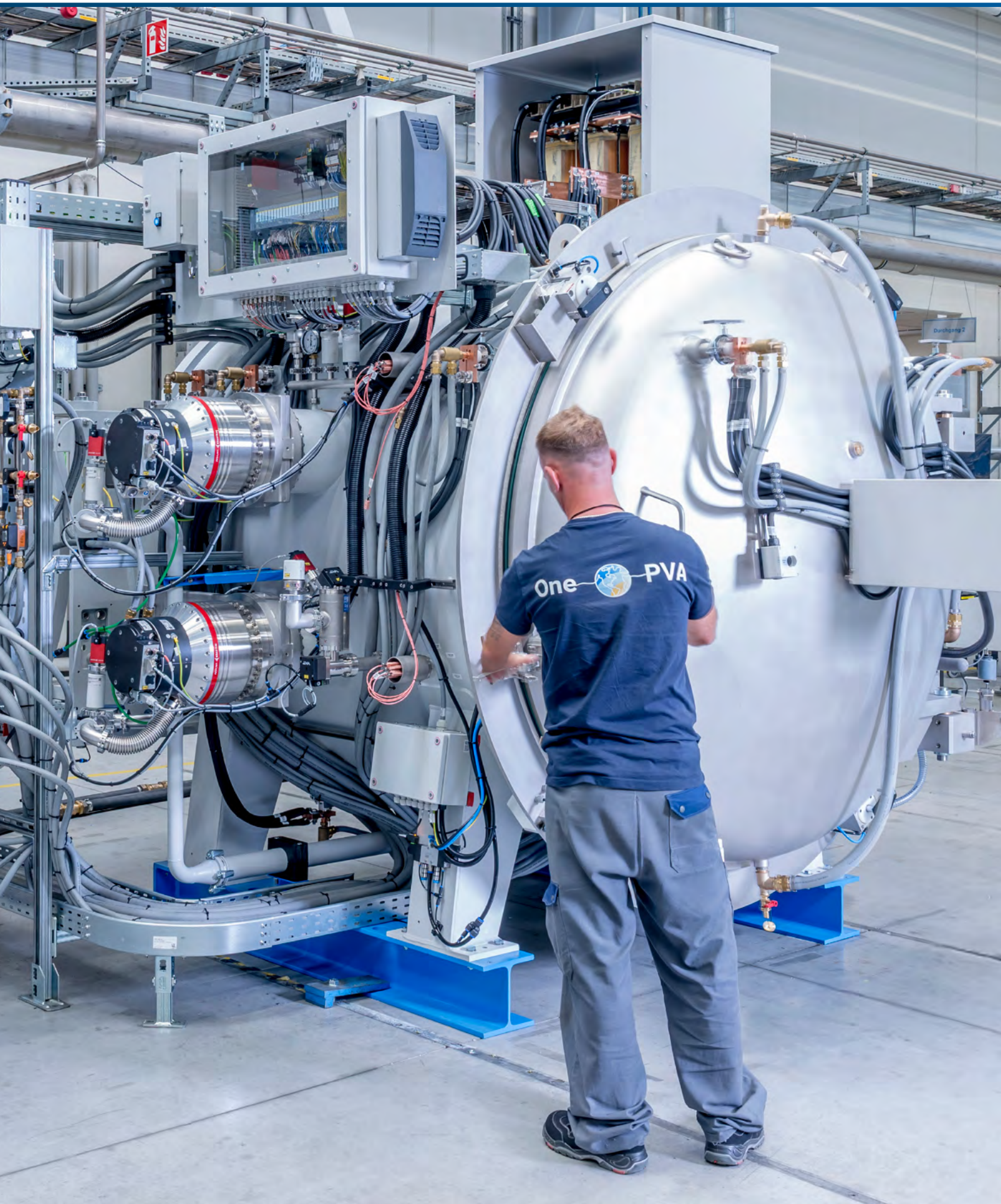
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One PVA

REPORT OF THE SUPERVISORY BOARD

DEAR SHAREHOLDERS,

During the reporting year, the Supervisory Board of PVA TePla AG closely supported the Management Board in managing the company, continuously monitoring its work and providing advisory support. The focus was on the proper fulfillment of the Supervisory Board's monitoring and advisory functions, particularly against the backdrop of a market environment that remains challenging and the ongoing strategic development of the PVA TePla Group.

During the reporting year, the Management Board consistently pursued the company's strategic direction and drove forward the transformation of the business model. The Supervisory Board closely monitored this development based on regular and comprehensive reporting as well as site visits, and continuously discussed the measures, assessments, and decisions presented by the Management Board.

In doing so, the Supervisory Board focused in particular on the Group's strategic and economic situation and development, the quality of earnings, and the financial and asset position. The investments and structural and organizational measures explained by the Management Board to strengthen competitiveness and position the company in strategic growth areas were supported and critically monitored by the Supervisory Board.

The Supervisory Board shares the Management Board's assessment that the reporting year was significantly shaped by upfront investments for future development. In the Supervisory Board's view, the strategic decisions and investments made form a suitable foundation for the sustainable further development of the PVA TePla Group and for securing long-term value creation.

Overall, the Supervisory Board has concluded that the Management Board managed the company during the reporting year in accordance with legal requirements and the corporate strategy pursued.

Cooperation between the Supervisory Board and the Management Board

During the reporting year, the Supervisory Board fully performed the duties incumbent upon it under the law, the Articles of Association, and the Rules of Procedure. The Management Board and the Supervisory Board worked together in a spirit of trust and constructively.

The Management Board provided the Supervisory Board with regular, timely, and comprehensive written and oral updates on business performance, the financial position of the company and the Group, corporate planning – including financial, investment, and human resources planning – as well as significant opportunities and risks. In addition, the Management Board reported on an ongoing basis regarding strategic issues, major investment projects, and measures for the further development of the business model.

The Chair of the Supervisory Board and the Chair of the Management Board maintained regular communication even outside of meetings. As a result, the Supervisory Board was informed at all times about important developments and upcoming decisions.

The Supervisory Board was involved at an early stage in all decisions of fundamental importance to the company. Transactions requiring approval were submitted to the Supervisory Board in a timely manner and, following careful review and discussion, decided jointly with the Management Board. The members of the Management Board attended the meetings of the Supervisory Board and its committees; individual deliberations also took place on a regular basis without the Management Board.

Overall, cooperation between the Management Board and the Supervisory Board in the reporting year was based on open dialogue and transparent reporting.

Topics discussed at the full Supervisory Board meeting

The Supervisory Board convened for a total of seven meetings during the reporting year. At these meetings, the Board focused in particular on business performance, the financial and asset position of the Company and the Group, and corporate planning.

In addition, the Supervisory Board addressed and oversaw strategic decisions such as the takeover of desconpro engineering GmbH and DIVE imaging systems GmbH, the early appointment of Prof Dr. Ingrid De Wolf, the realignment of the plasma business, general organizational development, key governance issues, and matters pertaining to the Executive Board. Transactions requiring approval and other matters of fundamental importance were discussed and decided upon based on the Management Board's reporting.

Individual resolutions of the Supervisory Board regarding Executive Board matters were adopted by written resolution.

The attendance of members at Supervisory Board meetings is shown in the table below.

Attendance of Supervisory Board members (plenary session) in fiscal year 2025

Member	Attendance
Dr Myriam Jahn (Chair of the Supervisory Board)	7
Christoph von Seidel (Vice Chair of the Supervisory Board)	7
Prof Dr Gernot Hebestreit*	2
Ingrid De Wolf**	4
Rudolf Weichert***	5

* Member of the Supervisory Board until the end of the Annual General Meeting on June 24, 2025.
** Member of the Supervisory Board as of April 2025 (appointed by the court), confirmed by the Annual General Meeting on June 24, 2025.
*** Member of the Supervisory Board following election by the Annual General Meeting on June 24, 2025.

During the reporting year, the Supervisory Board conducted an efficiency review of its activities. The efficiency of the Supervisory Board's work was assessed as adequate overall.

The members of the Supervisory Board independently undertook the training and continuing education necessary for their duties.

The work of the Supervisory Board Committees

To efficiently perform its duties, the Supervisory Board established committees. During the reporting year, the Audit Committee and the Personnel and Nomination Committee were in place. The committees prepared resolutions of the Supervisory Board and regularly reported to the plenary session on their work.

Audit committee

The Audit Committee held a total of five meetings during the reporting year. It primarily focused on business performance and the oversight of the financial reporting process, the adequacy and effectiveness of the internal control system, the internal audit system, the risk management system, and the work of the company's compliance organization. In addition, the Audit Committee addressed the audit of the financial statements and its key areas, as well as the selection and independence of the auditor, the quality of the audit, and the additional services provided by the auditor.

The external auditor regularly reported to the Audit Committee on the progress and key findings of the audit. The Audit Committee discussed the audit reports and prepared the corresponding resolutions of the Supervisory Board.

The attendance of members at Audit Committee meetings is summarized in the table below.

Audit committee – attendance in fiscal year 2025

Member	Attendance
Christoph von Seidel (Committee Chair)	5
Dr Myriam Jahn	5
Prof Dr Gernot Hebestreit*	3
Rudolf Weichert***	2

* Member of the Supervisory Board until the conclusion of the Annual General Meeting on June 24, 2025.
*** Member of the Audit Committee upon appointment by the Supervisory Board following the Annual General Meeting on June 24, 2025.

Human resources and nominating committee

The Personnel and Nomination Committee held one meeting during the reporting year. It addressed matters concerning the Executive Board, compensation, and issues related to personnel and succession planning at the Supervisory Board level. In addition, the Committee prepared the corresponding resolutions of the Supervisory Board.

The attendance of members at the Personnel and Nomination Committee meeting is shown in the table below.

Personnel and nominating committee – attendance in fiscal year 2025

Member	Attendance
Dr Myriam Jahn (Committee Chair)	1
Christoph von Seidel	1
Prof Dr Gernot Hebestreit*	1
Rudolf Weichert***	0

* Member of the Supervisory Board until the conclusion of the Annual General Meeting on June 24, 2025.
*** Member of the Personnel and Nomination Committee upon appointment by the Supervisory Board following the Annual General Meeting on June 24, 2025.

Corporate governance and declaration of compliance

In determining the requirements for good corporate governance, the Supervisory Board and the Management Board jointly took into account, in particular, the recommendations and suggestions of the German Corporate Governance Code.

The Management Board and the Supervisory Board have adopted the Declaration of Conformity pursuant to Section 161 of the German Stock Corporation Act (AktG) regarding the German Corporate Governance Code. Following its issuance, the Declaration of Conformity was made permanently available to shareholders on the Company's website.

The Management Board and Supervisory Board report on the company's corporate governance in the Corporate Governance Statement, which is also published on the company's website.

Audit of financial statements, consolidated financial statements, and annual financial statements

The Supervisory Board proposed to the Annual General Meeting the election of PwC GmbH Wirtschaftsprüfungsgesellschaft, Frankfurt am Main, as the auditor and group auditor. Prior to submitting the nomination, the Supervisory Board and the Audit Committee satisfied themselves as to the auditor's independence within the meaning of Section 107 (3) sentence 2 of the German Stock Corporation Act (AktG) and obtained and evaluated a corresponding declaration of independence. PwC GmbH Wirtschaftsprüfungsgesellschaft, Frankfurt am Main, has been the auditor for the PVA TePla Group and PVA TePla AG since the 2024 fiscal year.

Following the election by the Annual General Meeting, the Audit Committee issued the audit engagement to the auditor and determined the audit fee. In addition, the audit focus areas for the annual and consolidated financial statements were agreed upon between the Audit Committee and the auditor.

Pursuant to a resolution of the Supervisory Board, the auditor is permitted to provide certain due diligence services, including ancillary services, training services, and other consulting services arising in this context. Prior to the award of such services, the Management Board and the Audit Committee review each case individually to determine whether these services are permissible and do not impair the auditor's independence.

PwC GmbH Wirtschaftsprüfungsgesellschaft, Frankfurt am Main, elected by the Annual General Meeting, audited the Company's annual financial statements and consolidated financial statements as of December 31, 2025, including the combined Management Report, and issued an unqualified audit opinion in each case.

The auditor has determined that the annual and consolidated financial statements have been prepared in accordance with the applicable accounting standards and present a true and fair view of the net assets, financial position, and results of operations of the Company and the Group.

The non-financial statement was audited by the auditor in accordance with ISAE 3000 (revised) with limited assurance. On this basis, no objections were raised regarding the reporting or compliance with the applicable requirements. In addition, the auditor conducted a formal review of the remuneration report to ensure that the disclosures required under Section 162 (1) and (2) of the German Stock Corporation Act (AktG) are complete.

The financial statements, together with the Management Reports and the auditor's reports, were made available to the members of the Supervisory Board and the Audit Committee in a timely manner and were discussed and reviewed in detail at the Audit Committee meeting held on March 11, 2026, in the presence of the auditor, and subsequently by the Supervisory Board. The auditor reported on the scope, focus, and key findings of the audit and was available to answer questions and provide information. No material weaknesses in the accounting-related internal control system or the early risk detection system were reported.

After a final review of the documents submitted and taking into account the recommendation of the Audit Committee, the Supervisory Board raised no objections to the annual financial statements, the consolidated financial statements, and the combined Management Report, and concurred with the auditor's findings. On this basis, the Supervisory Board approved the annual financial statements and the consolidated financial statement prepared by the Management Board. The annual financial statements are thus adopted in accordance with Section 172, Sentence 1 of the German Stock Corporation Act (AktG). The Supervisory Board concurs with the Management Board's proposal to the Annual General Meeting to carry forward the reported retained earnings to new account.

Changes in the composition of the Supervisory Board and Management Board

During the reporting year, there were personnel changes on the company's Supervisory Board and Management Board. Prof Dr Gernot Hebestreit stepped down from the Supervisory Board at the conclusion of the Annual General Meeting on June 24, 2025. Prof Dr Ingrid De Wolf was appointed to the Supervisory Board by court order in April 2025 and was confirmed in her position by the shareholders at the Annual General Meeting on June 24, 2025. Rudolf Weichert was also elected to the Supervisory Board for the first time at this Annual General Meeting. The Supervisory Board is confident that both individuals will effectively support the work of the board with their experience and expertise and is grateful to the departing member, Dr. Gernot Hebestreit, for his many years of service.

Effective January 1, 2025, Carl Markus Groß was appointed Chief Financial Officer (CFO) of the company. As previously announced, Oliver Höfer, who had served as Chief Operating Officer (COO) for Production, Quality Management, and Human Resources since December 2013, stepped down from the company's Management Board in mid-2025 as scheduled.

Acknowledgments from the Supervisory Board

The Supervisory Board thanks the Management Board and all employees of the company for their commitment and dedication during the reporting year. Thanks are also extended to the employee representatives for their constructive cooperation.

Wettenberg, March 2026

On behalf of the Supervisory Board

Dr Myriam Jahn
Chairwoman of the Supervisory Board of PVA TePla AG

PVA TEPLA ON THE CAPITAL MARKET

PVA TePla 2025 shares showing a clear uptrend

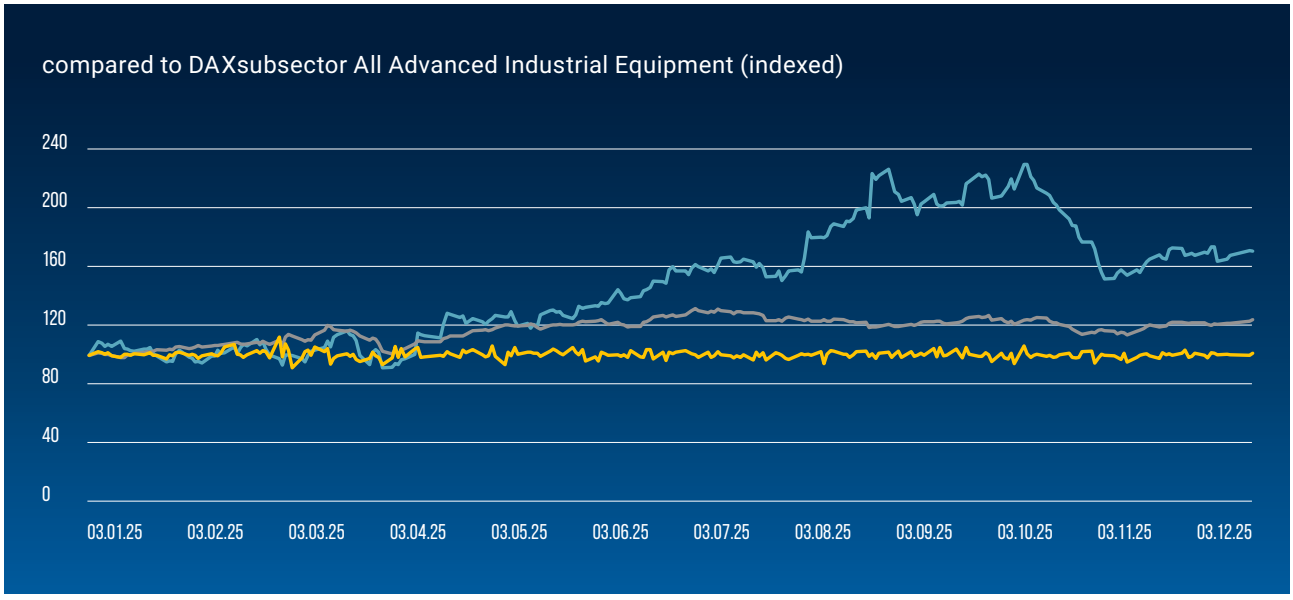
Despite a subdued macroeconomic environment, the 2025 stock market year was once again very successful. The German benchmark index, the DAX, reached new highs several times during the year and closed the year at around 25,000 points – a 23% increase over the previous year. The DAX thus outperformed both the S&P 500 and the Dow Jones and performed nearly on par with the technology-oriented NASDAQ-100.

This dynamic price performance underscored the resilience of the capital markets in the face of geopolitical risks and economic uncertainties. The new trade conflict declared by U.S. President Donald Trump in March 2025, in which the U.S. government announced double-digit tariffs worldwide, had a particularly negative impact. The news led to significant short-term price losses on international stock exchanges and presented export-oriented companies with major planning challenges for the remainder of the year.

Nevertheless, the capital markets proved resilient to the challenging geopolitical conditions during the reporting year. Following more moderate growth in 2024, the PHLX Semiconductor Index for semiconductor stocks rebounded more strongly in 2025, rising by 42.2% (previous year: 23.8%). The Nasdaq 100 posted a gain of 20.2% (previous year: 27.0%), while the MSCI World Index climbed 19.5% (previous year: 17%). In Germany, the leading index, the DAX40, rose by 23% (previous year: 18.3%). Among small-cap stocks, the MDAX rose by 16.7% (previous year: – 6.8%), and the SDAX by 21% (previous year: – 1.8%). The DAXsubsector All Advanced Industrial Equipment index, which is specific to PVA TePla's sector, rose particularly sharply by 61.2% (previous year: – 9.4%).

While Germany's gross domestic product grew by only 0.2% in 2025, PVA TePla AG's stock recorded a significant price increase of 69.0% (previous year: –34.1%). The stock started the year 2025 at a price of 13.49 euros. Over the course of the year, it hit a low of 12.31 euros on April 4 following the tariff announcements mentioned above, before gradually rising to an annual high of 30.58 euros on October 21. Following the forecast adjustment published on October 24, 2025, the stock declined slightly at year-end and closed the trading year at €22.80. The spread between the high and low prices was 148.42% (previous year: 114.95%).

Performance of the PVA TePla Share



Several factors underpinned the positive performance of the stock. Although the overall economic situation remained characterized by challenges and investment caution, demand for PVA TePla's products from the semiconductor sector, the energy sector, and the aerospace industry picked up significantly in 2025, as reflected in order intake of € 267.6 million.

With share capital remaining unchanged at € 21,749,988.00, the market capitalization of PVA TePla AG rose significantly to € 495.9 million (€ 281.4 million) at year-end. The shareholder structure remains broadly diversified, with 100% of shares held by the public. Interest from institutional investors increased noticeably once again in 2025. Funds managed by Kempen Oranje Participates, Lazard Frères Gestion, Spice Three Investment Coöperatief, Janus Henderson Group, Goldman Sachs, and RWC Asset Management reported holdings of over 3% and 5%, respectively.

Throughout the year, PVA TePla regularly published capital market announcements providing information on current corporate events and the company's economic performance. While order intake developed very positively over the course of the year, project-related delays in revenue recognition occurred in the third quarter of 2025 due to increased trade policy uncertainties, particularly in the U.S. and Asian markets. Against this backdrop, the company published an ad hoc announcement on October 24, 2025, in which the guidance for the full year 2025 was adjusted. The Management Board revised the original guidance for the fiscal year – which had projected revenue of between 260 and 280 million euros and earnings before interest, taxes, depreciation and amortisation (EBITDA) of between 34 and 39 million euros – to a range of revenue between 235 and 255 million euros and EBITDA of 25 to 30 million euros.

The delays affected only the timing of realization, not customer demand. As a result, the demand base remained strong, and the medium-term growth drivers – particularly in the semiconductor, energy, and aerospace industries – remained intact. In both the semiconductor and industrial segments, the Group is excellently positioned with its highly specialized solutions to benefit from the increased demand.

During the reporting period, PVA TePla AG implemented a capital measure in the form of the 2024/2025 share buyback program. The program expired on December 31, 2025. Under the program, the company repurchased 1,327,398 of its own shares worth 18.9 million euros and now holds 6.1% of the company's shares.



Strong liquidity and good tradability: PVA TePla stock remains attractive to investors

Trading liquidity for PVA TePla shares improved slightly compared to the previous year, averaging 78,780 (previous year: 73,515) shares traded per trading day via XETRA. Off-market transfers of shares cannot be ruled out.

Investor relations activities

In fiscal year 2025, open and continuous dialogue with the capital market remained at the core of PVA TePla AG's investor relations work. Through timely, transparent, and comprehensive reporting on significant corporate events and developments, the company aims to sustainably strengthen confidence in its economic and technological capabilities. At the same time, the necessary transparency is intended to be created so that analysts, shareholders, and potential investors can evaluate the company in a well-founded and appropriate manner. PVA TePla attaches great importance to communicating its business model, technological innovations, sales markets, and growth and earnings prospects to all capital market participants in a clear and up-to-date manner.

The 2025 Capital Markets Day in London was the highlight of the year's investor engagement activities. On September 2, 2025, the company invited investors and analysts to London to learn more about the PVA TePla Group's strategy and technology portfolio. The hybrid event was very well received: numerous international investors and analysts took the opportunity to learn about the company's strategy, technology portfolio, and financial targets. The Management Board emphasized the company's medium-term growth targets, under which it aims to achieve revenues of approximately 500 million euros. In addition, the Management Board and the Vice Presidents discussed the market shares and potential of selected technologies, particularly ultrasonic metrology, as well as the product portfolio in the Material Solutions segment, which targets the growth markets of energy and aerospace.

Beyond the Capital Markets Day, PVA TePla maintained direct contact with private and institutional shareholders and analysts. During the reporting year, the Management Board and Investor Relations held numerous one-on-one and group meetings, participated in conferences, and went on roadshows in various European markets. The Management Board and IR answered questions from investors and financial analysts regarding the PVA TePla Group's business strategy and development, as well as industry and market trends. Key topics of discussion with institutional and private investors included an explanation of the long-term outlook and the company's positioning in the semiconductor market – particularly in ultrasonic metrology – as well as the increased profitability targets and strategic diversification into high-growth markets such as renewable energy and aerospace.

Broad research coverage

In fiscal year 2025, a total of ten national and international investment banks, brokerage firms, and investment boutiques regularly published equity research reports on PVA TePla AG. In 2025, Alphavalue, a division of Baader Bank, became a new firm to publish analyses on PVA TePla. In January 2026, Bankhaus Metzler also began covering PVA TePla, meaning that eleven analysts currently publish regular analyses on the company. In light of the positive trend in order intake and the explanation of growth targets during the Capital Markets Day, all analysts have raised their price targets – in some cases significantly – compared to the 2024 fiscal year. The consensus remains a "Buy" recommendation for the stock, with an average price target currently of 30.66 euros.

PVA TePla research coverage

Bank	City	Analyst	Rating	Price Target	Last update
Baader Bank / Alphavalue	Munich	Utsav Sinha	Buy	€35.90	Oct. 2025
Berenberg	London	Gustav Froberg	Buy	€36.00	Feb. 2026
BNP Paribas	Paris	Martin Jungfleisch	Hold	€25.00	Feb. 2026
Deutsche Bank	Frankfurt	Michael Kuhn	Buy	€31.00	Feb. 2026
Edison	London	Edwin de Jong	Buy	€31.63	Feb. 2026
Jefferies	London	Constantin Hesse	Buy	€31.00	Feb. 2026
Matelan	Bonn	Hartmut Moers	Buy	€29.70	Feb. 2026
Metzler Bank	Frankfurt	Veysel Taze	Buy	€31.00	Jan. 2026
Montega	Hamburg	Bastian Brach	Buy	€30.00	Feb. 2026
Oddo BHF	Paris	Maissa Keskes	Buy	€30.00	Feb. 2026
SMC Research	Münster	Adam Jakubowski	Buy	€26.00	Feb. 2026

PVA TePla stock information

ISIN	DE0007461006
WKN	746100
Symbol	TPE
Reuters Instrument Code	TPG.DE
Bloomberg Symbol	TPE GY Equity
Share Type	Common Stock
Share Form	Bearer share
Initial listing	June 21, 1999
Market	Regulated market
Market segment	Prime Standard
Super-sector	Industrials
Sector	Industry
Subsector	Advanced industrial equipment
Index membership	SDAX, CDAX, Prime All Share, DAX Subsector Advanced Industrial Equipment
Number of shares	21,749,988
Par value	No-par value bearer common shares, calculated at €1.00
Share capital	€ 21,749,988.00

PVA TePla stock information

	2025	2024	2023	2022	2021	2020
Price as of Dec. 31 in euros	22.80	12.94	20.4	18.56	41.90	19.60
Number of shares	21,749,988	21,749,988	21,749,988	21,749,988	21,749,988	21,749,988
Market capitalization in millions of €	495,899,726	281,444,845	443,699,755	403,679,777	911,324,497	426,299,765
Highest price in €	30.58	23.58	25.92	44.60	50.60	20.90
Lowest price in €	12.31	10.97	14.16	13.87	16.50	5.68
High-to-low price spread in %	148.42%	114.95%	83.1%	221.6%	206.7%	268.0%
Revenue (units) XETRA/trading day	78,780	78,373	73,515	82,149	83,985	51,775
XETRA revenue in millions of euros per trading day	1.554	1.299	1.469	1.858	2.695	0.618



SUMMARY MANAGEMENT REPORT

GROUP FUNDAMENTALS

About this report

This report of the PVA TePla Group contains financial and non-financial information and provides a comprehensive overview of the company's economic, operational, and strategic developments. It was prepared in accordance with applicable legal requirements.

This report is based on consolidated financial data of PVA TePla AG and its subsidiaries and summarizes the Management Report of the PVA TePla Group as well as the Management Report of PVA TePla AG. The balance sheet date is December 31. The information relates to the fiscal year from January 1 to December 31, 2025.

German Accounting Standard 20 (DRS 20) "Group Management Report" has been applied. Information regarding PVA TePla AG is included in the section "Summary report on the annual financial statements of PVA TePla AG" with disclosures in accordance with the German Commercial Code (HGB). The consolidated financial statement includes the Company and its subsidiaries. To clarify which information relates to the parent company and which relates to the Group, the name "PVA TePla AG" is always used for the parent company. For disclosures relating to the Group, the terms "PVA TePla Group," "PVA TePla Consolidated Group," or "PVA TePla" are used. Where the above distinctions do not apply and no other specific notes are provided, the disclosures apply equally to the Group and the parent company.

Unless otherwise noted, all amounts are stated in millions of euros (EUR million). For technical reasons, rounding differences of +/– one unit (EUR thousand, %, etc.) may occur in the information presented in these financial statements. Margins and ratios refer to revenue unless otherwise specified in the text.

This document contains forward-looking statements based on estimates by management or third parties. Forward-looking statements may involve risks and uncertainties. Many of these risks and uncertainties are determined by factors beyond PVA TePla's control.

Business model

PVA TePla is a provider of high-tech solutions in the fields of materials and measurement technology. With a focus on the semiconductor industry and adjacent high-tech markets, the PVA TePla Group serves customers in industries shaped by global megatrends such as digitalization, decarbonization, and mobility. In addition to the semiconductor industry, these include, in particular, the energy, aerospace, and automotive sectors, as well as other applications involving high-performance materials and electronic components.

The PVA Technology Hub is a central component of our business model. It brings together interdisciplinary expertise from physics, chemistry, materials science, and data analysis and supports the continuous development of our product and technology portfolio. The focus is on strategically relevant technology fields, particularly silicon carbide (SiC), aluminum nitride (AlN), and advanced Metrology. Complementing our decentralized development activities, the Technology Hub helps to systematically translate new technologies and processes into industrial applications.

With locations in Germany, France, Italy, Switzerland, the U.S., China, Taiwan, Korea, and Singapore, the PVA TePla Group has a global network that ensures close customer proximity and broad market coverage.

Our product portfolio is divided into two main product groups: Material Solutions and Metrology. The Material Solutions product group encompasses technologies for the production, processing, and finishing of high-tech materials. These include advanced systems for producing materials such as crystals – including silicon and silicon carbide – as well as solutions for complex joining technologies, such as brazing and welding processes, and for surface treatment. Our solutions are used in the semiconductor industry, mobility, aerospace, and the renewable energy sector. Through continuous research and development activities, we strengthen our technological position in these markets. Metrology represents leading acoustic, optical, and chemical measurement technologies for quality control and process monitoring of highly complex manufacturing processes. In addition to the semiconductor industry, our solutions are used in aerospace, the automotive industry, and materials science, among others. The use of data-driven analysis methods and artificial intelligence increases the precision and efficiency of our measurement systems, reduces error rates, and contributes to more stable processes and higher productivity.

Segment structure and future reporting logic

As of December 31, 2025, our operating activities were organized into the following two reporting segments: **Industrial Systems** and **Semiconductor Systems**.

In the Industrial Systems segment, we develop and manufacture solutions for material processing, finishing, and production. From design through production, we offer highly specialized systems for the fabrication of high-quality materials such as semiconductor materials, crystals, optical components, and other sophisticated high-tech materials.

In the Semiconductor Systems segment, we offer high-precision measurement and analysis equipment for demanding applications across the semiconductor value chain. Our solutions are used in both upstream and downstream manufacturing steps and support the inspection of increasingly complex structures. They are employed in quality control, process monitoring, and failure analysis, helping to enhance our customers' process reliability and manufacturing efficiency.

In the course of fiscal year 2026, we intend to align management and segment reporting along the two product groups Metrology and Material Solutions. The substantive delineation of the product groups is presented in the “Business Model” section. The adjusted segment structure reflects the further development of our business model and more clearly reflects the different economic characteristics of the two product groups.

The new segmentation further increases the transparency of our reporting. While the previous segment structure showed some overlaps on the product side, the new system allows for a clear allocation of technologies and services to clearly defined product groups. As a result, revenue and earnings trends will be presented more consistently and transparently in the future. This improves the comparability of operating performance within the segments for investors and other stakeholders.

Key locations and scope of consolidation

The Group’s parent company is PVA TePla AG, headquartered in Wettenberg, Germany. It holds stakes in domestic and foreign subsidiaries in Europe, North America, and Asia, including companies in the U.S., China, Taiwan, Korea, and Singapore.

Production is primarily carried out at the locations in Wettenberg, Jena, and Westhausen in Germany, as well as in Corona and Manassas (USA), Schio (Italy), and La Chapelle-d’Aurec (France).

With the acquisition of 100% of the shares in both desconpro engineering GmbH and PVA Vision GmbH, the Group’s scope of consolidation was expanded in the first half of 2025 compared to December 31, 2024. Otherwise, the scope of consolidation includes all subsidiaries in which PVA TePla AG directly or indirectly holds the majority of voting rights.



Organizational structure and management system

PVA TePla AG serves as the management and functional holding company of the PVA TePla Group and is responsible for the management and governance of the Group. It handles central tasks such as the Group's strategic direction, the conceptual development of the product portfolio, acquisitions, and financial and governance matters. In addition, PVA TePla AG manages the Group-wide technology and patent portfolio as well as the associated intellectual property. Central functions such as corporate identity, investor relations, and marketing are also located at the holding company level. Furthermore, it is responsible for financing strategically significant development projects of the operating subsidiaries.

The operating companies are organized by segment and have independent management structures. They work closely with Group headquarters and are responsible for the operational implementation of business activities.

As part of Strategy 2028, an additional management level was established below the Management Board. This level encompasses clearly defined responsibilities for the two product groups as well as for overarching research and development activities. It consists of proven experts from the respective fields and supports the implementation of strategic initiatives, oversees cross-functional topics, and drives innovation and long-term development.

The Group is managed primarily on the basis of financial performance indicators. Key performance indicators include revenue and EBITDA (earnings before interest, taxes, depreciation and amortisation). In addition, order intake is used to assess market dynamics. Revenue by region and application segment helps identify growth areas, while selected cost metrics support the evaluation of operational efficiency.

In addition to financial performance indicators, non-financial metrics are also tracked. These include, in particular, CO_2 emissions, the share of renewable energy, employee satisfaction metrics, and turnover rates. These metrics are used to monitor key sustainability and human resources issues but are not considered the most significant performance indicators for the purposes of management reporting.

Key performance indicators relevant to management

in EUR million	2025	2024
Revenue	244.3	270.1
EBITDA	25.3	47.8

Revenue and EBITDA are the key performance indicators used for management purposes by the PVA TePla Group. EBITDA is a metric not defined under IFRS or HGB and is calculated as earnings before interest, taxes, and depreciation and amortisation.

The trend in revenue forms the basis for sustainable and profitable corporate development. Revenue trends are analyzed regularly, particularly by region and application area, to enable an early response to changes in the market environment.

EBITDA serves as a key indicator for assessing operational profitability. This metric is regularly discussed by management and forms an important basis for evaluating economic performance as well as for determining any necessary measures to manage earnings trends.

Management structure

The governing bodies of the company are the Management Board, the Supervisory Board, and the Annual General Meeting. The company has a dual management and control system consisting of the Management Board and the Supervisory Board.

The Management Board of PVA TePla AG currently consists of two members who jointly bear responsibility for managing the Group: Jalin Ketter (CEO) and Carl Markus Groß (CFO). The members of the Management Board work closely together and are responsible for the operational management of the company.

The Supervisory Board regularly monitors and advises the Management Board and performs the duties assigned to it by law and the Articles of Association. It consists of four members: Dr Myriam Jahn (Chairwoman), Christoph von Seidel, Rudolf Weichert, and Prof Dr Ingrid De Wolf. Decisions of fundamental importance are made jointly in the committees designated for this purpose.

The Management Board of PVA TePla AG manages the company under its own responsibility, sets strategic goals, and ensures their consistent implementation. The focus is on sustainable value creation and taking into account the interests of all relevant stakeholders.

Goals, strategy, and market opportunities

The strategic direction of the PVA TePla Group is based on the 2028 Mid-Term Strategy, which aims to sustainably strengthen the Group's growth and earnings potential. The strategic goals and areas of action defined therein remain valid.

As this strategy is implemented, it has become apparent that changing external conditions, in particular, are influencing the pace of transformation. Geopolitical uncertainties, increasing trade restrictions, and regional market dynamics are affecting investment decisions and project timelines on the customer side and, in some cases, leading to prolonged decision-making processes.

We continue to pursue the goal of increasing Group revenue to approximately EUR 500 million in the medium term. We view this target as a strategic ambition; the timeline for achieving this goal is subject to market-related influences and may be adjusted moderately depending on market developments.

Achieving this goal is based on a clear strategic direction that encompasses both the further development of the product portfolio and organizational and operational measures. These measures involve short-term expenses but lay the foundation for a sustainable improvement in profitability.

A key focus here is on the targeted expansion of technology-driven business segments, particularly in the field of metrology. The growing importance of quality- and process-critical applications opens up additional application opportunities for our solutions and helps to gradually reduce our dependence on project-based revenue structures. In this context, the expansion of recurring revenue is gaining importance, particularly through the strengthening of the after-sales business. This increases the predictability and stability of our business development across market cycles.

In addition, we continuously invest in the further development of material- and process-related technologies to further strengthen our technological position in demanding industrial applications. The PVA Technology Hub supports this development by strengthening the connection between material and measurement technologies and systematically supporting the transition of new solutions into industrial applications.

At the same time, we are advancing our international market development. The expansion of sales and service capacities in strategically important regions strengthens our proximity to customers and supports the scaling of our business model. In addition, we are enhancing our ability to provide targeted support to customers throughout their manufacturing processes, for example, in the introduction of new applications and the optimization of existing processes.

The markets addressed by the PVA TePla Group are significantly shaped by the global megatrends of digitalization, mobility, and decarbonization. The semiconductor industry, in particular, is developing dynamically, as the increasing use of artificial intelligence further raises the bar for material quality, process stability, and quality assurance. This opens up additional application opportunities for our material and measurement technologies across various manufacturing stages.

In addition, demand is being driven by investments in energy-efficient systems and storage solutions. Furthermore, the PVA TePla Group addresses other technology-driven application areas, including aerospace and defense, which are characterized by high demands on quality, process stability, and long-term investment cycles.

Through its broad regional and application-oriented positioning, the PVA TePla Group strengthens the resilience of its business model. Its global presence, strategic partnerships, and the continuous development of organizational structures and ESG-related measures support stable and sustainable growth even in a volatile market environment.

Research and development

Research and Development (R&D) is a central component of our corporate strategy. We continuously refine our technologies and consistently align our portfolio with the global megatrends of digitalization, mobility, and decarbonization. The goal of our R&D activities is to drive technological innovation, further develop existing solutions, and tap into new application areas. In doing so, we work closely with our customers to address specific requirements early on and translate them into marketable solutions.

The focus of our R&D activities is on the further development of measurement technologies as well as on material- and process-related solutions for demanding industrial applications. The PVA Technology Hub supports these activities as a group-wide platform by pooling expertise, supporting development projects, and promoting the structured transfer of new materials, processes, and technologies into industrial applications. New materials for future applications in high-growth technology fields play an important role here, for example in the areas of power electronics and advanced material systems.

Responsibility for Group-wide R&D activities lies with the Management Board. Within the business units and subsidiaries, there are additionally clearly defined responsibilities for individual development projects. This organizational structure enables close integration of central and decentralized development activities.

To identify relevant technological trends at an early stage, we conduct continuous market and trend analyses. Based on this, we prioritize research and development projects and manage the efficient use of our resources.

In the Material Solutions product division, R&D activities focused in particular on the further development of material- and process-related technologies for demanding applications, including in the fields of power electronics, energy storage, and industrial high-temperature processes. The goal was to further optimize existing technologies and open up new application possibilities for industrial use. Specific projects involved new material technologies such as aluminum nitride (AlN), the further development of crystal growth systems for silicon carbide (SiC) to a crystal diameter of 300 mm, the automation of plant technologies, and the transition from batch production to continuous production concepts. In the Metrology product division, the focus was on the further development of testing and measurement solutions for quality control and process monitoring. Key areas included the adaptation of ultrasonic systems to panel technology, the patent application and further development of the Hyperspectral Vision measurement method, the development and patenting of measurement fluids, and the further development of optics for 3D measurement processes.

In fiscal year 2025, we invested EUR 17.1 million (previous year: EUR 11.7 million) in research and development. This corresponds to an R&D ratio of 7.0% of consolidated revenue (previous year: 4.3%). Development costs associated with customer projects are not included in this figure.

During the reporting period, an average of 66 employees (previous year: 40) were employed in the Research and Development division. The employees are assigned to various units of the PVA TePla Group and work on project-based central and decentralized development activities.

NON-FINANCIAL GROUP STATEMENT

GENERAL INFORMATION

In the 2025 fiscal year, PVA TePla AG prepared a voluntary non-financial group statement in accordance with Sections 315b and 315c of the German Commercial Code (HGB). This statement also fulfills the requirements of Regulation (EU) 2020/852 of the European Parliament and of the Council of June 18 establishing a framework to facilitate sustainable investment and amending Regulation (EU) 2019/2088 (hereinafter the EU Taxonomy Regulation) (p. 84). No recognized framework was fully applied in preparing this statement. In the current reporting year, the following points are aligned with the ESRS (as of 2023):

- Reporting Structure
- Validation of the materiality assessment conducted in 2024 based on the principle of double materiality
  - by assessing actual and potential negative and positive impacts, risks, and opportunities
  - by incorporating the value chain into the analysis of our impacts, risks, and opportunities
  - with indirect involvement of affected stakeholders in the analysis of our material topics
- Presentation of policies, actions, and targets for each material topic
- Presentation of selected key performance indicators
- General information on governance, strategy, and management of impacts, risks, and opportunities
- Information about PVA TePla's workforce

This statement provides an overview of the progress made by the PVA TePla Group (hereinafter "PVA TePla") in the areas of environment, social issues, governance, and research and development – the four central pillars of our sustainability strategy.

Our sustainability reporting covers the entire PVA TePla Group and corresponds to the scope of consolidation of our consolidated financial statement. PVA TePla AG and all subsidiaries are included in the reporting.

In the 2024 reporting year, we conducted a materiality assessment and validated it in 2025. When identifying material sustainability issues, we consider not only our own business activities but also our upstream and downstream value chain. The material impacts, risks, and opportunities presented in this report as a result of the materiality analysis therefore apply to both PVA TePla and our value chain.

For the manufacture of our systems, we source various components made from materials such as metals and plastics from our direct suppliers. Our indirect suppliers extract and process the raw materials required for this. PVA TePla manufactures single units and small batches of highly sophisticated systems for vacuum, high-temperature, and plasma processes, as well as for quality inspection. Our systems are used in various industries, including the semiconductor industry and high-performance electronics. Our systems are designed for longevity and can be used by our customers for several years before being replaced by new technical developments. At the end of their life cycle, individual components can be recycled or must be disposed of properly.

As a provider of high-tech solutions in the fields of materials and measurement technology, our business model is closely linked to sustainability considerations. Significant opportunities arise particularly in markets driven by global megatrends such as decarbonization, digitalization, and mobility; at the same time, our production processes and supply chains give rise to relevant environmental and labor concerns. The key interactions between our business model and sustainability aspects are described in the sections “Strategy, Business Model, and Value Chain” and “Material Impacts, Risks, and Opportunities.” Further information on our business model is included in the Group Management Report under the section “Business Model.”

Impacts, risks, and opportunities related to various sustainability topics are analyzed in our materiality assessment over the short, medium, and long term. The short term covers a period of up to one year, the medium term a period of one to five years, and the long term a period of more than five years. Key figures regarding our upstream and downstream value chain relate to the calculation of our Scope 3 CO_2e emissions. These are based in part on projections and estimates, as the necessary primary data sources are not fully available. For example, we do not know the exact energy consumption of our systems at our customers’ sites, as this depends on individual processes and usage patterns.

We also rely on estimates in individual cases when determining our own energy consumption if billing statements for specific months are not yet available at the time of reporting. This applies to our metrics “Fuel consumption from natural gas,” “Consumption of purchased or received electricity from fossil sources,” and “Consumption of purchased or received electricity from renewable sources.” Energy consumption and CO_2e emissions at our sites that perform exclusively sales and service functions are also extrapolated. This applies to all key figures related to our energy consumption and energy mix.

The methodological principles, underlying assumptions, resulting degree of accuracy, and measures for future improvement are described in detail in the chapters “Energy Consumption and Energy Mix” and “Gross GHG Emissions of Scope 1, 2, and 3 Categories.”

The following information in this statement refers to other sections of the Annual Report:

Information	Location in the non-financial statement	Reference
Information on the business model	“General Information” chapter	“Business Model” section in the Group Management Report
How the risk management system works	“Risk Management in Sustainability Reporting” section	Chapter “Risks and Opportunities” in the Group Management Report
Breakdown of revenue by ESRS sectors	Chapter: “Strategy, Business Model and Value Chain” and Chapter “Energy Consumption and Energy Mix”	“Segment Reporting” chapter in the consolidated financial statement

OUR MANAGEMENT AND SUPERVISORY BODIES

The management and supervisory bodies of PVA TePla consist of the Management Board and the Supervisory Board of PVA TePla AG.

Management Board

In the reporting year, the Management Board consisted of Jalin Ketter as CEO and Carl Markus Groß as CFO. As a result, the board was evenly balanced in 2025, with 50% female and 50% male members. The CEO is responsible for the strategic direction and implementation of ESG goals, as well as the prioritization of ESG measures. This includes integrating sustainability aspects into our strategic and operational decision-making processes, as well as monitoring the associated impacts, risks, and opportunities.

We steer and monitor our sustainability strategy through internal processes that enable regular analysis of progress and targeted strategic adjustments. For example, the ESG Management team, which has overall responsibility for implementing the sustainability strategy, reports to the Management Board on a quarterly basis. The reporting includes the development of impacts, risks, and opportunities related to the material sustainability topics.

Supervisory Board

The Supervisory Board assumes the oversight function and regularly reviews the achievement of the sustainability strategy's objectives. It assesses whether the Management Board's strategic decisions regarding impacts, risks, and opportunities are aligned with the long-term interests of the company and its stakeholders. The Supervisory Board also assesses the effectiveness of the sustainability strategy and makes recommendations for its further development. It is briefed by the Management Board on general strategic and sustainability-related topics at Supervisory Board meetings, which take place at least four times a year.

The Supervisory Board of PVA TePla AG underwent a partial election in 2025. The board currently consists of four members: Dr Myriam Jahn, Christoph von Seidel, Rudolf Weichert, and Prof Dr Ingrid De Wolf. All members are independent; to date, no employee representatives or other staff members are represented on the Supervisory Board.

Expertise of the Supervisory Board and Management Board

The members of the Management Board and the Supervisory Board have extensive experience gained from many years of work in German industry as well as in internationally active companies and renowned research centers. These include, among others, international companies in the fields of mechanical and plant engineering, the semiconductor industry, IT, and automation technology, as well as auditing firms and strategic management consultancies. Their expertise includes environmental standards and regulations, particularly in the areas of decarbonization and international mechanical engineering, as well as social and socio-political developments and international human resources development. In addition, they bring extensive governance knowledge regarding the legal and regulatory frameworks for corporate processes and products. CEO Jalin Ketter has been with the company since 2015, and CFO Carl Markus Groß since January 2025.

Our Chair of the Supervisory Board, Dr Myriam Jahn, also serves as an expert responsible for sustainability and ESG on the Supervisory Board.

The Supervisory Board is currently composed of 50% female and 50% male members.

Within PVA TePla, the Management Board can draw on the sustainability-related expertise of various departments. The ESG Management team, which possesses interdisciplinary expertise on ESG topics, is responsible for the policies, actions, and targets in the area of sustainability and is led by our Head of Sustainability. It collects and analyzes the relevant data and metrics regarding our impacts, risks, and opportunities, which are detailed in the following sections of this report. The collection of our ESG metrics and the review of their trends currently take place annually as part of our sustainability reporting. Our energy data and CO_2e emissions, as well as the number and age and gender distribution of our employees, are additionally reported to the Management Board and the Supervisory Board on a semi-annual basis.

In addition, other specialist departments provide valuable sources of information on sustainability-related topics for the Management Board.

In the area of the environment, Facility Management possesses specific expertise regarding the technical conditions at individual locations.

When it comes to employee matters and human rights, the Human Resources department, the Works Council, and Quality Management serve as the primary points of contact. While the Human Resources department and the Works Council are intimately familiar with our employees' concerns, Quality Management contributes expertise in occupational safety and continuously reviews the relevant measures within PVA TePla.

Expertise in combating corruption and bribery lies with our Risk and Compliance Management team. This team reports to the Management Board several times a year. The Supervisory Board is informed by the Management Board about developments in this area.

Purchasing plays a central role in our relationships with suppliers, as it is in direct contact with our business partners.

As outlined in the chapter "Significant Impacts, Risks, and Opportunities," our identified impacts, risks, and opportunities can be assigned to the aforementioned thematic areas.

Addressed sustainability aspects

During the reporting year, the Management Board addressed various sustainability topics. A particular focus was on updating and further developing our existing sustainability strategy. The adoption of the updated strategy is planned for the coming fiscal year. In addition, we addressed the targets regarding our CO_2e emissions in the area of environmental issues and conducted an employee survey to assess satisfaction, leadership culture, working conditions, and individual development opportunities for our employees. These topics in the area of employee matters relate to various material impacts, risks, and opportunities, such as continuing education and skills development, working hours, and work-life balance.

Our material impacts, risks, and opportunities are incorporated into strategic decision-making – particularly those identified as material for PVA TePla during the annual risk dialogue.

A strategic focus in the reporting year continued to be on implementing measures to avoid negative impacts and risks identified as material, as well as capitalizing on opportunities in the area of employee matters. In this context, we continued our project to further develop our HR strategy. Detailed information on this can also be found in the "Employee Matters" section.

The sustainability topics addressed at the Supervisory Board meetings during the reporting year included, in particular, the development of sustainability regulations at the EU level and their impact on PVA TePla, product development with a focus on energy efficiency and its application in decarbonization, the results of the employee survey, and CO_2e data collection.

SUSTAINABILITY-RELATED REMUNERATION SYSTEM COMPONENTS

In the 2025 reporting year, the compensation system for the Management Board included various sustainability-related aspects. Variable compensation included, among other things, the development of our CO_2e emissions in relation to business volume, as well as aspects related to the development of employee satisfaction.

The relevant metrics are non-financial performance metrics, but not management-relevant performance indicators in the sense of management reporting.

By integrating sustainability aspects into the compensation systems, we aim to strengthen organization-wide responsibility for the implementation of our sustainability strategy.

The members of our Supervisory Board receive fixed compensation without sustainability-related incentive schemes.

STATEMENT ON DUE DILIGENCE

The most important core elements for fulfilling our due diligence are described below.

Our management and supervisory bodies play a central role in managing and monitoring due diligence obligations and ensure that sustainability considerations are incorporated into all relevant business processes. Risk management plays a central role in this regard, as it enables the systematic identification and assessment of risks. Our corporate culture is based on integrity and transparency, and targeted measures are established to prevent and detect corruption and bribery. Examples of these are listed in the chapter "Prevention and Detection of Corruption and Bribery" (p. 81). The integration of due diligence into the governance strategy and business model is addressed in particular in the sections "Our Management and Supervisory Bodies" (p. 43), "Opportunity and Risk Management in Sustainability Reporting" (p. 46), "Corporate Culture" (p. 79), and "Prevention and Detection of Corruption and Bribery" (p. 81).

Another key element of our approach is regular dialogue with our stakeholders, which enables us to take different perspectives into account in strategic and operational decision-making processes. More detailed information on how we incorporate our stakeholders' views is provided in the sections "Stakeholder Interests and Perspectives" (p. 48) and "PVA TePla's Workforce" (p. 63). In addition, through our whistleblower system, we offer all employees and business partners the opportunity to voice concerns and report potential compliance violations. Information on this is detailed in the chapter "Prevention and Detection of Corruption and Bribery" (p. 81).

The identification and assessment of potential negative impacts are conducted in a structured and transparent manner, particularly within the framework of the analysis of material impacts, risks, and opportunities. The process for identifying impacts, risks, and opportunities is explained in the chapter “Material Impacts, Risks, and Opportunities.”

Building on this, targeted actions were developed and implemented to minimize identified risks and counteract negative impacts. These actions cover various topics such as climate change and energy consumption, water, working hours, and health and safety. Actions to minimize these risks are described in the respective topic chapters such as “Climate Change and Energy Consumption” (p. 54), “Water” (p. 62), “Working Hours” (p. 74), and “Health and Safety” (p. 78). The effectiveness of these actions and progress toward achieving the targets are tracked and communicated in the “actions” and “targets” sections of the respective chapters.

The effectiveness of our efforts is continuously monitored and evaluated. The aforementioned chapters transparently present both the actions taken and the targets set.

OPPORTUNITY AND RISK MANAGEMENT IN SUSTAINABILITY REPORTING

We evaluate sustainability-related risks and opportunities through two processes: first, within our risk management system, and second, as part of our double materiality assessment.

To identify potential risks early on and respond appropriately, we conduct Group-wide risk surveys twice a year as part of our risk management. Sustainability risks are also taken into account in these surveys. Opportunities are surveyed on a voluntary basis. The surveys help us systematically identify risks in various areas – including production, the supply chain, the environment, and occupational safety. The insights gained are incorporated into the continuous improvement of our processes and systems to minimize risks while simultaneously strengthening the security and stability of our business activities. In the case of serious risks, actions are defined in collaboration with the affected department to reduce the anticipated impacts to an acceptable level. Furthermore, a risk workshop is held once a year with senior management and subject matter experts, during which the key risks as well as a particularly significant risk are discussed in depth. In the reporting year, the workshop focused on the topic of resilience in relation to environmental and supply chain risks. In addition, all employees are required to report identified risks at any time, regardless of the regular inventory dates.

In the reporting year, the availability of qualified personnel continued to be assessed as a significant risk, as this can jeopardize the company’s growth and innovation capacity. Consequently, targeted actions were implemented in this area, which are described in more detail in the “Employee Matters” section. Further details on how our risk management system operates are explained in the “Risks and Opportunities” section of the Group Management Report.

As part of the dual materiality assessment, we assess risks and opportunities along the entire value chain, taking into account both internal and external factors. The analysis is conducted every three years. As described in the chapter “Significant Impacts, Risks, and Opportunities,” we follow an outside-in approach in which external influences such as regulatory developments, societal trends, or environmental conditions are analyzed to assess their potential impact on our company. At the same time, we take an inside-out approach, analyzing our internal processes to identify which material sustainability aspects are influenced by our company and our business relationships.

As part of our sustainability strategy, ESG management, in consultation with the Management Board, determines how we prioritize the impacts, risks, and opportunities identified as material and what measures we will take to address them.

The material sustainability risks identified as part of the double materiality asssessment are integrated into our Group-wide risk management system, provided they may have a financial impact on the Group. Individual risks – such as the risk of limited availability of qualified personnel or risks arising from supply chain disruptions – are explained in more detail in the Group Management Report in the section "Risks and Opportunities" in accordance with Section 315c of the German Commercial Code (HGB) and are classified there within the Group's overall risk profile.

In addition to the established risk processes, audits are conducted by the Internal Audit department. The Management Board and Supervisory Board determine the areas in which these audits are to be conducted. This also applies to topics in the area of ESG management.

Developments in risk processes, the results of risk and opportunity assessments, and the findings of the Internal Audit Department are regularly reported to the Management Board by Risk Management, ESG Management, and the Internal Audit Department. The Management Board reports this information to the Supervisory Board during regularly scheduled Supervisory Board meetings.

STRATEGY, BUSINESS MODEL, AND VALUE CHAIN

Our products and markets

PVA TePla is a provider of high-tech solutions in the fields of materials and measurement technology. We offer our broad portfolio of innovative products, processes, and services to customers in numerous industries driven by the global megatrends of digitalization, decarbonization, and mobility. These include solutions for sustainable applications such as the manufacture of components for energy storage systems, hydrogen technology, photovoltaic modules, and wind turbines. In addition, our inspection solutions enable non-destructive material testing, thereby reducing material scrap in manufacturing processes. Through our locations in Germany, France, Italy, Switzerland, the U.S., China, Taiwan, Korea, and Singapore, we maintain global business relationships. Our regional growth priorities lie particularly in Asia and North America.

As a systems provider, we develop and manufacture solutions in the Industrial Systems division for the production, finishing, and inspection of materials, as well as for surface treatment and process monitoring. From design through production, we offer highly specialized systems for the manufacture of high-quality materials for the energy, automotive, aerospace, and medical industries.

In the Semiconductor Systems division, we offer solutions and equipment systems for the semiconductor industry, including material synthesis systems for producing crystals from silicon and silicon carbide, metrology systems for quality control, and plasma systems for surface treatment.

Our revenues

Information on revenue distribution is included in the "Segment Reporting" section of the consolidated financial statement. No revenue is generated in any other sectors.

Strategic sustainability targets

Specific sustainability targets directly linked to product groups and services, customer segments, geographic regions, and stakeholder relationships are not currently defined. Strategically, however, we focus on markets whose growth is driven by the megatrends of decarbonization, digitalization, and mobility. Our systems enable the production of key components for sustainable applications such as solar modules, heat exchangers, and wind turbines. Our internal sustainability initiatives focus on attracting and retaining employees, reducing our Scope 1 and Scope 2 CO_2e emissions, our ongoing investment in research and development, and the continuous improvement of our systems to prevent corruption and bribery.

Our value chain

We work closely with our suppliers, who provide us with the components needed to manufacture our systems. Through long-term partnerships, we optimize both the quality and availability of these components. Further details are provided in the section “Management of Relationships with Suppliers”.

We design our systems based on the specific requirements and preferences of our customers. After development and manufacturing at our subsidiaries, the systems are assembled and installed directly on-site at the customer’s location to ensure they are seamlessly integrated into their production process. In some of our subsidiaries, we also conduct research and development independently of specific customer orders. This enables us to continuously deepen our expertise in the development of future-oriented materials and sustainable applications and to constantly optimize our solutions.

The added value of our systems benefits various stakeholders: Our customers benefit from customized, efficient, and reliable solutions. For our investors, we create a stable foundation for sustainable growth and profitability through continuous innovation and long-term customer relationships.

Our value chain is characterized by close collaboration with suppliers in the upstream supply chain and the procurement of specialized, high-quality components through strategic partnerships. At the heart of our activities is the development of systems and solutions that meet the specific requirements of our customers across various industries. Downstream, we serve international customers with a focus on the Asian market, Europe, and North America. In doing so, we rely on the continuous expansion of our network through sales channels and service partners.

STAKEHOLDER INTERESTS AND PERSPECTIVES

Engagement with our stakeholders forms an important foundation for our corporate success and the sustainable development of PVA TePla. Our key stakeholders include our employees, customers, investors, suppliers, analysts, and the financial market, as well as the local communities at our locations. We engage with these stakeholders through various channels and formats, such as employee surveys and events, Works Council meetings, direct contact with customers and suppliers through our purchasing, sales, and service experts, investor meetings, the annual general meeting, and informational events. In addition, relevant stakeholder groups can stay informed about relevant topics through our regular reporting and thereby form and express a well-founded opinion on our approaches.

The various stakeholder groups have different priorities and expectations. For our employees, the focus is on job security, professional development, and a healthy work-life balance. Our customers expect innovative, reliable, and efficient solutions. Investors and analysts place great value on transparency, financial stability, sustainable growth, and our sustainability initiatives. Suppliers seek fair partnerships and long-term collaboration, while for local communities, our contribution to regional development and job creation is particularly important.

The information gathered through dialogue with our stakeholders informs our strategic and operational decisions. We continuously use feedback from our customers to further develop our products and services. Suggestions from employees, received through the Works Council or other internal channels, are incorporated into the design of working conditions. Feedback from investors and analysts helps us precisely align our long-term business strategy. Our business strategy and growth targets integrate stakeholder expectations as a key component of our long-term direction.

The management and supervisory bodies are regularly informed about the views and interests of relevant stakeholders regarding sustainability-related impacts. This exchange of information takes place through regular reporting and dialogues between the responsible departments – such as Investor Relations, Human Resources, the Communications Department, and ESG Management – as well as through the managing directors of our subsidiaries, the Management Board, and the Supervisory Board.

MATERIAL IMPACTS, RISKS, AND OPPORTUNITIES

In fiscal year 2025, the results of the materiality assessment conducted in the previous year were validated. To this end, the expert groups that had already participated in the assessment of impacts, risks, and opportunities (IROs) in the previous year were once again involved and asked whether the results of the materiality assessment remained valid for fiscal year 2025. In addition, the managing directors of the two companies newly acquired in the reporting year were included in the validation process. Finally, the results were confirmed by the Management Board. Compared to the previous year, there were no changes regarding the material topics and IROs.

The materiality assessment takes into account both the impacts of PVA TePla on the environment and society (“Impact Materiality”) and the financial risks and opportunities for the company (“Financial Materiality”). This analysis encompasses the company’s own business activities as well as the upstream and downstream value chain and various time horizons.

The following describes the materiality assessment process as conducted in 2024.

Analysis of our value chain

To assess the relevance of various sustainability issues for us and our value chain, a data analysis was conducted on the materials we purchase and their countries of origin, as well as the destination countries of the products we sell. Based on this, potential sustainability issues and risks were identified, including those related to our indirect business relationships.

Identification of material impacts, risks, and opportunities (IROs)

For our analysis, we first compiled a comprehensive long list of sustainability issues that took into account topics from various sustainability standards. This list was then narrowed down to the issues relevant to our business model and stripped of irrelevant items.

The resulting shortlist was further refined by ESG management. For each issue, the positive and negative impacts on the environment or society, as well as the associated risks and opportunities for PVA TePla, were analyzed. In addition, it was determined whether the respective issues relate to our own business activities or to our upstream and downstream value chain, and whether they pertain to the short-, medium-, or long-term.

The perspectives of our stakeholders were incorporated into the process through an indirect consultation. Expert groups, consisting of representatives from various company divisions, validated and assessed our impacts, risks, and opportunities on behalf of our stakeholder groups. Suppliers were represented by our Purchasing department, customers by our Sales and Engineering departments, our investors by our internal Investor Relations department, and regulators by our Risk and Compliance department. Our employees were represented by members of the Works Council, Human Resources department, the occupational safety specialist, and the Risk and Compliance Department.

Assessment methodology

In accordance with the ESRS guidelines, various parameters are assessed to identify the issues material to our company. This involves a comprehensive assessment of the actual impacts on the environment and society, taking into account scale, scope, and irremediable character. Positive impacts were not included in the assessment of irremediable character. For potential impacts, the likelihood of occurrence is also considered. For actual negative impacts, materiality is determined by the severity of the impacts; for potential negative impacts, it is determined by both severity and likelihood of occurrence. Severity is composed of scale, scope, and irremediable character.

Risks and opportunities are assessed in terms of their potential financial impact and their likelihood. This assessment of the parameters of potential financial impact and likelihood was conducted by expert groups for all impacts, risks, and opportunities. The separate assessment of scope and irremediable character was conducted by ESG management to ensure a consistent and comparable evaluation.

The results of the assessments were determined against the backdrop of existing internal structures and measures, using a net approach.

The assessment scales and the threshold for material issues were based on the Group-wide risk management assessment system. This supports a potential future integration of both systems and promotes a consistent understanding. The processes for assessing material issues and for risk management have so far run in parallel. In risk management, we also take into account sustainability risks that could pose financial risks to the company. Issues whose impacts, risks, and/or opportunities exceed the defined threshold are classified as material and reported accordingly.

The assessment system is outlined below. The assessed topics are considered material if they reach a value of 21 or higher for any single impact, risk, or opportunity.

- **Impact**
  - Scale: Insignificant (0), Minor (2), Noticeable (5), Significant/Critical (8), Very Significant/Threatening (10)
  - Scope: Not far-reaching (0), Slightly far-reaching (2), Moderately far-reaching (5), Far-reaching (8), Very far-reaching (10)
  - Irremediable character: Easy to remedy (0), Moderately difficult to remedy (5), Difficult to remedy (8), Irreversible (10)
    The irremediable character was assessed only for negative impacts.
  - Likelihood: Very unlikely (1), Unlikely (2), Possible (3), Likely (4), Very likely (5)

  For actual impacts, the Likelihood was rated as "Very likely (5)"

- **Risk**
  - Scale: Insignificant (0), Minor (2), Noticeable (5), Critical (8), Threatening (10)
  - Likelihood: Very unlikely (1), Unlikely (2), Possible (3), Likely (4), Very likely (5)

- **Opportunity**
  - Scale of success: Insignificant (0), Minor (2), Noticeable (5), Significant (8), Very significant (10)
  - Likelihood: Very unlikely (1), Unlikely (2), Possible (3), Likely (4), Very likely (5)

The results of the materiality assessment were validated by the Management Board, senior management, and subject matter experts.

The following table provides an overview of all impacts, risks, and opportunities identified as material. The results show that, particularly in the areas of decarbonization, employee matters, and good corporate governance, there are both key opportunities and risks for our business model and corporate strategy, and that these have a significant impact on these areas.

We are aware of these interrelationships and have already made targeted strategic adjustments. In the area of environmental issues, the Management Board set the goal of CO_2e neutrality for Scope 1 and Scope 2 emissions starting in fiscal year 2024, which was confirmed by the Supervisory Board. This target was also achieved again in fiscal year 2025. Furthermore, research and development remains a key factor for the long-term success of our business model. The Technology Hub, founded in 2024, already contributed operationally to strengthening this area during the reporting year. It serves as an innovation center for the development of new materials and processes and supports the company as an internal and external service provider with customized solutions.

In the area of employee matters, we launched a comprehensive project in 2024 to further develop our HR strategy in light of the skilled labor shortage in our industry. The project was largely completed during the reporting year, though some measures are ongoing. Individual initiatives from this project also make an important contribution to good corporate governance.

As part of our materiality assessment, social issues outside the scope of employee matters – such as the company's impact on local communities or social engagement – were classified as immaterial within the meaning of Sections 315b and 315c of the German Commercial Code (HGB). The decisive factor was their lower relevance, compared to other subject areas, to understanding the Group's business performance, financial results, and situation.

The topic of human rights was also assessed as non-material in our materiality assessment. Nevertheless, there is a requirement to report on this in accordance with the guidelines of the non-financial statement under the German Commercial Code (HGB).

The relevant content can be found in various chapters of the “Employee Matters” section and in detail in the section “Concepts Related to Human Rights.”

Further information on our approaches and measures regarding individual IROs can be found in the following chapters of this report. The results of our materiality assessment form a central basis for the ongoing development of our sustainability strategy, enabling us to optimally leverage opportunities, actively manage risks, and amplify our positive impacts while minimizing negative effects as much as possible.

Overview of material impacts, risks, and opportunities

	Topic	More significant impact	Material risk	Significant opportunity	Upstream or downstream supply chain; own business activities	Time horizon (short-, medium-, long-term) Short term: < 1 year Medium term: 1 – 5 years Long-term: > 5 years
Environmental matters	Climate change	⊖ Greenhouse gas emissions ⊕ Development of systems in the areas of decarbonization and e-mobility			own business activities	Short-term
	Energy	⊖ Own energy consumption			own business operations; downstream supply chain; upstream supply chain	Short-term
	Energy	⊕ Development of energy-efficient systems			own business operations downstream supply chain	Medium term
	Water	⊖ Water-intensive value chain			Downstream supply chain; upstream supply chain	Short-term
employee matters and human rights	Secure employment	⊕ Job security through a sustainable business model			own business activities	Short-term
	Training and skills development		⊖ Staff turnover leads to loss of knowledge		own business operations	Short-term
	Working hours	⊖ Overload due to growth strategy			own business operations	Short-term
	Adequate wages	⊕ Fair wage system	⊖ High wage expectations	⊕ Low turnover	Independent business operations	Short-term
	Work-life balance	⊕ Ways to balance work-life balance			own business	Short-term
	Gender equality	⊕ Contribution to gender gender equality			own business activities	Short-term
	Diversity	⊕ Promotion of diversity			own business activities	Short-term
	Health and safety protection	⊖ Increased risk of accidents due to business model			own business activities	Short-term
Combating corruption and bribery	Corporate culture	⊕ Strengthening the company through various approaches to a positive corporate culture		⊕ Positive reputation both externally and internally	own business activities	Short-term
	Management of relationships with suppliers, including payment practices		⊖ Risk of supplier supplier termination business relation-ships		own business operations; downstream supply chain	Short-term
	Corruption and bribery (prevention and detection including training and incidents)		⊖ Reputation risk		own business operations; downstream supply chain; upstream supply chain	Short-term

ENVIRONMENTAL MATTERS

Climate change and energy consumption

As a manufacturing company, we are aware of the environmental impact of our business operations, particularly with regard to our energy consumption and CO2e emissions.

At the same time, our technologies contribute to decarbonization by being used in renewable energy applications and energy-efficient production processes.

Therefore, when it comes to climate change and energy consumption, we focus specifically on measures to increase energy efficiency and reduce emissions.

Transition plan for climate change mitigation

In the 2025 reporting year, no formalized transition plan for adapting to the impacts of climate change was yet available, as the focus in this area was on a comprehensive analysis of emissions data. In this fiscal year, we are reporting our emissions for relevant Scope 3 categories for the first time. This foundational work is essential for creating a sound and actionable planning basis. In the coming year, we intend to incorporate Scope 3 emissions into our CO2e reduction target and align it with the Paris Agreement's target pathway. In doing so, we aim to take another step toward developing a transition plan – continuing with the goal of both meeting regulatory requirements and enabling long-term economic viability.

Impacts, risks, and opportunities

The manufacture of our state-of-the-art equipment and systems requires energy – both for internal production processes, the extraction of raw materials, and the manufacturing of the components we use, as well as for the operation of our solutions at our customers' sites. This entails environmental impacts, particularly with regard to global energy consumption, greenhouse gas emissions, and the ecological footprint of industrial processes.

At the same time, by developing systems for decarbonization, mobility, and digitalization, we contribute to reducing greenhouse gas emissions. For example, our equipment is used to manufacture components necessary for renewable energy generation technologies and for optimizing charging processes for electric vehicles. Additionally, through research and development, we continuously develop more energy-efficient and resource-conserving equipment.

In the current reporting year as well, climate-related risks were assessed as part of the existing risk management framework by the risk owners. This revealed that there is currently no immediate or significant financial risk for PVA TePla. Our business activities and locations have so far been affected by climate change only to a limited extent. Potential risks that could arise, for example, from physical or regulatory changes were classified as low.

The analysis focused on our own business activities, not on the upstream and downstream value chain. The time horizons for risk definition in our risk management system are set at two years in the early risk detection system and three years in the risk inventory. There is currently no explicit distinction between transitional and physical risks; however, the results are consistent with the definition and assessment of climate-related risks and opportunities within the framework of the materiality assessment.

Climate risk analysis

In addition to the ongoing risk analysis conducted by our risk management team, we carried out a targeted risk analysis focusing on climate risks for the first time in the reporting year. The analysis was initiated by ESG management and validated in a risk workshop together with the managing directors of our German locations, as well as our vice presidents and external experts. In the first step, climate-related risks and opportunities were identified – including both physical risks resulting from climate hazards such as heat waves or droughts, as well as transition risks arising in the course of the transformation toward a low-carbon economy. Both chronic and acute hazards were taken into account.

To assess the physical risks and opportunities, we used two climate scenarios from the Intergovernmental Panel on Climate Change (IPCC): SSP1-2.6 and SSP5-8.5. The SSP1-2.6 scenario describes sustainable development with ambitious climate policies and significant emissions reductions, leading to global warming of 1.5° C to 2° C. In contrast, the SSP5-8.5 scenario assumes a fossil-fuel-based development with a rapidly growing global economy and high energy consumption, and forecasts global warming of over 4° C. Transition risks were assessed exclusively based on the SSP1-2.6 scenario. Using these scenarios, we examined the extent to which our production sites, as well as the locations of key suppliers and major customers, are affected by climate change risks. The assessment was based on the probability of occurrence and the potential extent of damage for PVA TePla, for short-, medium-, and long-term periods, respectively. Here, we define the short term as the period up to 2030, the medium term as 2030 to 2040, and the long term as 2040 to 2050.

As a result, four physical risks under the SSP5-8.5 scenario and one transition risk under the SSP1-2.6 scenario were identified as relevant for the medium- and long-term periods. A risk is classified as relevant if it exceeds the defined threshold in the assessment. In the fossil fuel development scenario, temperature changes, heat stress, heavy precipitation, and water scarcity would be particularly significant among the physical risks. Among the transition risks, new regulations affecting certain products and production processes in particular pose a relevant risk to our company.

Finally, our company's resilience and adaptability to the relevant climate risks were assessed. This assessment was conducted as part of this year's risk workshop in close coordination with the managing directors of the German locations. The results showed that various preventive measures and projects have already been implemented, meaning that there is currently no immediate and financially significant risk to our company. At the same time, the climate risk analysis provides valuable insights for further raising awareness regarding the impact of climate risks on our company. It supports us in developing targeted additional preventive measures and strengthening PVA TePla's resilience in the long term.

Policies

PVA TePla's Scope 1 and Scope 2 CO_2e emissions and energy consumption are recorded every six months. The group-wide guideline for the collection of CO_2e emissions defines the structured process for data collection to monitor energy consumption and CO_2e-emissions and to define suitable measures for reducing environmental impacts. Responsibility for implementing the guideline lies with our Head of Sustainability, while data is provided by the managing directors of the individual Group companies as well as other relevant contacts, such as Facility Management. The guideline is accessible Group-wide via the intranet.

ESG Management aggregates the energy consumption of the various companies and converts it into CO_2 equivalents in accordance with the GHG Protocol methodology. The policy specifies this process and provides clear guidelines regarding the required documentation.

In addition, our responsibility for the environment, energy, and climate protection is part of our Code of Conduct. This outlines our ethical principles and how we interact with employees, business partners, and the environment. The Code of Conduct is available to all employees via the intranet. The Management Board bears ultimate responsibility for compliance with it.

Actions

We are committed to continuously reducing our environmental impact. In recent years, we have implemented targeted measures to reduce Scope 1 and Scope 2 CO_2e emissions and to operate in a more resource-efficient manner – even against the backdrop of our company's growth.

Measures to improve energy efficiency are focused in particular on our sites in Wettenberg and Jena, as their processes account for more than two-thirds of our total energy consumption in terms of electricity, heat, gas, and fuel. To date, no different climate scenarios have been used in the sense of a systematic scenario analysis to determine potential environmental, societal, technological, market, and policy-related developments when defining our decarbonization measures.

Actions impacting our Scope 1 emissions

At the Jena site, the heat recovery system was connected to the existing heating network at the end of the reporting year. With its commissioning, a production hall is partially heated and gas consumption is sustainably reduced. The waste heat from the production facilities is captured via a cooling tower and fed into the heating circuit system by means of a heat pump.

Actions impacting our Scope 2 emissions

As early as 2023, we switched the Wettenberg and Jena sites to certified electricity from renewable sources. Additionally, two other sites in Germany, as well as our PVA Italy site in Italy, source electricity from renewable sources. This means that approximately 83% of our externally sourced electricity consumption comes from certified green energy sources.

Our project to expand photovoltaic capacity continued to progress during the reporting year. At the Wettenberg site, the PV modules installed in 2024 were connected to the grid. In Jena, the project was temporarily paused due to changes in construction planning.

At our PVA Italy production site in Schio, which opened at the end of 2024, the integrated large-scale photovoltaic system was commissioned in spring 2025 as planned. In 2025, the system generated 107,043 kWh of electricity. Of this, approximately one-third was used for internal consumption, and approximately two-thirds was fed into the power grid.

In addition, two of our German subsidiaries jointly initiated a project during the reporting year to develop a more efficient system concept for diffusion welding. The goal is to increase energy efficiency by modifying the process chamber and the heating concept. This is intended to significantly reduce the energy-intensive process of heating and cooling the systems. Since the diffusion welding systems are used by one of our subsidiaries for material processing, the improvement in energy efficiency also directly contributes to reducing electricity consumption at the Wettenberg site. Implementation of the project is planned for the coming reporting year.

Actions relating to the research and development of decarbonization and mobility solutions

In 2024, the Technology Hub was founded as a subsidiary of PVA TePla AG. This hub functions as an internal and external service provider that develops customized solutions and offers comprehensive consulting services throughout the entire development cycle. In the 2025 reporting year, the Technology Hub was already operational, enabling us to deepen our expertise in process development and thereby offer even more targeted and comprehensive solutions for these applications.

In addition, a new plant concept for the development of novel anode materials for batteries was initiated in the reporting year. The project aims to significantly increase the energy density of batteries and thereby substantially boost their efficiency. In addition to electromobility, this approach also targets large-scale storage systems used in the context of the energy transition to store excess electricity from renewable energy sources.

In the field of renewable energy, we have further developed our project with the Fraunhofer Institute to develop crystal growth systems for the solar industry. A prototype system is currently being built.

At present, there are no concrete plans for the introduction of further new technologies to reduce our Scope 1 and Scope 2 emissions.

The financing of our CO2e reduction measures is an integral part of our financial planning. Both budgeting and potential external financing serve to ensure the scheduled implementation of the planned measures.

The measures to reduce our Scope 1 and Scope 2 emissions are also reflected in the capital expenditures under the “EU Taxonomy” section. Investments in the heat recovery system at the Jena site are included in the taxonomy-eligible capital expenditures for the economic activity “Installation, maintenance, and repair of energy-efficient appliances.” The photovoltaic plant project in Wettenberg is included under the economic activity “Electricity generation using solar photovoltaic technology,” and the construction of our new site in Italy is included under the category “Construction of New Buildings”.

Targets

In 2022, we set a target to achieve carbon neutrality with respect to our Scope 1 and Scope 2 emissions by the end of 2024. The target was set in 2022 by the Management Board in consultation with ESG management and confirmed by the Supervisory Board. Emissions are calculated retroactively using 2021 as the base year in accordance with the GHG Protocol guidelines. The target includes the CO2e emissions of all PVA TePla companies. In the reporting year, our Scope 1 and Scope 2 emissions, calculated using the market-based approach, amounted to 910 metric tons of CO2e. This represents an increase of one metric ton compared to the previous year. The remaining 910 tons were offset by carbon credits. Thus, we have once again achieved our CO2e target in 2025. Details on the offset projects are described in the chapter “GHG mitigation projects financed through carbon credits”.

In the coming fiscal year, we will base our new CO2e reduction target on the 1.5° C goal of the Paris Climate Agreement.

ENERGY CONSUMPTION AND ENERGY MIX

Energy Consumption and Energy Mix (in MWh)	2025	2024
Fuel consumption from coal and coal products	0	0
Fuel consumption from crude oil and petroleum products*	25	20
Fuel consumption from natural gas	1,045	1,875
Fuel consumption from other fossil sources	338	0
Consumption of purchased or received electricity, heat, steam, and cooling from fossil sources**	1,282	1,302
Total consumption of fossil energy	**2,691**	**3,197**
Share of fossil fuels in total energy consumption (in %)	**29%**	**31%**
Consumption from nuclear sources* **	**180**	**186**
Share of consumption from nuclear sources in total energy consumption (in %)	**2%**	**2%**
Fuel consumption for renewable sources, including biomass	0	0
Consumption of purchased or received electricity, heat, steam, and cooling, and from renewable sources****	6,173	6,925
Consumption of self-generated renewable energy that is not fuel	107	0
Total consumption of renewable energy	**6,280**	**6,925**
Share of renewable sources in total energy consumption (in %)	**69%**	**67%**
Total energy consumption	**9,151**	**10,307**

As in the previous year, our total energy consumption results in an energy intensity of 0.00004 MWh/€. The activities carried out by PVA TePla fall under climate-intensive sectors according to the ESRS. Therefore, energy intensity describes the total energy consumption from activities in climate-intensive sectors per net sales revenue from activities in climate-intensive sectors. Net revenue corresponds to our revenue in the consolidated financial statement and amounts to EUR 244,257 thousand.

The data on energy consumption and the energy mix are based on data collected from the individual PVA subsidiaries. For locations that are purely sales and service sites, the consumption figures were extrapolated. In doing so, consumption figures and emission factors for electricity and fossil fuels in general office buildings from a study by the Chartered Institution of Building Services Engineers (CIBSE) were used. The calculation was based on the respective floor area of the leased spaces in square meters. This approach applies to our locations in China, Korea, Taiwan, and Singapore, as well as an office in Dresden that is part of the Technology Hub.

At the time of reporting, not all billing-relevant consumption data was available for individual locations and months. In these cases, energy consumption was estimated based on the consumption figures for the same month of the previous year. This applies to the electricity and natural gas figures for three of our German locations.

Estimates also apply to two warehouses belonging to one of our German subsidiaries, whose space we lease. Since no billing data is available for the energy consumption of these warehouses, electricity and natural gas consumption figures were assumed based on consumption per unit of floor area.

* Fuel consumption from fossil-fuel-powered vehicles in our fleet is not included in this figure.
** PVA TePla purchases only fossil-fuel-generated electricity and heat from the categories listed.
*** This refers to the respective share of nuclear power in the purchased electricity mix.
**** PVA TePla purchases only renewable electricity from the categories listed.

In total, the projections account for 1,018 MWh of our consumption, which corresponds to 11% of our total energy consumption.

To calculate energy intensity, we consider both the revenue and the energy consumption of these segments. In this way, all Group revenue is included in the assessment of energy intensity. The revenue figures can be found in the "Segment Reporting" section of the consolidated financial statement.

GROSS SCOPE 1, 2 AND 3 GHG EMISSIONS

In the reporting year, our Scope 1 and Scope 2 CO_2e emissions, calculated using the market-based approach, amounted to 910 metric tons of CO_2e. This represents an increase of one metric ton compared to the previous year and a reduction of 74% compared to the base year 2021. The market-based approach takes into account our specific electricity contracts and thus reflects the CO_2e emission reduction achieved by sourcing electricity from renewable sources at the Jena and Wettenberg sites.

Using the location-based method, our emissions in the reporting year amounted to 2,149 tons of CO_2e. Unlike the market-based approach, the location-based calculation is based on the average electricity mix in the respective supply region. This incorporates the regional emission factors of the power grid, regardless of our specific electricity sources.

A comparison of the two approaches shows that, through targeted investments in renewable energy during the reporting year, save 1,239 tons of CO_2e compared to using the average regional electricity mix.

Scope 1 emissions are direct greenhouse gas emissions resulting from the combustion of fossil fuels and the use of process gases and refrigerants within our company. Fuel consumption primarily consists of natural gas for heating, diesel and gasoline for our vehicle fleet and forklifts, and, to a lesser extent, heating oil for operating an emergency generator.

Scope 2 emissions arise indirectly from the purchase of electricity and district heating.

For the first time, we are also reporting our CO_2e emissions in our upstream and downstream supply chain (Scope 3). The calculation methodology is based on the "Corporate Value Chain (Scope 3) Accounting and Reporting Standard (2011)" of the GHG Protocol. For the calculation process, we identified the two categories from the GHG Protocol's total of 15 that are significant for us, accounting for approximately 99% of our Scope 3 emissions. In total, these two categories amount to 1,005,036 tons of CO_2e.

Significant Scope 3 greenhouse gas emissions (t CO_2e)	2025
Emissions from the production of purchased goods and services	21,165
Emissions from the operation of our facilities	983,871
Total Scope 3 greenhouse gas emissions	1,005,036

Emissions from category "11 – Use of sold products," which result from the use of the equipment we sell, are particularly significant. Some of our systems operate at high temperatures, under high pressure, and may use climate-damaging gases. Additionally, according to the GHG Protocol's calculation methodology, emissions from our systems are calculated over their entire lifecycle. Due to the long service life of our systems, the calculated emissions in this category are particularly high. Since the specific use of our systems by customers is often confidential and not disclosed to us in detail, consumption and usage data were estimated by our design experts. To this end, the systems sold in the reporting year were grouped by system type. The estimated annual energy consumption and the quantity of process gases and refrigerants used were extrapolated over the systems' lifetimes.

Since the components we purchase consist primarily of metals and plastics, the production of which is often very energy-intensive, emissions from the category "1 – Purchased Goods and Services" constitute the second significant Scope 3 category. Emissions from purchased goods are calculated based on procurement data, which is primarily sourced from our Enterprise Resource Management System. Our international subsidiaries, as well as some of our German subsidiaries, use individual systems and processes that supplement the data from the Enterprise Resource Management System. For some of the data, CO_2e emissions are calculated using weights and material-specific emission factors. If no weight data is available, the calculation is performed using an expenditure-based approach. Emissions from services are also calculated based on our financial data and the expenditure-based approach. The data covers the first through third quarters of the year. Emissions for the fourth quarter, as well as those of our subsidiaries with individual systems, are extrapolated based on this. In total, approximately 37% of the emissions in the Category 1 – Purchased Goods and Services – category were extrapolated.

Our total CO_2e emissions are shown in the following table:

Total greenhouse gas emissions (t CO_2e)	2025	2024
Scope 1	565	431
Scope 2 (site-specific)	2,149	2,882
Scope 2 (market-based)	345	478
Total Scope 1 and Scope 2 (site-based)	2,715	3,313
Total Scope 1 and Scope 2 (market-based)	910	909
Total Scope 1, Scope 2, and Scope 3 (site-based)	1,007,751	–
Total Scope 1, Scope 2, and Scope 3 (market-based)	1,005,946	–

Emission factors

Scope 1 and Scope 2 CO_2e emissions were calculated based on the energy consumption and energy mix of our individual subsidiaries. To this end, energy consumption was converted to tons of CO_2e using various emission factors. For the calculation of market-based emissions, emission factors were taken directly from energy bills, where available. In all other cases, as well as for the calculation of site-based emissions, current emission factors from publicly available sources were used.

For Scope 3 emissions, we rely on country-specific emission factors from the countries where our customers are located when calculating emissions from the use of our facilities. For emissions from the production of our products and services, material-specific emission factors are used.

We have used the following sources for the emission factors:

Scope 1:
- DEFRA (2025)

Scope 2 (site-based method):
- EEA (2024)
- EPA CAMX (2025)
- EMA (2024)
- BEIS (2021)
- IEA (2024)
- WWF (2024)

Scope 2 (market-based method):
- Individual energy contracts (2024)
- Individual energy contracts (2025)

Scope 3:
- EPA (2025)
- Ecoinvent (Cut-off Cumulative LCIA v3.12)
- DEFRA (2025)
- IEA (2025)
- IPCC AR6 (2021)
- Eew Fact Sheet (2023)

The greenhouse gas intensity per net revenue is as follows:

GHG intensity per net revenue	2025	2024
Total GHG emissions per net revenue (site-specific)	0.004123	0.00001
Total GHG emissions per net revenue (market-based)	0.004118	0.000003

Net revenue corresponds to consolidated revenue of EUR 244,257 thousand.

The increase in greenhouse gas intensity compared to 2024 is due to the fact that in 2024 only our Scope 1 and Scope 2 emissions were included in the calculation, whereas in 2025 our Scope 3 emissions are also taken into account.

Currently, PVA TePla does not have an internal CO2e-pricing system. The focus is currently on further developing CO2e-data analysis and identifying key emission sources.

GHG mitigation projects financed through carbon credits

We achieved our goal of CO_2e neutrality for Scope 1 and Scope 2 emissions in the reporting year through various measures as well as through the purchase of offset credits. In doing so, we offset emissions that we had not yet been able to reduce or avoid through appropriate measures using offset credits.

In total, the remaining 910 tons of CO_2e under the market-based method were offset through investments in a climate protection project. The project is a reduction project implemented outside our value chain.

As part of the project, wells are being repaired in northern Uganda in collaboration with local communities to provide access to clean drinking water. A large portion of the population in the region relies on open, often contaminated water sources. The water must therefore be boiled over an open fire before use, which leads to both greenhouse gas emissions and the deforestation of biomass. By repairing and maintaining the often destroyed and dilapidated wells, greenhouse gas emissions can be reduced. The certificates are registered under the Gold Standard for the Global Goals of the Swiss Gold Standard Foundation and were retired in November 2025.

This means that 100% of our selected climate protection projects are located outside the EU.

WATER

Impacts, risks, and opportunities

Water is a key resource for the operation of some of our products, as it is used for the continuous cooling of systems that operate at very high temperatures. In our own production processes, we use water primarily for cleaning purposes and for functional testing of our systems prior to delivery to customers. However, thanks to a closed-loop system, water consumption in our own processes is low overall.

We see the greatest impacts related to water in the downstream value chain, particularly in the semiconductor industry. Water demand is significant here, as pure water is essential for cleaning wafers, cooling processes, and other production steps to ensure the highest quality standards.

Policies

As part of our application of the double materiality assessment, we have heightened our awareness of sustainability-related issues along the value chains. This process has brought water more into focus. In the current reporting year, our focus therefore remains on creating transparency regarding the management of water resources.

Currently, there are no specific internal guidelines regarding water and marine resources, as water consumption has not been a focus of our sustainability efforts to date. Responsibility for water management lies with the management teams of the respective subsidiaries and the central Facility Management department.

Actions

Our customers' water consumption primarily affects certain systems in the Semiconductor segment. The actual amounts of water required vary depending on individual production processes and the required purity level of the water.

To offer a water-saving solution, some of our systems are equipped with integrated water tanks and water filtration systems that enable water to be recycled and used in a closed loop. However, the decision to implement such a "closed-loop" water system rests with our customers and depends on their specific requirements.

In the future, we will evaluate what further technical optimizations and awareness-raising measures we can develop to further reduce water consumption in the semiconductor industry.

In addition, within the context of our climate risk analysis, the issue of water scarcity was considered a physical risk. The analysis revealed that water scarcity does not pose a relevant risk to our own production sites. On the customer side, however, it could become a significant risk under a scenario with high greenhouse gas emissions, which could indirectly impact our business activities. Details of the climate risk analysis are described in the "Environmental Matters" section.

Targets

Currently, there are no measurable, outcome-oriented targets regarding water. Accordingly, there is currently no systematic tracking of the effectiveness of water-related measures.

EMPLOYEE MATTERS AND HUMAN RIGHTS

PVA TePla's workforce

Our employees represent a key stakeholder group and are largely responsible for the success of PVA TePla. With our guiding principle, "With innovation through appreciation to success," we emphasize that appreciation of our employees is a decisive factor for success.

Our business model is based on fostering innovations developed by our employees through their extensive knowledge and expertise. Their suggestions and ideas are incorporated into the design of working conditions and our corporate strategy via the works council or other internal communication channels, such as the employee suggestion program.

Material impacts, risks, and opportunities regarding our employees are closely linked to our strategy and business model. Key issues such as job security, working hours, fair compensation, and work-life balance are of central importance and directly linked to our business model.

Successful implementation of our strategy is only possible under good working conditions, as we rely on motivated and qualified employees. To attract and retain the right talent in the long term, we aim to create a work environment that enables fair working conditions, opportunities for development, and a healthy work-life balance.

These factors contribute significantly to the satisfaction and retention of our employees and strengthen our company's competitiveness. Since our business model is focused on growth areas such as decarbonization, digitalization, and mobility, it offers our employees a future-oriented work environment.

As part of our double materiality assessment, we take a holistic view of the impacts of our business activities on all employee groups. This includes both employees directly employed by PVA TePla or its subsidiaries and external specialists who are deployed particularly during production peaks.

We have identified two key challenges as material potential negative impacts: first, employee overload, and second, the risk of workplace accidents. Overload can result from both industry-specific challenges, such as the shortage of skilled workers, and company-specific factors related to our growth strategy and order volume. Workplace accidents represent a widespread risk, particularly in manufacturing companies. Detailed information on the measures taken to minimize these impacts can be found in the sections "Working Hours" and "Health and Safety."

In principle, all PVA TePla employees may be affected by the potentially negative material impacts, regardless of individual characteristics. However, employees involved in production processes are exposed to a higher risk of workplace accidents due to their work environment. This risk stems exclusively from the specific working conditions and not from the individual characteristics of the persons concerned.

The potentially positive impacts of our business activities identified as significant affect all PVA TePla employees. They encompass key issues such as job security, fair compensation, work-life balance, diversity, and gender equality. Detailed information on these aspects can be found in the respective sections.

A key risk for PVA TePla is the potential loss of knowledge due to employee turnover. Additionally, the current shortage of skilled workers poses the challenge of attracting sufficiently qualified professionals, who are essential for implementing our growth strategy. To counteract turnover, we implement measures to increase employee satisfaction. Further approaches include targeted continuing education for our employees as well as the development of our own skilled workforce to prevent potential knowledge loss. Additionally, we see a potential financial burden due to rising wage expectations. Our concepts and measures for risk minimization are outlined in the chapters "Adequate Wages" and "Training and Skills Development".

On the other hand, there is an opportunity to increase employee satisfaction through attractive working conditions and appropriate compensation, thereby enhancing employee retention, reducing turnover, and retaining knowledge within the company. This is further elaborated in the chapter "Adequate Wages".

At PVA TePla, there are no material impacts on employees in connection with transition plans to mitigate negative environmental impacts or to promote environmentally friendly and climate-neutral business activities. Our measures to reduce CO_2e emissions have no adverse effects on job security. Rather, we see opportunities: The growth areas we are addressing – decarbonization, digitalization, and mobility – offer development potential that is expected to lead to the creation of additional jobs.

Policies related to our workforce

Our employees are a key success factor and a driver of innovation at PVA TePla. Appreciation is therefore a fundamental component of our corporate culture. Responsible and ethical conduct toward our employees, business partners, society, and the environment is firmly anchored in PVA TePla's core values. These guidelines are defined in the Code of Conduct, which is binding for all employees at all locations. The Code of Conduct is accessible to all employees via the intranet and is part of the onboarding process for new employees. In the reporting year, an online training course on the Code of Conduct was additionally introduced for all employees, intended to further reinforce its content.

PVA TePla complies with the applicable laws and regulations of the countries in which it operates. For us as a corporate group, this is a fundamental prerequisite for acting with integrity and responsibility and is enshrined in our Code of Conduct. A key component of the Code of Conduct is the principle of equal treatment. PVA TePla does not tolerate any form of discrimination or harassment, regardless of ethnic or national origin, skin color, gender, religion or belief, disability, age, sexual identity, marital status, social background, or other characteristics relevant to discrimination.

To implement the concepts for preventing discrimination enshrined in our Code of Conduct, we rely on various measures. These include a complaint procedure (chapter "Processes to remediate negative impacts and channels for the company's own workforce to raise concerns ") that offers employees the opportunity to report cases of discrimination or disadvantage anonymously. Every report is carefully reviewed, and if necessary, appropriate measures are taken to support affected individuals and prevent future discrimination.

The Representative Body for Severely Disabled Employees also plays a central role in promoting inclusion, as it serves as a direct point of contact for employees with disabilities at our German sites. It helps ensure compliance with legal inclusion requirements, identifies barriers in the work environment, and advocates for their removal.

Policies related to human rights

We are aware of the responsibility we bear as a company with regard to the protection of human rights and are committed to developing a strategy that ensures support for internationally recognized human rights. We are committed to upholding internationally recognized human rights and support the principles of the Universal Declaration of Human Rights, the OECD Guidelines for Multinational Enterprises, and the core labor standards of the International Labour Organization (ILO). These principles, along with the prohibition of child and forced labor, freedom of association, and the right to collective bargaining, are integral parts of our Code of Conduct.

PVA TePla's goal is to prevent human rights violations within the corporate group and throughout the supply chain. To this end, we rely on preventive measures such as risk analyses and the implementation of due diligence processes to identify and minimize potential risks at an early stage.

In close cooperation with employee representatives, particularly works councils, we promote dialogue and the implementation of human rights standards. Our materiality assessment has not yet identified any discernible human rights impacts. Since our production sites are located exclusively in Europe and North America, we assess the risk of human rights violations in our own business processes as very low.

Processes for engaging with own workforce and workers' representatives about impacts

A central instrument for employee participation is the General Works Council, as well as the works councils at the various German locations. They play a key role in representing the interests of employees at the German locations and ensuring their rights. Regular communication, at least once a quarter, between the Works Council and the Management Board is essential in this regard to develop an understanding of the workforce's needs and to derive appropriate measures. Employeescan communicate their needs to the Works Council in various ways, for example during works meetings.

Another tool for engaging our employees is the employee survey.

In the current reporting year, a comprehensive employee survey was conducted for the first time at all PVA TePla locations. The survey covered topics such as satisfaction, leadership culture, working conditions, and individual development opportunities. The goal is to implement measures based on the results and to verify their effectiveness through further surveys. The survey is planned to be conducted annually in the future to continuously capture the needs and expectations of our employees and to specifically incorporate them into the further development of our work environment and our corporate strategy.

In addition, the company suggestion program plays an important role in promoting active employee participation in the continuous improvement process. It offers a structured platform for submitting ideas, suggestions for improvement, and innovative approaches. The thematic focus ranges from environmental protection and occupational safety to the optimization of work processes and conditions.

To ensure transparent communication of sustainability initiatives and general corporate developments, we regularly publish our employee magazine "connect" for all subsidiaries. Alongside other information channels, this medium serves to inform employees about strategic goals, ongoing measures, and relevant company news. Through this form of internal communication, we aim to strengthen the trust and commitment of our employees and contribute to fostering a values--based and sustainability-oriented corporate culture.

Processes to remediate negative impacts and channels for the company's own workforce to raise concerns

As part of our double materiality asessment, we have identified material impacts of our business activities on society and the environment. In particular, our employees' working conditions and work environment have a significant influence on their well-being and safety. Against this backdrop, we have defined key areas of action to identify and mitigate potential negative impacts at an early stage.

A key area of action in work-time management is the prevention of negative impacts such as overwork, particularly during periods of high workload when deviations from general work-time regulations may occur.

Equally central is the prevention of workplace accidents. To minimize the risk of accidents, various measures are continuously implemented to systematically reduce sources of danger and to continuously improve workplace safety, such as the optimization of personal protective equipment.

As a complaint mechanism, we have established an internal reporting office in accordance with the German Whistleblower Protection Act (Hinweisgeberschutzgesetz). Through this reporting office, employees can report observed potential or actual misconduct or a violation of legal regulations, regardless of whether these are committed by other employees, management, the Management Board, or other business partners. The corresponding policy and process description are accessible to all employees on the intranet.

In addition to employees, other stakeholders, such as business partners, customers, suppliers, and shareholders, are also valuable sources of information. They play a key role in identifying violations of legal and ethical standards.

To promote transparency, a freely accessible online platform is available for these stakeholders. Suspected cases falling under the Whistleblower Protection Act can be reported here anonymously and confidentially. An external law firm oversees this reporting office as the first point of contact to ensure legal compliance. Appropriate follow-up measures are taken in consultation with the attorneys and internal trained contact persons.

This procedure serves to protect whistleblowers from potential retaliation. Maintaining confidentiality throughout the reporting process is a top priority. We encourage our employees to take responsibility and actively promote an ethical and compliant work environment. Further information can be found in the chapter "Combating Corruption and Bribery."

In addition to our whistleblower system and internal reporting office, our employees have access to other internal reporting channels. Suspected issues can be brought to the attention of their direct supervisor, the works council, company management, corporate security, or the Human Resources department. Annual performance reviews also provide an opportunity to openly address concerns.

PVA TePla promotes a positive error culture that enables open handling of shortcomings and thus supports the identification of areas for improvement. Through various channels for expressing concerns, we foster open communication that is accessible, fair, comprehensible, and transparent. We also view the opportunity to voice concerns as a valuable foundation for continuous learning and the further development of improvement mechanisms.

Characteristics of the company's employees

In accordance with our principle of appreciation, all individuals employed by PVA TePla are considered our employees. For this reason, trainees (including work-study students and interns), managing directors, and members of the Management Board are included in our key figures for employee-related matters.

In 2025, PVA TePla employed a total of 1,015 employees (number of employees as of December 31, 2025). The proportion of female employees in 2025 was 19.3%[1] .

Information on the number of employees by gender (headcount)[2]

Gender	Number of employees (headcount) as of December 31, 2025	Number of employees (headcount) as of December 31, 2024
Male	819	716
Female	196	178
Other	0	0
Not disclosed	0	0
Total number of employees	**1,015**	**894**

Breakdown of employees by geographic region



Information on employees by type of contract, broken down by gender (headcount)[3]

Reference date: December 31, 2025	Male	Female	Other	No data	Total
Number of employees (headcount)	819	196	0	0	1,015
Number of employees with permanent employment contracts (headcount)	759	185	0	0	944
Number of employees with fixed-term employment contracts (headcount)	48	7	0	0	55
Number of Non-guaranteed hours employees (headcount)	12	4	0	0	16

[1] All Data on employees refers to the number of employees as of the reporting date of December 31, 2025.
[2] Unless otherwise indicated, all employee figures include members of the Management Board, managing directors, trainees, interns, and temporary staff. The figure therefore differs from that stated in the financial report, as the Management Board, managing directors, and trainees are not included there.
[3] Non-guaranteed hours employees are temporary employees whose employment contracts do not specify a fixed number of hours. Their actual working hours vary depending on their individual availability.

During the reporting period, 85 employees left the PVA TePla Group. This figure includes both voluntary turnover (voluntary resignations, termination agreements) and terminations of employment due to company-initiated or employee-initiated dismissals, retirement, and deaths. The turnover rate during the reporting period was 8.7%[4]. The voluntary turnover rate in 2025 was 2.9%. The data used to calculate these key figures for the German companies comes from our HR systems. Data from the international subsidiaries is collected through individual systems and manual processes. The consolidation and calculation of the key figures are performed by HR Controlling.

Another key figure that, in our assessment, provides an indirect indication of our employees' satisfaction is the average length of service. In the current reporting year, this stands at 7.2 years of service. The collection and evaluation of this key figure are carried out by HR Controlling.

Key performance indicators for employee matters

Key figures	2025	2024
Turnover rate	8.7%	8.8%
Average length of service	7.2 years	7.4 years
Women in leadership positions (%)	18.7%	20%
Workplace accidents per 1,000,000 working hours	7.6	10.5

Overarching impacts, risks, and opportunities related to our employees

The availability of qualified skilled workers in the high-tech sector is also a major challenge for PVA TePla. The consequences of this situation manifest themselves in various material risks for us, which are described in the sections "WorkingHours," "Adequate Wages," and "Training and Skills Development." To increase our company's appeal to highly qualified professionals and retain them long-term, we focus on secure employment relationships (see the "Secure Employment" section) and an above-average compensation system (see the "Adequate Wages" section), which is intended to underscore our appreciation for our employees.

Against the backdrop of this challenge, our focus in the reporting year remained on developing a wide range of measures to increase employee satisfaction at PVA TePla. A central project in this regard is the HR initiative "Together into the Future," which was launched in 2023 and implemented through 2025. The goal of the project was to develop uniform concepts for the entire corporate group. A core team was established to lead the project, supported by several project groups in implementing the various initiatives.

One of the project groups focused on developing a program to promote employee engagement and job satisfaction through various benefits. The introduction of this program is scheduled for 2026. In addition, the HR project includes the development of clear role definitions, the establishment of leadership principles, and the optimization of feedback processes, all of which are also intended to contribute to employee satisfaction. New employees also benefit from these measures: A redesigned onboarding process for all new employees at our German locations was implemented to facilitate their transition into our company.

[4] The turnover rate is calculated by dividing the total number of people (per capita) who left the company by the average headcount (per capita) in 2025.

Another key component for the continuous improvement of working conditions and the enhancement of employee satisfaction is the implementation of an annual employee survey. During the reporting year, the first global employee survey was conducted to systematically capture the needs, expectations, and suggestions of our employees. The survey covers key topics such as overall satisfaction, leadership culture, working conditions, and individual development opportunities. The survey results were carefully analyzed and form the basis for an action plan specifically tailored to the identified areas for improvement. The measures are scheduled to be implemented in the coming reporting year. The survey is planned as an annual process so that the progress and effectiveness of the measures initiated by can be continuously monitored and evaluated.

To further strengthen the cohesion and sense of community among our employees, we organized a company-wide summit during the reporting year under the motto “One PVA,” to which all employees were invited. The goal of this event was to promote global networking and intensify the exchange of information between international locations. All employees had the opportunity to become more familiar with our technologies and solutions and to learn about current projects and developments at various information booths. The summit offered numerous opportunities for personal exchange and interdisciplinary collaboration.

SECURE EMPLOYMENT

Impact, risks, and opportunities

We see it as our responsibility to offer our employees secure jobs and aim to fulfill this through forward-looking workforce planning. By aligning our business model with growth areas such as digitalization, decarbonization, and mobility, we believe PVA TePla offers long-term job security and thus financial security for our employees. This has a positive impact on our employees.

Policies

Our concept aims to promote long-term employment relationships, as both our employees and the company benefit from stable working conditions. This strengthens trust between employer and employees and contributes to the creation of secure jobs that support our strategic growth goals. There is currently no specific policy regarding this approach. Our overarching goal is to align our business model with growth areas such as digitalization, decarbonization, and mobility in order to create secure and sustainable jobs. These areas offer long-term growth potential and give us the opportunity to develop innovative solutions that meet current needs while also addressing future challenges. Through continuous development in these areas, we create secure and sustainable jobs.

Actions

The number of employees with fixed-term contracts is low. Flexible workers at PVA TePla are only deployed in exceptional cases to handle order peaks. In this way, we promote job security for our employees. With a future-proof business model, we aim to offer our employees financial stability. By diversifying into different segments (Semiconductor and Industrial), we are laying the foundation for long-term job security.

Targets

Our target is to preserve the knowledge within the company over the long term and to create an attractive and motivating work environment through stable, reliable employment relationships. Secure jobs not only contribute to employee satisfaction but also strengthen our employees' identification with the company and their long-term commitment, thereby sustainably reducing turnover.

There are currently no concrete, measurable, outcome-oriented targets.

DIVERSITY AND EQUAL OPPORTUNITY

Diversity

Impacts, risks, and opportunities

Diversity and equal opportunity are core values in our corporate culture. A diverse workforce promotes the exchange of knowledge, brings different perspectives to the table, and strengthens collaboration at all levels. Our HR policy aims to create a culture that supports diversity and equal opportunity, avoids discrimination in any form, and offers all employees equal development opportunities.

Policies

We are committed to ensuring that all employees are treated fairly and have equal access to career opportunities, regardless of gender, age, ethnic background, nationality, religion, sexual orientation, or disability. Employees and applicants are evaluated according to the principle of equal treatment, and discriminatory behavior in any form is not tolerated. This principle is enshrined in our Code of Conduct, with the Human Resources department serving as the central point of contact. In addition, our employees have access to other reporting channels, including their direct supervisor, the works council, and company management, as well as our whistleblower system. Enforcement of this principle is the responsibility of the Management Board.

Actions

In the reporting year, we took our first step toward addressing the issue of diversity by developing a key performance indicator. This enables us to measure diversity within PVA TePla.

The metric captures aspects such as age and gender diversity and will be used for internal monitoring in the future to identify trends and potential areas for action.

With this approach, we are laying the groundwork for implementing appropriate measures designed to strengthen diversity at PVA TePla and promote a diverse and inclusive corporate culture.

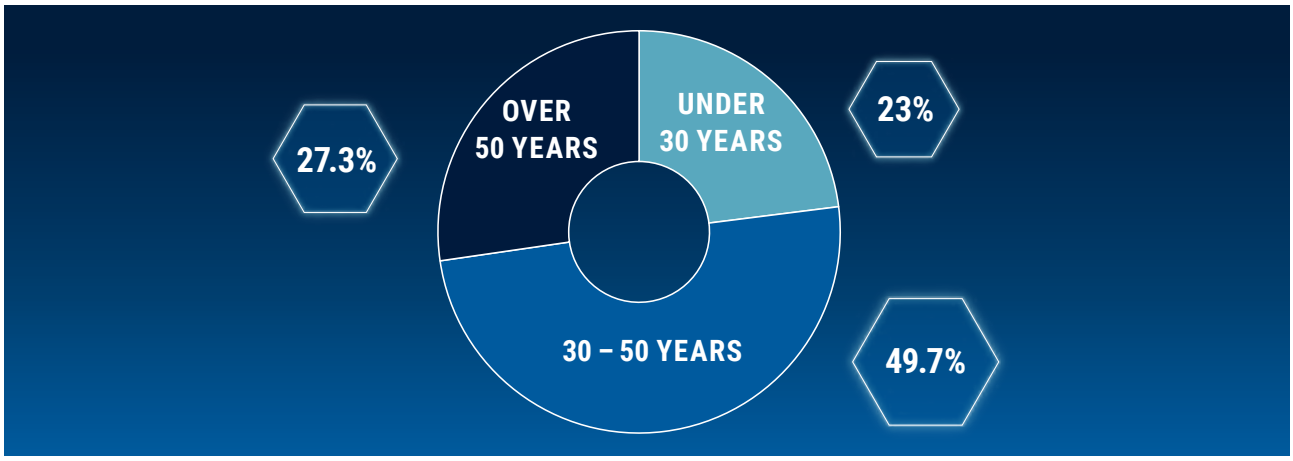
Targets

The target is to systematically collect data on diversity within PVA TePla and use it to derive appropriate measures to promote diversity.

Metrics

The age distribution within PVA TePla is presented in the chart below, divided into three age groups (under 30, 30 – 50, and over 50). The age distribution includes all employees, including trainees, managing directors, and the Management Board. The data used to calculate this key figure for the German subsidiaries comes from our HR systems. Data from international subsidiaries is collected via individual systems and manual processes. The consolidation and calculation of the metric are performed by our HR Controlling department.

Age distribution of employees



Another key figure is the proportion of female employees at PVA TePla. This stood at 19.3% in the reporting year. The data used to calculate this figure is provided by our Human Resources Controlling department.

The proportion of women in first- and second-level management positions below the Management Board was 18.7% in the reporting year. The first level below the Management Board includes both the managing directors of the subsidiaries and the vice presidents and authorized signatories of PVA TePla AG. The second level includes the respective department heads. The data for this metric is sourced from our HR systems, and the calculation is performed by HR Controlling. The proportion of leadership positions by gender is calculated by dividing the number of women or men by the total number of managers. Currently, the proportion refers only to women and men, as no diverse individuals are represented at PVA TePla to date.

	Male	Female	Total
Management positions by gender	87	20	107
Percentage of leadership positions by gender	81.3%	18.7%	100%

Gender equality and equal pay for work of equal value

Impact, risks, and opportunities

Another material impact on our employees is the issue of gender equality and equal pay for work of equal value. We are actively committed to ensuring that all employees, irrespective of gender or other personal characteristics, receive the same development opportunities and career prospects.

Policies

The principle of equal treatment is enshrined in our Code of Conduct. We do not tolerate discrimination based on ethnic origin, nationality, skin color, gender, religion or belief, disability, age, sexual orientation, gender identity, marital status, social background, or other characteristics. The posting of job openings, hiring, compensation, interactions among colleagues, and the further development of our employees are conducted not only in compliance with all relevant laws and regulations but also in accordance with the principles of equal opportunity, fairness, and diversity.

In our industry, which is primarily characterized by technical and manufacturing activities, achieving a balanced ratio of men and women presents a challenge. This is due, among other things, to the fact that many technical and manufacturing professions and training programs are predominantly occupied by men.

Our principles, such as the Code of Conduct and our HR policy, make no distinctions based on gender or other personal characteristics. We aim to offer all employees – regardless of gender or other characteristics – equal opportunities and development prospects, and to create a work environment characterized by respect and appreciation.

Actions

In the reporting year, we did not implement any specific measures regarding gender equality. Nevertheless, pay equity for all employees is a central concern at PVA TePla. For the coming reporting year, we plan to conduct our first survey of the gender pay gap to create transparency regarding potential pay disparities. The insights gained will help us develop targeted measures to identify and reduce existing wage inequalities.

In addition, we plan to regularly review and compare job profiles in the future to create greater transparency regarding pay equity.

Targets

Measurable, outcome-oriented goals have not yet been defined. To date, we have assessed the effectiveness of our measures indirectly, for example through the development of employee satisfaction and by recording any complaints regarding unequal treatment. Our goal is to take measures following the initial assessment of the gender pay gap that will continuously reduce any potential gender pay gap. The survey is planned for the coming reporting year. To gain a more nuanced view of the gender pay gap, we also plan to calculate the adjusted gender pay gap in the future, which takes into account differences in positions, qualifications, and professional experience, thereby enabling a realistic assessment of actual wage inequality for work of equal value.

Metrics

The pay ratio of the highest-paid individual relative to the median of the total workforce is 7.5. The highest-paid person thus receives 7.5 times the median salary of employees.

WORKING CONDITIONS

Working hours

Impact, risks & opportunities

To successfully implement PVA TePla's growth strategy, we need a growing number of employees. The shortage of skilled workers sometimes makes it difficult to recruit experts, which can lead to an increased workload for existing employees. To counter this negative impact, we rely on clear and structured concepts for organizing working hours as well as additional supportive measures.

Policies

Working hours are generally regulated in the employment contract and are adapted to the specific requirements of the respective work areas. At our German locations, flexible working time models have been introduced that are based on a flex-time model with fixed core working hours. This model allows our employees to organize their working hours in a flexible yet structured manner. Our company agreement on working hours stipulates that all employees covered by the flex-time system may flexibly make up or take time off within certain hourly limits. This flexible working-hour framework is intended to enable employees to attend to personal matters, such as visits to government offices, doctor's appointments, or other private commitments. If necessary, time off may also be taken for personal matters.

Actions

Employees' working hours at the German locations are recorded by a time-tracking system to ensure transparency and compliance with established legal and Group-internal regulations. The regular daily working hours are 7 or 8 hours, depending on the individual employment contract, whereby the maximum working hours per workday may not exceed 10 hours at the German locations. Compliance with these regulations is monitored by Human Resources management.

Overtime exceeding the flex-time framework must be approved by the manager on a case-by-case basis and reported to the Human Resources department.

To mitigate the negative impact of excessive workloads on our employees, additional skilled workers were hired during the reporting year and various measures to ease the workload were implemented. These include investments in digital infrastructure, process optimizations, and various efficiency improvements in production, which are to be further expanded in the future. A key component of these initiatives is the introduction of shop floor management. Under this system, managers are regularly present on the production floor, which improves communication, identifies problems, and enables solutions to be found quickly. This results in process improvements designed to make work easier for our employees. This measure has so far been introduced in one of the subsidiaries belonging to the PVA TePla Group and is to be expanded to other subsidiaries in the future.

Targets

Measurable, outcome-oriented targets regarding working hours have not yet been defined.

Adequate wages

Impacts, risks & opportunities

A fair and competitive compensation system has a material positive impact on the work atmosphere, employee satisfaction, and the sense of appreciation within the company. The current challenge is to attract the experts needed for our growth strategy. The associated wage expectations, which have risen sharply in some cases due to the shortage of skilled workers, place a financial burden on PVA TePla and are also reflected in the prices of our products, as production takes place exclusively in countries with high wage levels. At the same time, however, a significant opportunity is emerging: through competitive and appropriate compensation, we can strengthen employee satisfaction and retention, keep turnover low, and secure valuable knowledge within the company for the long term.

Policies

PVA TePla offers competitive compensation based on national benchmarks. Our goal is to provide above-average compensation in order to be recognized as an attractive employer for highly qualified professionals. At most of our German locations, employees are classified under the Entgelt-Rahmen-Abkommen (ERA) according to clearly defined salary groups, career levels, and responsibilities to avoid pay disparities. Employees in Italy (PVA TePla Italy) and France (M.P.A. Industrie SAS) are compensated in accordance with the applicable collective bargaining agreement for the metal industry.

Actions

To ensure appropriate compensation, regular negotiations take place in Germany between the works council and management. As part of these negotiations, an inflation adjustment was agreed upon and implemented in the 2025 reporting year. In addition, a benefits program has been in place since January 2026, allowing employees to flexibly combine various benefits, such as tax-free benefits in kind, meal allowances, or mobility budgets.

Targets

The overarching target of our compensation policy is to secure our competitiveness in attracting qualified professionals through appropriate compensation and to promote long-term employee retention. The effectiveness of these measures is currently being assessed indirectly through the trend in voluntary turnover and the company's reputation in the labor market.

Metrics

100% of our employees receive at least the statutory minimum wage of the country in which they are employed. In countries without a statutory minimum wage, we pay at least a living wage that complies with the principles of the Wage Indicator Foundation[5] .

[5] Minimum Wages, Living Wages, and Labor Law Around the World – WageIndicator.org

Work-life balance

Impacts, risks & opportunities

PVA TePla promotes work-life balance through various measures, particularly flexible work schedules. This makes it easier for our employees to balance their professional and personal lives. This can contribute to higher satisfaction and stronger loyalty to our company, and supports the long-term motivation and productivity of our employees.

Policies

There is currently no overarching concept for work-life balance. However, there are various company agreements that specifically support these aspects. These include the company agreement on flexible working hours, a permanent company agreement on remote work, and a company agreement on partial retirement. These agreements were developed and adopted in close collaboration between the works council and the Management Board and apply to all employees at the German locations.

Actions

To further improve the work-life balance, we offer models tailored to the requirements of each job, such as flexible working hours (flex time), the option of mobile work, remote work, and individual part-time models. These measures give our employees the flexibility to balance their professional responsibilities with their personal and family interests. The goal is to sustainably strengthen the satisfaction and long-term commitment of our employees.

Targets

No measurable, outcome-oriented targets regarding work-life balance have been established.

Training and skills development

Impacts, risks, and opportunities

High employee turnover combined with insufficient training and professional development measures poses a risk to our business activities. It not only leads to a loss of valuable knowledge when experienced employees leave the company, but also incurs significant costs associated with training new employees. To counteract the risk of knowledge loss due to turnover, we place great emphasis on the continuous professional development of our employees. Through various opportunities for professional and personal development, we foster the individual growth of our employees and strengthen their commitment to our company.

Policies

A qualification and training matrix was developed to systematically promote the qualifications of our employees at our German locations. This matrix helps us determine whether employees, teams, and departments possess the necessary skills, competencies, and qualifications for their daily work. It identifies training and optimization needs and forms the basis for identifying areas for development. On this basis, targeted development measures can be planned and resources efficiently allocated to promote both the professional development of employees and the achievement of our corporate goals. The qualification and training matrix is made available by Quality Management via the intranet and is used by managers at our German locations.

Actions

To strategically align Human Resources development, the HR project "Together into the Future" was initiated. This project developed measures that contribute to personnel and organizational development. One example of such a measure is the comprehensive leadership training program implemented last year. All managers at PVA TePla are expected to participate in this modular program. The modules cover key topics such as the role and responsibilities of a manager, leadership style, feedback culture, communication skills, delegation, and motivation. The goal is to establish a modern and appreciative leadership culture based on PVA TePla's values that fosters the development of high-performing, motivated teams. The first groups, including top management, have already successfully completed the program.

To systematically expand the skills of our new and existing employees while simultaneously countering the shortage of skilled workers and potential knowledge loss due to age-related or other departures, we provide a wide range of internal and external training opportunities.

In addition, mandatory training on workplace safety, IT security, the Code of Conduct, and data protection is standard for all employees at PVA TePla's German locations. Voluntary training courses, tailored to each employee's professional development, complement this offering. In addition, internal company training sessions on personal development, communication, feedback, change management, and stress management are offered. The training sessions are conducted digitally and are available in both German and English, allowing a large number of employees to participate flexibly across locations. Through these measures, we promote both the personal and professional development of our employees.

Furthermore, we place great importance on providing our young talent with a solid and future-oriented education. A major milestone in the reporting year was the opening of our trainee workshop at the Wettenberg site. The workshop is equipped with state-of-the-art technology, enabling our trainees in the fields of industrial mechanics, machining mechanics, and electronics for industrial engineering to receive hands-on training.

Targets

The measures described aim to increase employee performance and efficiency by specifically expanding their skills and competencies. At the same time, they are intended to help foster employees' creative and problem-solving abilities and strengthen the company's innovative capacity. Furthermore, employee motivation and retention are to be enhanced by providing opportunities for continuous professional and personal development. A particular focus is on improving leaderhip skills to establish a sustainable, appreciative, and effective leadership culture based on PVA TePla's values.

Another goal in the area of continuing education and skills development is to introduce systematic tracking of training measures and hours to transparently monitor the progress and success of continuing education activities. Furthermore, we will continuously expand the range of continuing education opportunities to further promote the targeted development of employees. The effectiveness of continuing education is reviewed during annual employee reviews, in which development goals and training needs are jointly defined and discussed.

Health and safety

Impacts, risks, and opportunities

As a manufacturing company and producer of equipment, our employees in production face particular challenges, meaning that workplace accidents and the resulting potential negative impacts on their health cannot be ruled out. Therefore, we take proactive measures to protect the health of our employees and promote their performance. These measures contribute significantly to the safety of our employees.

Policies

PVA TePla AG and its certified subsidiaries[6] have a quality management system (DIN EN ISO 9001:2015) that also covers occupational health and safety. This system governs strategic responsibility and operational practices across all departments and promotes compliance with legal requirements. The Management Board of PVA TePla AG and the managing directors of the certified subsidiaries are responsible for the effectiveness of this system. Quality management is positioned at the highest level and ensures compliance with the standard as well as regular audits. In the area of occupational health and safety, care is taken to ensure that all relevant legal requirements for the protection of employees are observed.

Furthermore, the Management Board commits in the Code of Conduct to protecting the health and safety of our employees through comprehensive measures.

Actions

To further promote the safety of our employees, we have implemented various measures. These include general occupational safety training as well as specialized training and safety briefings tailored specifically to the respective tasks. These preventive measures are designed to prevent accidents. Specific occupational safety requirements apply in the areas of production, service, administration, and sales. Therefore, measures tailored to local conditions have been implemented at PVA TePla to ensure that employees are exposed to as few hazards as possible while performing their duties.

In addition, personal protective equipment is provided in Germany, such as custom-fitted hearing protection, to further improve the work environment. Furthermore, all employees at the German locations have access to group accident insurance.

Our continuous approach to improving the occupational health and safety management system includes quarterly reviews and assessments to identify potential risks and vulnerabilities early on and take appropriate measures to mitigate or eliminate them.

At our main production sites in Germany, our employees have the opportunity to consult a company physician. This physician offers general checkups, vision tests, various vaccinations, and other medical services, often directly on-site.

[6] M.P.A. Industrie SAS, PVA Analytical Systems GmbH, PVA Crystal Growing, PVA Italy S.R.L., PVA Industrial Vacuum Systems GmbH, PVA Löt- und Werkstofftechnik GmbH, PVA Metrology & Plasma Solutions GmbH, PVA SPA Software Entwicklungs GmbH, PVA Vakuum Anlagenbau Jena GmbH.

Targets

The preventive measures outlined above aim to prevent accidents and create a safe working environment. A key objective is to keep the accident rate as low as possible, thereby protecting the health and safety of our employees.

Metrics

In 2025, 82.2% of our companies were covered by the management system (DIN EN ISO 9001:2015 or DIN EN ISO 45001[7]). The accident frequency per 1,000,000 working hours was 7.6 in 2025 (work-related accidents resulting in at least one day of lost time). The number of workplace accidents was divided by the total working hours of all employees and multiplied by 1,000,000. In the 2025 fiscal year, as in the previous year, there were no fatal workplace accidents at PVA TePla.

ANTI-CORRUPTION AND ANTI-BRIBERY

Corporate culture

Impacts, risks, and opportunities

Unethical behavior, such as corruption and bribery, can have serious negative consequences for our company. It not only jeopardizes our reputation and the trust of our customers, business partners, and investors, but can also lead to serious legal consequences. These consequences could impair our long-term competitiveness and jeopardize the achievement of our strategic goals.

For this reason, at PVA TePla, we place great importance on a corporate culture that promotes ethical values and combats corruption and bribery, and that is reflected in our organizational structure and our daily business operations. These principles are set forth in our Code of Conduct.

Furthermore, we view a strong corporate culture as having a central impact on our employees. Clear structures, respectful collaboration, and the incorporation of diverse opinions and interests are crucial to our employees' satisfaction and form the foundation for PVA TePla's positive reputation as a business partner and employer.

Policies

The roles of the management and supervisory bodies at PVA TePla are clearly defined to ensure consistent adherence to the principles of good corporate governance. The Management Board, led by our CEO, is responsible for defining and implementing the corporate strategy and is actively committed to the company's values as well as all relevant legal provisions, which are also enshrined in the Group-wide Code of Conduct (tone-from-the-top).

The Supervisory Board assumes a supervisory role and ensures that our business practices comply with legal requirements and ethical standards.

[7] PVA TePla Korea LLC.

The cornerstone of our corporate culture is the currently published Code of Conduct, which is binding for all employees and managers of PVA TePla worldwide. The Code of Conduct is accessible to all employees via the intranet. All managing directors and managers at PVA TePla are required to inform their employees about the Code of Conduct annually and upon joining the company.

The Code of Conduct addresses topics such as data protection, environmental protection, fair competition, social and employee responsibility, and the prevention of corruption and bribery. In addition to legal requirements and internal regulations, we also adhere to the German Corporate Governance Code.

Our corporate culture and our guiding principle, "With innovation through appreciation to success," are based on four core corporate values: appreciation, reliability, innovation, and sustainability. The areas of innovation and appreciation, in particular, shape our HR strategy and promote fair and respectful collaboration.

Actions

To raise awareness of our internal guidelines, particularly the Code of Conduct, PVA TePla has implemented various training portals. These offer online training courses on key topics such as occupational safety, IT security, compliance, and data security. Last year, our Compliance Management team developed a training program on the Code of Conduct. This program is available in German and English via our intranet to all PVA TePla employees and was fully implemented for all employees during the reporting year.

The training content covers key topics such as the purpose of the Code of Conduct, discrimination, information protection, data protection, IT security, conflicts of interest, corruption and bribery, competition law, insider information, and social responsibility. Our goal is to train all employees annually and to document participation in a traceable manner. The training was made available to employees during the reporting period and will help further strengthen our corporate culture.

To report potential violations of internal regulations, our employees can contact their manager, the works council, company management, corporate security, or the Human Resources department directly at any time. All reports are individually reviewed and processed. In addition, we offer both internal and external stakeholders the opportunity to report violations anonymously through our whistleblower system. Further details are described in the chapter "Prevention and Detection of Corruption and Bribery."

Targets

No measurable, outcome-oriented targets for corporate culture were defined during the reporting period.

The effectiveness of our policies and actions is reflected, among other things, in the key figures on corruption and bribery cases (see the chapter "Prevention and Detection of Corruption and Bribery"). Furthermore, our corporate culture manifests itself in our daily interactions and is indirectly reflected in various HR metrics such as turnover rate and length of service (see the chapter "Employee Matters"). In addition, the results of the employee survey provide important insights into the corporate culture in practice and the satisfaction of the workforce. A strong corporate culture contributes significantly to the satisfaction and long-term retention of our employees.

Prevention and Detection of Corruption and Bribery

Impacts, risks, and opportunities

As already explained in the "Corporate Culture" chapter, corruption and bribery pose significant risks to PVA TePla's reputation and to our business relationships. For this reason, we have implemented measures to prevent these practices and promote ethical conduct in business dealings. Our Risk and Compliance Management System (RMS and CMS), internal audits, and the Group-wide Code of Conduct form the foundation of our prevention strategy. Should a suspicion of corruption or bribery arise despite all precautions, our whistleblower system enables the secure and anonymous reporting of such incidents.

Through these measures, we help ensure legal compliance, promote the integrity of our business relationships, and reduce unfair competitive advantages.

Policies

PVA TePla has established an effective Risk and Compliance Management System (RMS and CMS) that continuously assesses potential risks in the areas of compliance and economic aspects. This system ensures compliance with all relevant legal and regulatory requirements as well as internal company guidelines.

The RMS and CMS are supplemented by comprehensive risk and compliance management manuals, which are binding for all companies within the PVA TePla Group and accessible via the intranet. They define clear procedures and organizational structures to ensure compliance. The Management Board of PVA TePla AG bears overall responsibility for risk and compliance management. It is regularly informed of relevant developments by our Risk and Compliance Management team. Our Risk and Compliance Manager provides detailed quarterly reports to the Management Board. In addition, the Supervisory Board is regularly informed of all relevant developments in this area.

The effectiveness of our RMS and CMS is reviewed by the Internal Audit department of PVA TePla AG, and the results and recommendations are communicated directly to the Management Board.

Actions

During the reporting period, we finalized the revision of our RMS and CMS manuals. The goal of the revision was to clearly separate the areas of risk management and compliance management with specific guidelines for each area. The manuals were approved by management and are accessible to all employees on the intranet.

Compliance Management is based on the three-pillar model of the German Institute for Compliance (DICO): "Prevent, Detect, and Respond." The "Prevent" pillar is intended to ensure that criminal offenses are avoided from the outset. This includes, among other things, training and policies. "Detect" means that we take proactive measures such as the annual survey of our compliance owners regarding compliance risks and the whistleblower system. The "Respond" pillar involves adjusting processes when a compliance risk or a compliance case is identified. This includes sanctions as well as immediate notifications to the Management Board.

These three pillars are underpinned by a clearly defined accountability structure based on the Institute of Internal Auditors' three-line model. In this model, the first line consists of those responsible for the respective compliance topic, the second line consists of Compliance Management, which provides support, monitoring, and advice, and the third line consists of the independent Internal Audit function. Responsibility for compliance lies with the Management Board.

In addition to the training programs on compliance topics already described in the “Corporate Culture” chapter, we promote a corporate culture that actively encourages employees to observe and report violations. PVA TePla managers are required to exemplify this culture and encourage employees to report potential violations and actively participate in the implementation of the Code of Conduct. Responsibility for these tasks is delegated to managers by the managing directors of the respective PVA TePla companies.

As described in the “Corporate Culture” section, both our employees and external stakeholders have access to various reporting channels for suspected violations. These include, on the one hand, the whistleblower system, through which anonymous information regarding legal violations can be submitted. Additionally, our employees can contact their manager, the works council, company management, or the responsible parties in the areas of information security, data protection, export control, occupational health and safety, or the Human Resources department directly.

The whistleblower system is available to all employees and external stakeholders via our website. Incoming cases are handled by external ombudspersons. Within PVA TePla, two designated contact persons have also been identified who, together with the ombudspersons, determine the necessary follow-up measures. Should one of these contact persons be personally involved in the case, the second contact person assumes responsibility.

Targets

Our target is to completely prevent bribery in any form, including conflicts of interest, money laundering, and similar practices, in order to create a compliant and ethical work environment. With the measures listed, we aim to ensure that risks are identified early and effectively prevented. We assess the achievement of this target using our metrics on confirmed cases of corruption and bribery (see the chapter “Cases of Corruption or Bribery”). Our goal is to minimize the risk of corruption and bribery through effective preventive measures so that no incidents occur. In 2025, we have successfully achieved this target.

Incidents of corruption or bribery

Number of confirmed incidents of corruption or bribery

The number of confirmed incidents of corruption and bribery is reported by the managing directors of all PVA TePla companies and consolidated centrally by ESG Management. In the reporting year 2025, there were no confirmed incidents of corruption or bribery.

Number of convictions due to corruption or bribery incidents, as well as the amount of penalties

The number of convictions resulting from corruption or bribery incidents is recorded by the Head of Legal Affairs for the entire Group. In the 2025 reporting year, there were no convictions and no penalties resulting from corruption or bribery.

Management of relationships with suppliers

Impacts, risks, and opportunities

At PVA TePla, we work with a wide range of suppliers whose products and services make a significant contribution to the quality of our systems. We place great importance on maintaining trusting and long-term business relationships to ensure the stability and reliability of our supply chain.

Given our high quality standards, which are a central component of our business model, we recognize that a supplier shortage resulting from unethical behavior or improper treatment of our suppliers can pose a significant risk to us.

Policies

Our supplier management is characterized by close and trusting collaboration. Especially when it comes to highly specialized or technology-intensive components that are critical to the performance of our systems, we work closely with suppliers to jointly develop and improve these components. In addition to procurement, our quality assurance plays a central role. It is directly involved in the exchange with suppliers to ensure that the quality and requirements of our products are always met at the highest level. Standardized mass-produced parts that do not require extensive quality processes complement the specially developed components.

For quality and transportation reasons, our German subsidiaries source the majority of their components from suppliers in Germany.

Our payment processes for the German subsidiaries are centrally monitored by the finance department to ensure compliance with established payment deadlines and to avoid payment delays. This also applies to small and medium-sized enterprises (SMEs). The process is documented in a work instruction that defines the responsibilities and procedures for processing incoming invoices. This work instruction was approved by our Management Board, while the Finance Department is responsible for its implementation. Our international subsidiaries have individual payment processes, some of which are handled by external service providers. There, too, there are fixed regulations for invoice approval.

Actions

For the majority of our German companies, new suppliers undergo a detailed and structured onboarding process. This includes both on-site visits and comprehensive, documented inspections, particularly for critical components. Part of this process is a supplier self-assessment as well as a credit check. We hold annual strategic discussions with our key suppliers, during which we address our collaboration as well as specific quality requirements. At our location in Italy, similar to Germany, discussions and analyses of new suppliers are conducted by Procurement and Quality Management. Our locations in Asia are purely sales and service companies that primarily source their purchased products internally from other PVA TePla companies.

The aim of these measures is to ensure that the quality of the purchased components meets our high standards, that delivery reliability is maintained, and that long-term cooperation with our suppliers is strengthened. Close dialogue with our key suppliers also enables us to respond early to potential risks such as supply bottlenecks. Currently, we do not systematically assess social and environmental standards among our suppliers.

The pilot projects initiated in 2024 by our procurement team in Germany to establish a structured process for quality assurance and engagement with new suppliers were further rolled out during the 2025 reporting year. The process includes, among other things, structured preliminary discussions and on-site visits, in which our quality assurance team is also involved. In 2025, further on-site discussions took place between the purchasing and quality assurance teams at potential new suppliers. Additionally, a comprehensive quality assurance agreement was concluded with one of our largest suppliers to further strengthen our collaboration and build greater resilience against potential supply bottlenecks.

With regard to payment terms, we adhere to the contractual agreements with our suppliers. In doing so, we respect the various payment requirements and integrate them into our internal processes. More specifically, incoming invoices are recorded through our accounting systems and undergo a defined review and approval process.

Targets

Currently, there are no measurable, outcome-oriented targets regarding direct relationship with suppliers, quality control, and the prevention of supply bottlenecks. The effectiveness of our actions for collaborating with our suppliers is assessed using indicators such as the frequency of quality defects in purchased components, the frequency of supply bottlenecks, and the termination of supplier relationships. These factors serve as benchmarks for evaluating the effectiveness of our approaches.

Metrics

Days payable outstanding

This metric describes the average time (in days) required to settle an invoice from the start of the contractual or statutory payment period. Days Payable Outstanding (DPO) is calculated by dividing the average trade payables in the reporting year by the cost of goods sold and multiplying by 360 days of the fiscal year. This data is sourced from our financial systems and enables precise monitoring of our payment processes. The calculation is an approximation, as the metric reflects the average time for settling accounts receivable and not the exact number of days following the contractual payment obligation. In the 2025 reporting year, the DPO (calculated according to the IFRS consolidated financial statement) was 60 days.

Number of legal proceedings for late payments

This metric captures the number of legal proceedings initiated due to late payments. It provides insight into the effectiveness of our payment practices and highlights potential weaknesses in meeting payment deadlines. In the 2025 reporting year, there were no legal proceedings due to late payment.

EU TAXONOMY

Pursuant to Article 19a and Article 29a of Directive 2013/34/EU of the European Parliament and of the Council (Accounting Directive), we are required to disclose in our non-financial reporting the extent to which our business activities are related to environmentally sustainable economic activities as defined in Regulation (EU) 2020/852 and the associated delegated acts (hereinafter: "EU Taxonomy Regulation").

According to Article 3 of the EU Taxonomy Regulation, an economic activity is considered environmentally sustainable if that economic activity:

a) makes a substantial contribution to the achievement of one or more of the environmental objectives set out in Article 9, in accordance with Articles 10 to 16;
b) does not result in a significant adverse impact on one or more of the environmental objectives set out in Article 9, as defined in Article 17;
c) is carried out in compliance with the minimum protection requirements set out in Article 18;
d) complies with the technical evaluation criteria established by the Commission pursuant to Article 10(3), Article 11(3), Article 12(2), Article 13(2), Article 14(2), and Article 15(2).

The environmental objectives referred to in Article 9 are:

1. Climate change mitigation (Art. 10),
2. adaptation to climate change (Art. 11),
3. Sustainable use and protection of water and marine resources (Art. 12),
4. transition to a circular economy (Art. 13),
5. Pollution prevention and control (Art. 14), and
6. Protection and restoration of biodiversity and ecosystems (Art. 15).

In accordance with the amended Delegated Regulation (EU) 2021/2178, in conjunction with Delegated Regulation (EU) 2023/2486 of November 21, 2023, we are required to disclose both taxonomy eligibility and taxonomy compliance for all six environmental objectives. This information includes the respective share of revenue, capital expenditures (CapEx), and operating expenditures (OpEx).

To avoid double counting, we prioritized the analysis of revenue, CapEx, and OpEx for the environmental objective "Climate change mitigation" and subsequently supplemented this with a review of other potential economic activities related to the environmental objective "Climate change adaptation". As part of this review, we were unable to identify any additional taxonomy-eligible economic activities.

Analysis of minimum safeguards

To generally assess taxonomy alignment, we conducted an analysis of the minimum safeguard requirements. During the reporting year, no violations by PVA TePla related to labor law or human rights, corruption or bribery, tax evasion, competition law, or other elements of the Directive relevant to minimum safeguards came to light. Certain processes regarding documentation of minimum safeguards still need to be implemented, which is why full compliance with the taxonomy requirements cannot yet be demonstrated.

Nor did the Group pursue any taxonomy-aligned activities in the reporting year to cover its own internal consumption within the meaning of Annex I, Section 1.2.3 of Delegated Regulation 2021/2178.

"Do no significant harm" (DNSH) criteria

To meet the requirements for taxonomy-compliant revenue, capital expenditures, and operating expenses, the "Do No Significant Harm" criteria must be met for each economic activity. This means that an economic activity is only considered sustainable within the meaning of the EU Taxonomy Regulation if it does not cause significant harm to any of the six environmental objectives defined in. In addition to criteria that apply individually to each economic activity, the following requirements, among others, are relevant for the economic activities that concern us:

- Conducting a climate risk and hazard analysis for the objective of climate change mitigation
- Conducting an environmental impact assessment for the objective of protecting and restoring biodiversity and ecosystems
- Identifying and remedying environmental damage related to the preservation of water quality and the prevention of water scarcity for the objective of sustainable use and protection of water and marine resources

Since these analyses have not yet been implemented or have not been implemented in accordance with the EU taxonomy requirements, full taxonomy alignment cannot be demonstrated.

Analysis of revenue

First, all of PVA TePla's economic activities relevant to external revenue were compared with the activity descriptions of the six environmental objectives in Delegated Regulations 2021/2139 and 2023/2485 (climate change mitigation and climate change adaptation) and Delegated Regulation (EU) 2023/2486 (four additional environmental objectives) to determine which economic activities are eligible for classification under the EU Taxonomy Regulation with respect to the six environmental objectives. The analysis covered the entire scope of PVA TePla's consolidated group.

Those economic activities of PVA TePla that are not covered by Delegated Regulations (EU) 2021/2139 and 2023/2485 (climate change mitigation and climate change adaptation) or Delegated Regulation (EU) 2023/2486 (four additional environmental objectives), do not qualify as taxonomy-eligible.

As part of the analysis of our economic activities and the comparison with the taxonomy-eligible activities defined in the EU Taxonomy Regulation, it has been determined that the manufacture of our products cannot be classified as a taxonomy-eligible economic activity. The reason for this is that our systems and technologies do not meet the specific criteria of the economic activities described in the Regulation.

At the same time, with our highly developed systems and services, we make a decisive contribution to supporting manufacturing processes and technological innovations in various industrial sectors. The systems and types of equipment that PVA TePla manufactures and supplies to its customers can generally be used for the following economic activities:

Climate change mitigation environmental objective:

3.1 Manufacture of renewable energy technologies
3.2 Manufacture of equipment for the production and use of hydrogen
3.3 Manufacture of low carbon technologies for transport
3.4 Manufacture of batteries
3.5 Manufacture of energy efficiency equipment for buildings
3.6 Manufacture
3.18 Manufacture of automotive and mobility components
3.21 Manufacture of aircraft

Transition to a circular economy environmental objective:

1.2 Manufacture of electrical and electronic equipment

The listed economic activities are not carried out directly by us but within our downstream value chain and therefore do not constitute taxonomy-eligible activities within the meaning of the EU Taxonomy Regulation for PVA TePla.

However, as in the previous year, revenue related to repair and spare parts orders was identified. These fall under the following categories:

Transition to a circular economy environmental objective:

5.1 Repair, refurbishment and remanufacturing
5.2 Sale of spare parts

In total, EUR 17.8 million in taxonomy-eligible revenue was identified, of which EUR 16.9 million relates to Activity 5.2 (Sale of spare parts) and EUR 1.0 million to Activity 5.1 (Repair, refurbishment and remanufacturing). Revenue was derived from the consolidated income statement in accordance with IAS 1.82(a). In the prior year, our taxonomy-eligible revenue amounted to EUR 13.7 million. The increase in taxonomy-eligible revenue is primarily due to higher revenue generated from the sale of spare parts in this fiscal year.

No taxonomy-aligned revenue was identified during the analysis, as compliance with the DNSH criteria and the minimum safeguard requirements was not fully met.

Analysis of capital expenditures

To determine CapEx, an analysis of the Group's statement of changes in fixed assets for the 2025 fiscal year was conducted. In this process, all additions to assets were examined for taxonomy eligibility.

The analysis identified taxonomy-eligible capital expenditures for the 2025 fiscal year in the following categories:

Climate change mitigation environmental objective:

4.1 Electricity generation using solar photovoltaic technology
6.4 Operation of personal mobility devices, cycle logistics
6.5 Transport by motorbikes, passenger cars and light commercial vehicles
7.1 Construction of new buildings
7.3 Installation, maintenance, and repair of energy-efficient equipment
7.7 Acquisition and ownership of buildings
8.1 Data processing, hosting, and related activities

Transition to a circular economy environmental objective:

1.2 Manufacture of electrical and electronic equipment

Our taxonomy-eligible capital expenditures decreased from EUR 8.8 million in 2024 to EUR 4.7 million in 2025. The majority of our taxonomy-eligible capital expenditures in this fiscal year fall under category 7.7, Acquisition of Ownership of Buildings, of the environmental goal Climate Change Mitigation. This is due in particular to investments in our subsidiary OKOS Solutions in the U.S. during the reporting year.

Under the environmental objective of climate climate change mitigation, we had additional capital expenditures in the reporting year for the installation of the photovoltaic system in Wettenberg. This falls under category 4.1.

Category 6.4 includes our additions through bicycle leasing, which relates to the JobRad program offered to employees. PVA TePla's vehicle fleet falls under Category 6.5: Transport by motorbikes, passenger cars and light commercial vehicles.

Category 7.1 primarily includes new construction at our Wettenberg site as well as at our site in Italy. However, these expenditures were significantly lower in the reporting year than in the previous year.

Compared to the previous year, category 7.3 – Installation, maintenance, and repair of energy-efficient equipment – has been added this fiscal year. This pertains in particular to investments in the heat recovery system at our Jena site.

For the environmental goal Transition to a Circular Economy, we were able to identify taxonomy-eligible capital expenditures in the category 1.2: Manufacture of electrical and electronic equipment. This primarily includes work equipment for our employees as well as other electrical appliances such as refrigerators or coffee machines.

The analysis did not take into account any capital expenditures related to plans to expand taxonomy-compliant economic activities or to convert taxonomy-eligible economic activities into taxonomy-aligned ones (so-called CapEx plans), as PVA TePla's capital expenditure planning does not yet include an assessment of DNSH criteria or compliance with the minimum safeguard requirements.

Analysis of operating expenditure

For operating expenditures in accordance with the EU Taxonomy Regulation, direct, non-capitalized costs were recorded that relate to research and development, building renovation measures, short-term leasing, maintenance and repairs, as well as all other direct expenses related to the daily maintenance of property, plant, and equipment by us or third parties to whom activities are outsourced that are necessary to ensure the continuous and effective functionality of these assets. They are not reported in this form in the consolidated financial statement but were derived from an analysis of income statement accounts and supplemented by research and development (R&D) expenses. To determine taxonomy-eligible operating expenses, the direct, non-capitalized costs were examined to determine whether they relate to assets or processes associated with taxonomy-eligible economic activities.

Our taxonomy-eligible operating expenditure rose from EUR 1.0 million in 2024 to EUR 1.4 million in the reporting year. This is primarily due to an increase in expenses for renovation work, which can be classified under the environmental objective of climate change mitigation, category 7.2. Renovation of existing buildings. Overall, taxonomy-eligible operating expenditures were identified in the following categories:

Climate change mitigation environmental objective:

6.5 Transport by motorbikes, passenger cars and light commercial vehicles
7.1 Construction of new buildings
7.2 Renovation of existing buildings
7.3 Installation, maintenance and repair of energy efficiency equipment
7.7 Acquisition and ownership of buildings
8.1 Data processing, hosting, and related activities

Transition to a circular economy environmental objective:

1.2 Manufacture of electrical and electronic equipment

The majority of taxonomically eligible operating expenditure fall under categories 7.2 Renovation of existing buildings and 7.7 Acquisition of ownership of buildings under the environmental goal of climate change mitigation.

Costs under 7.2 Renovation of existing buildings relate in particular to work at our site in Wettenberg. The costs in category 7.7 consist primarily of project-related short-term leases.

Category 6.5 includes expenses related to vehicle repairs and maintenance as well as tires for our fleet.

Category 7.1 relates largely to new construction work at our Jena location.

Category 8.1 includes costs for server maintenance as well as server leasing costs.

For the environmental goal transition to a circular economy, additional operating expenditure for economic activities 1.2 manufacture of electrical and electronic equipment were identified. This includes operating expenses for items such as cables, monitors, or lamps.

The analysis did not identify any taxonomy-aligned operating expenditure, as compliance with the DNSH criteria and the minimum safeguard requirements is not fully met.

Proportion of revenue from products or services associated with taxonomy-aligned economic activities – Disclosure for the year 2025

Fiscal year 2025		2025		Substantial contribution criteria						DNSH criteria ("does not significantly harm")									
Economic activities (1)	Code (2) (a)	Revenue (3)	Share of revenue, Year N (4)	Climate change mitigation (5)	Climate change adaptation (6)	Water (7)	Pollution (8)	Circular economy (9)	Biodiversity (10)	Climate change mitigation (11)	Climate change adaptation (12)	Water (13)	Pollution (14)	Circular economy (15)	Biodiversity (16)	Minimum safeguards (17)	Proportion of taxonomy-aligned (A.1.) or eligible (A.2.) revenue, 2024 (18)	Category of enabling activities (19)	Category Transitional activities (20)
		Million EUR	%	Y; N; N/EL (b)(c)	Y; N; N/EL (b)(c)	Y; N; N/EL (b) (c)	Y; N; N/EL (b)(c)	Y; N; N/EL (b)(c)	Y; N; N/EL (b)(c)	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. Taxonomy-eligible activities																			
A.1. Environmentally sustainable activities (taxonomy-aligned)																			
Revenue of environmentally sustainable activities (taxonomy-aligned) (A.1)		n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	0%		
Of which enabling activities		n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	0%	E	
Of which transitional activities		n/a	n/a	n/a						n/a	n/a	n/a	n/a	n/a	n/a	n/a	0%		T
A.2 Taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities)																			
				EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)										
Repair, refurbishment and remanufacturing	CE 5.1	0.95	0.4%	N/EL	N/EL	N/EL	N/EL	EL	N/EL								1.0%		
Sale of spare parts	CE 5.2	16.86	6.9%	N/EL	N/EL	N/EL	N/EL	EL	N/EL								4.1%		
Revenue of taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities) (A.2)		17.81	7.3%	0%	0%	0%	0%	7,30%	0%								5.1%		
A. Revenue of taxonomy-eligible activities (A.1 + A.2)		17.81	7.3%	0%	0%	0%	0%	7,30%	0%								5.1%		
B. Taxonomy-non-eligible activities																			
Revenue of taxonomy-non-eligible activities		226.44	92.7%																
Total		244.26	100%																

Proportion of CapEx from products or services associated with taxonomy-aligned economic activities – Disclosure for the year 2025

Fiscal year 2025		2025		Substantial contribution criteria						DNSH criteria ("No significant adverse impacts")								
Economic activities (1)	Code (2) (a)	CapEx (3)	Proportion of CapEx, 2025 (4)	Climate change mitigation (5)	Climate change adaptation (6)	Water (7)	Pollution (8)	Circular economy (9)	Biodiversity (10)	CClimate change mitigation (11)	Climate change adaptation (12)	Water (13)	Pollution (14)	Circular economy (15)	Biodiversity (16)	Minimum safeguards (17)	Proportion of taxonomy-aligned (A.1.) or taxonomy-eligible (A.2.) CapEx, Year 2024 (18)	Category of enabling activities (19)	Category transitional activities (20)
		Million EUR	%	Y; N; N/EL (b)(c)	Y; N; N/EL (b)(c)	Y; N; N/EL (b) (c)	Y; N; N/EL (b)(c)	Y; N; N/EL (b)(c)	Y; N; N/EL (b)(c)	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. Taxonomy-eligible activities																			
A.1. Environmentally sustainable activities (taxonomy-aligned)																			
CapEx of environmentally sustainable activities (taxonomy-aligned)		n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	0%		
Of which enabling activities		n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	0%	E	
Of which transitional activities		n/a	n/a	n/a						n/a	n/a	n/a	n/a	n/a	n/a	n/a	0%		T
A.2 Taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities)																			
				EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)										
Electricity generation using solar photovoltaic technology	CCM 4.1	0.29	0.8%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								2.1%		
Operation of personal mobility devices, bicycle logistics , cycle logistics	CCM 6.4	0.04	0.1%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								0.1%		
Transport by motorbikes, passenger cars, and light commercial vehicles	CCM 6.5	0.98	2.6%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								2.5%		
Construction of new buildings	CCM 7.1	0.62	1.7%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								16.2%		
Renovation of existing buildings	CCM 7.2	0.04	0.1%														0.0%		
Installation, maintenance, and repair of energy-efficient equipment	CCM 7.3	0.02	0.1%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								0.0%		
Acquisition and ownership of buildings	CCM 7.7	1.74	4.6%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								5.1%		
Data processing, hosting, and related activities	CCM 8.1	0.09	0.2%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								0.1%		
Manufacture of electrical and electronic equipment	CE 1.2	0.87	2.3%	N/EL	N/EL	N/EL	N/EL	EL	N/EL								1.7%		
CapEx of taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities) (A.2)		4.68	12.5%	10.2%	0%	0%	0%	2.3%	0%								27.8%		
A. CapEx of taxonomy-eligible activities (A.1 + A.2)		4.68	12.5%	10.2%	0%	0%	0%	2.3%	0%								27.8%		
B. Taxonomy-non-eligible activities																			
CapEx of taxonomy-non-eligible activities		32.74	87.5%																
Total		37.43	100%																

Proportion of OpEx from products or services associated with taxonomy-aligned economic activities – Disclosure for the year 2025

Fiscal year 2025	2025			Substantial contribution criteria						DNSH criteria ("does not significantly harm")									
Economic activities (1)	Code (2) (a)	OpEx (3)	Proportion of OpEx, Year N (4)	Climate change mitigation (5)	Climate change adaptation (6)	Water (7)	Pollution (8)	Circular economy (9)	Biodiversity (10)	Climate change mitigation (11)	Climate change adaptation (12)	Water (13)	Pollution (14)	Circular economy (15)	Biodiversity (16)	Minimum protection (17)	Proportion of taxonomy-aligned (A.1.) or eligible (A.2.) OpEx, 2024 (18)	Category of enabling activities (19)	Category Transitional activities (20)
		Million EUR	%	Y; N; N/EL (b)(c)	Y; N; N/EL (b)(c)	Y; N; N/EL (b) (c)	Y; N; N/EL (b)(c)	Y; N; N/EL (b)(c)	Y; N; N/EL (b)(c)	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. Taxonomy-eligible activities																			
A.1. Environmentally sustainable activities (taxonomy-aligned)																			
OpEx of environmentally sustainable activities (taxonomy-aligned) (A.1)		n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a		
Of which enabling activities		n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	E	
Of which transitional activities		n/a	n/a	n/a						n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a		T
A.2 Taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities)																			
				EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)	EL; N/EL (f)										
Transport by motorbikes,passenger cars, and light commercial vehicles	CCM 6.5	0.14	2.3%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								2.7%		
Construction of new buildings	CCM 7.1	0.01	0.1%														0.0%		
Renovation of existing buildings	CCM 7.2	0.48	8.2%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								3.2%		
Installation, maintenance and repair of energy efficiency equipment	CCM 7.3	0.00	0.1%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								0.0%		
Acquisition and ownership of buildings	CCM 7.7	0.52	8.9%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								10.1%		
Data processing, hosting, and related activities	CCM 8.1	0.05	0.8%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								2.1%		
Manufacture of electrical and electronic equipment	CE 1.2	0.17	2.8%	N/EL	N/EL	N/EL	N/EL	EL	N/EL								3.2%		
OpEx of taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities) (A.2)		1.35	23.2%	20.3%	0%	0%	0%	2.8%	0%								21.3%		
A. OpEx of taxonomy-eligible activities (A.1 + A.2)		1.35	23.2%	20.3%	0%	0%	0%	2.8%	0%								21.3%		
B. Taxonomy-non-eligible activities																			
OpEx of taxonomy-non-eligible activities		4.48	76.8%																
Total		5.83	100%																

a) The code represents the abbreviation of the respective objective to which the economic activity can make a significant contribution, as well as the number of the section of the activity in the corresponding annex that covers the objective, i.e.

- Climate change mitigation (CCM)
- Climate change adaptation (CCA)
- Water (WTR)
- Circular economy (CE)
- Pollution prevention and control (PPC)
- Biodiversity and ecosystems (BIO)

b) Y – Yes, taxonomy-eligible and taxonomy-aligned activity with the relevant environmental objective
N – No, taxonomy-eligible and non-taxonomy-aligned activity with the relevant environmental objective
N/EL – Not eligible, non-taxonomy-eligible activity for the relevant environmental objective

c)

	Proportion of revenue/ Total revenue	
	Taxonomy-alignment per objective	Taxonomy-eligibility per objective
CCM	0%	0%
CCA	0%	0%
WTR	0%	0%
CE	0%	7.3%
PPC	0%	0%
Organic	0%	0%

	Proportion of CapEx/ Total CapEx	
	Taxonomy-alignment per objective	Taxonomy-eligibility per objective
CCM	0%	10.2%
CCA	0%	0%
WTR	0%	0%
CE	0%	2.3%
PPC	0%	0%
Organic	0%	0%

	Proportion of OpEx/ Total OpEx	
	Taxonomy-alignment per objective	Taxonomy-eligibility per objective
CCM	0%	20.3%
CCA	0%	0%
WTR	0%	0%
CE	0%	2.8%
PPC	0%	0%
Organic	0%	0%

f) EL – Eligible, taxonomy-eligible activity for the relevant environmental objective
N/EL – Not eligible, non-taxonomy-eligible activity for the relevant environmental objective

Template 1 Nuclear and fossil gas related activities

Row	Nuclear energy related activities	
1.	The undertaking carries out, funds or has exposures to research, development, demonstration and deployment of innovative electricity generation facilities that produce energy from nuclear processes with minimal waste from the fuel cycle.	No
2.	The undertaking carries out, funds or has exposures to construction and safe operation of new nuclear installations to produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production, as well as their safety upgrades, using best available technologies.	No
3.	The undertaking carries out, funds or has exposures to safe operation of existing nuclear installations that produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production from nuclear energy, as well as their safety upgrades.	No
	Fossil gas related activities	
4.	The undertaking carries out, funds or has exposures to construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels.	No
5.	The undertaking carries out, funds or has exposures to construction, refurbishment, and operation of combined heat/cool and power generation facilities using fossil gaseous fuels.	No
6.	The undertaking carries out, funds or has exposures to construction, refurbishment and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels.	No

Template 2 Taxonomy-aligned economic activities (denominator)

Row	Economic activities	Amount and proportion (presented in monetary amounts and as percentages)					
		(CCM + CCA)		Climate change mitigation		Climate Change Adaptation	
		Amount	%	Amount	%	Amount	%
1.	Amount and proportion of taxonomyaligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
2.	Amount and proportion of taxonomyaligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
3.	Amount and proportion of taxonomyaligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
4.	Amount and proportion of taxonomyaligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
5.	Amount and proportion of taxonomyaligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
6.	Amount and proportion of taxonomyaligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
7.	**Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI**	–	–	–	–	–	–
8.	**Total applicable KPIs**	–	**0%**	–	**0%**	–	**0%**

Template 3 Taxonomy-aligned economic activities (numerator)

Row	Economic activities	Amount and proportion (presented in monetary amounts and as percentages)					
		(CCM + CCA)		Climate change mitigation		Climate Change Adaptation	
		Amount	%	Amount	%	Amount	%
1.	Amount and proportion of taxonomy aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the numerator of the applicable KPI	–	–	–	–	–	–
2.	Amount and proportion of taxonomy aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the numerator of the applicable KPI	–	–	–	–	–	–
3.	Amount and proportion of taxonomy aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the numerator of the applicable KPI	–	–	–	–	–	–
4.	Amount and proportion of taxonomy aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the numerator of the applicable KPI	–	–	–	–	–	–
5.	Amount and proportion of taxonomy aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the numerator of the applicable KPI	–	–	–	–	–	–
6.	Amount and proportion of taxonomy aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the numerator of the applicable KPI	–	–	–	–	–	–
7.	**Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the numerator of the applicable KPI**	**–**	**–**	**–**	**–**	**–**	**–**
8.	**Total amount and proportion of taxonomy-aligned economic activities in the numerator of the applicable KPI**	**–**	**0%**	**–**	**0%**	**–**	**0%**

Template 4 Taxonomy-eligible but not taxonomy-aligned economic activities

Row	Economic activities	Proportion (presented in monetary amounts and as percentages)					
		(CCM + CCA)		Climate change mitigation		Climate Change Adaptation	
		Amount	%	Amount	%	Amount	%
1.	Amount and proportion of taxonomyeligible but not taxonomy-aligned economic activity referred to in Section 4.26 of Annexes I and II to the Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
2.	Amount and proportion of taxonomyeligible but not taxonomy-aligned economic activity referred to in Section 4.27 of Annexes I and II to the Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
3.	Amount and proportion of taxonomyeligible but not taxonomy-aligned economic activity referred to in Section 4.28 of Annexes I and II to the Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
4.	Amount and proportion of taxonomyeligible but not taxonomy-aligned economic activity referred to in Section 4.29 of Annexes I and II to the Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
5.	Amount and proportion of taxonomyeligible but not taxonomy-aligned economic activity referred to in Section 4.30 of Annexes I and II to the Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
6.	Amount and proportion of taxonomyeligible but not taxonomy-aligned economic activity referred to in Section 4.31 of Annexes I and II to the Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–	–	–	–	–
7.	**Amount and proportion of other taxonomy-eligible but not taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of theap**	**–**	**–**	**–**	**–**	**–**	**–**
8.	**Total amount and proportion of taxonomy eligible but not taxonomy aligned economic activities in the denominator of the applicable KPI**	**–**	**0%**	**–**	**0%**	**–**	**0%**

Template 5 Taxonomy non-eligible economic activities

Row	Economic activities		
		Amount	Percentage
1.	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.26 of Annexes I and II to Delegated Regulation (EU) 2021/2139, in the denominator of the applicable KPI	–	–
2.	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.27 of Annexes I and II to Delegated Regulation (EU) 2021/2139, in the denominator of the applicable KPI	–	–
3.	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.28 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–
4.	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.29 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–
5.	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.30 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–
6.	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.31 of Annexes I and II to Delegated Regulation (EU) 2021/2139 in the denominator of the applicable KPI	–	–
7.	**Amount and proportion of other taxonomy-non-eligible economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI**	**–**	**–**
8.	**Total amount and proportion of taxonomy-non-eligible economic activities in the denominator of the applicable KPI**	**–**	**0%**

MACROECONOMIC ENVIRONMENT AND INDUSTRY TRENDS

The macroeconomic and industry-specific conditions primarily relate to the subsidiaries of PVA TePla AG. Since PVA TePla AG generates its significant revenues from profit transfer agreements with its subsidiaries, these conditions are significant not only for the PVA TePla Group as a whole but also for the AG (stock corporation under German law) as a holding company.

The year 2025 continued to be characterized by an economic environment that showed signs of stabilization but remained marked by heightened geopolitical and trade-related uncertainties. While global growth rates remained at moderate levels, investing activities across much of the industry remained selective and cautious. At the same time, structural trends such as digitalization, automation, and the growing demand for high-performance semiconductor technology provided a boost to technology-driven markets.

For the PVA TePla Group, macroeconomic and industry-specific developments had a mixed impact during the reporting year. While structural demand in the semiconductor market, particularly in the area of high-performance logic and memory technologies, continued to provide positive momentum, regional differences and geopolitical uncertainties led in some cases to delays in investment decisions.

Accordingly, order intake picked up over the course of the year, albeit with varying regional dynamics. However, due to the partly project-based business structure and the typically time-lagged recognition of revenue, these demand impulses did not immediately translate into revenue. At the same time, delays in project acceptance as well as an overall selective willingness to invest among individual customer groups meant that the positive market development was not reflected in earnings across all business segments or at the same pace.

The trade policy developments described, including existing export restrictions and customs measures, led to uncertainties and project-related delays that impacted revenue and earnings performance in the reporting year. While the effects of trade barriers on the PVA TePla Group's direct business were not significant, they manifested themselves indirectly through a partially increased reluctance among individual customers to make investment decisions.

Against this backdrop, the PVA TePla Group has consistently further developed its strategic focus and further sharpened its positioning in growth areas such as material solutions, metrology, and automation. Increasing diversification into various end markets helps to cushion cyclical fluctuations and sustainably strengthen the resilience of the business model.

Global economy: subdued global growth in an uncertain environment

The global economy developed moderately overall in 2025 and continued to be characterized by subdued growth momentum. According to estimates by the Kiel Institute for the World Economy, global economic growth in the reporting year stood at around 3%, remaining below the levels seen in previous economic recovery phases. Economic development was characterized by only a modest recovery in industrial activity and generally subdued global demand.

Global industrial production and world trade, which are of central importance to investment-intensive industries, showed a generally moderate trend over the course of the year. Although individual leading indicators pointed to stabilization, a significant acceleration in economic momentum did not materialize. Investing activities in the industry remained selective and characterized by caution. This was also reflected in a partial delay in order placement in individual market segments of the PVA TePla Group.

The global economic environment thus remained characterized by heightened uncertainties in 2025 as well. These resulted in particular from geopolitical tensions, trade policy uncertainties, and protectionist tendencies, which contributed to an increasing fragmentation of global trade. In addition, the restructuring of global supply chains, the transformation of energy- and resource-intensive production structures, and an overall cautious attitude toward investment in large parts of the industry had a dampening effect on economic momentum.[8]

Euro area: economic stabilization amid continued subdued momentum

Economic development in the euro area remained subdued overall in 2025. Following the weak momentum of previous years, a gradual stabilization continued, but a strong economic upswing failed to materialize. Real gross domestic product grew only moderately in the reporting year.

Industrial activity also remained below average in 2025. Overall subdued investing activities, only tentatively picking up external demand, and persistent uncertainties weighed on industrial activity. While leading indicators pointed to stabilization over the course of the year, a broad recovery in industrial production failed to materialize.

Macroeconomic conditions improved gradually over the course of the year. Inflation in the eurozone continued to decline and approached the European Central Bank's target. As a result, monetary policy restrictions eased, leading to a gradual normalization of financing conditions for companies. At the same time, many companies remained selective in their investment decisions, as geopolitical risks, structural adjustments, and generally subdued demand continued to lead to caution regarding major investment decisions.

While energy-intensive industries continued to face comparatively high cost structures in 2025, demand in technology-driven sectors proved more robust overall. Structural factors such as digitalization, automation, and the need for more efficient production processes supported individual market segments, though they did not trigger a significant acceleration in overall economic momentum in the eurozone in the short term.

Overall, economic development in the eurozone thus remained characterized by moderate growth momentum in 2025 as well. A sustained revival of industrial activity is not expected until the global environment stabilizes further.[9]

[8] Kiel Economic Reports No. 126 (2025 | Q3) – The Global Economy in Fall 2025: Momentum Remains Sluggish.
[9] Kiel Institute for the World Economy (IfW Kiel): Kiel Economic Reports No. 126 (2025 | Q3), September 2025.
Supplementary: European Commission: European Economic Forecast, Autumn 2025, November 2025.

China's economy: solid growth amid structural and geopolitical headwinds

The Chinese economy continued to develop in 2025 with stable, though not accelerated, growth momentum. According to the National Bureau of Statistics of China, real gross domestic product grew again by around 5% in the reporting year, remaining at a level similar to the previous year. Growth was driven, among other things, by government support measures and an overall stable performance in selected economic sectors.

At the same time, significant structural headwinds persisted. The ongoing weakness in the real estate sector continued to dampen investment and financing channels. Additionally, high levels of corporate and local government debt limited overall investment appetite. Industrial production grew only moderately over the course of the year, while fixed-asset investment also showed only modest growth.

Furthermore, the economic environment continued to be shaped by geopolitical tensions. The ongoing technology conflict between the U.S. and China, as well as expanded export controls on advanced semiconductors and manufacturing technologies, influenced investment decisions by Chinese companies. At the same time, China intensified its industrial policy measures to strengthen technological self-reliance and expand domestic value chains.

Against this backdrop, demand in the Chinese semiconductor industry remained fundamentally present but developed unevenly. While individual investment projects were delayed due to regulatory uncertainties and geopolitical risks, certain sectors continued to benefit from the expansion of domestic production, manufacturing, and testing infrastructures. China thus remained a significant yet challenging market for technology-intensive industries in 2025.[10]

USA: robust economy with moderate slowdown

The U.S. economy remained comparatively robust in 2025. According to OECD estimates, real gross domestic product grew by around 2% in the reporting year, remaining above the growth rates of many other advanced economies. Economic development was driven primarily by stable domestic demand and sustained high levels of corporate investing activities.

Monetary policy conditions became more supportive over the course of the year. Inflationary pressures continued to ease; consumer price inflation averaged around 2.5% in 2025, moving closer to the Federal Reserve's target. Against this backdrop, the Federal Reserve initiated a cautious easing of its previously restrictive monetary policy, which gradually improved financing conditions for businesses. At the same time, the expansion of domestic production capacity remained a key driver of growth.

Against a backdrop of geopolitical tensions, trade policy uncertainties, and industrial policy support programs, companies invested particularly in strategically relevant industries such as the semiconductor industry. The U.S. thus remained an important market for providers of plant, process, and metrology solutions in 2025 as well, although growth was more moderate overall over the course of the year.[11]

[10] National Bureau of Statistics of China (NBS): National Economy Pushed Forward with Innovation-led and High-quality Development and Expected Targets Achieved Successfully in 2025, Press Release dated January 19, 2026.
Kiel Institute for the World Economy (IfW Kiel): Kiel Economic Reports and global economic analyses on China.
European Commission: European Economic Forecast, Autumn 2025, international chapters.

[11] OECD: Economic Outlook, Volume 2025 Issue 2, December 2025, United States section.

Industry trends: significant market recovery in the semiconductor industry

The global semiconductor industry saw a strong recovery in 2025 following the cyclical downturn of previous years. According to World Semiconductor Trade Statistics (WSTS), the global semiconductor market grew by 22% in the reporting year to a market volume of approximately USD 772 billion. This growth was driven in particular by strong demand for logic and memory chips, which are primarily used in data centers, high-performance computers, and other artificial intelligence applications.

Market dynamics varied by region. While the semiconductor markets in North America and the Asia-Pacific region grew significantly, the European market saw more moderate growth. In addition to logic and memory, other product segments also showed a gradual recovery, albeit with less momentum.

Despite the significant market recovery, investment decisions in the semiconductor industry continued to be shaped by regional and geopolitical conditions. Leading manufacturers continued programs already underway to expand and modernize manufacturing capacity in order to remain competitive in the long term. Global semiconductor manufacturing capacity thus reached a high level. However, new investment decisions were made with regional variation and, in some cases, with a degree of caution regarding timing.

For providers of equipment, process, and metrology solutions, this development generally results in positive structural market conditions. Nevertheless, investments in new capacity varied by region and were sometimes staggered over time. Combined with project-related delays in acceptance, this meant that the market recovery in the reporting year was not reflected in revenue and earnings across all business segments or during the same period.[12]

In addition to the semiconductor industry, PVA TePla operates in other technology-driven markets, some of which also encompass semiconductor-related applications. However, their development is more project- and customer-specific and is therefore less directly reflected in global market statistics.

GROUP BUSINESS DEVELOPMENT

Overall statement by the Management Board

The 2025 fiscal year fell short of initial expectations in terms of revenue and earnings performance. The Group started the year with a lower order volume compared to the previous year and thus reduced revenue visibility, while the recovery in order intake only became clearly apparent as the year progressed. Delays in the project execution of orders already received due to trade policy uncertainties had an additional negative impact. Following the mid-year adjustment of the guidance, revenue and earnings remained within the updated guidance range.

As part of strategic development, personnel and organizational capacities were expanded and technological and international structures were strengthened. This structural increase in costs occurred against a backdrop of lower revenue, causing earnings growth to weaken disproportionately.

[12] World Semiconductor Trade Statistics (WSTS): Global Semiconductor Market Approaches USD 1 Trillion in 2026, Autumn 2025 Forecast.

The gross margin (gross profit relative to revenue) remained largely stable despite the decline in revenue, indicating that price and cost ratios in the operating business have not deteriorated structurally. Nevertheless, this development highlights that revenue momentum and project execution fell short of the original plan in the reporting year.

The significant increase in order intake over the course of the year underscores the continuing structural demand in the target markets and confirms the Group's strategic direction. The Management Board therefore assesses the 2025 fiscal year as operationally challenging. At the same time, key structural foundations for future growth have been established.

Key figures for the PVA TePla Group

	2024	2025	Change
Revenue	270.1	244.3	– 9.6%
Gross profit	88.0	77.8	– 11.6%
EBITDA	47.8	25.3	– 47.0%
EBITDA margin (in %)	17.7	10.4	– 7.34 pp
EBIT	39.6	15.1	– 62.0%
EBIT margin (in %)	14.7	6.2	– 8.5 pp
Pre-tax profit	39.0	8.5	– 78.1%
Net income	27.1	7.6	– 71.8%

Comparison with guidance

In October 2025, PVA TePla AG updated its guidance for the 2025 fiscal year in light of project-related delays and customers postponing investment decisions due to trade policy uncertainties.

The adjusted guidance was met for the key performance indicators relevant to management – revenue and EBITDA – within the updated ranges. The ranges of the original guidance were not met.

In EUR million	Original 2025 Guidance	Revised guidance for 2025	Actual 2025
Revenue	260 – 280	235 – 255	244.3
EBITDA	34 – 39	25 – 30	25.3

Order intake

Order intake amounted to EUR 267.6 million in the reporting period (previous year: EUR 150.6 million), significantly exceeding the prior-year figure. This corresponds to a book-to-bill ratio of approximately 1.10 (previous year: 0.56).

Increased investment by customers over the past year, as well as the awarding of previously delayed projects, is reflected in this development.

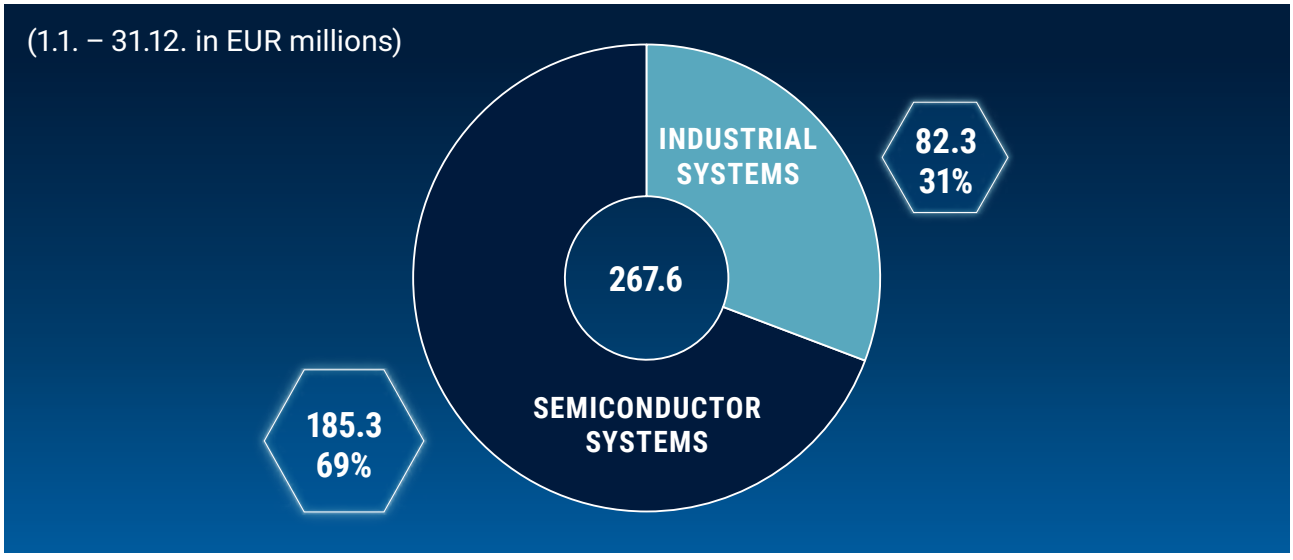
In the Semiconductor Systems segment, order intake increased to EUR 185.3 million (previous year: EUR 98.8 million) and accounted for approximately 69% (previous year: 66%) of total order intake.

Order intake in the Industrial Systems segment amounted to EUR 82.3 million (previous year: EUR 51.8 million) and accounted for approximately 31% (previous year: 34%).

At product group level, 59% of order intake was attributable to Material Solutions and 41% to Metrology. Both product groups recorded significant growth compared to the previous year. Metrology thus remained a key component of order intake.

Regionally, approximately 49% (previous year: 40%) of order intake came from Asia, followed by Europe, including Germany, with approximately 31% (previous year: 38%), and the Americas with approximately 20% (previous year: 21%).

Revenue recognition from order intake depends on the product group and order structure. While a portion of the orders is recognized as revenue within twelve months, longer recognition periods extend beyond this timeframe, particularly for more complex plant and system solutions in the Material Solutions segment.



Revenue and earnings

The PVA TePla Group's revenue for the reporting period amounted to EUR 244.3 million (previous year: EUR 270.1 million) and was thus below the prior-year figure. This was due to the fact that, at the beginning of the year, a lower order volume than in the previous year was available for revenue recognition. Delays in the implementation and acceptance of individual projects also affected the timing of revenue recognition.

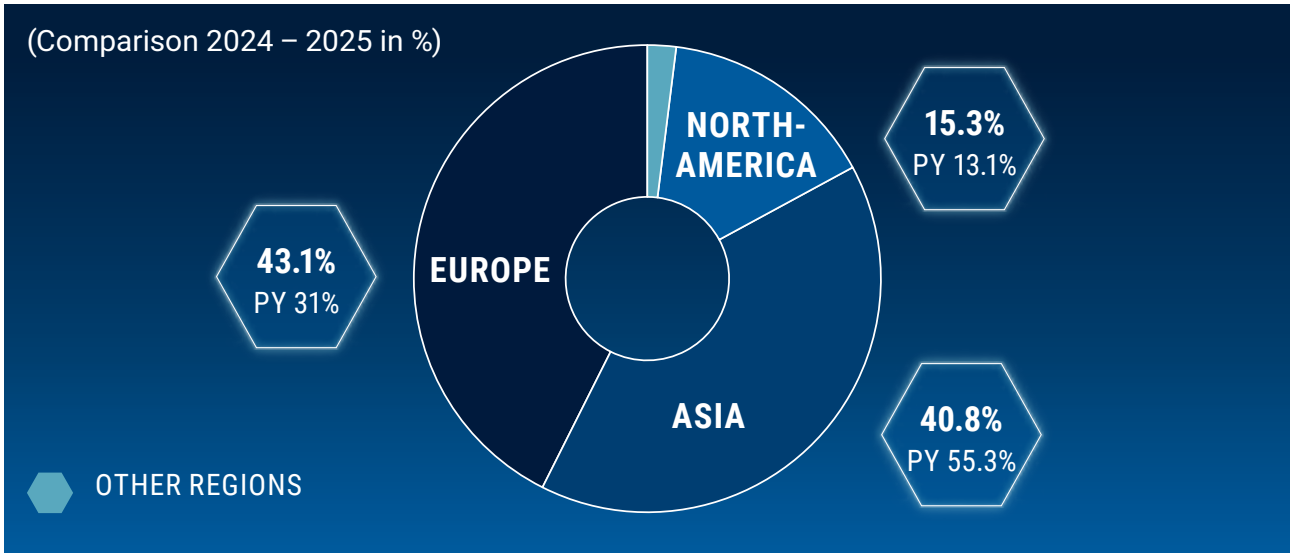
These delays were particularly related to trade policy and regulatory conditions in international business. Prolonged approval and review processes, export control issues, and geopolitically influenced investment decisions led to project timelines being extended and, in some cases, acceptance taking place later than originally planned. In addition, the willingness of certain customer groups to invest was at times subdued over the course of the year. As a result, projects entered a revenue-generating phase later than originally planned. Accordingly, production capacity utilization was reduced at times. Revenue performance thus reflects both timing effects in the project business and weaker order intake momentum in the prior year.

In contrast, order intake developed very positively over the course of the year. New orders will primarily contribute to revenue in subsequent periods.

Revenue contribution by region

Europe is the largest market for sales, but Asia still remains central to semiconductor value creation

From a regional perspective, Europe, including Germany, was the Group's largest sales market with revenue of EUR 105.2 million (previous year: EUR 83.9 million). Its share of total revenue was approximately 43.1% (previous year: approximately 31.0%). The development in Europe is attributable in particular to a higher rate of project completion for ongoing projects compared to other regions.



The Asian market generated revenue of EUR 99.6 million (previous year: EUR 149.4 million), remaining a key revenue driver for the Group. Its share of total revenue was approximately 40.8% (previous year: approximately 55.3%). The decline reflects lower order intake momentum in the prior year as well as project delays in the reporting year. Within Asia, China, Singapore, Hong Kong, and Taiwan were among the most significant markets. Regardless of direct sales, the region remains of central importance for business development due to its role in global technology and supply chains.

In North America, revenue of EUR 37.4 million (previous year: EUR 35.3 million) was slightly above the prior-year level. The share of consolidated revenue was approximately 15.3% (previous year: 13.1%).

Revenue in other regions amounted to EUR 2.0 million (previous year: EUR 1.5 million).

Gross margin remains stable

The cost of revenue amounted to EUR 166.4 million in the reporting period (previous year: EUR 182.1 million). The decline is primarily attributable to lower revenue volume. The temporary reduction in production capacity utilization impacted the cost structure without, however, leading to a fundamental change in operational efficiency.

Gross profit amounted to EUR 77.8 million (previous year: EUR 88.0 million). The gross margin stood at 32.0% (previous year: 32.6%) and thus remained stable despite the lower revenue volume.

While sales volume declined, manufacturing costs decreased largely in proportion. This is primarily attributable to the Group's flexible cost structure. In particular, variable cost components could be adjusted to the lower production and project volume. In addition, a favorable product mix had a positive impact on the gross margin. This development underscores stable cost control in the area of manufacturing costs, while the absolute gross profit was below the prior-year level due to lower volumes.

Expenses for sales, administration, and R&D

The change in sales, administration, and R&D costs should be viewed against the backdrop of targeted measures for the structural further development of the business model. In the reporting year, personnel and organizational capacities were expanded in particular to strengthen the Group's market development, technological expertise, and scalability. These measures are geared toward future growth and increase the cost base in the short term.

Selling expenses amounted to EUR 22.9 million in the reporting period (previous year: EUR 18.5 million). The selling expense ratio increased to 9.4% of revenue (previous year: 6.8%). The increase in the ratio is attributable both to the lower revenue volume and to the deliberate expansion of the company's own, market-oriented sales and service functions, as well as stronger internal management of market development, which led to higher absolute expenses. At the same time, the cost structure shifted in favor of the company's own resources, while commission-based compensation components became less significant.

General and administrative expenses rose to EUR 24.1 million in the reporting period (previous year: EUR 20.6 million). The ratio increased accordingly to 9.9% of revenue (previous year: 7.6%). Here, too, the lower revenue volume had the effect of raising the ratio. The increase in costs is primarily attributable to targeted upfront investments in structures, processes, and human resources for the further development of the business model.

Research and development (R&D) expenses increased significantly to EUR 17.1 million (previous year: EUR 11.7 million). The R&D ratio rose accordingly to 7.0% of revenue (previous year: 4.3%). In addition to the ratio-increasing effect of lower revenue volume, this increase reflects the deliberate intensification of development activities as part of the strategic advancement of the PVA TePla Group, with the aim of achieving a broader and more scalable technological footprint.

Development services provided in connection with specific customer orders continue to be billed on a project basis and are not included in R&D costs. Further information on research and development activities can be found in the section "Group Fundamentals – Research and Development."

Other operating income amounted to EUR 6.7 million in the reporting period (previous year: EUR 5.0 million) and consisted primarily of income from foreign exchange gains and government grants. Other operating expenses rose to EUR 5.4 million (previous year: EUR 2.6 million), primarily due to higher foreign exchange losses.

Decline in earnings due to lower capacity utilization and structural expansion

EBITDA amounted to EUR 25.3 million in the reporting period (previous year: EUR 47.8 million). The EBITDA margin was 10.4% (previous year: 17.7%). In addition to the volume-related decline in earnings, increased operational structural costs – namely expenses for the expansion of central administrative and management functions, additional personnel resources in sales and service, investments in IT and organizational structures, as well as increased research and development expenses – contributed significantly to the reduction in margins. In addition, lower capacity utilization at times during the year led to a temporary strain on margin development.

The operating result (EBIT) decreased to EUR 15.1 million (previous year: EUR 39.6 million). Accordingly, the EBIT margin fell to 6.2% (previous year: 14.7%).

The financial result for the reporting period amounted to EUR –6.5 million (previous year: EUR –0.6 million). The year-over-year change is attributable, among other things, to valuation-related effects in connection with the investment in Scientific Visual SA amounting to EUR 2.7 million. These include, in particular, the impairments recognized as of December 31, 2025, on the investment and the associated derivative financial instruments. In addition, higher financing costs had an impact.

Earnings before taxes decreased accordingly to EUR 8.5 million (previous year: EUR 39.0 million).

Income taxes amounted to EUR 0.9 million (previous year: EUR 11.9 million). This resulted in a profit after taxes of EUR 7.6 million (previous year: EUR 27.1 million).

Basic and diluted earnings per share amounted to EUR 0.37 (previous year: EUR 1.25).

The effects of the share buyback program launched in fiscal year 2024 and continued in the reporting year are explained in Chapter H of the Notes to the Consolidated Financial Statements.

Business performance by segment

Key figures by segment

in EUR '000	Semiconductor Systems			Industrial Systems		
	2024	2025	+/–	2024	2025	+/–
Revenue	187,578	156,624	– 16.5%	82,537	87,633	6.2%
Gross profit	70,533	60,005	– 14.9%	22,039	22,619	2.6%
EBITDA	40,171	22,918	– 42.9%	14,085	9,883	– 29.8%

Holding costs

2024 (EUR '000)	2025 (EUR '000)	+/– (%)
– 6,445	– 7,485	– 13.9%

In the 2025 fiscal year, we implemented further targeted measures within the holding company to further develop the organization structurally and lay the groundwork for future business scaling. Holding costs primarily include central administrative, control, and management expenses, including personnel and IT costs as well as external consulting services. In the reporting year, the focus was on expanding central functions, investing in IT and organizational structures, and further developing Group-wide control processes.

Holding costs amounted to EUR 7.5 million (previous year: EUR 6.4 million). The increase primarily reflects these targeted structural and organizational measures.

The PVA TePla Group's research and development costs recognized in the consolidated income statement amounted to EUR 17.1 million in fiscal year 2025 (previous year: EUR 11.7 million). The majority of these costs continued to be attributable to the Semiconductor Systems segment, where equipment and system development requires continuous technological advancement. In the Industrial Systems segment, research and development is primarily project-based.

Revenue and earnings performance by segment

The external revenue figures presented below refer to revenue from third parties. The reported gross profit and gross margin, however, are calculated based on the respective segment's total revenue, including internal segment revenue.

In the **Semiconductor Systems** segment, the PVA TePla Group generated external revenue of EUR 156.6 million in fiscal year 2025 (previous year: EUR 187.6 million). The decline is primarily attributable to weaker order intake momentum in the second half of the previous year, which was reflected in a lower revenue base in the reporting year. In addition, timing shifts in project implementation as well as a generally more selective investment behavior among individual customer groups led to reduced revenue recognition in fiscal year 2025.

Gross profit amounted to EUR 60.0 million (previous year: EUR 70.5 million). The gross margin remained stable at 37.7% (previous year: 37.3%). This trend indicates that the decline in revenue was reflected in the absolute gross profit due to lower volumes, while the cost structure in the area of manufacturing costs remained stable overall.

EBITDA reached EUR 22.9 million (previous year: EUR 40.2 million). In addition to the lower revenue level, increased research and development expenses as well as additional expenses related to organizational and structural development had a negative impact on earnings.

In the **Industrial Systems** segment, external revenue of EUR 87.6 million (previous year: EUR 82.5 million) was generated in fiscal year 2025.

Gross profit amounted to EUR 22.6 million (previous year: EUR 22.0 million), corresponding to a gross margin of 24.7% (previous year: 22.6%). The change in the gross margin is primarily attributable to the shift in revenue mix, particularly a lower volume of intra-segment revenue compared to the previous year.

EBITDA amounted to EUR 9.9 million (previous year: EUR 14.1 million). The year-over-year decline is primarily attributable to higher other operating expenses as well as the expansion of organizational and administrative structures, which had an impact on earnings below gross profit. The segment continues to be characterized by a broad customer base across various industrial applications.

FINANCIAL POSITION

The financial position of the PVA TePla Group in the reporting year was characterized by a continued high level of investment, period-related fluctuations in working capital, and the repurchase of treasury shares. Despite the change in the net financial position, the Group continues to have a solid equity base and sufficient financial flexibility.

Principles and objectives of financial management

The PVA TePla Group's financial management is centrally managed by the holding company. A cash pool structure within most German subsidiaries ensures that significant cash and cash equivalents are concentrated in the parent company's main accounts. Intercompany loan agreements efficiently regulate intra-group financing flows.

The existing syndicated loan agreement serves as the Group's primary source of financing and ensures long-term liquidity security. The credit lines remained largely unchanged; for the credit line for long-term investments, only the drawdown period expired, so the unused portion lapsed and existing drawdowns continue. As of the reporting date, committed but unused credit lines amount to EUR 96.9 million. The interest-rate-dependent terms remain linked to defined financial ratios.

PVA TePla uses derivative financial instruments to hedge foreign currency risks. Management is handled by the central treasury, which hedges cash flows from existing customer transactions using forward exchange contracts.

Cash flow development

Cash flow from operating activities amounted to EUR 11.8 million in fiscal year 2025 (previous year: EUR 46.2 million). The year-over-year decline is primarily attributable to changes in working capital and the significantly lower net income.

Within working capital, the reduction in contract liabilities from advance payments already received and changes in trade payables had a liquidity-reducing effect. These effects are related to the progress of individual customer projects. In addition, some investment restraint and delays in order placements or project starts led to lower cash inflows from advance payments compared to the previous year. Overall, these developments reflect the fluctuations in working capital characteristic of the project business.

Cash outflow from investing activities increased to EUR – 29.7 million (previous year: EUR – 23.3 million). In addition to continued high investments in intangible assets and Property, plant and equipment totaling EUR – 25.5 million, EUR – 4.7 million was attributable to the acquisition of consolidated companies. The investments were related to the expansion of production and development capacities as well as the strategic further development of the technology portfolio.

Cash flow from financing activities amounted to EUR 5.5 million (previous year: EUR – 6.0 million). This resulted primarily from the raising of additional financial loans totaling EUR 25.1 million, offset by payments for the repurchase of treasury shares amounting to EUR – 14.5 million, interest payments, and scheduled repayments.

Overall, cash and cash equivalents decreased by EUR – 12.4 million to EUR 17.9 million (previous year: EUR 31.4 million). Exchange rate fluctuations had an additional negative impact of EUR 1.1 million.

Development of cash and cash equivalents and financing structure

Financial liabilities increased as of December 31, 2025, to a total of EUR 48.4 million (previous year: EUR 24.6 million) and result primarily from the increased utilization of the existing syndicated loan agreement. This loan is denominated in euros, matures on May 15, 2029, and bears a variable interest rate. The raising of additional credit facilities was in line with the strategic investment plan. The financial position of the PVA TePla Group is thus solid and enables the continued implementation of our corporate strategy.

The net financial position (balance of cash and cash equivalents and current and non-current financial liabilities) amounted to EUR –30.5 million as of the balance sheet date (previous year: EUR 6.8 million). The change is primarily attributable to the increased investment volume, the repurchase of treasury shares, and changes in working capital over the course of the year.

Shareholders' equity decreased to EUR 142.8 million as of December 31, 2025 (previous year: EUR 150.3 million). The decline is primarily attributable to the repurchase of treasury shares. At around 50%, the equity ratio remained at a solid level, as in the previous year.

ASSETS

As of December 31, 2025, the PVA TePla Group's total assets amounted to EUR 284.5 million, down from the level at the end of 2024 (previous year: EUR 299.5 million). The decline is primarily attributable to the share buyback program continued during the reporting year, as well as a lower volume of customer prepayments received in the project business. In addition, investments and changes in working capital impacted the balance sheet structure.

Non-current assets

Non-current assets increased significantly to EUR 112.2 million (previous year: EUR 94.3 million). This was driven in particular by the rise in property, plant and equipment to EUR 74.9 million (previous year: EUR 58.6 million) as a result of cross-site investments in production and infrastructure capacities. In addition, intangible assets increased to EUR 28.8 million (previous year: EUR 20.2 million), partly as a result of acquisitions made during the reporting year.

This development underscores the continued upfront investments in production capacity, technology, and strategic growth areas.

Current assets

Current assets decreased to EUR 172.3 million at the end of 2025 (previous year: EUR 205.1 million). This was primarily due to the significant decline in inventories to EUR 69.3 million (previous year: EUR 84.5 million) as a result of further progress in project execution.

Contract assets also declined to EUR 21.5 million (previous year: EUR 28.8 million). Receivables and other assets, at EUR 57.5 million, were slightly below the previous year's level (previous year: EUR 59.9 million) and reflect an overall balanced billing volume at year-end.

Overall, the development of current assets reflects further project progress in the existing business portfolio alongside lower new business volume during the fiscal year.

Cash and cash equivalents and financing structure

Cash and cash equivalents amounted to EUR 17.9 million as of December 31, 2025 (previous year: EUR 31.4 million). The decline resulted primarily from the high volume of investments, the repurchase of treasury shares, and working capital-related effects over the course of the year.

Long-term debt stood at EUR 45.9 million, virtually unchanged from the prior year (prior year: EUR 44.9 million), while short-term debt decreased to EUR 95.7 million (prior year: EUR 104.3 million). The main driver was the further reduction of contract liabilities to EUR 36.2 million (previous year: EUR 61.4 million), reflecting the scheduled progress of projects. The typically offsetting effect from newly received projects was lower in the reporting year, so that total advance payments received were below the previous year's level.

SUMMARY REPORT ON THE ANNUAL FINANCIAL STATEMENTS OF PVA TEPLA AG

The annual financial statements of PVA TePla AG were prepared in accordance with the provisions of the German Commercial Code (HGB) as currently in force. The "Summary Report on the Separate Financial Statements of PVA TePla AG" supplements the consolidated financial statement by providing specific information on the financial position and business performance of the parent company.

The report includes key information on the net assets, financial position, and results of operations of PVA TePla AG, as well as information on significant events after the balance sheet date. It serves to clarify the financial relationships between the parent company and its subsidiaries and forms the basis for the appropriation of profits.

Accounting is conducted in accordance with generally accepted accounting principles and in compliance with German accounting regulations.

Management

The Management Board manages the parent company based on EBIT.

The operating result (EBIT) amounted to EUR – 16.1 million in fiscal year 2025 (previous year: EUR – 7.0 million), significantly below the prior-year level. It fell short of the guidance issued in the previous year (roughly at the prior-year level). This was primarily due to the significant increase in other operating expenses in connection with further organizational expansion, as well as increased expenses for central management, service, and support functions within the Group.

Economic position of PVA TePla AG

The company provides services to other Group companies. PVA TePla AG's revenue primarily consists of service fees from subsidiaries. As of the balance sheet date, the company employed 105 staff members (previous year: 83).

In fiscal year 2025, PVA TePla AG generated revenue of EUR 19.2 million (previous year: EUR 18.7 million). Taking inventory changes into account, total revenue amounted to EUR 19.8 million (previous year: EUR 19.1 million). Other operating income amounted to EUR 3.4 million (previous year: EUR 1.6 million). The increase resulted from several individual items, none of which had a significant individual impact.

Cost of materials was EUR 0.7 million (previous year: EUR 0.4 million).

Personnel expenses increased to EUR 10.0 million (previous year: EUR 9.1 million) and are related to the continued expansion of the workforce.

Depreciation and amortisation amounted to EUR 1.8 million (previous year: EUR 1.5 million).

Other operating expenses rose significantly to EUR 26.8 million (previous year: EUR 16.6 million). This was primarily due to further organizational expansion and increased expenses for central management, service, and support functions within the Group. Currency effects also had an impact.

The operating result (EBIT) amounted to EUR – 16.1 million (previous year: EUR – 7.0 million).

Net financial income fell significantly to EUR 22.0 million (previous year: EUR 45.6 million) and continued to be largely driven by income from profit transfer agreements with subsidiaries. The year-over-year decline is primarily attributable to lower profit transfers, as well as depreciation and amortisation on financial assets (primarily related to shares in a German subsidiary) and expenses from loss absorption.

After deducting income taxes and other taxes, PVA TePla AG reported a net income of EUR 4.8 million for the 2025 fiscal year (previous year: EUR 26.8 million).

Taking into account the retained earnings from the prior year and the expense from the acquisition of Treasury shares, this results in retained earnings of EUR 85.0 million (prior year: EUR 94.2 million), which are to be carried forward to new account.

Assets

Total assets increased during the reporting period from EUR 204.5 million to EUR 212.9 million. This was primarily due to investments in property, plant, and equipment as well as increased receivables from affiliated companies. Non-current assets increased to EUR 72.6 million (previous year: EUR 60.0 million). This was primarily due to the significant increase in property, plant and equipment to EUR 37.1 million (previous year: EUR 24.9 million), which is mainly attributable to investments in assets under construction as well as technical equipment and machinery.

Financial assets amounted to EUR 34.6 million (previous year: EUR 34.6 million) and consist primarily of shares in affiliated companies. While shares in affiliated companies increased due to the acquisition of two subsidiaries, the securities reported under non-current assets in the previous year were sold in their entirety.

Current assets decreased to EUR 139.4 million (previous year: EUR 143.9 million). This was primarily due to the decline in cash and cash equivalents to EUR 10.0 million (previous year: EUR 26.1 million), while receivables from affiliated companies continued to rise.

On the liabilities side, Shareholders' equity decreased to EUR 107.6 million (previous year: EUR 117.8 million). The decrease is primarily attributable to the effect of the repurchase of Treasury shares in fiscal year 2025.

Liabilities to banks increased significantly to EUR 40.7 million (previous year: EUR 16.0 million) and are related to the financing of investments in fixed assets as well as general liquidity management measures, including in light of the share buyback program implemented.

Liabilities to affiliated companies decreased to EUR 43.0 million (previous year: EUR 51.5 million). As of the balance sheet date, the equity ratio stood at 50.5% (previous year: 57.6%). The decline reflects not only the lower net income for the year but, in particular, the increase in financial liabilities.

Financial Position

Cash and cash equivalents amounted to EUR 10.0 million as of the balance sheet date (previous year: EUR 26.1 million). At the same time, liabilities to banks increased significantly to EUR 40.7 million (previous year: EUR 16.0 million).

The net financial position (cash and cash equivalents minus bank liabilities) decreased accordingly from EUR + 10.1 million in the prior year to EUR – 30.7 million. The increase in bank liabilities is related to the financing of investments made during the fiscal year, the acquisition of new subsidiaries, and general liquidity management, particularly in light of the share buyback program implemented. This development thus reflects the investment and financing measures implemented during the fiscal year.

The net balance of receivables and liabilities from affiliated companies amounted to EUR 75.6 million (previous year: EUR 62.5 million) and reflects intra-group financing relationships.

Risks and opportunities

Since the Company acts as the holding company of the PVA TePla Group, the risks and opportunities of PVA TePla AG essentially correspond to those of the Group. In this regard, we refer to the section “Risks and Opportunities” in the consolidated Management Report.

Appropriation of profits

The individual financial statements of PVA TePla AG as of December 31, 2025 (in accordance with commercial law) show a net income of EUR 4.8 million (previous year: EUR 26.8 million) and retained earnings of EUR 85.0 million (previous year: EUR 94.2 million).

The Management Board and Supervisory Board propose that the retained earnings reported in the 2025 financial statements be carried forward in full to new account. No dividend is to be distributed for the 2025 fiscal year.

In the 2025 fiscal year, the share buyback program was continued and completed as planned. The acquisition of Treasury shares was recognized directly in Shareholders’ equity in accordance with commercial law. No withdrawals were made from the capital or retained earnings reserves.

Guidance

For the 2026 fiscal year, we expect an operating result roughly on par with that of the 2025 fiscal year, continuing to be influenced by expenses affecting net income related to organizational and structural measures.

The Company’s performance depends significantly on the earnings contributions of the subsidiaries under the existing profit transfer agreements as well as on the scope of intra-group service relationships. Economic and market-specific developments affect PVA TePla AG indirectly through the business performance of its subsidiaries.

RISK AND OPPORTUNITY REPORT

Our risk and opportunity policy aims to ensure sustainable growth and increase corporate value. In doing so, we actively manage risks to avoid undue threats, while simultaneously identifying and capitalizing on opportunities to strengthen our competitiveness. Risk management is an integral part of our corporate strategy and is continuously refined.

We operate in a dynamic market environment that presents both risks and opportunities. Risks are potential events that could impair our financial stability or profitability. Opportunities, on the other hand, offer potential to improve our market position or increase profitability. We do not offset these against each other; rather, we assess and manage both aspects separately.

We report on risks whose occurrence could have a significant negative impact on our net assets, financial position, and earnings. It cannot be ruled out that we are exposed to other risks that are not yet known or are currently classified as immaterial.

At the same time, our dynamic market environment continuously gives rise to further opportunities that, when considered individually, are not material but, taken together, can provide significant growth momentum. Our assessment of opportunities is subject to ongoing adjustments, as markets, technologies, and business conditions are constantly evolving. Through forward-looking action and strategic decisions, we specifically leverage potential to strengthen our market position.

Risk and opportunity strategy

In the PVA TePla Group's core areas of expertise, we consciously take on manageable risks if they are either unavoidable or associated with reasonable profit expectations. Our internal reporting system enables close monitoring of these risks as business progresses.

Where possible, we transfer risks in supporting processes to external risk bearers. This includes, in particular, insurance for potential claims or liability risks, as well as the strategic outsourcing of risks to suppliers and the use of a low level of vertical integration. These measures help us reduce our level of risk, maintain our flexibility in production and cost structure, and avoid or mitigate losses. We avoid risks that have no direct connection to core or support processes entirely whenever possible.

The PVA TePla Group's risk policy is established by the Management Board. We define clear responsibilities for all relevant risks and opportunities. Hierarchical responsibility is determined by the significance of the respective risk or opportunity. Our risk strategies are based on regular risk identification and assessment and encompass the following categories:

- **Identify and Monitor:** Continuous monitoring of potential risks.
- **Avoidance:** Identification and elimination of unacceptable risks.
- **Transfer:** Utilization of external risk carriers for risk hedging.
- **Acceptance:** Deliberately assuming acceptable risks within defined parameters.

Our opportunity strategy is continuously refined as part of regular strategic processes for our business segments.

Internal control system related to the financial reporting process and risk management system

As part of our financial reporting, we specifically analyze and assess identified risks of the PVA TePla Group with regard to their potential impact on financial reporting. Our goal is to generate relevant information at an early stage regarding potential fair value changes in assets and liabilities, to identify impending impairments, and to enable a well-founded assessment of the need to recognize and release provisions. In addition, the control measures ensure compliance with applicable regulations.

We ensure the reliability of accounting and reporting as well as compliance with internal guidelines and legal or statutory requirements through an Internal Control System (ICS). In doing so, we place particular emphasis on a clear separation of functions, appropriate control spans, and non-overlapping responsibilities that clearly define tasks, competencies, and authorities. In addition, control mechanisms are firmly integrated into operational processes.

Key elements of our control structures include, in particular, adherence to the dual-control principle in all material accounting processes, random checks by supervisors at all levels, and a structured organizational and procedural framework that incorporates relevant business processes within the certified quality management system.

Group accounting and consolidation are based on the decentralized preparation of financial statements by the individual Group companies. Each Group company prepares its financial statements in accordance with IFRS standards and submits them in a uniformly defined data format. This process is managed and controlled by the central Group Accounting and Controlling department. In addition, all involved employees receive training in their areas of responsibility as needed.

Our Risk Management System (RMS) aims to identify, assess, and actively manage the financial and non-financial risks associated with our business at an early stage. Group-wide risk management encompasses all companies within the scope of consolidation and complies with applicable legal requirements as well as relevant industry standards. The processes for identifying, assessing, managing, reporting, and monitoring risks are bindingly regulated in the Risk Manual.

Significant risks and the countermeasures implemented are monitored regularly. Risk reports are centrally compiled, analyzed, and submitted to the Management Board and the Supervisory Board for review and discussion. In addition to regular reporting, ad hoc reporting is in place for unexpected risks to address relevant issues in a timely manner.

Overall responsibility for the Internal Control System (ICS) and the Risk Management System (RMS) lies with the Management Board. At Management Board meetings, the company-wide risk and opportunity landscape is regularly assessed, and the results of the internal control process are explained. An annual overall statement is issued regarding the adequacy and effectiveness of our ICS and RMS. This information is also made available to the Audit Committee of the Supervisory Board for systematic monitoring.

In the Management Board's assessment, the measures described ensure that the consolidated financial statement is prepared in accordance with legal requirements and other accounting regulations, and that all identified risks are appropriately addressed. Despite comprehensive control mechanisms, it should be noted that neither an ICS nor an RMS can guarantee absolute certainty regarding the achievement of objectives. As with all discretionary decisions, there is always a risk of errors or mistakes. Furthermore, changes in external factors may be identified with a delay despite monitoring.

Internal control, risk, and compliance management system (ICS, RMS & CMS)[13]

The Management Board has no indication that the ICS, the RMS, or the CMS were, in their entirety, inappropriate or ineffective as of the balance sheet date.

Despite all measures taken, the inherent limitations of any risk management system must be taken into account. No system can guarantee absolute security; however, our RMS ensures that risks are identified early, assessed, and managed through appropriate measures.

Risk reporting regarding the use of financial instruments

The PVA TePla Group uses derivative financial instruments specifically to hedge against interest rate and currency fluctuations. The goal is to reduce earnings volatility and increase the predictability of financial performance.

As of December 31, 2025, hedges were in place in the form of forward exchange contracts, particularly to limit exchange rate risks arising from U.S. dollar transactions.

In addition, credit risks associated with receivables and other assets are continuously analyzed. Necessary impairment charges are made as needed based on regular reviews to adequately account for these risks.

Valuation risks arise from the fair value measurement of call options. In the Management Board's assessment, the use of other financial instruments does not give rise to any material risks to the Group's net assets, financial position, and results of operations.

Risk assessment

Risks are assessed in terms of their probability of occurrence using four levels: "very low," "low," "high," or "very high." These categories are assigned percentage ranges for probability of occurrence and can be further specified, if necessary, by time intervals in which the risk typically occurs.

The potential extent of loss is assessed using financial thresholds in EUR as well as the potential impact on EBITDA.

Risks whose potential impacts cannot be reliably quantified in monetary terms, such as reputational risks or certain regulatory developments, are additionally assessed qualitatively. This is based on structured expert assessments and plausibility analyses to derive appropriate risk mitigation measures.

[13] Information not included in the management report, unaudited.

Economic relevance	Probability of occurrence				
		Very low up to 5%	Low 5% – 20%	High 20% – 50%	Very high over 50%
	Very high over 14 million EUR		Sales market	Workforce Retail barriers	
	High 5 – 14 million EUR			Information technology	
	Low 2 – 5 million EUR				
	Very low up to EUR 2 million				

This report presents the significant financial and non-financial risks and opportunities that are relevant to the Company's achievement of its objectives as of the reporting date and to its future development. In particular, but not exclusively, the following are taken into account:

- Risks with a potential net loss of at least EUR 14 million
- Risks classified as at least "high" in terms of loss amount and probability of occurrence
- Significant risks from the previous year, provided our assessment of them has changed.

No risk exceeds EUR 30 million in economic significance.

The PVA TePla Group distinguishes between business risks and opportunities as well as operational risks and opportunities. These two categories encompass the core areas of risk management and reflect the key factors influencing our company:

Business risks and opportunities relate to strategic aspects such as market developments, changes in competition and technological advances.
Operational risks and opportunities arise from day-to-day business, for example through production processes, supply chains, or compliance requirements.

Risks and opportunities are not equally present in all business units.

Since the products in both business segments are based on similar technological foundations and partially overlap in their fields of application, the resulting risk and opportunity profile is largely comparable. Key influencing factors such as supply chain stability, regulatory requirements, or technological advancements affect the entire corporate group. Significant corporate risks are managed at the Group level, so that segment-specific differentiation in reporting is not necessary. There are no significant segment-specific opportunities or risks.

Summary of the risk situation

The overall risk situation of the PVA TePla Group increased slightly during the reporting period compared to the previous year. The key risks continue to focus on the areas of human resources, information technology, trade barriers, and sales markets.

The personnel situation remains challenging. The ongoing shortage of skilled workers and competition for highly qualified employees continue to be relevant influencing factors.

Trade barriers (such as U.S. tariffs) and geopolitical uncertainties continue to act (primarily indirectly) as external factors affecting the predictability of investment decisions, cost structures, and global supply chains. As early as the third quarter of 2025, these uncertainties led to project-related delays that impacted revenue and earnings performance for the reporting year. As of the balance sheet date, no additional significant operational constraints are apparent; however, indirect effects on future project timelines and investment decisions cannot be ruled out. Furthermore, there are inherent immediate risks arising from trade barriers that could, for example, prevent exports to certain markets or negatively impact competitiveness.

Risks in the area of information technology and cybersecurity remain significant due to increasing digitalization and the ongoing threat landscape. The PVA TePla Group addresses these risks through the continuous expansion of technical and organizational security measures.

Sales market risks are currently characterized primarily by increased uncertainty on the demand side. Economic and industry-specific investment cycles can lead to delayed investment decisions and have a short-term impact on revenue development without fundamentally altering medium- to long-term market potential.

Business risks and opportunities

Macroeconomic and geopolitical uncertainties as strategic influencing factors

The global macroeconomic and geopolitical environment remains characterized by uncertainties and influences investment behavior in technology-based industries. Political and regulatory developments, as well as structural changes in international trade, can alter the framework conditions for cross-border business activities. For the PVA TePla Group, this results in challenges at the strategic level that are continuously monitored and taken into account in corporate management.

These conditions act as an overarching influencing factor on the strategic direction of the PVA TePla Group as well as on the assessment of individual business risks and opportunities and are continuously taken into account in corporate management.

Strategic business risks arising from international trade and regulatory frameworks (trade barriers)

An increasingly fragmented international trade environment can influence the framework conditions for technology-based business models. Changes in international trade and regulatory frameworks – such as those resulting from protectionist tendencies, export controls, tariffs, or regulatory requirements – can impact cost structures, market access, and the predictability of investment decisions. This can lead to additional uncertainties, particularly in globally interconnected value chains.

The PVA TePla Group continuously monitors these developments and assesses potential impacts on its international business activities, particularly with regard to procurement, production, and sales markets. In the reporting year, increased trade policy uncertainties led in individual cases to delays in project acceptance and revenue recognition. These primarily affected the timing of the implementation of projects that had already been agreed upon and did not represent a fundamental cancellation or structural weakness in demand.

Furthermore, a persistently uncertain trade policy environment may lead to increased caution among individual customers when making investment decisions, which could indirectly impact order intake and earnings performance. Against this backdrop, alternative procurement and production strategies – including a stronger local focus – are also being evaluated in certain markets to mitigate the potential effects of trade policy developments.

Change from the previous year: Compared to the previous year, the likelihood of trade policy and regulatory uncertainties has increased. As of the reporting date, however, this does not result in any significant restrictions on the strategic development or operational business activities of the PVA TePla Group. After the balance sheet date, the U.S. Supreme Court's ruling of February 20, 2026, which declared the U.S. import duties imposed under the International Emergency Economic Powers Act (IEEPA) invalid, formally altered the tariff situation. Based on current assessments, this does not result in any significant adjustments to the risk classification.

Opportunities from structural market and demand trends

Structural market and demand trends open up attractive growth prospects for the PVA TePla Group in the short and medium term. In particular, the increasing use of artificial intelligence, the expansion of high-performance semiconductor architectures, and rising demands for precision, quality, and efficiency in industrial applications are driving growing demand for specialized materials, manufacturing processes, and measurement technologies. These developments support long-term demand in the target markets addressed and have a stabilizing effect across economic fluctuations.

Opportunities from technological differentiation and system expertise

With its technology-oriented portfolio, strong system expertise, and close involvement in technologically demanding customer projects, the PVA TePla Group is well-positioned to benefit from the structural technology trends described above in the short and medium term. The increasing technological complexity in the target markets acts as a barrier to market entry and strengthens the competitive position of established providers.

The ability to offer integrated solutions across complex technological process chains and to precisely implement customer-specific requirements supports long-term customer loyalty and opens up additional application areas. Overall, these factors offer the PVA TePla Group the opportunity to further expand its existing market positions and to participate sustainably in structural growth areas.

Operational risks and opportunities

Information technology risks

Digital technologies are essential to the PVA TePla Group's product and business portfolio. However, as digitalization progresses, potential risks in the area of information technology are also increasing, particularly in connection with cyberattacks, data loss, or system failures. Such events could compromise the availability, integrity, and confidentiality of business-critical data and impact operational processes.

A particular risk lies in targeted attacks on core corporate systems, which could disrupt business processes or result in financial losses. Furthermore, increasing regulatory requirements in the area of IT security necessitate the continuous adaptation of internal processes, control mechanisms, and technical standards. The PVA TePla Group addresses these risks through the ongoing expansion of technical and organizational security measures, including redundant system architectures, centralized monitoring structures, and regular awareness and training initiatives for employees. In addition, external expertise is engaged to address regulatory requirements in the areas of data protection and IT security.

The expansion of technical and organizational measures helps to limit the potential economic impact of IT risks and further develop the resilience of IT systems.

Change from the previous year: The probability of IT risks occurring is still assessed as high. The potential economic impact has increased only slightly in absolute terms compared to the previous year.

Sales market risks

The PVA TePla Group's business performance is closely linked to demand in its core markets. Market and economic fluctuations, particularly in investment-driven industries such as the semiconductor industry, can lead to temporary caution in investment decisions and influence demand for products and solutions. This also applies to technology-driven investment cycles, such as those related to artificial intelligence applications, provided that market expectations, financing conditions, or investment priorities in these growth areas temporarily deteriorate. Delayed project approvals or investment decisions that are spread out over time can have a short-term impact on revenue development.

To mitigate these risks, the PVA TePla Group relies on a broad product portfolio as well as the development of additional application areas and customer segments. Technological diversification and close collaboration with customers throughout complex development and production processes help cushion cyclical fluctuations in demand and reduce dependence on individual markets.

Change from the previous year: Compared to the previous year, the probability of occurrence of sales market risks remains unchanged. However, due to increased market volatility, their potential economic impact is now assessed as higher.

Human resources risks

The availability of qualified employees is a key success factor for the PVA TePla Group. Ongoing competition for skilled workers and structural developments in the labor market can make it difficult to fill qualified positions. Furthermore, absences due to illness or the loss of specific expertise among individual employees, particularly in specialized functional areas, can cause temporary disruptions to operational processes and development projects.

The PVA TePla Group addresses these challenges through measures aimed at attracting, developing, and retaining employees. In addition to structured recruiting activities and training programs, securing and passing on company-specific expertise is of particular importance in mitigating personnel risks and supporting the company's long-term performance.

Change from the previous year: The shortage of skilled workers remains a relevant issue. Compared to the previous year, the overall risk assessment has not changed significantly. In some areas, initial signs of a slight easing in the labor market are evident.

Supplementary note on the assessment of climate risks

In addition to the ongoing risk analysis conducted by our risk management team, we carried out a targeted risk analysis regarding climate risks for the first time in the reporting year. No change in our risk situation compared to the previous year was identified.

Overall assessment of the risk and opportunity situation

The overall risk profile of the PVA TePla Group has changed only slightly compared to the previous year. The probability of trade barriers occurring is now assessed as high. In addition, the economic relevance of sales market risks has increased. In the other risk areas, there were only slight shifts during the reporting period. While personnel risks have declined slightly, the risk assessment in the area of information technology has increased somewhat. No new significant risks arose during the reporting period.

At the same time, significant opportunities for the Group's future development continue to exist. These arise in particular from technological innovations as well as from increasing market penetration in strategically relevant future-oriented fields.

According to current assessments, neither individual risks nor the accumulation of various risks pose a threat to the Group's continued existence. The Group's risk-bearing capacity is ensured by a solid financial position, a stable balance sheet structure, and established control and monitoring mechanisms.

FORECAST

Macroeconomic and industry-specific conditions

Global economic development remains characterized by moderate growth and regionally varying dynamics. While growth momentum continues in parts of Asia, the economic environment in Europe remains subdued. Geopolitical tensions and industrial policy measures by individual countries are influencing investment decisions, supply chain structures, and regional value chains.

The semiconductor market continues to be driven by long-term technology trends. Applications in the fields of artificial intelligence, high-performance computing, advanced packaging, and energy-efficient power electronics are raising the bar for material quality, process stability, and inspection depth. At the same time, the traditional front-end business remains subject to cyclical fluctuations in investment.

With the increasing complexity of modern chip architectures, volumetric inspection and defect detection are becoming increasingly important. Particularly in the areas of packaging and 3D integration, the demands on quality assurance and process control are rising.

Due to shorter lead times, higher degrees of standardization, and a stronger focus on series production, the metrology business is characterized by lower project dependency than the more equipment- and project-driven Material Solutions business. Nevertheless, both business segments remain influenced by investment cycles in the relevant end markets.

Sustainable growth drivers also exist in the end markets of Energy, Aerospace & Defense, and Automotive. The expansion of renewable energies, electrification, and rising demands for high-performance materials and power semiconductors are supporting demand for specialized material and manufacturing technologies.

Macroeconomic changes affect our business performance in particular through customers' investment decisions, regional value-added requirements, and regulatory frameworks. Trade and customs conflicts, local subsidy programs, and requirements for domestic production can lead to shifts in supply chains, project timelines, and location decisions.

Assessments of global economic development are based, among other things, on publications by the International Monetary Fund (IMF, World Economic Outlook, October 2025) and on industry forecasts from World Semiconductor Trade Statistics (WSTS, Fall 2025 Forecast).

Expected Business development

For the 2026 fiscal year, based on the current order backlog, we expect consolidated revenue in the range of EUR 255 million to EUR 275 million. EBITDA is expected to range from EUR 26 million to EUR 31 million.

The guidance is based on the assumption that investment momentum in our relevant end markets – particularly in the semiconductor, energy, and aerospace sectors – will remain stable overall. This applies equally to both segments.

The U.S. Supreme Court's February 20, 2026, ruling on the invalidity of U.S. import duties imposed under the International Emergency Economic Powers Act (IEEPA), as well as the subsequent introduction of a global U.S. base tariff of 10%, were taken into account in preparing the guidance. The guidance is based on the assumption that a 10% U.S. base tariff will apply to relevant goods flows in fiscal year 2026. Further tariff measures based on other legal grounds are not assumed. A refund of IEEPA tariffs already paid is not taken into account in the guidance period.

According to current estimates, this will not result in any significant impact on the forecasted performance indicators. U.S. import duties are generally borne by the respective U.S. importer and thus economically absorbed by the customer, so that no significant direct duty burden arises for the PVA TePla Group. Possible indirect effects on pricing and demand trends are taken into account within the framework of the existing risk assessment regarding trade barriers.

The guidance is based on the assumption that the existing order backlog will be recognized as revenue in fiscal year 2026 as projects proceed normally. A significant portion of the expected revenue is thus already underpinning the forecast. However, additional revenue-generating order intake over the course of the year is necessary to achieve the targeted revenue growth. Further business development therefore remains partly dependent on the timing of new projects as well as on investment dynamics in the relevant end markets.

The expected development is fundamentally driven by both the Semiconductor Systems and Industrial Systems segments. However, due to different business models, there are structural differences, particularly with regard to project dependency, working capital requirements, and investment needs. While the metrology business is characterized by shorter lead times and higher standardization, the Material Solutions segment remains more project-driven and thus more volatile.

The EBITDA trend reflects further increases in expenses for organizational expansion, internationalization, and investments in research and development. These investments are aimed at the long-term scaling of the business model and the sustainable improvement of profitability. In addition, project-related shifts from the previous year are impacting the earnings structure.

The war that broke out in the Middle East at the end of February 2026 is evidence of a continuing tense geopolitical situation. Expected impacts on the company have been taken into account in both the guidance and risk reporting based on currently available information and assessments; no immediate impact is currently apparent.

Earnings

We continue to expect earnings to develop in line with revenue trends. The gross margin will continue to be influenced by the product and project mix. With a growing share of standardized metrology systems and improved utilization of existing capacities, we aim to achieve a qualitative improvement in the earnings structure.

Investments in personnel, infrastructure, and technological development are leading to an increased cost base. These measures strengthen our competitive position and lay the foundation for further growth.

Financial position

The financial position remains characterized by a solid capital structure and sufficient liquidity reserves. We expect to be able to finance investments in capacity expansion, research and development, and internationalization from our existing financing structure.

Based on the existing order portfolio and expected revenue recognition, we anticipate an overall positive trend in cash flow from operating activities. Taking planned investments into account, we expect free cash flow for the fiscal year to be largely balanced overall.

In general, larger individual projects in the Material Solutions business can lead to fluctuations in working capital. Material and production-related advance payments can result in temporary cash outflows during the course of a project. At the same time, projects are typically structured around contractually agreed down payments and milestone payments, which lead to corresponding cash inflows. Cash flow from operating activities may therefore be subject to project-related fluctuations over the course of the year.

Net assets

The financial position continues to be shaped by investments in property, plant and equipment, intangible assets, and technology development. No significant structural changes to the asset structure are currently planned. Investments are made in line with strategic growth objectives and relate in particular to production capacities, development projects, and infrastructure expansions.

Medium-term objectives

We continue to pursue the strategic goal of significantly increasing consolidated revenue in the medium term and sustainably improving profitability. In doing so, we aim for a balanced expansion of our business portfolio and a qualitative improvement in the margin structure. The targeted growth will primarily be organic and may be supplemented by selective acquisitions when suitable market opportunities arise.

The expansion of the higher-margin metrology business, the increasing standardization of products, and economies of scale resulting from organizational and infrastructure investments form the basis for a sustainable improvement in profitability.

Should macroeconomic conditions change significantly, this could lead to deviations from the projected development.

EVENTS AFTER THE BALANCE SHEET DATE

No reportable events have occurred since the balance sheet date that have a material impact on the net assets, financial position, and results of operations of the Company or the Group.

As part of the ongoing development of the internal management structure, segment reporting has been reviewed and will be adjusted during the 2026 fiscal year. The new structure will be reflected in future reporting.

TAKEOVER-RELATED DISCLOSURES (SECTIONS 289A, 315A HGB)

Composition of subscribed capital

As of December 31, 2025, the subscribed capital of PVA TePla AG remained unchanged at EUR 21,749,988 and is divided into the same number of no-par value bearer shares, each representing a notional share of the share capital of EUR 1.00.

As part of the share buyback program approved by the Annual General Meeting, the Company continued to repurchase its own shares in fiscal year 2025. As of the reporting date of December 31, 2025, PVA TePla AG held 1,327,398 treasury shares. Accordingly, 20,422,590 shares were outstanding as of the reporting date (see Section H of the Notes to the Consolidated Financial Statements regarding disclosures pursuant to Section 160(1)(2) of the German Stock Corporation Act (AktG)).

Restrictions affecting voting rights or the transfer of shares

The Management Board is not aware of any restrictions affecting voting rights or the transfer of shares, in particular none that could arise from agreements between shareholders.

Direct or indirect holdings of capital exceeding 10% of the voting rights

As of March 27, 2025, Van Lanschot Kempen Investment Management N.V. has notified the Company pursuant to Section 33(1) of the German Securities Trading Act (WpHG) that its share of voting rights in PVA TePla AG amounts to 10.29% (2,237,133 voting rights) and thus exceeds the 10% threshold.

Holders of shares with special rights

There were and are no shares in PVA TePla AG with special rights that confer control.

Nature of voting control in the case of employee participation

No employees hold an interest in the share capital of PVA TePla AG who cannot directly exercise their control rights.

Statutory provisions and provisions of the articles of association regarding the appointment and dismissal of members of the Management Board and regarding amendments to the articles of association

a) Appointment of Management Board members: The appointment of the members of the Management Board of PVA TePla AG is made in accordance with Section 84 of the German Stock Corporation Act (AktG) and pursuant to Section 6 (2) of the Articles of Association of PVA TePla AG. The following is stipulated therein: "(2) The appointment of members of the Management Board, the revocation of their appointment, and the conclusion, amendment, and termination of service contracts with members of the Management Board are carried out by the Supervisory Board. The same applies to the designation of a member of the Management Board as Chairman or Spokesperson of the Management Board."

b) Dismissal of Executive Board members: The appointment as a member of the Executive Board and the appointment as Chairman of the Management Board may be revoked by the Supervisory Board pursuant to Section 84 (4) sentence 1 of the German Stock Corporation Act (AktG) if there is good cause. According to Section 84 (4) sentence 2 of the German Stock Corporation Act (AktG), such cause includes, in particular, a gross breach of duty, inability to manage the company properly, or a loss of confidence by the Annual General Meeting, unless such loss of confidence was based on manifestly unreasonable grounds. The revocation of the appointment to the Management Board is effective pursuant to Section 84 (3), sentence 4 of the German Stock Corporation Act, until its invalidity is legally established.

c) Amendment of the Company's Articles of Association: Pursuant to Section 179(1), sentence 1 of the German Stock Corporation Act (AktG), any amendment to the Articles of Association requires a resolution by the General Meeting. However, pursuant to Section 179(1), sentence 2 of the German Stock Corporation Act (AktG), the Supervisory Board is authorized to resolve on amendments to the Articles of Association that concern only their wording. Pursuant to Section 179(2), sentence 1 of the German Stock Corporation Act (AktG), a resolution of the Annual General Meeting regarding an amendment to the Articles of Association generally requires a majority comprising at least three quarters of the represented share capital. Based on this statutory authorization, Section 14 (3), sentence 3 of the Articles of Association provides that amendments to the Articles of Association may be resolved by a simple majority of the votes cast, to the extent permitted by law.

Powers of the Management Board to issue or repurchase shares

The Management Board is authorized, with the approval of the Supervisory Board, to increase the share capital of PVA TePla AG by up to June 22, 2027, through one or more issuances of a total of up to 5,437,497 new no-par bearer shares in exchange for cash and/or non-cash contributions by up to EUR 5,437,497 (Authorized Capital 2022/I).

The share capital of PVA TePla AG is further conditionally increased by up to EUR 5,437,497 through the issuance of up to 5,437,497 new no-par bearer shares (Conditional Capital 2022/I). This capital is intended exclusively for the issuance of new shares to holders of conversion or option rights issued by PVA TePla AG or by companies in which PVA TePla AG holds a direct or indirect 100% stake, in accordance with the authorization resolution of the Annual General Meeting of June 23, 2022.

By resolution of the Annual General Meeting on June 28, 2023, the Management Board was authorized to acquire treasury shares in an amount of up to 10% of the share capital existing at the time of the resolution or – if this amount is lower – at the time the authorization is exercised. The authorization is valid until June 27, 2028. The authorization may be exercised in whole or in part, once or several times, for one or more purposes, by the Company, by its Group companies, or by third parties on its or their behalf.

This authorization has already been partially exercised, and the share buyback continued during the reporting period. Further details can be found in Chapter H of the Notes to the Consolidated Financial Statements.

Material agreements subject to a change of control resulting from a takeover bid

DThe current framework agreements with the banks assume a substantially unchanged ownership structure and provide for renegotiation or a right of termination on the part of the bank in the event of a change of control. Similarly, the provisions for a publicly funded research and development project provide for a special right of termination by the funding agency in the event of a change of control. Furthermore, a change of control triggers a right of termination for certain individual customer orders. Beyond this, the Company has no other agreements that are subject to the condition of a change of control resulting from a takeover bid.

Compensation agreements in the event of a takeover bid

In the event of a change of control, members of the Management Board receive benefits that are not to exceed 150% of the severance cap (value of two years' compensation including fringe benefits).

Statement on Corporate Management and Corporate Governance Report [14]

The consolidated statement on corporate governance of PVA TePla AG and the Group pursuant to Section 289f of the German Commercial Code (HGB) and Section 315d of the German Commercial Code (HGB) includes the declaration of conformity with the German Corporate Governance Code ("DCGK") pursuant to Section 161 of the German Stock Corporation Act (AktG), relevant information on corporate management practices, a description of the working methods of the Management Board and Supervisory Board as well as their composition and the working methods of the Supervisory Board's committees, the target values set pursuant to Section 76 (4) and Section 111 (5) of the German Stock Corporation Act (AktG), and information on the achievement of these target values, including a description of the diversity policy.

Statement by the Management Board and Supervisory Board of PVA TePla AG on the German Corporate Governance Code pursuant to Section 161 of the German Stock Corporation Act (AktG)

As set forth and further explained in the Declaration of Compliance dated March 2025, the Company has complied with the recommendations under G.1 through G.16 regarding the compensation of the Management Board, with the exception of the compensation of former Management Board member Mr. Höfer. Mr. Höfer stepped down from the Management Board as of June 25, 2025; however, the awards under the 2023 – 2026 LTI tranche granted in 2023 remain in effect.

In all other respects, the Company complies with all recommendations of the DCGK.

Wettenberg, October 2025

On behalf of the Management Board:

Jalin Ketter
Chairwoman of the Management Board

On behalf of the Supervisory Board:

Dr Myriam Jahn
Chairwoman of the Supervisory Board

[14] Unaudited component of the Management Report.

Disclosure on corporate governance practices

The PVA TePla Group is a publicly traded, internationally active group headquartered in Wettenberg (Germany) and operates under a dual management system. Consequently, the German Stock Corporation Act, our Articles of Association, the rules of procedure for the Management Board and Supervisory Board, and the company-specific implementation of the German Corporate Governance Code (DCGK) form the basis for the division of responsibilities between the Management Board and the Supervisory Board and the structure of the management and oversight framework within the Group. We align our business activities with Group-wide standards that go beyond the requirements of the law and the DCGK. This also includes trust, respect, and integrity in our dealings with one another.

Risk and opportunity management and ICS

The principles of responsible corporate governance include a continuous and forward-looking assessment of risks and opportunities aimed at striking a balance between growth and return objectives and the associated risks. The system is designed to comply with applicable legal requirements and relevant industry standards. The members of the Management Board and the managing directors are responsible for key tasks within the risk management system. To this end, a "Risk Manual" containing procedural guidelines for proper and forward-looking risk management is available to the managing directors and employees. The manual governs the specific processes in risk management. It covers the entirety of all risk-related activities and measures, i.e., the identification, assessment, control, reporting, and monitoring of risks.

The objective of the internal control system (ICS) for the financial reporting process is to ensure the reliability of external reporting by preparing financial statements that comply with regulations. To monitor the effectiveness of the ICS, regular reviews of accounting-related processes are conducted through internal controls. In addition, the Audit Committee of the Supervisory Board monitors the effectiveness of the system.

Detailed information on the PVA TePla Group's risk and opportunity management system and ICS is presented in the combined Management Report and Group Management Report and is available on the website:
https://www.pvatepla.com/investor-relations/finanzberichte/.

Compliance & Code of conduct

Responsible and legally compliant conduct is an indispensable prerequisite for PVA TePla's sustainable business success. Therefore, the primary objective of our Compliance Management System (CMS) is to ensure the lawful conduct of the company, its governing bodies, and employees with regard to legal and internal rules and prohibitions, and to prevent violations. The basis of compliance management is the currently published Code of Conduct. This describes risks in business activities and provides specific recommendations for conduct. The Code of Conduct is binding worldwide for all employees of the PVA TePla Group.

Key components of our CMS also include preventive measures to avoid compliance violations, mechanisms for the early detection of potential violations, and clear processes for responding to and resolving compliance violations. We place great emphasis on raising awareness among our employees to ensure that they are familiar with the applicable rules and actively support compliance with them. Examples of measures within our CMS include training on compliance topics, the establishment of a whistleblower system for the anonymous reporting of violations, internal audits to verify compliance with guidelines and procedures, and clear sanction mechanisms for misconduct. Our CMS is continuously reviewed by the Risk & Compliance Data Protection department and adapted to new business-specific risks as well as

changing legal requirements. Insights from compliance risk management are incorporated into the further development of the system. In this way, we ensure that our CMS is always effective and appropriate for safeguarding the integrity and ethical standards of our company.

Furthermore, leadership by example from management, open and fair communication at and across all levels of the company, and close, collaborative partnerships with customers and suppliers are essential prerequisites for our business operations. At the same time, we also expect our suppliers and business partners to share our commitment to integrity and sustainability.

An electronic whistleblower system allows for the submission of reports regarding suspected economic crimes or violations of compliance regulations. The goal of the PVA TePla Group is to completely prevent corruption and bribery (including conflicts of interest, money laundering, etc.) in order to strengthen a compliant and ethical work environment where risks can be identified and prevented in advance.

Sustainable corporate governance

The PVA TePla Group is committed to operating sustainably and responsibly in all areas of the company. For us, this means: respecting the law, conserving resources, promoting climate protection, and fulfilling our responsibility toward employees and society. Based on our self-image and the conviction that sustainable and responsible business practices enhance the Group's innovation and future viability, we take environmental, social, and governance aspects into account not only in our sustainability strategy but also in our corporate orientation and operational decisions.

Further information on the topic of "Sustainable Corporate Governance" can be found in the "Sustainability" section of the 2024 Combined Management and Group Management Report and in the summarized non-financial statement contained therein: **https://www.pvatepla.com/investor-relations/finanzberichte/.**

Working methods of the Management Board and Supervisory Board, and composition and working methods of their committees

As a stock corporation based in Germany, PVA TePla AG is managed in accordance with the management and supervisory structure prescribed by law. The Management Board manages the company under its own responsibility and determines the strategic direction. The Supervisory Board monitors and advises the Management Board and is directly involved in decisions of fundamental importance to the company. It appoints and dismisses the members of the Management Board, decides on the compensation system for the Management Board members – which is submitted to the Annual General Meeting for approval in accordance with Section 120a of the German Stock Corporation Act (AktG) – and determines their respective total compensation. The Supervisory Board and the Management Board work closely and in a spirit of trust for the benefit of the company and to create sustainable value. Their common goal is to secure and further expand the PVA TePla Group's leading market positions in the long term in order to benefit sustainably from growing end markets.

Certain decisions require the approval of the Supervisory Board in accordance with the Management Board's rules of procedure.

Management Board and its composition

The Management Board jointly manages the company's operations. As of August 1, it consists of two members, Jalin Ketter (CEO) and Carl Markus Groß (CFO).

Name	Position	Initial Appointment	Appointed until
Jalin Ketter	CEO	June 30, 2020	June 20, 2028
Carl Markus Groß	CFO	January 1, 2025	December 31, 2027
Oliver Höfer	COO	December 1, 2013	June 24, 2025

Notwithstanding the Management Board's overall legal responsibility and the obligation of its members to cooperate closely and in good faith within the Management Board, the areas of responsibility of the individual Management Board members are distributed as follows in accordance with the current division of duties plan dated August 1, 2025:

The Chair of the Management Board, **Jalin Ketter**, coordinates the work of the Management Board and is additionally responsible within the PVA TePla Group for the areas of corporate strategy (including M&A), human resources, global marketing, technology/research & development (R&D), and corporate communications.
Carl Markus Groß is responsible for finance, legal affairs, and information technology.

The members of the Management Board are closely involved in operational activities. Given the small number of Management Board members, no Management Board committees have been established. Without prejudice to the Management Board's overall responsibility, each member of the Management Board independently manages the business area assigned to them by the Rules of Procedure. A detailed description of responsibilities can be found in the Division of Responsibilities within the Management Board's Rules of Procedure, which is available for download on the Company's website under Investor **Relations/Corporate Governance**.

The age limit for the Management Board is 65 years and is stipulated in the Management Board's rules of procedure.

The remuneration report for the 2025 fiscal year, the auditor's note pursuant to Section 162 of the German Stock Corporation Act (AktG), and the current remuneration system approved by the Annual General Meeting on August 30, 2024, pursuant to Section 87a (1) and (2), first sentence, of the German Stock Corporation Act (AktG), are publicly available under **PVA TePla AG | Corporate Governance**.

Working methods of the Management Board

The Management Board of PVA TePla AG defines the corporate objectives, strategic direction, corporate policy, and Group organization. This includes, in particular, the management of the Group, including its financial resources, the coordination and supervision of the business divisions, personnel planning, and the presentation of the company to the capital market and the public.

In accordance with the Rules of Procedure and the Division of Responsibilities Plan of the Management Board, the Chair of the Management Board is specifically responsible for leading and coordinating the Group Management Board. She represents the Company and the Group vis-à-vis third parties and the workforce in matters that affect more than just parts of the Company or the Group. In addition, she has special responsibility for certain areas of responsibility as set forth in the Division of Responsibilities Plan, as well as for the strategic development of the Company.

Resolutions of the Management Board are adopted at meetings. The Management Board meetings are chaired by the Chairwoman of the Management Board. Any member of the Management Board may request the convening of a meeting by specifying the agenda item. The full Management Board makes decisions by a simple majority of the participating members. In the event of a tie, the Chairperson of the Management Board has the casting vote. This casting vote applies only if the Management Board consists of more than two members. If the Management Board consists of only two members – as is currently the case – the proposed resolution must be submitted to the Chairperson of the Supervisory Board for mediation in the event of a tie.

The Management Board's rules of procedure also provide for a list of matters that require consideration and decision by the full Management Board, such as the determination of the corporate objectives of the company and the Group. In addition, there is a list of business transactions that require the approval of the Supervisory Board. These include, among other things, the adoption of the annual business plan, the issuance of bonds or the taking out of loans, as well as transactions and measures that lead to a significant change in the company's development. Furthermore, Executive Board meetings are held regularly, in which the managing directors of the subsidiaries also participate.

The Management Board reports to the Supervisory Board regularly, promptly, and comprehensively on all material issues regarding business development, corporate strategy, and potential risks.

Long-Term succession planning for the Management Board and diversity policy

It is of great importance to PVA TePla to fill the Management Board with suitable candidates. Following the generational transition on the Management Board, the Supervisory Board is also pursuing a long-term succession plan. In doing so, the Nomination Committee is guided by the developed requirements and competency profile, which is regularly reviewed and updated.

As part of succession planning, the Supervisory Board and the Management Board will also consider potential internal candidates for the Management Board.

When considering which individuals would best complement the Management Board as a body, the Supervisory Board also takes diversity into account as part of its long-term succession planning. By diversity as a consideration, the Supervisory Board means, in particular, different, mutually complementary professional profiles, professional, educational, and life experiences – including international experience – age, and appropriate representation of both genders.

Regardless of individual criteria, the Supervisory Board is convinced that ultimately only a holistic assessment of the individual candidate can be decisive for an appointment to the Management Board of PVA TePla AG. The Supervisory Board considers the following criteria to be essential for the Management Board as a whole:

- Many years of leadership experience in scientific, technical, and commercial fields
- International experience based on origin and/or professional activity
- A balanced age structure to ensure the continuity of the Management Board's work and to facilitate a smooth succession planning

Potential succession issues are identified in collaboration with the Management Board, and an action plan is adopted for each specific case. In doing so, the Supervisory Board takes into account, in particular, the following aspects:

- Early identification of suitable candidates from various fields of expertise and of different gender
- Systematic development of managers through the successful takeover of responsibilities with increasing, preferably in different business units, regions, and functions
- Proven, successful strategic and operational initiative and leadership strength, particularly under challenging business conditions

The Supervisory Board fills Executive Board positions primarily based on the candidates' professional and personal qualifications. In cases of equal qualifications, the Supervisory Board will take diversity into account and also pay attention to the proportion of women. When appointing members of the Management Board, the Supervisory Board will therefore not only ensure that the appointed individuals possess the personal and professional qualifications and experience required to perform their duties. It will also strive to ensure that the Management Board, through its members, is characterized by a diversity of opinions and experiences. At present, the Management Board consists of one male and one female member. Thus, the proportion of women on the Management Board is 50%. A target of 30% for the proportion of women on the Management Board has been set, to be achieved by December 31, 2026.

Composition of the Supervisory Board

In accordance with the Articles of Association, the Supervisory Board of PVA TePla AG consists of four members. The Supervisory Board elects a Chairperson and a Deputy Chairperson from among its members. The Chairperson of the Supervisory Board convenes and chairs the meetings of the Supervisory Board. If she is unable to do so, her Deputy Chairperson assumes this role. The Supervisory Board has adopted rules of procedure. These rules define the duties, rights, and obligations of the Supervisory Board, the organization of meetings and resolutions, and the formation of committees. The Chair of the Supervisory Board is generally willing to discuss Supervisory Board-specific topics with investors, provided that such discussions take place within reasonable limits and the topics fall within the sole competence of the Supervisory Board.

- Dr Myriam Jahn, Chair of the Supervisory Board, German national, born in 1968
- Christoph Seidel, Vice Chair of the Supervisory Board, German national, born 1968
- Rudolf Weichert, German national, born 1963
- Prof Dr Ingrid De Wolf, Belgian national, born 1960

Dr Myriam Jahn has been a member of the Supervisory Board since 2023 (appointed until 2027), **Christoph von Seidel** since 2024 (appointed until 2029), **Rudolf Weichert** since 2025 (appointed until 2028), and **Prof Dr Ingrid De Wolf** since 2025 (appointed until 2028). The appointments took into account the objectives established by the Supervisory Board regarding its composition as well as the diversity policy.

The age limit for members of the Supervisory Board is 70 years and is enshrined in the Supervisory Board's rules of procedure.

Information on other positions held by the members of the Supervisory Board is available at
https://www.pvatepla.com/management/.
The compensation of the members of the Supervisory Board is reported in a separate compensation report, which is available inthe Investor Relations/Corporate Governance section of our website.

Working methods of the Supervisory Board

The Supervisory Board is responsible for advising and monitoring the Management Board in the management of PVA TePla AG. It has adopted rules of procedure. The rules of procedure for the Supervisory Board are available on the company's website in the Investor Relations/Corporate Governance section.

The Chairperson of the Supervisory Board is elected by its members. The Supervisory Board meets regularly. It performs its duties in accordance with statutory provisions, the Articles of Association, its rules of procedure, and its resolutions. In accordance with statutory regulations, the Supervisory Board monitors the Management Board in the performance of its duties and the management of the company. In doing so, it particularly supports the Management Board in critical discussions of fundamental issues regarding the company's direction. These include, in particular, annual corporate planning and the preparation of financial statements, as well as fundamental issues concerning the company's strategic direction and further development. The Supervisory Board also reports on the scope of its work in its report to the Annual General Meeting.

The Supervisory Board receives detailed information on the company's financial situation and business performance at four regular meetings held each year. In the event of special external or internal occurrences, the Supervisory Board also holds extraordinary meetings. Meetings of the Supervisory Board are convened by the Chair or, in the event of the Chair's absence, by the Deputy Chair, with at least seven days' notice, except in urgent cases where the notice period may be shortened. Resolutions of the Supervisory Board are adopted by a simple majority of votes. If a vote in the Supervisory Board results in a tie, the Chair of the Supervisory Board shall have two votes in the event of a re-vote on the same matter, even if that vote also results in a tie. The Management Board attends Supervisory Board meetings as necessary and reports in writing and orally on the individual agenda items and proposed resolutions, and answers questions from the members of the Supervisory Board. Reports from the Management Board containing explanations of key financial and non-financial business indicators provide the Supervisory Board with insight into the course of business. In addition to meetings and reports, the members of the Supervisory Board stay informed through regular discussions with the Management Board.

At regular intervals, the Supervisory Board reviews the efficiency of its work by conducting interviews with Supervisory Board and Executive Board members using a structured questionnaire.

Committees of the Supervisory Board

The Supervisory Board of PVA TePla AG has established two committees: an Audit Committee and a Personnel and Nomination Committee. The Supervisory Board may also form additional committees from among its members.

The **Audit Committee** has three members and is primarily responsible for reviewing financial reporting, monitoring the accounting process, the effectiveness of the internal control system, the risk management system, and the internal audit system, as well as the audit of the financial statements and compliance. Financial reporting includes, in particular, the consolidated financial statement and the combined management and group management reports (including non-financial reporting), interim financial reports, and the individual financial statements in accordance with the German Commercial Code (HGB). The Chairman of the Audit Committee is Christoph von Seidel. He meets the legal requirements for independence and expertise in the areas of financial reporting and financial statement audits. Rudolf Weichert also meets the requirements in the areas of financial reporting and financial statement audits. Other members of the Audit Committee are Dr Myriam Jahn and Rudolf Weichert.

The **Personnel and Nomination Committee** consists of three members; it is chaired by Dr Myriam Jahn. Other members are Christoph von Seidel and Rudolf Weichert. In the event of vacancies among members of the governing bodies, the Committee submits nominations to the full Supervisory Board and deals with succession planning for positions on the Supervisory Board. The committee also addresses issues related to compensation as well as the conclusion, amendment, extension, and termination of employment contracts for members of the Management Board.

Diversity policy for the Supervisory Board

The Supervisory Board of PVA TePla AG, which currently consists of four members, aims – in light of the company's specific situation, its business purpose, and the size of the company – to achieve a composition of the Supervisory Board that takes the following elements into account:

On the part of the shareholders, all individuals without potential conflicts of interest should be represented on the Supervisory Board, particularly those without conflicts of interest that may arise from advisory or executive roles with customers, suppliers, lenders, or other third parties.

When submitting nominations to the Annual General Meeting, the Supervisory Board will continue to ensure diversity in terms of age, educational and professional background, international experience, and the proportion of women.

Competency profile of the Supervisory Board

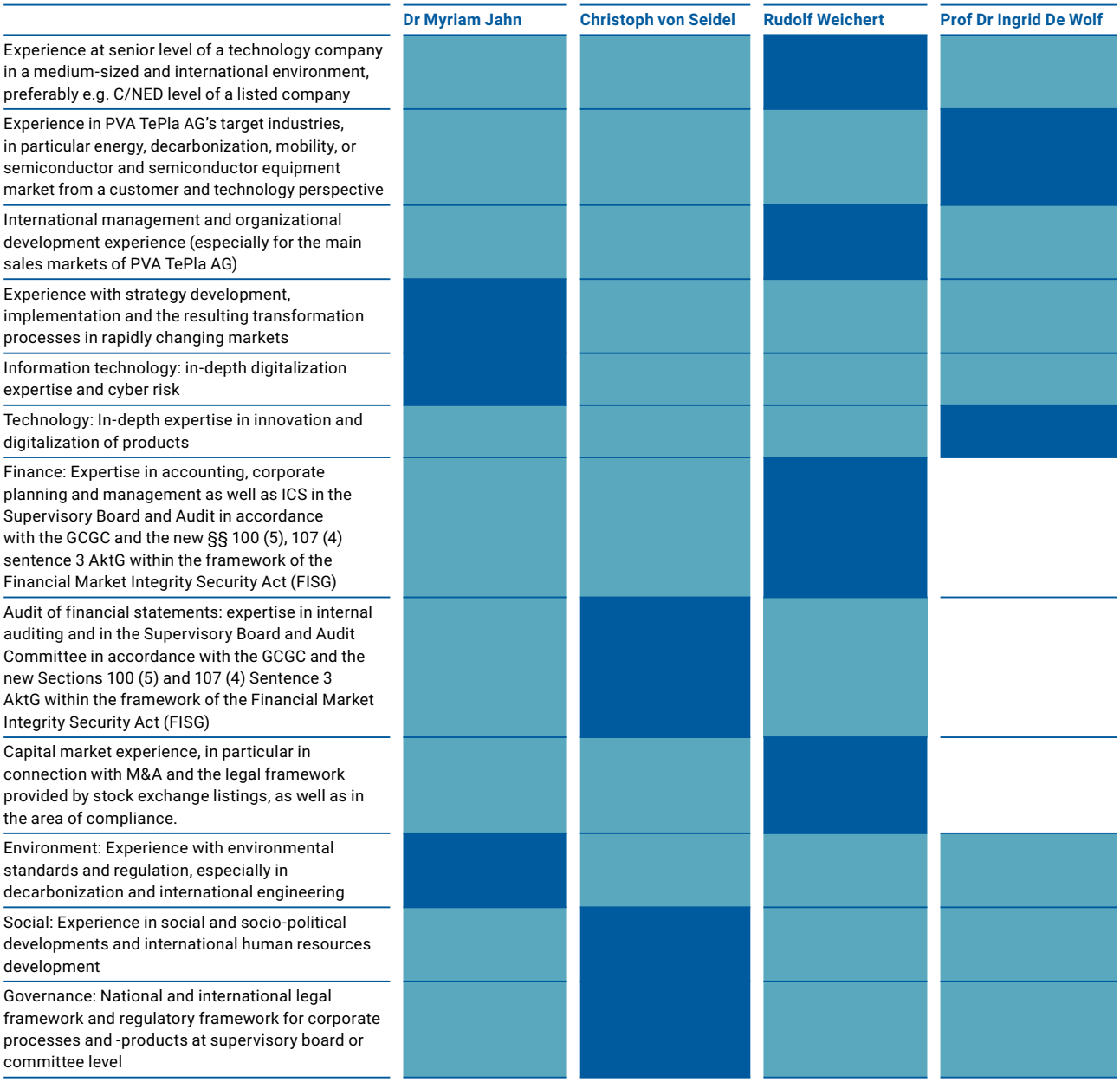
The Supervisory Board has adopted a comprehensive requirements profile for its composition, which encompasses both the competency profile required by the German Corporate Governance Code (DCGK) and the diversity concept required under Section 289f (2) No. 6 of the German Commercial Code (HGB). The requirements profile is available on our website under Investor Relations/Corporate Governance.

Based on the objectives for its composition, the Supervisory Board has prepared the following overview of the current status of implementation in the form of a qualification matrix:

Competence requirements

	Dr Myriam Jahn	Christoph von Seidel	Rudolf Weichert	Prof Dr Ingrid De Wolf
Period of affiliation				
Member since	2023	2024	2025	
General suitability				
Independence	Fulfilled	Fulfilled	Fulfilled	Fulfilled
No overboarding	Fulfilled	Fulfilled	Fulfilled	Fulfilled
Diversity				
Gender	Female	Male	Male	Female
Year of birth (age)	1968 (57 year)	1968 (57 year)	1963 (62 year)	1960 (65 year)
Nationality	German	German	German	Belgian
International experience	Fulfilled	Fulfilled	Fulfilled	Fulfilled
Educational background	Electrical engineering, business administration, computer science	Business administration	Business administration	Physics

Specialist knowledge



Diversity

The Management Board and Supervisory Board of PVA TePla AG value the diversity and variety of their employees. They form the foundation of a high-performing and successful company for the PVA TePla Group. Our activities aim to bring together the right people to tackle our challenges and to create a work culture that promotes the performance, motivation, and satisfaction of our employees and our managers.

Management level below the Management Board

Below the Management Board at the holding company PVA TePla AG, there is a management level whose members have been appointed as authorized signatories. In May 2023, a target of 30% was set for the proportion of women at this management level, which is currently being met at 50%. The company aims to maintain this target level at a minimum until December 31, 2026.[15]

Management Board

The Supervisory Board fills Executive Board positions primarily based on the candidates' professional and personal qualifications. In cases of equal qualifications, the Supervisory Board will take diversity into account, paying particular attention to the proportion of women. When appointing members of the Management Board, the Supervisory Board will therefore not only ensure that the appointed individuals possess the personal and professional qualifications and experience necessary to perform their duties. It will also strive to ensure that the Management Board, through its members, is characterized by a diversity of opinions and experiences.

At present, the Management Board consists of one female and one male member. This means that the proportion of women on the Management Board is 50%. A target of 30% has been set for the proportion of women on the Management Board, to be achieved by December 31, 2026.

Supervisory Board

The Supervisory Board currently consists of two male members and two female members. A target of 25% for the proportion of women on the Supervisory Board has been set for December 31, 2026, and this target is currently met at 50%. With regard to gender equality, the Supervisory Board bases its proposals to the Annual General Meeting for the election of new Supervisory Board members primarily on the professional and personal qualifications of the candidates. In cases of equal qualifications, the Supervisory Board will take diversity into account.

Wettenberg, March 11, 2026

PVA TePla AG

On behalf of the Management Board

Jalin Ketter	**Carl Markus Groß**
CEO	CFO

[15] As part of our sustainability reporting, we report on the proportion of women in the first and second levels of management across the Group, including all Group companies.


PVA TePla
SiCma

CONSOLIDATED FINANCIAL STATEMENT

FOR FISCAL YEAR 2025

CONSOLIDATED FINANCIAL STATEMENT

Consolidated balance sheet of the PVA TePla Group

Assets

in EUR '000	Notes	Dec. 31, 2025	Dec. 31, 2024
Non-current assets			
Intangible assets	8	28,830	20,227
Right-of-use assets	20	4,572	4,832
Property, plant and equipment	9	74,855	58,563
Non-current investments	10	10	3,641
Deferred tax assets	13	3,906	7,068
Total non-current assets		**112,173**	**94,330**
Current assets			
Inventories	11	69,342	84,519
Receivables and other assets	12	57,458	59,941
Contract assets	12	21,531	28,788
Income tax assets		6,108	510
Cash and cash equivalents	G	17,873	31,371
Total current assets		**172,313**	**205,128**
Total assets		**284,485**	**299,459**

Consolidated balance sheet of the PVA TePla Group

Liabilities and Shareholder's Equity

in EUR '000	Notes	Dec. 31, 2025	Dec. 31, 2024
Shareholders' equity			
Share capital	H	21,750	21,750
Reserves	H	140,046	132,975
Treasury shares	H	– 18,960	– 4,470
Total shareholders' equity		**142,836**	**150,255**
Non-current liabilities			
Retirement pension provisions	15	12,462	13,721
Other provisions	16	2,059	651
Financial liabilities	14	24,187	22,015
Deferred tax liabilities	13	7,232	8,495
Total non-current liabilities		**45,939**	**44,882**
Current liabilities			
Other provisions	16	7,131	10,034
Financial liabilities	14	24,177	2,563
Liabilities to employees		6,373	8,449
Trade payables		14,314	14,532
Contract liabilities	17	36,190	61,383
Provision for taxes		4,471	4,558
Other liabilities		3,053	2,802
Total current liabilities		**95,710**	**104,322**
Total liabilities		**284,485**	**299,459**

Consolidated income statement of the PVA TePla Group

in EUR '000	Notes	Jan. 1 – Dec. 31, 2025	Jan. 1 – Dec. 31, 2024
Revenue	1	**244,257**	**270,115**
Cost of sales		– 166,409	– 182,079
Gross profit		**77,848**	**88,035**
Selling and distributing expenses		– 22,947	– 18,494
General administrative expenses		– 24,118	– 20,559
Research and development expenses	2	– 17,052	– 11,711
Other operating income	3	6,708	4,976
Other operating expenses	3	– 5,387	– 2,644
Operating result (EBIT)		**15,052**	**39,604**
Financial result	**4**	**– 6,512**	**– 642**
Financial income	4	368	1,662
Finance costs	4	– 6,880	– 2,303
Net result before tax		**8,540**	**38,962**
Income taxes	5	– 914	– 11,894
Consolidated net result for the period		**7,626**	**27,068**
Earnings per share (basic/diluted)			
Earnings per share (basic) in EUR		0.37	1.25
Earnings per share (diluted) in EUR		0.37	1.25

Consolidated statement of comprehensive income of the PVA TePla Group

in EUR '000	Jan. 1 – Dec. 31, 2025	Jan. 1 – Dec. 31, 2024
Consolidated net result for the period	**7,626**	**27,068**
Other comprehensive income		
Items that may be reclassified to profit or loss:		
– foreign exchange differences	– 1,515	834
– Income taxes	0	0
Changes in the amount recognized in Shareholders' equity (foreign exchange differences)	**– 1,515**	**834**
Total of items that may be reclassified to profit or loss	**– 1,515**	**834**
Items that will never be reclassified to profit or loss:		
– Actuarial gains/losses from pension commitments	940	– 847
– Income taxes	– 375	253
Changes recognized outside profit or loss	**564**	**– 594**
Total of items that will never be reclassified to profit or loss	**564**	**– 594**
Other comprehensive income (net of tax)	**– 950**	**240**
Total comprehensive income	**6,676**	**27,308**

Consolidated cash flow statement of the PVA TePla Group

in EUR '000	Jan. 1 – Dec. 31, 2025	Jan. 1 – Dec. 31, 2024
Consolidated net result for the year	7,626	27,068
Adjustments to the consolidated net result for the year for the reconciliation to cash flow from operating activities		
+ Income taxes	914	11,894
– Financial income	– 368	– 1,662
+ Financial expenses	6,880	2,303
= Operating result (EBIT)	**15,052**	**39,604**
+/– Income tax payments	– 8,213	– 8,651
+ Depreciation and amortisation	10,264	8,207
–/+ Share of profit or loss of associates	2,671	33
–/+ Income/expenses from the disposal of fixed ass	246	14
+/– Other non-cash expenses/income	– 2,079	– 693
–/+ Increase/decrease in inventories, trade receivables and other assets	24,797	42,145
+/– Increase/decrease in provisions	– 2,635	3,437
+/– Increase/decrease in trade payables and other liabilities	– 28,298	– 37,910
Cash flow from operating activities	**11,805**	**46,184**
– Payment for acquisition of subsidiaries, net of cash acquired	– 4,653	– 282
– Payments for the acquisition of associates	0	– 2,704
+ Proceeds from sale of intangible assets and property, plant and equipment	106	111
– Payments for intangible assets and property, plant and equipment	– 25,536	– 24,156
+ Proceeds from sale of financial assets	0	3,000
+ Interests receipts	368	704
Cash flow from investing activities	**– 29,715**	**– 23,327**
– Acquisition of treasury shares	– 14,490	– 3,964
+ Proceeds from (financial) loans raised	25,056	5,934
– Repayment of (financial) loans	– 204	– 3,290
– Payments of lease liabilities	– 1,851	– 1,781
– Payments from redumption of financial li	– 506	0
– Payment of interest	– 2,464	– 2,896
Cash flow from financing activities	**5,542**	**– 5,997**
= Net change in cash and cash equivalents	**– 12,369**	**16,860**
+/– Effect of exchange rate changes on cash and cash equivalents	– 1,129	547
+ Cash and cash equivalents at the beginning of the period	31,371	13,964
= Cash and cash equivalents at the end of the period	**17,873**	**31,371**

Consolidated statement of changes in equity of the PVA TePla Group

in EUR '000	Shares issued	Share capital	Retained earnings	Other reserves			Total Reserves	Treasury shares	Total shareholder's equity
	Number			Share-based payment	Currency exchange	Insurance Actuarial gains/losses			
As at Jan. 1, 2024	**21,749,988**	**21,750**	**107,912**	**0**	**597**	**– 2,842**	**105,667**	**0**	**127,417**
Net result	0	0	27,068	0	0	0	27,068	0	27,068
Other income	0	0	0	0	834	– 594	240	0	240
Total income	0	0	27,068	0	834	– 594	27,308	0	27,308
Purchase of treasury shares	– 295,531	0	0	0	0	0	0	– 3,964	– 3,964
Obligation to aquire treasury shares	0	0	0	0	0	0	0	– 506	– 506
As of Dec. 31, 2024	**21,454,457**	**21,750**	**134,980**	**0**	**1,431**	**– 3,436**	**132,975**	**– 4,470**	**150,255**
As at Jan. 1, 2025	**21,454,457**	**21,750**	**134,980**	**0**	**1,431**	**– 3,436**	**132,975**	**– 4,470**	**150,255**
Net income	0	0	7,626	0	0	0	7,626	0	7,626
Other income	0	0	0	0	– 1,515	564	– 950	0	– 950
Total income	0	0	7,626	0	– 1,515	564	6,676	0	6,676
Stock-based compensation	0	0	0	395	0	0	395	0	395
Purchase of treasury shares	– 1,031,867	0	0	0	0	0	0	– 14,490	– 14,490
Obligation to aquire treasury shares	0		0	0	0	0	0	0	0
As of Dec. 31, 2025	**20,422,590**	**21,750**	**142,606**	**395**	**– 84**	**– 2,872**	**140,046**	**– 18,960**	**142,836**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT 2025

A. BASIS OF PREPARATION

Registered office and legal form of the company

PVA TePla AG, Wettenberg (hereinafter "PVA TePla AG") is a stock corporation under German law. The company is registered in the Commercial Register at the Giessen Local Court under number HRB 6845 and has its registered office at Im Westpark 10–12 in 35435 Wettenberg, Germany. The shares of PVA TePla AG are listed in the Prime Standard segment of the Frankfurt Stock Exchange (ISIN: DE0007461006). Since September 20, 2021, the shares of PVA TePla AG have been listed on the SDAX.

Business activities and operatign segments

PVA TePla AG and its controlled subsidiaries (hereinafter the "PVA TePla Group") are providers of high-tech solutions in the fields of materials and measurement technology. With a broad portfolio of innovative products, processes, and services, PVA TePla supports customers in overcoming demanding challenges across many different industries driven by the global megatrends of digitalization, decarbonization, and mobility. Through its locations in Germany, France, Italy, the U.S., China, Taiwan, Korea, and Singapore, PVA TePla maintains and cultivates global business relationships. Looking ahead, PVA TePla is focusing its regional growth initiatives particularly on the Asian and American regions.

The PVA TePla Group organizes its business activities into two operating segments: "Semiconductor Systems" and "Industrial Systems." The management, planning, and control of the PVA TePla Group are based on these two operating segments, which, for the purposes of segment reporting, constitute the two operating segments. The Semiconductor Systems division encompasses solutions and equipment systems for the semiconductor industry, including, in particular, crystal growth systems, metrology systems for quality control, and plasma systems for removing surface contaminants from wafers. The Industrial Systems division comprises solutions and equipment systems for the semiconductor industry for the production, finishing, and inspection of innovative materials, for surface treatment, cleaning, or inspection, as well as for the monitoring of manufacturing processes, which are specifically configured to meet the requirements and needs of other industrial sectors such as the medical, electrical, or tooling industries.

Accounting standards and general principles of presentation

The consolidated financial statement of PVA TePla AG for the fiscal year ending December 31, 2025, was prepared in accordance with Section 315e of the German Commercial Code (HGB) and the International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB), as adopted by the European Union (EU). All International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), and interpretations of the IFRS Interpretations Committee (IFRS IC) that are mandatory for the 2025 fiscal year have been taken into account. Furthermore, all statutory disclosure and explanatory requirements of the German Commercial Code (HGB) that go beyond the IASB's regulations have been fulfilled. As the ultimate parent company, PVA TePla AG prepares the consolidated financial statement for both the narrowest and broadest scope of companies within the PVA TePla Group.

The fiscal year of PVA TePla AG and its subsidiaries corresponds to the calendar year. The 2025 fiscal year of PVA TePla AG began on January 1, 2025, and ended on December 31, 2025. The corresponding prior-year period (hereinafter also referred to as "PY" or "prior year") therefore covers the period from January 1, 2024, to December 31, 2024.

The consolidated financial statement is prepared on a going concern basis and in accordance with the historical cost principle. Exceptions to this are derivative financial instruments and earn-out liabilities, which are measured at fair value.

The consolidated statement of income is prepared using the cost-of-sales method. If items in the consolidated balance sheet and/or the consolidated statement of income or consolidated statement of comprehensive income have been aggregated to improve the clarity of presentation or for reasons of materiality, these are disclosed separately in the notes to the consolidated financial statements. An explanation of the accounting policies applied with respect to individual items in the consolidated balance sheet and consolidated income statement or consolidated statement of comprehensive income is provided within the individual notes to the consolidated financial statements together with the relevant specific disclosures.

The presentation in the consolidated balance sheet distinguishes between current assets and non-current assets and liabilities. Assets and liabilities are classified as current if they are due within one year or within a longer normal business cycle. Deferred tax assets and deferred tax liabilities are generally recognized as non-current items in the consolidated balance sheet, regardless of the expected timing of the realization of the underlying temporary differences.

The reporting currency and the functional currency of the consolidated financial statements of the PVA TePla Group is the euro (EUR). Unless otherwise noted, all amounts are stated in thousands of euros (EUR thousand). For technical reasons, the information presented in these financial statements may contain rounding differences of +/– one unit (EUR thousand, %, etc.) may occur.

The consolidated financial statement of the PVA TePla Group for the fiscal year from January 1, 2025, to December 31, 2025, was approved by the Management Board of PVA TePla AG on March 11, 2026, and forwarded to the Supervisory Board for approval.



B. CHANGES IN ACCOUNTING POLICIES

Pronouncements applied for the first time in the 2025 fiscal year

The accounting policies applied in the consolidated financial statements of the PVA TePla Group for the fiscal year 2025 are generally consistent with those of the prior year (fiscal year 2024). Neither the first-time application of the amendments to IAS 21 "The Effects of Changes in Foreign Exchange Rates: Lack of Convertibility," nor the "Illustrative Examples" on reporting uncertainties in financial statements, published by the IASB on November 28, 2025, and applicable for the first time, had a material impact on the present consolidated financial statement of the PVA TePla Group.

In July 2024, the IFRS Interpretation Committee (IFRS IC) published an Agenda Decision regarding the disclosure of revenue and expenses for reportable segments in accordance with IFRS 8 "Operating Segments." The Agenda Decision clarifies that certain specified revenue and expense items must be broken down for reportable segments if these amounts are included in the segment result. This applies even if these amounts are not themselves monitored separately by the chief operating decision-maker or made available to him separately. The Agenda Decision further clarifies that additional material revenue and expense items included in a segment result reported to the chief operating decision maker must also be disclosed at the segment level at management's discretion. The PVA TePla Group has assessed the Agenda Decision and adjusted its segment reporting accordingly so that cost of sales and research and development costs are reported at the segment level.

Pronouncements required to be applied in future periods

The IASB has issued the following pronouncements, which were not yet mandatory for the 2025 fiscal year. The PVA TePla Group does not intend to early adopt these new or amended standards.

Standard	Title	Initial application PVA TePla Group	Takeover by the EU	Impact PVA TePla Group
Amendments to IFRS 1, IFRS 7, IFRS 9, IFRS 10 and IAS 7	Collective Amendments Standard – Volume 11	January 1, 2026	Effective July 9, 2025	No material impact
Amendments to IFRS 9 and IFRS 7	Classification and Measurement of Financial Instruments	January 1, 2026	Effective May 27, 2025	No material impact
Amendments to IFRS 9 and IFRS 7	Contracts relating to natural gas-based electricity	January 1, 2026	Effective June 30, 2025	No material impact
IFRS 18	Presentation and disclosures in the financial statements	expected January 1, 2027	Effective February 13, 2026	Impact is currently being analyzed
IFRS 19	Subsidiaries not subject to public reporting requirements: Disclosures	Expected January 1, 2030	pending	Not relevant
Amendments to IFRS 19	Subsidiaries without public accountability: Disclosures	Expected January 1, 2027	pending	Not relevant
Amendments to IAS 21	Effects of changes in exchange rates: Translation into a highly inflationary presentation currency	Expected effective date: January 1, 2027	pending	Not relevant

* With regard to the structure of the income statement, IFRS 18 sets out detailed requirements for the classification of revenue and expenses. In doing so, the entity's primary business activities must be identified. Operating expenses must be classified and presented in a manner that provides the most useful structured summary. Specific presentation requirements also apply to management performance measures ("MPMs"). The impact of the standard on the Company is currently still being analyzed.

C. SCOPE OF CONSOLIDATION, CONSOLIDATION PRINCIPLES AND CURRENCY TRANSLATION

Basis of consolidation

These consolidated financial statements include PVA TePla AG and its domestic and foreign subsidiaries over which it exercises control ("PVA TePla Group"). In general, it is assumed that ownership of a majority of the (direct or indirect) voting rights results in control. The financial statements of subsidiaries to be included in the consolidated financial statement are consolidated from the date on which control becomes possible until the date on which the possibility of exercising control ceases. As the ultimate parent company, PVA TePla AG prepares the consolidated financial statement for both the narrowest and broadest scope of companies within the PVA TePla Group. The consolidated financial statement and the Group management report of the company are disclosed in the Federal Gazette and are permanently available there. In addition, PVA TePla AG makes these documents available on its website in the Investor Relations section.

In addition to PVA TePla AG, the consolidated financial statement of the PVA TePla Group as of December 31, 2025, included eleven domestic (previous year: nine) and ten foreign (previous year: ten) subsidiaries on a full-consolidation basis:

		Equity share (%)	
Company	Registered office	Direct shareholding Dec. 31, 2025	Indirect shareholding Dec. 31, 2025
PVA Industrial Vacuum Systems GmbH	Wettenberg, Germany	100	–
PVA Crystal Growing Systems GmbH	Wettenberg, Germany	100	–
PVA Metrology & Plasma Solutions GmbH	Wettenberg, Germany	100	–
PVA TePla Analytical Systems GmbH	Westhausen, Germany	100	–
PVA Soldering and Materials Technology GmbH	Jena, Germany	100	–
PVA Control GmbH	Wettenberg, Germany	100	–
PVA SPA Software Development GmbH	Coburg, Germany	100	–
PVA Vacuum Plant Engineering Jena GmbH	Jena, Germany	100	–
PVA Technology Hub GmbH	Wettenberg, Germany	100	–
desconpro engineering GmbH	Hüttlingen, Germany	100	–
PVA Vision GmbH*	Radeberg, Germany	100	–
PVA Holding, LLC	Wilmington DE, USA	100	–
OKOS Solutions, LLC	Manassas VA, USA	–	100
PVA TePla America, LLC	Corona CA, USA	–	100
PVA Italy S.r.l.	San Vito di Leguzzano, Italy	100	–
M.P.A. Industrie SAS	La Chapelle-d'Aurec, France	100	–
PVA TePla Singapore Pte. Ltd.	Singapore	100	–
PVA TePla (China) Ltd.	Peking, VR China	100	–
PVA Semiconductor Systems Xi'an Ltd.	Xi'an, VR China	100	–
PVA Taiwan Ltd.	Hsinchu, Taiwan	100	–
PVA TePla Korea LLC	Gyeonggi-do, Republic of Korea	100	–

* formerly DIVE imaging systems GmbH

Exemption pursuant to section 264(3) of the german commercial code (HGB)

The following domestic subsidiaries of PVA TePla AG are availing themselves of the exemption provision pursuant to Section 264 (3) of the German Commercial Code (HGB) and are exempt for the 2025 fiscal year from their obligation to prepare and disclose annual financial statements and a Management Report in accordance with the provisions applicable to corporations:

- PVA Industrial Vacuum Systems GmbH, Wettenberg
- PVA Crystal Growing Systems GmbH, Wettenberg
- PVA Metrology & Plasma Solutions GmbH, Wettenberg
- PVA TePla Analytical Systems GmbH, Westhausen
- PVA Soldering and Materials Technology GmbH, Jena
- PVA Control GmbH, Wettenberg
- PVA SPA Software Development GmbH, Coburg
- PVA Vacuum Plant Engineering Jena GmbH, Jena
- PVA Technology Hub GmbH, Wettenberg
- desconpro engineering GmbH, Hüttlingen
- PVA Vision GmbH, Radeberg

Changes in the basis of consolidation in fiscal year 2025

On January 29, 2025 (acquisition date), PVA TePla AG acquired all shares in desconpro engineering GmbH, based in Hüttlingen (hereinafter “desconpro engineering GmbH”). Since the acquisition date, the acquired company has been included in the consolidated financial statements of PVA TePla AG using the full consolidation method and is allocated to the “Semiconductor Systems” operating segment. The automation specialist had previously been a long-standing partner of the PVA TePla Group and will continue to manufacture key components for the Group’s ultrasonic microscopy systems. Through this strategic acquisition in the form of vertical integration, the PVA TePla Group is strengthening its position in the globally high-growth market for ultrasonic metrology.

The purchase price for the shares of desconpro engineering GmbH consists, on the one hand, of a contractually agreed base purchase price of EUR 5.5 million and, on the other hand, of a contingent consideration of up to EUR 0.5 million. The future event linked to the contingent consideration had already occurred as of the balance sheet date of December 31, 2025, and resulted in an actual cash outflow of EUR 417 thousand.

The following table shows the fair values of the acquired assets and liabilities as of the acquisition date:

in EUR '000	Fair values
Assets	
Intangible assets	4,177
Property, plant and equipment	237
Inventories	2,890
Receivables and other assets	217
Income tax assets	150
Cash and cash equivalents	1,879
Total assets	**9,551**
Liabilities	
Deferred tax liabilities	1,362
Other provisions	281
Liabilities to employees	97
Trade payables	100
Contract liabilities	1,553
Provisions for taxes	939
Other liabilities	76
Total liabilities	**4,408**
Net assets acquired	**5,143**
Consideration transferred (purchase price)	5,917
Goodwill	**774**

Significant differences between fair values and book values were attributable to the recognition of previously unrecognized intangible assets in the amount of EUR 4,159 thousand, resulting from the technology used, the brand, and favorable contracts. The total purchase price to be paid in cash amounted to EUR 5,917 thousand, which was paid in full during the current reporting period. Taking into account the acquired cash and cash equivalents of EUR 1,879 thousand, the net cash outflow from the business combination amounts to EUR 4,038 thousand.

The one-time costs of the acquisition recognized as expenses in general and administrative expenses totaled EUR 42 thousand. Unidentifiable intangible assets contributed in particular to the goodwill of EUR 774 thousand. These cannot be capitalized separately from goodwill (e. g., expected synergies as well as "human capital" such as the qualifications and know-how of the workforce). The PVA TePla Group assumes that the goodwill recognized in fiscal year 2025 will not be tax-deductible. The gross amount and fair value of the acquired trade receivables amount to EUR 84,000.

For the period from January 29, 2025, to December 31, 2025, desconpro engineering GmbH (considered in isolation) generated external revenue totaling EUR 2.2 million and contributed EUR 66 thousand to earnings after taxes. If the initial consolidation of desconpro engineering GmbH had taken place at the beginning of the 2025 fiscal year, there would be no material effect on the revenue or Consolidated net profit for the period reported in the consolidated financial statement for the 2025 fiscal year.

On April 29, 2025 (the acquisition date), PVA TePla AG acquired all shares of DIVE imaging systems GmbH, Radeberg, which was renamed PVA Vision GmbH, Radeberg (hereinafter "PVA Vision GmbH") upon entry in the commercial register on July 24, 2025. Since the acquisition date, the acquired company has been included in the consolidated financial statements of PVA TePla AG through full consolidation and is allocated to the "Semiconductor Systems" reporting segment. The company offers proprietary, innovative solutions for industrial quality control and process optimization. With the integration of PVA Vision GmbH, the PVA TePla Group is expanding its portfolio with additional technologies for high-precision, fast, and non-destructive inspection. The acquisition of PVA Vision GmbH has no material impact on the PVA TePla Group's net assets, financial position, and results of operations.

Relocations of business activities involving the closure of sites in China and Coburg did not result in a change in the scope of consolidation.

Changes in the basis of consolidation in the previous year

PVA Technology Hub GmbH, based in Wettenberg, was founded in January 2024, with PVA TePla AG directly holding 100% of its shares. The aim of this founding is to further advance the company's evolution from a pure equipment manufacturer to a solutions provider and to strengthen its position in the field of research and development. The PVA Technology Hub focuses on the development of processes and systems for the production, processing, and application of high-tech materials and components, with an initial focus on silicon carbide.

Consolidation methods

The financial statements of PVA TePla AG and its subsidiaries included in the consolidated financial statement are prepared in accordance with uniform recognition and measurement principles as of the reporting date of the consolidated financial statement (December 31, 2025). Recognition, measurement, consolidation, and presentation principles were consistently applied by all companies included in the consolidated financial statement. All intra-group assets and liabilities, revenues and expenses, as well as cash flows arising from transactions between the companies included in the consolidated financial statements, are fully eliminated during consolidation. For consolidation transactions affecting net income, income tax effects were taken into account and deferred taxes were recognized.

The equity consolidation of subsidiaries is performed using the acquisition method. Accordingly, the cost of the investment (consideration transferred) is allocated to the identifiable assets acquired and the identifiable liabilities and contingent liabilities assumed in accordance with their fair values at the acquisition date. Costs incurred in connection with a business acquisition are recognized as expenses. Deferred taxes are recognized on hidden reserves and liabilities identified during initial consolidation, provided that this identification is not also recognized for tax purposes. In subsequent periods, the identified hidden reserves and liabilities are carried forward in accordance with the treatment of the corresponding assets and liabilities. Any excess of the cost of the investment over the net fair values of the identifiable assets, liabilities, and contingent liabilities is recognized as goodwill.

Currency translation

The items reported in the financial statements of the individual subsidiaries of PVA TePla AG are measured based on their respective functional currencies. The reporting currency of the consolidated financial statement of the PVA TePla Group is the euro (EUR).

Transactions in foreign currencies are translated into the respective functional currency at the exchange rate prevailing on the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated at the exchange rate prevailing on the balance sheet date. Translation differences are recognized in profit or loss and reported in the consolidated statement of income under other operating expenses or other operating income, respectively. Non-monetary assets and liabilities measured at historical cost in a foreign currency are translated at the exchange rate on the date of the transaction.

The financial statements of consolidated subsidiaries whose functional currency differs from the Group's reporting currency (the euro) are translated as follows: Assets and liabilities are translated at the exchange rate (mid-market rate) prevailing on the balance sheet date, Shareholders' equity at historical rates, and expenses and income at the annual average exchange rate. Translation differences arising from exchange rate fluctuations between fiscal years are generally recognized directly in equity under "other reserves" in Shareholders' equity.

Changes in the most important exchange rates versus the euro

EUR = 1	Average rate		Exchange rate on the reporting date	
	2025	2024	Dec. 31, 2025	Dec. 31, 2024
USA (USD)	1.12933	1.08205	1.17500	1.03890
China (CNY)	8.11491	7.78626	8.22620	7.58330
Singapore (SGD)	1.47516	1.44567	1.51050	1.41640
South Korea (KRW)	1,605.28439	1,475.25642	1,696.94000	1,532.15000
Taiwan (TWD)	35.18100	34.71900	36.82000	33.94200

D. MANAGEMENT'S JUDGMENTS AND ESTIMATION UNCERTAINTIES

In preparing the consolidated financial statements of the PVA TePla Group, estimates and assumptions must be made that affect the recognition, amount, and presentation of assets and liabilities, income and expenses, and contingent liabilities. Material management judgments and estimation uncertainties relating to recognition and measurement pertain in particular to the determination of the difference between fair values and book values in the context of initial consolidation at the acquisition date and the measurement of variable purchase price components (earn-out clauses) in the context of the acquisition of new companies (see Note C.), the measurement of goodwill (see Note 8.), the measurement of intangible assets (see Note 8.), the measurement of Property, plant and equipment (see Note 9.), the measurement of non-current assets (see Note 10.), the measurement of inventories (see Note 11.), allowances for doubtful accounts and contractual assets (see Note 12. and Note 19.), the recognition and measurement of deferred tax assets on tax loss carryforwards (see Note 13.), the amount and probability of occurrence of pension provisions (see Note 15.), as well as tax provisions and other provisions (see Note 16.), including the measurement of long-term compensation components (see Note 23.) and the measurement of leases (see Note 20.). Management's judgments regarding financial reporting primarily concern the assessment of whether, in individual cases, the conditions for offsetting deferred tax assets against deferred tax liabilities are met. In assessing these judgments and estimation uncertainties, management relies on historical experience, expert opinions (from lawyers, rating agencies, associations, etc.), insights from the internal climate risk analysis, and the results of a careful evaluation of various scenarios. Actual results and developments beyond management's control may differ significantly from the expressed developments and assumptions. The management of the PVA TePla Group therefore continuously reviews the estimates made and assumptions taken. Changes in estimates are recognized in profit or loss at the time of improved insight.

Material management judgments and estimation uncertainties regarding revenue recognition are made in the context of determining separate performance obligations, in determining the satisfaction date of performance obligations, in determining the method for measuring progress on projects to be recognized over time, in the assessment of significant financing components, and in the allocation of the transaction price to the separate performance obligations:

- Determining whether a performance promise is to be regarded as a separate performance obligation (e. g., in the case of installation, training, maintenance, service, and warranty obligations) may, in individual cases, involve significant judgment.

- The performance obligations arising from contracts with customers of the PVA TePla Group in connection with plant manufacturing and services are recognized, depending on the specific facts and circumstances of each case, either on a time-based basis over the period of performance in accordance with the progress of performance (the so-called "POC method") or recognized on a point-in-time basis as soon as the goods or services are delivered. In the case of customer-specific plant manufacturing, a judgmental decision must be made as to whether, in the specific individual case, an asset with no alternative use is created and, additionally (in the event of an assumed termination of the contract by the customer), a legally enforceable claim for payment of the services already rendered, including a reasonable profit margin, exists.

- For projects to be realized over a period of time, the method that most reliably measures the services rendered must be determined to assess the stage of completion. Within the PVA TePla Group, revenue from customer-specific plant manufacturing is primarily determined using input-based methods, foremost among them the so-called "cost-to-cost method." Under this method, the percentage of completion is determined based on the ratio of costs incurred as of the reporting date to the estimated total costs. In the opinion of the PVA TePla Group's management, the cost-to-cost method is generally best suited for determining progress on plant construction projects to be completed over a period of time, as there is a more direct correlation between the PVA TePla Group's cost development and the transfer of control to the customer. The estimate of the stage of completion is based on historical experience and is continuously monitored and adjusted.

- When determining the transaction price, significant financing components must generally be taken into account if the dates of performance and payment differ. Determining whether a significant financing component exists (at all) in an individual case requires a discretionary assessment of all relevant facts and circumstances in the specific case at hand.

- If there are multiple performance obligations, the estimated contract consideration must be allocated to the identified performance obligations based on the respective relative unit selling prices. Only in cases where the market prices of individual goods and services cannot be directly observed does the PVA TePla Group estimate the unit selling prices using other appropriate methods. Depending on the specific facts and circumstances of the individual case, the following methods are applied: the adjusted market assessment approach, the expected cost plus a margin approach, or (subject to certain restrictive conditions) the residual method. The expected cost plus a margin approach is predominantly used within the PVA TePla Group.

The PVA Tepla Group continues to operate in a macroeconomic and geopolitical environment characterized by significant uncertainties and risks. This is particularly true in light of global geopolitical conflicts, trade disputes, and national political and economic changes. In this context, uncertainties and risks arise primarily from the ongoing uncertainties regarding the future development of energy, material, and raw material prices, as well as from volatile interest rates, exchange rates, and stock prices. Since the political and economic consequences are currently unforeseeable, the management's discretionary decisions and estimates are subject to additional uncertainties and risks, particularly in the context of revenue recognition, the determination of impairment losses on trade receivables and contract assets (the so-called "expected credit loss model"), the performance of impairment tests for goodwill, and the accounting for long-term provisions. The management of the PVA TePla Group continuously monitors and analyzes the situation in order to take measures and mitigate identified risks.

E. CONSOLIDATED INCOME STATEMENT DISCLOSURES

1. Sales revenues

The PVA TePla Group generates its revenue primarily from the sale of standard systems and custom-designed systems ("systems"). In addition, there are services and the supply of spare parts (collectively referred to as "after-sales service") and services provided to customers at their own facilities ("contract processing"). The standard contract terms and payment terms for customer contracts in these business areas of the PVA TePla Group are listed below, although individual contracts may deviate from these terms.

Business Areas	Contract Terms	Payment Terms
Systems	**Material Solutions:** 12 – 18 months **Metrology:** 4 – 12 months	**Material Solutions:** 30 – 40% upon order intake; 50 – 65% upon delivery; 5 – 10% upon acceptance **Metrology:** 0 – 30% when service is provided; 70 – 100% upon delivery/commissioning
After-sales service	1 – 6 weeks	100% upon delivery (e. g., spare parts) or 100% upon provision of the service (e. g., contract processing; repairs)
Contract Processing	1 – 4 weeks	

Breakdown of revenue by operating area

in EUR '000	2025	%	2024	%
Systems	197,021	81	220,599	82
After-sales service	38,429	16	40,064	15
Contract Processing	6,920	3	7,165	3
Other	1,887	1	2,287	1
Total	**244,257**	**100**	**270,115**	**100**

Breakdown of revenue by timing of performance

in EUR '000	2025	%	2024	%
Sales revenues recognized at a point in time	166,088	68	174,044	64
Sales revenues recognized over time	78,169	32	96,070	36
Total	**244,257**	**100**	**270,115**	**100**

Revenue breakdown by region (Customer's country of origin)

in EUR '000	2025	in %	2024	in %
Asia	99,639	41	149,382	55
Germany	33,926	14	23,832	9
Europe (excluding Germany)	71,250	29	60,050	22
North America	37,419	15	35,348	13
Other	2,023	1	1,503	1
Total PVA TePla Group	**244,257**	**100**	**270,115**	**100**

Revenue for the 2025 fiscal year does not include revenue from any Group customer accounting for more than 10% of total revenue (previous year: one customer; EUR 57.4 million, Semiconductor segment).

As in the prior year, all significant non-current assets of the PVA TePla Group are located in Germany.

Customer-specific system manufacturing (POC method)

in EUR '000	Dec. 31, 2025	Dec. 31, 2024
Contract revenue	47,819	70,980
Contract costs	– 35,369	– 53,677
Profit from customer-specific system manufacturing (POC method)	**12,449**	**17,303**

No significant financing components were agreed in contracts with customers in either fiscal year 2025 or the prior year.

Performance obligations not yet fulfilled as of the reporting date

in EUR '000	of which expected to be fulfilled within ≤ 12 months	of which expected to be fulfilled in > 12 months
Overall scope of contractual obligations contracted at December 31, 2025, but not yet (fully) fulfilled	130,122	44,361
Overall scope of contractual obligations contracted at December 31, 2024, but not yet (fully) fulfilled	132,981	22,633

Presentation of material accounting policies

Revenue is recognized based on the consideration specified in a contract with a customer that the PVA TePla Group expects to receive and realize when the customer obtains control of the agreed-upon goods and services. The transfer of control may occur at a specific point in time or over a period of time. Revenue is reported net of sales tax, taking into account revenue reductions (e. g., credit notes and discounts). When determining the transaction price, significant financing components must generally be taken into account if the dates of performance and payment differ. The transaction price generally corresponds to the purchase contract price. Variable purchase price components are either immaterial or nonexistent.

Contracts with customers typically contain various performance commitments (products and services) that may need to be classified as separate performance obligations, to which a portion of the contract price must subsequently be allocated. Determining whether a product or service should be classified as a separate performance obligation may involve a significant degree of judgment. If multiple deliveries or services are provided to a customer, these are either specified in separate individual contracts or combined into a single set of contracts consisting of multiple performance obligations. If deliveries or services are contracted with a customer in separate individual contracts that are closely related in time, they are combined into a multi-component contract if there are economic interdependencies.

The performance obligations resulting from contracts with customers of the PVA TePla Group in connection with plant construction are recognized on a time-based basis over the construction period in accordance with the progress of work (the so-called “POC method”) if no asset with alternative uses is created and, in addition (in the event of an assumed contract termination by the customer), there is a legally enforceable claim for payment of the services already rendered (including a reasonable profit margin). Otherwise, revenue is recognized on a point-in-time basis as soon as the goods or services have been delivered, the transfer of risk has occurred, and there are no technical risks or specific contrary contractual provisions. Revenue from services is recognized on a point-in-time or time-based basis depending on the specific facts and circumstances of each case.

When applying the POC method, revenue is recognized on a time-based basis in accordance with the progress of work. The services rendered (including the proportionate profit) are recognized on a time-based basis over the production period within the “Revenue” line item in the income statement. To determine the percentage of completion for longer-term, customer-specific plant construction projects, the PVA TePla Group primarily uses input-based methods, most notably the so-called “cost-to-cost method.” Under this method, the percentage of completion is determined based on the ratio of costs incurred up to the balance sheet date to the estimated total costs. The ratio of these two figures represents the portion of project revenue to be recognized as of the balance sheet date (cumulative work performed). Revenue to be recognized using the POC method is reported either under the balance sheet item “Contract assets” or under the balance sheet item “contract liabilities.” To the extent that the cumulative work performed (contract costs including profit margins) exceeds the advance payments received, the construction contracts are recognized on the asset side as “contract assets.” If, however, a negative balance remains after deducting the advance payments, this is recognized on the liability side under the balance sheet item “contract liabilities.” Advance payment invoices already issued by the PVA TePla Group and due (but not yet paid) are recognized under “Trade receivables” and “contract liabilities.” Expected contract losses are accounted for based on identifiable risks and immediately included in full in the contract result. Contract revenue is recognized as contractual revenue as well as contract modifications (e.g., contract amendments and supplements). Contract assets and contract liabilities are reported as separate balance sheet items within current assets and current liabilities, respectively, as these are generally realized within the normal business cycle in the PVA TePla Group.

2. Research and development expenses

The PVA TePla Group is engaged in high-tech mechanical engineering for single-unit and small-batch production and, in this context, performs research and development activities both under cooperation agreements and in connection with the new and further development of the range of services offered to the market.

Research expenses are generally recognized as expenses in the period in which they are incurred. With regard to product developments created by the PVA TePla Group itself, capitalization is only considered if research (with respect to new methods and processes) and development (with respect to new products or new product specifications) can be reliably distinguished from one another. If the activities of both areas are closely and iteratively interlinked, capitalization of development costs is not permitted, as research and development costs cannot be reliably separated in such cases. In principle, only expenses for the new development of products or processes qualify for capitalization. Subsequent costs incurred for the further development of existing facilities or processes meet the capitalization requirements only in exceptional cases where significant improvements are present.

To a limited extent, the PVA TePla Group receives input from renowned research and development institutions under cooperation agreements (service contracts). Provided that this collaboration yields sufficient empirical evidence regarding the usability of the development results and the other recognition criteria under IAS 38 are met, the incurred development costs are capitalized as intangible assets.

In fiscal year 2025, research and development costs in the amount of EUR 17,052 thousand (previous year: EUR 11,711 thousand) were recognized in the consolidated income statement.

3. Other operating income/Other operating expenses

in EUR '000	2025	2024
Foreign exchange gains	2,715	1,760
Grants for research and development projects	1,476	2,016
Income from the valuation of earn-out liabilities	357	–
Deferred gain on business combination	315	–
Reversal of allowances for doubtful accounts	281	30
Insurance compensation	356	475
Gains on disposal of non-currrent assets	8	6
Miscellaneous other operating income	1,200	689
Other operating income	**6,708**	**4,976**

Revenue from grants for research and development projects in the amount of 1,476 EUR thousand (previous year: EUR 2,016 thousand) was recognized under other operating income. This amount includes government grants applied for by the PVA TePla Group in Germany under the Research Allowance Act for eligible research and development projects in the amount of 245 EUR thousand (previous year: EUR 944 thousand). These government grants were already recognized as other operating income in fiscal year 2025 based on reasonable assurance, even though payment was still pending as of the balance sheet date. No net presentation is made in the corresponding expense item. Income from the cancellation of obligations in the amount of EUR 462 thousand (previous year: EUR 0) was recognized within other operating income.

in EUR '000	2025	2024
Foreign exchange losses	– 3,963	– 2,036
Impairment losses on receivables	– 128	– 38
Expenses from the disposal of fixed assets	– 78	– 1
Emissions certificates	– 38	– 51
Miscellaneous other operating expenses	– 1,180	– 518
Other operating expenses	**– 5,387**	**– 2,644**

Other operating expenses include expenses related to an insurance claim in the amount of 550 EUR thousand (prior year: EUR 0), expenses from depreciation and amortisation in the "Semiconductor Systems" segment amounting to EUR 90 thousand (previous year: EUR 0), as well as expenses for insurance premiums amounting to EUR 53 thousand (previous year: EUR 57 thousand).

Foreign exchange losses (as well as foreign exchange gains in other operating income) arose in connection with the execution of our customer projects and increased compared to the prior year.

4. Financial result

in EUR '000	2025	2024
Income from the fair value measurement of derivative financial instruments	–	958
Income from cash equivalents and term deposits measured at amortized cost	368	704
Financial income	**368**	**1,662**

in EUR '000	2025	2024
Income from equity-accounted investments	– 2,671	– 33
Interest expense on loans from banks	– 1,198	– 940
Expenses from derivative financial instruments	– 958	–
Arrangement, commitment, and participation fees	– 860	– 471
Net interest expense on retirement pension provisions	– 409	– 383
Interest expense on lease liabilities	– 322	– 249
Other interest and similar expenses	– 462	– 227
Finance Costs	**– 6,880**	**– 2,303**

The "Income from equity-accounted investments" and "Expenses from derivative financial instruments" relate exclusively to the investment in Scientific Visual SA, headquartered in Lausanne-Renens, Switzerland, which is allocated to the "Semiconductor Systems" segment and classified as an associate. Please refer to the relevant notes under Note 10. Income from equity-accounted investments consists, on the one hand, of the recognition in income of the investment in Scientific Visual SA for the fiscal year 2025 (EUR 636 thousand) and, on the other hand, of the impairment of this investment recognized as of December 31, 2025 (EUR 2,035 thousand). Expenses from derivative financial instruments relate to the recognition in profit or loss of the decrease in the fair value of the relevant call options as of December 31, 2025, in the amount of EUR 958 thousand, which was recognized in the prior year's financial result.

As in the prior year, the expenses included in "Other interest and similar expenses" consist entirely of interest and financing expenses for financial liabilities measured at amortized cost.

5. Income taxes

in EUR '000	2025	2024
Current tax expenses	– 1,593	– 12,994
Deferred tax expenses	– 3,350	– 12,174
Non-current tax expense (–) / tax income (+)	1,757	– 820
Expenses (–) / Income (+) from deferred taxes	679	1,100
Expenses (–) / Income (+) from tax loss carryforwards	553	– 586
Other deferred taxes	125	1,686
Income taxes	**– 914**	**– 11,894**

Deferred tax expenses of EUR 375 thousand (prior year: deferred tax income of EUR 253 thousand) were recognized in other comprehensive income without affecting the consolidated statement of income. These are attributable to effects related to pension provisions recognized in other comprehensive income.

The difference between the expected and the actual income tax expenses is shown in the following reconciliation. To determine the expected tax expenses, the tax rate of 29.4% applicable for the 2025 fiscal year (previous year: 29.4%) was multiplied by earnings before taxes. This tax rate is a combined income tax rate consisting of the uniform corporate income tax rate of 15% (previous year: 15%) plus a 5.5% (previous year: 5.5%) solidarity surcharge and an effective trade tax rate of 13.6% (previous year: 13.6%). The country-specific income tax rates applied to foreign companies in fiscal year 2025 range from 5% to 28% (previous year: between 17% and 28%).

in EUR '000	2025	%	2024	%
Net result before tax	8,540		38,962	
Expected tax expenses	– 2,511	– 29	– 11,455	– 29
Effect of tax rate differences	43	1	76	0
Effects from consolidations	0	0	125	0
Increases in taxes due to non-tax-deductible expenses	– 358	– 4	– 37	0
Tax increases due to tax-exempt income	11	0	17	0
Effects related to deferred tax assets from tax loss carryforwards	40	0	229	– 1
Tax payments (–) / tax refunds (+) for prior years	1,757	21	– 820	– 2
Impact of Tax Rate Changes	127	1	0	0
Other tax effects	– 24	0	– 29	0
Current tax expenses	**– 914**	**– 11**	**– 11,894**	**– 31**

Deferred taxes were measured based on the timing of their realization using the stated tax rate (taking into account a future reduction in the income tax rate) or, for foreign subsidiaries, using the country-specific tax rates. Deferred taxes arising from tax rate differences of foreign companies result from the fact that subsidiaries of the PVA TePla Group outside Germany are subject to tax rates different from those in Germany. The effects of consolidation primarily include amounts from the elimination of intra-group earnings from foreign companies that are subject to different tax rates.

Presentation of material accounting policies

Current tax assets and tax liabilities are measured at the amount for which a refund from the tax authorities or a payment to the tax authorities is expected. The calculation of the amount is based on the tax rates and tax laws in effect or expected to take effect shortly as of the balance sheet date in the countries where the PVA TePla Group operates and generates taxable income. Current taxes relating to items recognized directly in Shareholders' equity are not recognized in the income statement but are also recognized directly in Shareholders' equity.

For information on the accounting treatment of deferred taxes, please refer to the relevant explanations of significant accounting policies in Note 13.

Other taxes, such as transfer taxes or taxes on assets and capital, are reported as other operating expenses.

6. Earnings per share

	2025	2024
Numerator (in EUR '000):		
Consolidated net profit for the period	7,626	27,068
Denominator (in shares):		
Weighted average number of no-par shares outstanding (undiluted)	20,628,535	21,732,034
Weighted average number of no-par shares outstanding (diluted)	20,797,913	21,732,034
Earnings per share (in EUR): basic	**0.37**	**1.25**
Earnings per share (in EUR): diluted	**0.37**	**1.25**

The weighted average number of shares outstanding is calculated as the weighted average of the number of shares outstanding during the period from January 1, 2025, to December 31, 2025. Treasury shares reduce the number of shares outstanding accordingly. The calculation is based on the respective daily closing price.

In fiscal year 2025, both the Management Board and senior management were granted equity-based compensation with the option to be settled in shares. Diluted earnings per share are calculated on the assumption that all equity-based compensation plans for the Management Board and senior management are exercised.

7. Supplementary information about the type of expenses

Cost of materials

in EUR '000	2025	2024
Cost of raw materials, consumables and supplies and of goods purchases and held for resales	– 80,251	– 117,240
Cost of purchased services	– 6,516	– 9,919
Cost of materials	**– 86,767**	**– 127,159**

Cost of materials is included in the cost of revenue. The cost of materials ratio (cost of materials/total revenue) was 35.5% in the current fiscal year, compared to 47.1% in the prior year.

Personnel expenses

in EUR '000	2025	2024
Wages and salaries	– 66,497	– 57,706
Social charges	– 15,598	– 13,094
Personnel expenses	**– 82,095**	**– 70,800**

As a percentage of revenue, personnel expenses rose to 33.6% in fiscal year 2025, compared to 26.2% in the prior year. The absolute increase is primarily attributable to new hires. Social security contributions in fiscal year 2025 include pension expenses of EUR 714 thousand (prior year: EUR 2,007 thousand).

Depreciation, amortization and impairment losses

in EUR '000	2025	2024
Intangible assets	– 2,027	– 1,293
Right-of-use assets	– 1,919	– 1,838
Property, plant and equipment	– 6,318	– 5,076
Depreciation and amortisation and impairment losses	**– 10.264**	**– 8.207**

As in the prior year, the reported depreciation and amortisation losses are primarily recognized in revenue. Of this amount, EUR 5,902 thousand (previous year: EUR 4,481 thousand) relates to the "Semiconductor Systems" segment and EUR 2,262 thousand (previous year: EUR 2,015 thousand) to the "Industrial Systems" segment. For an explanation of impairments of non-current financial assets, please refer to Notes 10 and 14.

F. NOTES TO THE CONSOLIDATED BALANCE SHEET

8. Intangible assets

in EUR '000	Goodwill	Intangible assets under development	Other intangible assets	Prepayments	Total
Acquisition and production costs					
Jan. 1, 2024	**18,525**	**–**	**14,997**	**82**	**33,603**
Exchange differences	–	–	6	–	6
Change in scope of consolidation	–	–	–	–	–
Additions	–	–	1,367	1,525	2,892
Disposals	–	–	– 61	–	– 61
Transfers	–	–	113	– 82	31
Dec. 31, 2024	**18,525**	**–**	**16,422**	**1,525**	**36,471**
Jan. 1, 2025	**18,525**	**–**	**16,422**	**1,525**	**36,471**
Exchange differences	–	–	– 12	–	– 12
Change in scope of consolidation	774	–	6,808	–	7,582
Additions	–	545	765	1,738	3,048
Disposals	–	–	– 51	–	– 51
Transfers	–	–	–	–	–
December 31, 2025	**19,298**	**545**	**23,932**	**3,263**	47,039
Accumulated depreciation and impairment losses					
Jan. 1, 2024	**4,850**	**–**	**10,156**	**–**	**15,006**
Exchange differences	–	–	5	–	5
Change in scope of consolidation	–	–	–	–	–
Additions	–	–	1,293	–	1,293
Disposals	–	–	– 60	–	– 60
Transfers	–	–	–	–	–
Dec. 31, 2024	**4,850**	**–**	**11,394**	**–**	**16,244**
Jan. 1, 2025	**4,850**	**–**	**11,394**	**–**	**16,244**
Exchange differences	–	–	– 11	–	– 11
Change in scope of consolidation	–	–	–	–	–
Additions	90	–	1,937	–	2,027
Disposals	–	–	– 51	–	– 51
Transfers	–	–	–	–	–
Dec. 31, 2025	**4,940**	**–**	**13,269**	**–**	**18,209**
Net carrying amounts					
Dec. 31, 2024	13,675	–	5,027	1,525	20,227
Dec. 31, 2025	**14,358**	**545**	**10,663**	**3,263**	**28,830**

The PVA TePla Group's intangible assets consist primarily of technologies, software, and goodwill arising from business combinations. Currently, there are no other intangible assets with an indefinite useful life.

The impairment test for goodwill was performed at the level of the smallest cash-generating units (CGUs) listed below within the PVA TePla Group and thus at the lowest level at which goodwill is monitored for internal management purposes.

Cash-Generating Units (CGUs)

in EUR '000	Dec. 31, 2025	Dec. 31, 2024
M.P.A. Industrie SAS, La Chapelle-d'Aurec, France	5,761	5,761
PVA TePla Analytical Systems GmbH, Westhausen	4,831	4,831
PVA Crystal Growing Systems GmbH, Wettenberg	2,734	2,734
desconpro Engineering GmbH, Hüttlingen	774	–
PVA Metrology & Plasma Solutions GmbH, Wettenberg	193	193
PVA Industrial Vacuum Systems GmbH, Wettenberg	50	50
OKOS Solutions, LLC, Manassas, USA	16	16
PVA SPA Software Development GmbH, Coburg	–	90
Goodwill	**14,358**	**13,675**

In the Semiconductor Systems division, goodwill is tested for impairment separately for six cash-generating units:

- PVA TePla Analytical Systems GmbH, Westhausen (since 2008)
- PVA Crystal Growing Systems GmbH, Wettenberg (since 2015)
- PVA Metrology & Plasma Solutions GmbH, Wettenberg (since 2015)
- PVA SPA Software Entwicklungs GmbH, Coburg (since 2018)
- OKOS Solutions, LLC, Manassas, USA (since 2020)
- desconpro Engineering GmbH, Hüttlingen (since 2025)

In the Industrial Systems business segment, goodwill impairment testing is performed separately for the following two cash-generating units:

- PVA Industrial Vacuum Systems GmbH, Wettenberg (since 2015)
- M.P.A. Industrie SAS, La Chapelle-d'Aurec, France (since 2022)

The recoverable amount is determined for each cash-generating unit as value in use using the so-called "discounted cash flow" method. Future cash flows are estimated based on assumptions. Key assumptions include those regarding order intake, revenue, margins, capital expenditures, and personnel development. The values of these figures are based on past experience and also take into account foreseeable future developments. The assumptions underlying the key planning parameters (such as cash flows, long-term growth rates, and discount rates) reflect past experience and were made in accordance with external sources of information. The planning is based on a three-year financial planning horizon. For the subsequent period, a cash flow growth rate of 0.5% (previous year: 0.5%) is applied for the purposes of impairment testing. The underlying exchange rate of the U.S. dollar to the euro is 1.0930 (previous year: 1.0811). The CGU-specific discount rate applied in the impairment tests of goodwill was derived from the weighted average cost of equity and debt capital for the industry, based on the Capital Asset Pricing Model (WACC approach). The cost of equity is based on a risk-free capital market interest rate for the respective period, taking into account the beta factor for the industry and a risk premium relative to the relevant capital market. A pre-tax discount rate was derived from this based on the tax situation.

The following pre-tax discount rates were used for the impairment tests of goodwill:

Cash-Generating Units (CGU)

in %	Dec. 31, 2025	Dec. 31, 2024
M.P.A. Industrie SAS, La Chapelle-d'Aurec, France	14.7	16.9
PVA TePla Analytical Systems GmbH, Westhausen	16.8	18.8
PVA Crystal Growing Systems GmbH, Wettenberg	16.7	18.9
desconpro Engineering GmbH, Hüttlingen	15.9	–
PVA Metrology & Plasma Solutions GmbH, Wettenberg	16.1	18.4
PVA Industrial Vacuum Systems GmbH, Wettenberg	14.7	16.5
OKOS Solutions, LLC, Manassas, USA	12.2	18.0
PVA SPA Software Development GmbH, Coburg	15.1	18.6

For cash-generating units with significant goodwill, the following developments were assumed:

Revenue represents the assumption with the greatest impact on future cash flows in the cash-generating unit forecasts. Changes in the other assumptions are highly dependent on the development of revenue. In the CVD equipment product segment (M.P.A. Industrie SAS), revenue growth in the low double-digit range is assumed for the next two fiscal years, which is expected to increase significantly again by the end of the detailed planning period in 2028. In the measurement systems product segment (PVA TePla Analytical Systems GmbH), management also expects average annual revenue growth in the mid-double-digit range through the end of the detailed planning period in fiscal year 2028. In the crystal growing systems product segment (PVA Crystal Growing Systems GmbH), significant revenue growth in the low double-digit percentage range is expected for the next two fiscal years, which is projected to stabilize at this level in fiscal year 2028 (the end of the detailed planning period). Aperpetual annuity growth rate of 0.5% was assumed for all product segments (unchanged from the previous year). Strategic measures within the scope of Group-level management are not fully reflected in these CGU plans.

As part of a sensitivity analysis for the cash-generating units (CGUs) of the PVA TePla Group to which significant goodwill has been allocated, an increase in discount rates by two percentage points, a decrease in the long-term growth rate by 0.5 percentage points, and a decrease in cash flows by 25% were assumed. None of the parameter changes presented leads, when considered in isolation, to a need for impairment. This also applies to parameter changes in combinations deemed possible, with the exception of M.P.A. Industrie SAS. For this CGU, the existing headroom of EUR 6.9 million would no longer be sufficient if cash flow were to decrease by 25% and the discount rate were to rise by two percentage points at the same time.

At the end of the 2025 fiscal year, the Management Board of PVA TePla AG resolved to close PVA SPA Software Entwicklungs GmbH, Coburg. The goodwill of EUR 90 thousand allocated to this cash-generating unit was fully impaired in the 2025 fiscal year in light of this Management Board resolution. With this exception, the impairment test of goodwill did not result in the need to recognize impairment expenses in either the 2025 fiscal year or the prior year.

Since the uncertainties and risks regarding the macroeconomic and geopolitical environment described in Section D are currently unforeseeable, the guidance for the 2025 fiscal year regarding the duration and extent of the impact on cash flows is subject to significant uncertainty. Management has prepared the underlying estimates and assumptions based on the best available information and has assumed a scenario in which the economic effects are not expected to be long-term.

Presentation of material accounting policies

The PVA TePla Group's intangible assets consist primarily of goodwill, other acquired intangible assets, and internally generated intangible assets (development costs).

Goodwill arising from business combinations is initially recognized at cost, which is defined as the excess of the cost of the respective business combination over the acquirer's share of the fair value of the identifiable assets, liabilities, and contingent liabilities. The goodwill identified in a business combination corresponds to the expectation of future economic benefits from assets that cannot be individually identified or recognized separately. Goodwill acquired for consideration is reported in the PVA TePla Group's consolidated balance sheet under the item "Intangible assets." Goodwill is not subject to depreciation and amortisation. Instead, it is tested for impairment at least annually.

Other acquired intangible assets are measured at cost upon initial recognition. The cost of intangible assets acquired in business combinations (primarily technology and know-how) corresponds to their respective fair values at the acquisition date. Acquired intangible assets (with the exception of goodwill) are measured for subsequent valuation purposes at cost less accumulated depreciation and amortisation (on a straight-line basis over the contractual or estimated useful life) and accumulated impairment losses. The Group holds only intangible assets with determinable useful lives. The relevant useful lives are reviewed annually and, if necessary, adjusted prospectively in line with future expectations. The useful lives recognized by the PVA TePla Group generally range from three to eight years. Depreciation and amortisation of intangible assets are allocated to the functional areas that use them.

A prerequisite for the capitalization of development costs is that these assets are highly likely to generate future benefits for the PVA TePla Group and that the costs can be reliably determined. In contrast, research and non-capitalizable development costs are recognized as expenses in the period in which they are incurred. If activities in the areas of research and development are closely and iteratively interlinked, the research and development activities – and thus the research and development costs – cannot be reliably separated from one another. In principle, only expenses for the development of new products or processes qualify for capitalization. Development costs are capitalized along with the directly attributable direct and overhead costs. Subsequent costs incurred for the further development of existing facilities or processes meet the capitalization requirements only in exceptional cases where significant improvements are present. Capitalized development costs are subject to straight-line depreciation and amortisation over the expected product or process life cycle. Development work still in progress is not subject to depreciation and amortisation. Instead, it is tested for impairment at least annually.

Impairment of Goodwill
The PVA TePla Group's goodwill is tested for impairment once a year (in the fourth quarter; as of September 30). In addition, an impairment test is also performed if circumstances indicate that the value of goodwill may have been impaired. The impairment test for goodwill is conducted in a single-step process at the level of the PVA TePla Group's cash-generating units (CGUs) to which goodwill has been allocated. As part of the impairment test, the book value of a cash-generating unit is compared with its recoverable amount. If the book value exceeds the recoverable amount, an impairment loss is recognized in income to reduce the book value to the recoverable amount. The impairment loss is initially allocated to goodwill and, for amounts exceeding this, is allocated pro rata to the assets of the CGU, subject to specific restrictions. A subsequent reversal of an impairment loss on goodwill is not permitted if the reasons for an impairment loss recognized in prior years no longer apply.

Impairment of Other Intangible Assets, Property, plant and equipment, and Right-of-use assets
For right-of-use assets, property, plant and equipment, and intangible assets with finite useful lives, the PVA TePla Group assesses at each reporting date whether there are any indications of impairment. If facts or changes in circumstances suggest that the book value of an asset may not be recoverable, it is subjected to an impairment test. As of the balance sheet date for the 2025 fiscal year and as of the balance sheet date for the prior year, there were no indications within the PVA TePla Group that such impairment tests needed to be performed.

9. Property, plant and equipment

in EUR '000	Land and Buildings	Plant and equipment and machinery	Furniture and equipment	Facilities under construction	Total
Acquisition and production costs					
Jan. 1, 2024	**41,566**	**15,006**	**13,840**	**4,927**	**75,338**
Exchange differences	32	132	131	5	300
Change in scope of consolidation	–	–	–	–	–
Additions	3,276	5,658	6,608	6,435	21,976
Disposals	–	– 30	– 455	– 9	– 493
Transfers	6,529	728	2,235	– 9,522	– 31
Dec. 31, 2024	**51,402**	**21,494**	**22,358**	**1,836**	**97,090**
Jan. 1, 2025	**51,402**	**21,494**	**22,358**	**1,836**	**97,090**
Exchange differences	– 62	– 156	– 497	– 8	– 724
Change in scope of consolidation	–	9	266	–	275
Additions	362	4,724	4,147	13,864	23,097
Disposals	– 41	– 601	– 1,595	– 7	– 2,244
Transfers	259	3,000	190	– 3,449	0
Dec. 31, 2025	**51,920**	**28,469**	**24,869**	12,235	**117,494**
Accumulated depreciation and impairment losses					
Jan. 1, 2024	**16,516**	**8,932**	**8,244**	**–**	**33,692**
Exchange differences	15	80	33	–	128
Change in scope of consolidation	–	–	–	–	–
Additions	1,461	1,315	2,300	–	5,076
Disposals	–	– 10	– 358	–	– 368
Transfers	5	– 94	89	–	–
Dec. 31, 2024	**17,997**	**10,222**	**10,308**	**–**	**38,527**
Jan. 1, 2025	**17,997**	**10,222**	**10,308**	**–**	**38,527**
Exchange differences	– 35	– 133	– 108	–	– 276
Change in scope of consolidation	–	–	–	–	–
Additions	1,639	1,971	2,707	–	6,318
Disposals	– 183	– 547	– 1,200	–	– 1,930
Transfers	– 34	34	–	–	–
Dec. 31, 2025	**19,384**	**11,548**	**11,707**	–	**42,639**
Net carrying amounts					
Dec. 31, 2024	33,405	11,271	12,050	1,836	58,563
Dec. 31, 2025	**32,536**	**16,921**	**13,163**	**12,235**	**74,855**

The PVA TePla Group has received grants from various public agencies, including funding for the construction of manufacturing facilities, as part of government economic development programs.

To secure the financing framework in the form of a syndicated loan agreement, real estate assets are encumbered with real estate liens totaling EUR 17,330 thousand, as in the previous year.

There are no other material restrictions on ownership or disposal of the reported property, plant and equipment. No impairment losses on property, plant and equipment were recognized in either fiscal year 2025 or the prior year.

Presentation of material accounting policies

Property, plant and equipment are stated at cost less accumulated straight-line depreciation and accumulated impairment losses. The cost includes expenses directly attributable to the acquisition. Investment grants and tax-exempt investment allowances received are deducted from the book value of the relevant assets. The acquisition costs of property, plant and equipment acquired in a business combination correspond to their respective fair values at the acquisition date. Subsequent acquisition or production costs are capitalized only if it is probable that future economic benefits will flow to the PVA TePla Group from them and the costs can be reliably determined.

Depreciation and amortisation are calculated on a straight-line basis over the expected useful life; for tenant-improvements, this may correspond to the shorter term of the lease agreement. Depreciation and amortisation on property, plant and equipment are allocated to the functional areas using the assets. Land is treated as a non-depreciable asset and is therefore not depreciated. Depreciation and amortisation are primarily based on the following economic useful lives, which remain largely unchanged:

	Years
Buildings	25 – 35
Technical equipment and machinery	3 – 20
Other equipment, operating and office eequipment	2 – 15

With regard to the impairment of property, plant and equipment, please refer to the relevant explanations of the material accounting policies in Note 8.

Expenses for maintenance and repairs are recognized in income at the time they are incurred. The acquisition or production costs and the associated accumulated depreciation and amortisation are written off upon the scrapping or disposal of items of property, plant, and equipment, and any book gains or losses are recognized in the income statement under the item “other operating income” (book gains) or “other operating expenses” (book losses).

10. Non-current financial assets

in EUR '000	Dec. 31, 2025	Dec. 31, 2024
Non-current securities	1	1
Equity-accounted investments	–	2,671
Trade receivables	1,688	1,688
Derivatives	–	958
Other long-term receivables	10	11
Gross value	**1,698**	**5,329**
Less write downs	– 1,688	– 1,688
Non-current financial assets	**10**	**3,641**

On August 7, 2024, the PVA TePla Group acquired a total of 23.9% of the shares in Scientific Visual SA, headquartered in Lausanne-Renens, Switzerland. In addition, the PVA TePla Group was granted the right to acquire additional shares in the investee company in the fiscal years 2027 and 2029. As of December 31, 2024, the purchase options were measured at fair value in the amount of EUR 958 thousand and, like the investment ("equity-accounted investments"), were reported under the balance sheet item "Non-current assets" ("Derivatives"). As part of the impairment assessment as of December 31, 2025, changes in economic conditions and operational challenges in Scientific Visual SA's business environment were identified, indicating a sustained change in the investee's earnings and financial position. Based on these objective indicators, an impairment test was required as of the reporting date. In this context, the equity-accounted investment in the amount of EUR – 636 thousand as of December 31, 2025, was recognized in profit or loss, and the remaining amount of EUR 2,035 thousand was impaired; the fair value of the relevant call options was assessed at EUR 0.

Similarly, trade receivables that are already due or due shortly are reported under non-current assets if their realization is not expected to occur within twelve months of the reporting date or within the normal operating cycle.

in EUR '000	2025	2024
Write-downs on Jan. 1	**1,688**	**1,688**
Currency exchange differences	–	–
Additions	–	–
Utilization	–	–
Reversals	–	–
Write downs on Dec. 31	**1,688**	**1,688**

Presentation of material accounting policies

The financial assets of the PVA TePla Group consist of long-term and short-term items. Non-current assets primarily include trade receivables, financial investments (stocks, bonds, fund shares, etc.), and derivative financial instruments. Current financial assets consist primarily of cash and cash equivalents, trade receivables and derivative financial instruments. Financial assets are recognized on the consolidated balance sheet if the PVA TePla Group has a contractual right to receive cash or other financial assets from a third party.

Non-derivative financial assets
Debt instruments are classified into one of the following two categories upon initial recognition:

- Measurement at amortized cost;

or

- measurement at fair value through profit or loss.

The classification is based on the business model for managing the debt instruments and the characteristics of the contractual cash flows. If debt instruments are held under a business model whose objective is to collect contractual cash flows, and the contractual terms result in cash flows at specified dates that consist solely of principal and interest payments on the outstanding principal amount, they are measured at amortized cost. Held debt instruments that are not measured at amortized cost are measured at fair value through profit or loss. The debt instruments held by the PVA TePla Group consist primarily of cash and cash equivalents and trade receivables, which are classified in the “measured at amortized cost” category.

Equity instruments must be measured at fair value at each reporting date. If equity instruments are held for trading purposes, the respective fair value changes are recognized in profit or loss. For all other equity instruments, there is an option to recognize changes in fair value in other comprehensive income. This option is assessed on an instrument-by-instrument basis and irrevocably determined. To date, the PVA TePla Group has not exercised the option to recognize changes in fair value in other comprehensive income with respect to equity instruments. The equity instruments held by the PVA TePla Group consist primarily of shares and fund units, which are classified in the “fair value through profit or loss” measurement category.

Impairments for debt instruments measured at amortized cost are recognized in the amount of the expected credit loss. They are adjusted at each reporting date to reflect the changed credit risk of the respective financial instruments since initial recognition and are generally based on the amount of credit losses expected over the term. For trade receivables, the PVA TePla Group applies a simplified model to measure expected credit losses based on a provisioning matrix. Please refer to the relevant notes in Note 12.

Derivative Financial Instruments
In individual cases, the PVA TePla Group enters into forward exchange contracts if needed to hedge exchange rate risks associated with sales in foreign currencies (exchange rate hedging) or interest rate hedging transactions to hedge interest rate risks associated with the financing of investments (interest rate hedging). Such derivatives are measured at fair value both upon initial recognition and in subsequent measurements. Resulting changes are generally recognized in profit or loss. The PVA TePla Group does not exercise the option to designate a corresponding hedging relationship (so-called "hedge accounting").

In the case of exchange rate hedges, the valuation effects resulting from exchange rate changes on the fair value of the derivative are recognized as part of other operating expenses or other operating income. In contrast, the corresponding changes in fair value for interest rate hedges are recognized in the income statement under "financial income" or "financial expenses." All derivative financial instruments are reported in the consolidated balance sheet under "other financial assets" if they have a positive market value and under "other liabilities" if they have a negative market value (in each case in the current segment).

Fair Value measurement
The PVA TePla Group measures certain financial instruments at fair value as of each reporting date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability or, if no principal market exists, in the most advantageous market for the asset or liability.

The PVA TePla Group applies valuation techniques that are appropriate in the circumstances and for which sufficient data is available to determine fair value. In doing so, the use of relevant observable input factors is maximized, while the use of unobservable input factors is minimized. All assets and liabilities for which fair value is determined or reported in the consolidated financial statement are classified into the measurement hierarchy described below, based on the lowest-level input factor that is material to the fair value measurement as a whole:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;
- Level 2: valuation techniques in which the lowest-level input factor that is significant to the fair value measurement is directly or indirectly observable in the market;

or

- Level 3: valuation techniques in which the lowest-level input factor that is significant to the fair value measurement as a whole ist not observable in the market.

11. Inventories

in EUR '000	Dec. 31, 2025	Dec. 31, 2024
Raw materials and operating supplies	37,350	36,313
Work in progress	42,326	49,603
Finished products and goods	1,628	10,731
Gross value	**81,304**	**96,647**
Less impairment losses	– 11,962	– 12,128
Inventories	**69,342**	**84,519**

In fiscal year 2025, changes in impairment losses recognized in profit or loss amounted to EUR + 66 thousand (previous year: EUR– 4,846 thousand). This effect is primarily attributable to reversals of impairment losses on work in progress in connection with completed customer projects.

Presentation of material accounting policies

Inventories are stated at cost using weighted average cost method or at lower net realizable values. In addition to directly attributable costs, production costs include production and material overheads as well as depreciation and impairment losses. Fixed overheads are recognized on the basis of normal capacity utilization of production facilities. Impairment losses are recognized on inventories if cost exceeds the expected net realizable value. Net realizable value is the estimated selling price less the costs incurred until the sale.

12. Receivables and other assets as well as contract assets

in EUR '000	Dec. 31, 2025	Dec. 31, 2024
Trade receivables concerning to product sales and services	37,721	36,005
Unconditional payment entitlements (down payment invoices)	6,177	6,168
Other assets (financial)	1,396	6,504
Total receivables and other assets	45,294	48,677
Advance payments	6,503	6,698
Other assets (non-financial)	5,959	5,074
Total receivables and other assets (non-financial)	**12,462**	**11,772**
Contract assets	21,531	28,788
Gross value	**79,287**	**89,237**
less impairment losses	– 298	– 508
Receivables and other assets as well as contracts assets	**78,989**	**88,729**

Trade receivables do not bear interest and generally have a maturity of 30 to 90 days.

in EUR '000	Jan. 1 – Dec. 31, 2025	Jan. 1 – Dec. 31, 2024
POC receivables (gross value)	59,138	79,311
Less advance payments received	– 39,573	– 52,950
Subtotal	**19,565**	**26,361**
Contract assets (not including POC method)	1,966	2,428
Contract assets	**21,531**	**28,788**

in EUR '000	2025	2024
Write-downs on Jan. 1	**508**	**500**
Additions	70	38
Utilization	–	–
Reversals	– 281	– 30
Write-downs on Dec. 31	**298**	**508**

Presentation of material accounting policies

Trade receivables are recognized at the fair value of the consideration given (transaction price) from the date they arise. Trade receivables are generally not discounted, as they typically do not contain significant financing components and are usually due within one year. Also reported under trade receivables are advance payment invoices already billed by the PVA TePla Group that are due (but not yet collected).

Contract assets include customer-specific plant construction projects to be recognized over time using the POC method, where the incurred contract costs, including profit shares, exceed the advance payments received (gross amount due from customers). In addition, contract assets also include performance obligations already performed by the PVA TePla Group where the legally enforceable right to payment arises only at a later date (e. g. upon final acceptance).

Trade receivables and contract assets are subsequently recognized at amortized cost (historical cost less recognized impairment losses). To determine expected credit losses, the PVA TePla Group applies a simplified method for calculating expected credit losses based on calculated loss rates (the so-called “expected credit loss model”). Accordingly, impairment losses are determined using an impairment matrix based on historical experience of credit losses and adjusted for forward-looking factors specific to the borrowers and the economic environment. A special review of credit risk is carried out on a case-by-case basis for credit-impaired trade receivables and contract assets. Indicators that an asset may be credit- impaired notably include significant financial difficulty of the debtor or the likelihood of insolvency. Impairment losses are recognized through a valuation allowance account in the income statement. If it becomes apparent in subsequent periods that the reasons for an impairment no longer apply, the impairment loss is reversed through profit or loss up to a maximum of the original cost. Impairments of doubtful trade receivables and contract assets require assessments of customers’ creditworthiness. If customers’ financial data deteriorates, deviations from expected impairments may occur.

13. Deferred tax assets/liabilities

in EUR '000	Dec. 31, 2025		Dec. 31, 2024	
	Deferred tax assets	Deferred tax liabilities	Deferred tax assets	Deferred tax liabilities
Intangible assets	294	2,488	282	725
Right-of-use assets	–	1,348	–	1,421
Property, plant and equipment	629	781	944	688
Inventories	2,646	12	5,581	194
Receivables and other assets	92	1,119	50	2,160
Contract assets	–	4,091	–	6,180
Tax loss carryforwards	679	–	166	–
Retirement pension provisions	1,046	–	1,071	–
Other provisions	588	1,202	1,081	674
Liabilities to employees	112	–	–	–
Financial liabilities	1,661	32	1,459	21
Total before netting	**7,747**	**11,072**	**10,635**	**12,062**
Offset	– 3,841	– 3,841	– 3,567	– 3,567
Net amount	**3,906**	**7,232**	**7,068**	**8,495**

Tax loss carryforwards are reviewed for potential utilization based on a multi-year budget and recognized using a company-specific tax rate. If this analysis indicates a possibility of utilization within a period of two to five years, loss carryforwards are recognized. If it is probable that the tax loss carryforwards will be utilized within the forecast period, they are classified in full as recoverable. Deferred tax assets of EUR 1,995 thousand (previous year: EUR 471 thousand) were recognized for companies that incurred a tax loss in the current fiscal year or the previous year. This relates to five foreign and two domestic subsidiaries. The losses arose, among other things, due to one-time effects. Based on current business plans, it is assumed that sufficient taxable income will be available in future fiscal years to fully utilize the deferred tax assets. There are losses amounting to EUR 1,850 thousand at a foreign subsidiary (previous year: EUR 1,306 thousand for two foreign companies), the utilization of which is unlikely within the forecast period. These were not classified as recoverable and therefore no deferred taxes were recognized for them.

No deferred taxes were recognized on temporary valuation differences between the tax basis of the investments and the corresponding net assets in the IFRS individual balance sheets ("outside basis differences"), as PVA TePla AG is able to control the timing of the reversal of the temporary differences, and the disposal of investments is not planned for the foreseeable future. The total of unrecognized taxable temporary differences amounts to EUR 193 thousand as of December 31, 2025 (previous year: EUR 165 thousand).

Presentation of material accounting policies

Deferred tax assets and deferred tax liabilities are recognized for all temporary differences between the carrying amounts in the tax balance sheet and the IFRS consolidated balance sheet. In addition, deferred tax assets must also be recognized for tax loss carryforwards, provided it is expected that these can likely be utilized in the future. The book value of deferred tax assets is reviewed annually as of the balance sheet date and reduced if it is no longer probable that sufficient taxable income will be available to realize the asset in full or in part.

Deferred tax assets and liabilities are recognized in the amount of the expected tax liability or tax benefit in subsequent fiscal years based on the tax rate in effect at the time of realization. Deferred tax assets and deferred tax liabilities are offset if the PVA TePla Group has a legally enforceable right to offset actual income tax assets against actual tax liabilities and if the deferred tax assets and deferred tax liabilities relate to Income taxes levied by the same tax authority on the same taxable entity. Deferred tax assets and deferred tax liabilities are not discounted and are always reported in the consolidated balance sheet as non-current assets and liabilities.

Current and deferred taxes are recognized in profit or loss as an expense or income, unless they relate to items that are to be recognized in other comprehensive income or directly in Shareholders' equity. In this case, the taxes are also recognized in Shareholders' equity without affecting profit or loss.

The recognition of deferred tax assets on tax loss carryforwards is based on estimates that are highly dependent on the earnings performance of the relevant tax entities. Consequently, the amounts actually realized in future periods may differ from the estimates.

14. Financial liabilities

in EUR '000	Jan. 1 – Dec. 31, 2025			Jan. 1 – Dec. 31, 2024		
	Current	Long-term	Total	Current	Long-term	Total
Liabilities from leases	1,912	2,836	4,748	1,850	3,114	4,964
Loans from credit institutes	22,052	20,243	42,295	207	17,222	17,429
Earn-out liabilities	213	1,108	1,322	–	1,679	1,679
Obligation to purchase of own equity instruments	–	–	–	506	–	506
Total	**24,177**	**24,187**	**48,364**	**2,563**	**22,015**	**24,578**

PVA TePla AG has a financing facility in the form of a syndicated loan agreement ("Club Deal"). The original syndicated loan agreement, concluded on November 6, 2020, for EUR 120 million and adjusted to EUR 160 million through approved increase options was amended and restated by an amendment agreement dated May 15, 2024. The base term is five years. As of December 31, 2025, there is still a one-time extension option for one or two years. The maximum maturity date is mid-2031, provided the extension option is fully exercised. As of December 31, 2025, the financing facility comprises a total volume of EUR 296 million (previous year: EUR 325 million), which is divided into a revolving working capital line of EUR 60 million (previous year: EUR 60 million), a credit line for M&A activities of EUR 50 million (previous year: EUR 50 million), a guarantee line of EUR 160 million (previous year: EUR 160 million), and a credit line for long-term investments of EUR 26 million (previous year: EUR 55 million). To secure the financing framework in the form of a syndicated loan agreement, real estate assets are encumbered with land charges totaling EUR 17,330 thousand, as in the prior year.

As of December 31, 2025, a total of EUR 71.1 million (previous year: EUR 74.4 million) of the guarantee lines had been drawn down. As of the balance sheet date of December 31, 2025, a total of EUR 38 million (previous year: EUR 16 million) of the syndicated loan had been drawn down, with this amount distributed across several credit lines: EUR 26 million was attributable to the credit line for long-term investments, EUR 7 million to the credit line for M&A activities, and EUR 5 million to the working capital line. The book value was EUR 37,897 thousand (previous year: EUR 15,929 thousand). The nominal value was reduced by pro-rata transaction costs at the time of drawdowns. These costs are periodically added back to the book value over the term of the loan using the effective interest method. Interest is calculated based on the EURIBOR plus a tiered margin that is based on the debt-to-equity ratio. The syndicated loan agreement defines credit terms and conditions for compliance with standard financial covenants, which relate in particular to debt and equity ratios. A breach of these financial covenants would give the syndicate the right to call the loan and demand early repayment. The financial covenants were met in both the 2025 fiscal year and the prior year. At no time were there any indications of potential difficulties or a possible covenant breach.

In addition, PVA TePla AG has an additional working capital line of credit in the amount of EUR 500 thousand, which had not been drawn upon as of December 31, 2025 (as of the prior year's reporting date).

The payment obligations arising from the recognized leases are structured as follows:

in EUR '000	Dec. 31, 2025	Dec. 31, 2024
Due		
≤ one month	189	195
> one month and ≤ three months	372	389
> three months and ≤ one year	1,563	1,522
> one year and ≤ five years	3,318	3,465
> five years	–	290

The payment obligations arising from loans from banks are structured as follows:

in EUR '000	2025	2024
Due		
≤ one month	8,036	11
> one month and ≤ three months	10,540	89
> three months and ≤ one year	3,536	103
> one year and ≤ five years	19,662	16,531
> five years	625	761

The amounts reported under payment obligations with remaining terms of up to one month and between one and three months relate primarily to revolving loans. These are drawn down, extended, or repaid on an ongoing basis within the framework of existing credit lines, depending on capital requirements.

The payment obligations arising from earn-out liabilities are structured as follows:

in EUR '000	2025	2024
Due		
≤ one month	–	–
> one month and ≤ three months	63	–
> three months and ≤ one year	150	–
> one year and ≤ five years	1,187	1,814
> five years	–	–

The payment obligations arising from the financial liability related to the acquisition of treasury shares are structured as follows:

in EUR '000	2025	2024
Due		
≤ one month	–	506
> one month and ≤ three months	–	–
> three months and ≤ one year	–	–
> one year and ≤ five years	–	–
> five years	–	–

Presentation of material accounting policies

In addition to derivative financial instruments, the PVA TePla Group's financial liabilities consist primarily of liabilities from leases, liabilities from variable purchase price components in business acquisitions (earn-out liabilities), loans from financial institutions and trade payables. Financial liabilities are recognized in the consolidated balance sheet when the PVA TePla Group is contractually obligated to transfer cash or other financial assets to a third party.

Non-derivative financial liabilities
Financial liabilities are classified into one of the following two categories upon initial recognition:

- Measurement at amortized cost;

or

- measurement at fair value through profit or loss.

In the PVA TePla Group, fair value measurement through profit or loss is applied only to derivative financial liabilities and to liabilities arising from business combinations with variable purchase price components (earn-out liabilities).

Upon initial recognition, all financial liabilities are measured at fair value (less directly attributable transaction costs, if applicable). As part of subsequent measurement, financial liabilities classified as "fair value through profit or loss" are measured at fair value at each reporting date, and net gains or losses are recognized in the consolidated statement of income. All other financial liabilities are measured at amortized cost using the effective interest method. These include in particular trade payables, which are generally non-interest-bearing and have a maturity of 30 to 60 days. Interest expense and foreign exchange differences differences, as well as gains or losses from the derecognition of financial liabilities, are recognized in profit or loss.

Derivative financial instruments
Please refer to the relevant explanations regarding the significant accounting policies in Note 12.

15. Retirement pension Provisions

Provisions for retirement benefit obiligations are recognized based on pension plans for commitments regarding retirement, disability, and survivor benefits. The amount of the benefits generally depends on the length of service and the employees' compensation.

Pension commitments exist in the companies based in Germany: PVA TePla AG, PVA Industrial Vacuum Systems GmbH, PVA Crystal Growing Systems GmbH, PVA SPA Software Entwicklungs GmbH, and PVA Vakuum Anlagenbau Jena GmbH. These consist exclusively of legacy commitments. New pension commitments are no longer granted. There are no retirement benefit obligations abroad. The PVA TePla Group has no material plan assets to cover its retirement benefit obligations.

Actuarial reports were obtained to measure the retirement benefit obligations. The biometric parameters were determined unchanged from the previous year in accordance with the 2018 G tables by Prof Dr. Klaus Heubeck. The risks associated with the accounting for retirement benefit obligations relate to risks arising from changes in actuarial parameters, which are presented in the table below. The most significant risk of change relates to the discount rate.

in %	Dec. 31, 2025	Dec. 31, 2024
Income trend	3.00	3.00
Pension trend	2.00	2.00
Interest rate	4.10	3.40

For individual commitments by PVA SPA that provide for a fixed annual pension adjustment of 2.5%, a pension trend of 2.5% is applied instead.

in EUR '000	2025	2024
Present value of future pensions on Jan. 1	13,928	11,961
Plan assets, previous year	– 207	– 191
Changes in the basis of consolidation	–	–
Current service expense for services provided by employees in the fiscal year	51	54
Net interest expense	409	383
Changes in the estimation of financial reporting	– 110	1,350
Pension payments	– 687	– 683
Actuarial gains (–) and losses (+) arising from changes in financial assumptions	– 861	787
Actuarial gains (–) and losses (+) arising from experience adjustments	– 61	60
Actuarial gains (–) and losses (+) arising from changes in demographic assumptions	–	–
Retirement pension provisions at Dec. 31	12,462	13,721
Plan assets	224	207
Present value of future pensions on Dec. 31	**12,686**	**13,928**

Current service cost is recognized primarily in cost of sales as well as in general and administrative expenses.

As of the reporting date of December 31, 2025, it is assumed that EUR 742 thousand (previous year: EUR 708 thousand) will be settled within the next twelve months and EUR 11,720 thousand (previous year: EUR 13,013 thousand) at a later date (in some cases very long-term). As of December 31, 2025, the weighted average term of the defined benefit obligation was 10.6 years (previous year: 11.1 years).

Sensitivity Analyses

A change in the two key actuarial parameters – half a percentage point for the discount rate and a quarter of a percentage point for the pension trend – would, assuming all other parameters remain constant, change the present value of the defined benefit obligation as of the reporting dates December 31, 2025, and December 31, 2024, as follows:

in EUR '000	Dec. 31, 2025		Dec. 31, 2024	
	Increase	Decrease	Increase	Decrease
Interest rate (change of 1.0 percentage points; prior year: change of 0.5 percentage points)	– 1,072	+ 1,275	– 677	+ 742
Pension trend (change of 0.25 percentage points)	+ 274	– 264	+ 327	– 315

Defined contribution plans

Defined contribution plans are relevant to PVA TePla AG in the form of statutory employer contributions to the pension insurance scheme, contributions to pension funds, and contributions to direct insurance policies. In fiscal year 2025, expenses of EUR 6,083 thousand were incurred for this purpose (previous year: EUR 4,245 thousand).

Presentation of material accounting policies

Retirement pension provisions for defined-benefit plans are determined in accordance with the projected unit credit method, which is based on key assumptions such as discount rates, mortality rates, and salary and pension trends. Remeasureents, consisting of actuarial gains and losses, are recognized directly in other comprehensive income. The remeasurements recognized in other comprehensive income are part of other reserves and are not reclassified to the income statement in subsequent periods. Past service cost is recognized as personnel expense when the plan amendment takes effect.

Defined benefit costs include both service cost and interest expense. The PVA TePla Group reports service cost in the income statement under operating expenses, while interest expense is reported under finance costs.

Payments for defined contribution pension plans are recognized as personnel expenses in the relevant functional areas when the work has been performed by the eligible employees.

16. Other provisions

in EUR '000	Jan. 1, 2025	Change in scope of consolidation	Utilization	Reversals	Additions	Transfers	Currency	Dec. 31, 2025
Warranties	7,335	44	– 5,573	– 752	4,264	–	– 102	5,215
Penalties	679	–	– 508	– 68	–	–	–	103
Impending losses from customer projects	390	–	– 10	– 6	165	–	–	540
Other	2,281	489	– 807	– 1,014	2,405	– 22	–	3,332
Total	**10,685**	**533**	**– 6,897**	**– 1,841**	**6,834**	**– 22**	**– 102**	**9,190**

In general, contracts with customers include defect and warranty periods following the completion of specific projects. These obligations are not considered separate performance obligations and are therefore included in the estimated total cost of the contracts. Where necessary, amounts are recognized under other provisions in accordance with IAS 37. Other provisions include, among other items, current provisions for variable compensation components of EUR 165 thousand (previous year: EUR 38 thousand), current provisions for services rendered during the fiscal year of EUR 788 thousand (prior year: EUR 1,483 thousand) that have not yet been settled, as well as long-term provisions for archiving of EUR 61 thousand (prior year: EUR 54 thousand), long-term provisions for anniversary obligations of EUR 1,104 thousand (prior year: EUR 0), and long-term provisions for partial retirement obligations of EUR 445 thousand (previous year: EUR 304 thousand) and long-term provisions for purchase price components of EUR 308 thousand (previous year: EUR 0).

Interest expense from retirement pension provisions amounted to EUR 409 thousand in fiscal year 2025 (previous year: EUR 390 thousand). Interest expense for other provisions amounted to EUR 2 thousand (previous year: EUR 9 thousand).

Presentation of material accounting policies

In accordance with IAS 37, provisions are recognized when there is a present obligation to third parties arising from past events, it is probable that the obligation will be settled in the future, and the amount required can be reliably estimated.

17. Contract liabilities

in EUR '000	Dec. 31, 2025	Dec. 31, 2024
Contract liabilities (net exposure)	7,688	7,067
Advance payments received for product sales and services	28,502	54,317
Contract liabilities	**36,190**	**61,383**

An amount of EUR 44,599 thousand (previous year: EUR 51,347 thousand) of the customer advance payments of EUR 61,383 thousand (December 31, 2023: EUR 95,268 thousand) deferred in the balance sheet item "Contract liabilities" as of December 31, 2024 was recognized as revenue in fiscal year 2025.

in EUR '000	Dec. 31, 2025	Dec. 31, 2024
Advance payments received (POC method)	18,665	19,164
Less incurred contract costs including profit shares (POC method)	– 10,977	– 12,096
Contract liabilities (net exposure)	**7,688**	**7,067**

"Contract liabilities (POC method)" include customer prepayments due and outstanding as of the reporting date of December 31, 2025, with a legally enforceable claim for payment in the amount of EUR 2,073 thousand (previous year: EUR 4,630 thousand).

G. DISCLOSURES ON THE CONSOLIDATED STATEMENT OF CASH FLOWS

EUR '000	Dec. 31, 2025	Dec. 31, 2024
Cash in bank	16,959	17,585
Cash in hand	21	20
Cash investments	893	13,765
Cash and cash equivalents	**17,873**	**31,371**

Cash flow from operating activities is derived indirectly from net income after taxes. Adjusted for non-cash expenses and income and taking into account changes in working capital, this results in cash flow from operating activities. Changes in balance sheet items are adjusted for assets and liabilities acquired through acquisitions as well as for the effects of currency translation. Cash flows from investing and financing activities are generally determined on a cash basis.

Payments for investments in intangible assets and property, plant and equipment include only cash-based acquisitions. In fiscal year 2025, EUR 609 thousand (previous year: EUR 712 thousand) was reclassified from inventory to property, plant and equipment. This transaction was non-cash. Other non-cash transactions include the acquisition of Right-of-use assets. Please refer to Section 20 for further details.

The following table presents the changes in financial liabilities whose cash flows are or will be reported in the consolidated cash flow statement as cash flows from financing activities.

EUR '000	Jan. 1, 2025	Cash changes	Non-cash changes			Dec. 31, 2025
			Acquisitions	Currency effects	Other changes	
Non-current financial liabilities	20,336	10,000	–	–	– 7,257	23,078
Current financial liabilities	2,564	12,496	3	– 3	8,905	23,964
Total	**22,900**	**22,496**	**3**	**– 3**	**1,647**	**47,042**

EUR '000	Jan. 1, 2024	Cash changes	Non-cash changes			Dec. 31, 2024
			Acquisitions	Currency effects	Other changes	
Non-current financial liabilities	12,779	5,792	–	–	1,765	20,336
Current financial liabilities	5,009	– 7,825	–	–	5,380	2,564
Total	**17,788**	**– 2,033**	**–**	**–**	**7,145**	**22,900**

Presentation of material accounting policies

“Cash and cash equivalents” reported in the balance sheet comprise cash in hand, immediately available cash in bank, term deposits and immediately available financial investments that are subject to a no more than insignificant risk of changes in value. Cash and cash equivalents are measured at amortized cost. Please refer to the relevant explanations under note 10 for additional information.

The statement of cash flows reports the cash flows for the fiscal year in order to present information on the changes in cash and cash equivalents according to the PVA TePla Group’s statement of cash flows during the fiscal year. A distinction is made between the three areas of operating, investing and financing activities.

Cash flow from operating activities is calculated using the indirect method by adjusting consolidated profit after tax for non-cash transactions and transactions attributable to investing or financing activities. As with cash flow from financing activities, cash flow from investing activities is calculated using the direct method, i. e., by comparing gross cash inflows and outflows.

H. DISCLOSURES ON THE CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

Subscribed capital

As of December 31, 2024, the subscribed capital of PVA TePla AG is composed of 21,749,988 no-par value shares (previous year: 21,749,988 no-par value shares) with a notional interest in the share capital of EUR 1.00 each and was fully paid up.

Contingent and authorized capital

The Management Board is authorized, with the approval of the Supervisory Board, to increase the share capital of PVA TePla AG until June 22, 2027, through one or more issuances of up to a total of 5,437,497 new no-par bearer shares in exchange for cash and/or non-cash contributions by a total of up to EUR 5,437,497 (Authorized Capital 2022/I).

The share capital of PVA TePla AG is further contingently increased by up to EUR 5,437,497 through the issuance of up to 5,437,497 new no-par bearer shares (Contingent Capital 2022/I). Contingent Capital 2022/I is intended exclusively for the issuance of new shares to holders of conversion or option rights issued by PVA TePla AG or by companies in which PVA TePla AG holds a direct or indirect 100% stake, in accordance with the authorization resolution of the Annual General Meeting of June 23, 2022.

By resolution of the Annual General Meeting on June 28, 2023, the Company's Management Board was authorized to acquire treasury shares in a volume of up to 10 percent of its share capital existing at the time of the resolution or – if this amount is lower – at the time the authorization is exercised. The authorization is valid until June 27, 2028. The authorization may be exercised in whole or in part, once or on multiple occasions, for one or more purposes by the company, by its group companies, or by third parties for its or their account. The acquisition shall take place, at the discretion of the Management Board, through the stock exchange or by means of a public purchase offer addressed to all shareholders. The consideration paid per share for the acquisition of the shares via the stock exchange (excluding incidental acquisition costs) may not exceed or fall below the average of the closing prices on the three trading days preceding the assumption of the obligation to acquire by more than 10 percent.

No capital increases were resolved in fiscal year 2025, neither from Authorized Capital 2022/I nor from Contingent Capital 2022/I.

Purchase of treasury shares

PVA TePla AG acquired 1,031,867 treasury shares between January 1, 2025, and December 31, 2025, at an average price of EUR 14.48 per share (plus transaction costs of EUR 52 thousand). These are reported as an offsetting item in equity under the item “Treasury shares” with a book value of EUR 1.00 per share, amounting to EUR – 18,960 thousand. As of December 31, 2025, PVA TePla AG had acquired a total of 1,327,398 treasury shares, corresponding to 6.101% of PVA TePla AG’s share capital. All purposes permitted following authorization by the Annual General Meeting may be considered for the use of the repurchased shares.

Date	Repurchased Shares (units)	Average price (EUR)	Total market value (EUR)
January 2025	262,578	14.008	3,678,303.08
February 2025	138,422	13.596	1,881,919.23
March 2025	178,752	14.776	2,641,203.27
April 2025	316,491	13.998	4,430,182.37
May 2025	94,523	16.838	1,591,549.80
June 2025	41,101	17.541	720,934.81

Appropriation of profit

The Management Board and Supervisory Board propose to carry forward the net retained profit of EUR 85,026 thousand reported in the annual financial statements of PVA TePla AG for the fiscal year 2025 (in accordance with German GAAP) to new account in the same amount. No withdrawals were made from the capital reserve or retained earnings.

I. OTHER DISCLOSURES

18. Segment Reporting

The PVA TePla Group comprises the two operating segments Industrial Systems and Semiconductor Systems. It is managed, coordinated and controlled on the basis of these two operating segments. The business activities are combined in the two reported segments based on technology sectors. Information on the products and services of our operating segments is presented in E.1 and does not differ fundamentally between the segments. Based on our technology fields, the Industrial Systems segment includes solutions as well as equipment systems for the semiconductor industry for the production and refinement of innovative materials, for surface treatment and for monitoring production processes, which are specially configured to meet the requirements and needs of other sectors such as the medical, electrical and tool industries. The Semiconductor Systems segment comprises solutions as well as equipment systems for the semi conductor industry, primarily crystal growing systems, metrology systems for quality control and plasma systems for removing surface contamination from wafers. In this respect, segment reporting follows the organizational structure underlying the PVA TePla Group's internal management reporting systems (management approach).

Sales and revenue between the segments are generally transacted at prices that would also be agreed upon with third parties.

Segment result 2025

EUR '000	Industrial Systems	Semiconductor Systems	Total
External sales revenues	87,633	156,624	244,257
Internal sales revenues	3,794	2,463	6,257
Total sales revenues	**91,427**	**159,087**	**250,515**
Cost of sales	– 68,808	– 99,082	– 167,890
Gross profit	**22,619**	**60,005**	**82,625**
Research and development expenses	– 1,223	– 17,020	– 18,244
Other expenses	– 11,513	– 20,066	– 31,579
Segment result (EBITDA)	**9,883**	**22,919**	**32,802**

Segment result 2024

EUR '000	Industrial Systems	Semiconductor Systems	Total
External sales revenues	82,537	187,578	270,115
Internal sales revenues	15,012	1,408	16,421
Total sales revenues	**97,549**	**188,986**	**286,535**
Cost of sales	– 75,510	– 118,453	– 193,963
Gross profit	**22,039**	**70,533**	**92,572**
Research and development expenses	– 587	– 11,030	– 11,617
Other expenses	– 7,367	– 19,332	– 26,699
Segment result (EBITDA)	**14,085**	**40,171**	**54,256**

Reconciliation of segment result to earnings after taxes

in EUR '000	2025	2024
Total segment result (EBITDA)	32,802	54,256
Holding costs	– 7,485	– 6,445
Depreciation and Amortisation and Impairment	– 10,264	– 8,207
Consolidated EBIT	15,052	39,604
Net financial income	– 6,512	– 642
Consolidated net profit for the period	**8,540**	**38,962**

19. Additional disclosures on financial instruments

Financial risks

The PVA TePla Group's financial liabilities consist primarily of lease liabilities, liabilities from variable purchase price components in business acquisitions (earn-out liabilities), loans from banks, and trade liabilities. The primary purpose of these financial liabilities is to finance the PVA TePla Group's operating activities. In addition to derivative financial instruments, the PVA TePla Group's financial assets consist primarily of cash and cash equivalents, current and non-current trade receivables, and financial investments (stocks, bonds, fund shares, etc.).

The PVA TePla Group is exposed to various financial risks in the course of its ordinary business activities. These include credit, liquidity, and market risks (currency and interest rate risks). A description of the risk management system with regard to objectives, methods, and processes is provided in the risk report as part of the consolidated management report. Financial risk management is conducted in accordance with the principles established by the company. These principles govern the hedging of currency, interest rate, and credit risks, the management of cash and cash equivalents, as well as short- and long-term financing. The objective is to reduce financial risks while balancing hedging costs against the risks involved. Where appropriate, derivative financial instruments are entered into to hedge underlying transactions. Derivative financial instruments are used exclusively as hedging instruments; that is, they are not used for trading or other speculative purposes. To minimize counterparty risk, transactions are conducted exclusively with first-class counterparties. The basic principles of the financial policy are established annually by the Management Board and monitored by the Supervisory Board. The implementation of the financial policy and ongoing risk management are the direct responsibility of the Management Board.

Electricity supply contracts with Stadtwerke Würzburg AG do not fall within the scope of IFRS 9. Since these electricity supply contracts meet the requirements of the "own use exemption," they cannot be classified as financial derivatives.

Credit risks

Credit risk is the risk that a counterparty will fail to meet its obligations under a financial instrument or customer framework agreement, resulting in a financial loss. In the course of its operating activities, the PVA TePla Group is exposed to credit risks (particularly with respect to trade receivables) as well as risks arising from financing activities, including those related to deposits with banks and financial institutions, foreign exchange transactions, and other financial instruments.

As part of its normal business operations, the PVA TePla Group grants trade credit to a wide range of customers. The maximum credit risk is theoretically reflected by the book values of the financial assets recognized on the consolidated balance sheet. In the PVA TePla Group, impairment losses of EUR 70 thousand (previous year: EUR 38 thousand) were recognized in profit or loss in fiscal year 2025 for risks arising from short- and long-term trade receivables and contract assets, thereby covering known and expected risks. Risks arising from advance payments made are mitigated through advance payment guarantees. There are no identifiable risks associated with other receivables. As of the balance sheet date of December 31, 2025, as in the prior year, there are no other significant agreements in the PVA TePla Group that reduce the maximum credit risk.

Customer creditworthiness is reviewed regularly. The risk of bad debt is mitigated through credit checks and a dunning process. In day-to-day operations, outstanding receivables and contract assets are monitored on an ongoing basis by location, i. e., decentralized. The PVA TePla Group uses appropriate control procedures to ensure that services are only provided to customers who have proven themselves creditworthy in the past and that the default risk associated with these transactions remains within a reasonable range. Default risks are accounted for through appropriate impairment charges. The need for valuation allowances is analyzed as of each reporting date using a valuation allowance matrix to determine expected credit losses. The lump-sum specific allowances are based on past experience with credit losses in the form of historical default data and are adjusted for forward-looking factors specific to the borrowers (e. g., expected insolvency default rates) and the economic environment. In this way, risk-cluster-specific default rates are determined.

The disclosed risks from financial instruments do not result in any risk concentrations.

EUR '000	Dec. 31, 2025	Impairment matrix not applied	Impairment matrix			
			not past due	< 30 days past due	30 – 90 days past due	> 90 days past due
Trade receivables (gross carrying amount)	43,897	229	27,618	4,055	7,385	4,611
Contract assets (gross carrying amount)	21,522	–	21,522	–	–	–
Weighted average default rate (in %) FY 2025	–	–	0.2%	0.2%	0.4%	0.5%
Weighted average default rate (in %) FY 2024	–	–	0.5%	0.6%	0.9%	1.4%
Impairment	**– 298**	**– 143**	**– 93**	**– 8**	**– 30**	**– 23**

EUR '000	Dec. 31, 2024	Impairment matrix not applied	Impairment matrix			
			not past due	< 30 days past due	30 – 90 days past due	> 90 days past due
Trade receivables (gross carrying amount)	42,173	116	26,072	5,711	3,291	6,982
Contract assets (gross carrying amount)	28,644	–	28,644	–	–	–
Weighted average default rate (in %) FY 2024	–	–	0.5%	0.6%	0.9%	1.4%
Weighted average default rate (in %) FY 2023	–	–	0.3%	0.5%	0.9%	1.5%
Impairment	**– 508**	**– 72**	**– 274**	**– 34**	**– 30**	**– 98**

Liquidity risk

The PVA TePla Group attaches the utmost importance to maintaining solvency at all times. To ensure solvency at all times and maximize financial flexibility, a rolling liquidity plan is prepared for the PVA TePla Group. If necessary, a liquidity reserve is maintained in the form of credit lines and cash. As part of management reporting, a monthly liquidity forecast is prepared, and compliance with financial covenants is assessed.

Regarding the maturity of financial liabilities, please refer to the corresponding notes on the balance sheet items in Note 14. Maturity analyses of derivative financial liabilities are presented in the following section.

Liquidity risk arises primarily from the contractual maturities of financial liabilities and ongoing operating cash outflows; furthermore, liquidity requirements are subject to a certain degree of volatility due to project-related customer advance payments and variable final payments, as order intake and project durations fluctuate.

Market risk

Market risk arises from the fact that the fair value or future cash flows of a financial instrument may fluctuate due to changes in market prices. Market risk includes currency and interest rate risks. The PVA TePla Group's market price risk arises primarily from exchange rate fluctuations affecting foreign currency receivables (particularly USD) as well as from interest rate risks associated with variable-rate financial liabilities.

Currency risk is the risk that the fair value or future cash flows of a financial instrument are subject to fluctuations due to changes in exchange rates. Exchange rate fluctuations affect the presentation of assets and liabilities in the consolidated financial statements of PVA TePla AG, which are prepared in euros, to the extent that assets and liabilities are denominated in currencies other than the euro. Foreign currency risks are hedged to the extent that they significantly impact the Group's cash flows.

In the context of operating activities, foreign currency risks primarily arise from the fact that planned transactions are settled in a currency other than the functional currency (EUR). These planned transactions relate in particular to planned revenues invoiced in USD. To manage currency risk, the PVA TePla Group seeks to execute cash inflows and outflows as promptly as possible and in a currency-appropriate manner.

PVA TePla Analytical Systems GmbH enters into forward exchange contracts to hedge payment claims. These derivative financial instruments have a maturity of up to one year and, as of December 31, 2025, hedge payment claims totaling EUR 1,720 thousand (previous year: EUR 2,696 thousand). The expected net payments from the currency hedging instruments are presented below.

EUR '000	Dec. 31, 2025	Dec. 31, 2024
Expected net payments		
≤ one month	32	– 107
> one month and ≤ three months	6	–
> three months and ≤ one year	– 14	– 69
> one year and ≤ five years	–	–

Interest income and interest expense from financial instruments are recognized in the German companies in the functional currency (EUR). Consequently, foreign currency risks can only arise from the financial instruments and assets of the individual foreign subsidiaries, which would be reflected in the currency reserves without affecting profit or loss. Therefore, only an equity-related sensitivity analysis is presented below.

If the euro had appreciated (depreciated) by 10 percent against the US dollar as of December 31, 2025, other reserves in Shareholders' equity would have been EUR 951 thousand lower (EUR 970 thousand higher) (previous year: EUR 1,064 thousand lower (EUR 1,300 thousand higher)).

If the euro had appreciated (depreciated) by 10 percent against all other currencies relevant to the company as of December 31, 2025, other reserves in Shareholders' equity would have been EUR 329 thousand lower (EUR 402 thousand higher) (previous year: EUR 275 thousand lower (EUR 336 thousand higher)).

Interest rate risks arise in connection with variable-rate non-current liabilities. The PVA TePla Group minimizes such risks, where necessary, through interest rate hedging measures and ongoing monitoring of global interest rate policy.

The company is primarily exposed to interest rate risks in the eurozone. Taking into account the current and planned debt structure, the company uses interest rate derivatives (interest rate swaps) to hedge against interest rate risks. No interest rate derivatives were used in fiscal year 2025.

The interest rate sensitivity of the variable-rate syndicated credit lines shows that a 1 percent increase in the reference interest rate (EURIBOR) would change interest expense and thus net income for the period by EUR – 271 thousand. A 1 percent decrease would correspondingly affect net income for the period by EUR + 271 thousand. As of December 31, 2024, however, there were no significant interest rate risks for the PVA TePla Group arising from financial instruments affecting net income and other components of equity.

Dec. 31, 2025	Carrying amount per measurement category (IFRS 9)				Not allocated to any measurement category (out of scope of IFRS 7)	Total carrying amounts
EUR '000	Financial assets		Financial liabilities			
	at fair value through profit or loss	at amortized cost	at fair value through profit or loss	at amortized cost		
Non-current assets						
Financial assets	–	1	–	–	10	10
Current assets						
Receivables and other assets	–	38,892	–	–	18,567	57,458
Cash and cash equivalents	–	17,877	–	–	–	17,877
Non-current liabilities						
Financial liabilities	–	–	1,108	20,243	2,836	24,187
Current liabilities						
Financial liabilities	–	–	213	22,052	1,912	24,177
Trade payables	–	–	–	14,805	–	14,805
Other liabilities	–	–	14	21	3,019	3,053
Of which derivatives	–	–	14	–	–	14
Total	**–**	**56,770**	**1,336**	**57,120**	**26,343**	**141,568**

Dec. 31, 2024	Carrying amount per measurement category (IFRS 9)				Not allocated to any measurement category (out of scope of IFRS 7)	Total carrying amounts
EUR '000	Financial assets		Financial liabilities			
	at fair value through profit or loss	at amortized cost	at fair value through profit or loss	at amortized cost		
Non-current assets						
Financial assets	958	–	–	–	2,682	3,641
Current assets						
Receivables and other assets	–	42,000	–	–	17,940	59,941
Cash and cash equivalents	–	31,371	–	–	–	31,371
Non-current liabilities						
Financial liabilities	–	–	1,679	17,222	3,114	22,015
Current liabilities						
Financial liabilities	–	–	–	713	1,850	2,563
Trade payables	–	–	–	14,532	–	14,532
Other liabilities	–	–	175	12	2,615	2,802
Of which derivatives	958	–	175	–	–	1,133
Total	**958**	**73,372**	**1,854**	**32,479**	**28,202**	**136,865**

The book values represent a reasonable approximation of fair value in all measurement categories. Therefore, no separate presentation of book values and market values was provided.

Financial instruments measured at fair value through profit or loss primarily relate to purchase price components from business combinations and, in the prior year, additionally to call options on associates. Fair value is determined as the present value of the expected discounted cash flows based on the planned future business development of the company in question and is therefore based on unobservable market data ("Level 3"). In addition, forward exchange and interest rate hedging transactions are occasionally entered into, which must be measured at fair value. Fair value is determined using exchange or market prices for similar instruments or using valuation models based on observable market inputs ("Level 2"). For both forward exchange contracts and interest rate hedging transactions, fair values were determined based on discounted, expected future cash flows. The market interest rates applicable to the remaining terms of the financial instruments were used in this process.

The earn-out liability is determined based on the contractually defined calculation formula, which is based on the EBIT of the acquired company for the fiscal years 2023 through 2027. The maximum earn-out per year is EUR 750 thousand, with any unused amounts able to be carried forward to subsequent years. However, the total earn-out is capped at a maximum of EUR 2.25 million. A cost of debt rate of 4.64 percent is used for discounting. The valuation is based on the present value of expected future payments, taking into account the relevant EBIT guidance.

The valuation of the earn-out liabilities depends in particular on the development of EBIT and the discount rate used. A 10 percent increase in expected EBIT would increase the fair value of the earn-out liabilities by EUR + 131 thousand (previous year: EUR + 148 thousand), while a 10 percent decrease would reduce them by EUR – 132 thousand (previous year: EUR – 193 thousand). An increase in the discount rate by 1 percent would reduce the fair value by EUR – 16 thousand (previous year: EUR – 24 thousand), while a reduction by 1 percent would increase it by EUR + 16 thousand (previous year: EUR + 30 thousand).

The valuation of the derivative existing in the prior year, which related to call options on shares in associates, was performed using an option pricing model. The projected equity value was derived from the result of the company valuation as of December 31, 2024, less net debt (as of December 31, 2026, and December 31, 2028). The strike price was determined by multiplying the projected revenue by a multiple (3.5 and 3, respectively). The option valuation took into account a term until March 31, 2027, and March 31, 2029, respectively; a volatility of 30 percent; a risk-free spot rate (0.22 percent and 0.23 percent, respectively); and a correlation of 0.80 for the second option. The calculated call option values were weighted according to the shares to be acquired (42.75 percent and 33.33 percent, respectively).

Net gains or losses on financial instruments by measurement category

EUR '000	2025	2024
Financial assets and liabilities at fair value through profit or loss	– 601	958
Financial assets at amortized cost	363	704
Financial liabilities at amortized cost	– 2,126	– 1,189
Total	**– 2,364**	**473**

The net result for financial assets and financial liabilities measured at fair value through profit or loss is attributable to changes in the market value of derivative hedging instruments. As in the prior year, all changes in derivative hedging instruments were cash-settled in fiscal year 2025.

Capital management

The primary objective of the PVA TePla Group's capital management is to ensure the financial flexibility necessary to achieve growth and return targets. Capital management focuses on the company's equity as well as the debt required to finance its operating activities. The PVA TePla Group manages its capital structure and makes adjustments in light of changes in economic conditions. The key metric for capital management is the equity ratio. Specifically, management is achieved by optimizing returns and limiting capital tied up. Further objectives of capital management include ensuring the Group's liquidity by securing appropriate and sufficient credit lines, maintaining the current down payment ratio, and optimizing the financial result to improve returns. The financial covenants from the syndicated loan agreement are calculated monthly and reported quarterly to the relevant banks, and were complied with at all times during the fiscal year.

EUR '000	Dec. 31, 2025	Dec. 31, 2024
Shareholders' equity	142,836	150,255
Total assets	284,485	299,459
Equity ratio	50.2%	50.2%

20. Lease disclosures

The PVA TePla Group acts as lessee of property, plant and equipment to a limited extent in the course of its business transactions. It acts as lessor only to an insignificant degree.

Leases as lessee

The capitalized Right-of-use assets relate to buildings and individual items of operating and office equipment leased by the PVA TePla Group as a lessee under lease agreements. The PVA TePla Group has leased premises for production and administration from third parties at its locations in Munich, Jena, Westhausen, Coburg, Manassas, Virginia (USA), Corona, California (USA), Beijing (China), and Singapore under standard contractual terms. In addition, the PVA TePla Group leases a limited number of company vehicles, including various pool vehicles as well as company cars for members of the Management Board, managing directors, and, in some cases, employees who spend a significant amount of time working off-site. The capitalized Right-of-use assets are subject to depreciation and amortisation over their expected useful lives or, at the latest, over the agreed lease term.

EUR '000	Right-of-use assets Land and buildings	Right-of-use assets Equipment, fixtures and fittings	Total
Acquisition and production costs			
Jan. 1, 2024	**4,847**	**3,099**	**7,945**
Exchange differences	– 6	76	70
Change in scope of consolidation	–	–	–
Additions	2,996	985	3,981
Disposals	– 302	– 3	– 305
Transfers	–	–	–
Dec. 31, 2024	**7,536**	**4,157**	**11,692**
Jan. 1, 2025	**7,536**	**4,157**	**11,692**
Exchange differences	– 245	98	– 147
Change in scope of consolidation	18	62	80
Additions	1,737	810	2,547
Disposals	– 773	– 49	– 822
Transfers	–	–	–
Dec. 31, 2025	**8,273**	**5,078**	**13,351**
Accumulated amortization, depreciation and write-downs			
Jan. 1, 2024	**2,900**	**2,122**	**5,021**
Exchange differences	–	–	–
Change in scope of consolidation	–	–	–
Additions	1,237	601	1,838
Disposals	–	–	–
Transfers	–	–	–
Dec. 31, 2024	**4,137**	**2,723**	**6,860**
Jan. 1, 2025	**4,137**	**2,723**	**6,860**
Exchange differences	–	–	–
Change in scope of consolidation	–	–	–
Additions	1,073	846	1,919
Disposals	–	–	–
Reclassifications	–	–	–
Dec. 31, 2025	**5,210**	**3,569**	**8,779**
Net carrying amounts			
Dec. 31, 2024	3,399	1,434	4,832
Dec. 31, 2025	**3,063**	**1,509**	**4,572**

Amortization, depreciation and write-downs relating to the right-of-use assets recognized in the consolidated balance sheet are reported in the function costs in the consolidated income statement.

For low-value leased assets and for short-term leases (less than twelve months), the company uses practical expedients and the payments are recognized as expenses on a straight-line basis in the consolidated income statement. Expenses for off-balance-sheet leases amounted to EUR 752 thousand in fiscal year 2025 (previous year: EUR 600 thousand), of which EUR 379 thousand (previous year: EUR 269 thousand) related to short-term leases and EUR 373 thousand (previous year: EUR 331 thousand) to leases of low-value assets.

Total cash outflows for leases amounted to EUR 2,925 thousand in fiscal year 2025 (previous year: EUR 2,631 thousand), of which a total of EUR 2,173 thousand (previous year: EUR 2,030 thousand) was attributable to interest payments of EUR 322 thousand (previous year: EUR 249 thousand) and principal payments of EUR 1,851 thousand (previous year: EUR 1,781 thousand) for lease liabilities. EUR 752 thousand (previous year: EUR 600 thousand) relates to cash outflows for low-value leased assets and for short-term leases for which the disclosure exemptions are utilized. The relevant interest expenses are reported in the income statement under financial results.

Individual real estate lease agreements contain extension options after the end of the initial term (including subsequent automatically renewing lease periods). Optional lease periods are included in the measurement of lease liabilities if the exercise of these options is considered sufficiently certain.

Leases as lessor

The PVA TePla Group leases only a negligible amount of its own equipment and systems to customers, as well as portions of its own or leased office buildings.

21. Contingent liabilities and other financial obligations

The PVA TePla Group is occasionally involved in legal disputes in the course of its business activities. Management is not aware of any events that would materially impair the Group's earnings, liquidity, or financial position. Risks arising from legal disputes are accounted for through the establishment of appropriate provisions.

As of December 31, 2025, as in the previous year 2024, there are no significant other financial obligations, either with respect to purchase commitments for property, plant and equipment or with respect to leases that have been entered into but not yet commenced.

22. Number of employees by functional area

Annual averages	2025	2024
Production and Service	510	443
Engineering, Research and Development	181	148
Sales	125	108
Administration	109	112
Total	**925**	**811**

The average number of employees is calculated excluding members of the Management Board, apprentices/trainees, as well as part-time employees, employees on parental leave, and employees on long-term sick leave. In fiscal year 2025, an additional average of 35 apprentices/trainees (previous year: 34) and 30 part-time employees, employees on parental leave, and employees on long-term sick leave (previous year: 21) were employed.

23. Related party disclosures

Related parties within the meaning of IAS 24 are legal entities or natural persons who can exert at least significant influence over PVA TePla AG or who are subject to control, joint control or significant influence by PVA TePla AG. In addition, related parties include key management personnel (the Management Board and Supervisory Board of PVA TePla AG), their close family members, and companies that are controlled, jointly controlled, or significantly influenced by this group of persons.

Transactions with related parties, with regard to the PVA TePla Group, pertain to business transactions with the companies included in the consolidated financial statements. For an explanation of the volume of these business transactions, reference is made to the presentation of revenue in the segment reporting in Note 18, which also includes intra-group revenue. All intra-group transactions are fully eliminated in the preparation of the consolidated financial statements. Accordingly, there are no effects on the net assets, financial position, or results of operations of the PVA TePla Group in this regard.

Members of the Management Board

- Jalin Ketter, Giessen (CEO)
- Oliver Höfer, Jena (COO) (until June 30, 2025)
- Carl Markus Groß, Lich (CFO) (since January 1, 2025)

Total remuneration of the members of the Management Board

EUR '000	2025	2024
Short-term benefits	985	1,015
Share-based payments	227	38
Post-employment benefits	–	–
Termination benefits	84	97
Other long-term benefits	–	–
Total	**1,296**	**1,149**

Each member of the Management Board receives a fixed, contractually agreed annual compensation plus specified fringe benefits (company car, insurance subsidies), including salary contributions toward retirement benefits, which are paid out with the salary in the current year or paid into an insurance contract with a provident fund commitment. Variable compensation components include a short-term variable component based on Group EBITDA, Group revenue, and individual targets with a one-year term, as well as a long-term bonus component with a three-year or four-year term.

Total compensation for the fiscal year amounted to EUR 1,296 thousand (previous year: EUR 1,149 thousand). Of this amount, EUR 688 thousand (previous year: EUR 535 thousand) was attributable to fixed compensation, EUR 296 thousand (previous year: EUR 480 thousand) to short-term variable compensation, and EUR 227 thousand (previous year: EUR 38 thousand) to the long-term bonus component.

Benefits paid in fiscal year 2025 in connection with the termination of employment for members of the Management Board amounted to EUR 84 thousand (previous year: EUR 97 thousand). Of this amount, EUR 0 (previous year: EUR 0) relates to severance payments and EUR 84 thousand (previous year: EUR 97 thousand) to compensation payments.

In 2023, two members of the Management Board were granted a long-term incentive component ("LTI") in accordance with their Management Board service contracts (LTI 2023–2026), which is determined based on the basis of changes in of PVA TePla AG's market capitalization between the date of the 2023 Annual General Meeting and the date of the 2026 Annual General Meeting. This is a long-term compensation component that qualifies as "cash-settled share-based payment" within the meaning of IFRS 2. The long-term bonus for the two members of the Management Board amounts to 0.5 percent and 0.3 percent, respectively, of the increase in market capitalization, adjusted for any capital increases that have occurred in the interim. The fair value of these long-term bonus components, determined using the Black-Scholes option pricing model, amounted to EUR 92 thousand and EUR 72 thousand, respectively, for the two members of the Management Board as of December 31, 2025. Accordingly, as of December 31, 2025, a liability of EUR 127 thousand, which is due for payment in 0.5 years, was recognized under "other provisions." Of this amount, EUR 38 thousand had already been recognized as a liability in the prior year. The Black-Scholes option pricing model was based on the input factors presented below. The expected volatility was derived from historical peer-group volatility (median).

	Dec. 31, 2025	Dec. 31, 2024
Dividend yield (%)	–	–
Expected volatility (%)	45.9	46.2
Risk-free interest rate (%)	1.96	2.1
Residual term at measurement date (years)	0.5	1.5
Market capitalization (6-month average) (EUR million)	456	286

Two members of the Management Board were granted a long-term incentive ("LTI") in 2025 in accordance with their employment contracts (LTI 2025–2028). As part of the LTI tranche 2025–2028, a provisional individual number of (virtual) shares was allocated at the start of the performance period. To determine the provisionally allocated shares, the LTI target amount is divided by the reference price of the PVA TePla share at the time of allocation. The grant price is the average of the daily closing prices in XETRA trading on Deutsche Börse AG over the last 60 trading days prior to the start of the performance period. The number of shares varies depending on target achievement in the four years prior to payout, with targets defined for the financial performance target of consolidated earnings before interest, taxes, depreciation and amortisation of Property, plant and equipment, and depreciation and amortisation of intangible assets relative to revenue (EBITDA margin), as well as for consolidated revenue growth and non-financial performance criteria.

Valuation is based on past target achievement as well as assumptions regarding target achievement in the remaining years until payout and is calculated using the current share price. The LTI may be paid out in cash or settled in shares. This is a long-term compensation component that qualifies as "equity-settled share-based payment" within the meaning of IFRS 2.

In fiscal year 2025, the Management Board was granted a target amount of EUR 264 thousand and EUR 240 thousand, respectively, based on 100 percent target achievement. At the grant price, this corresponds to a preliminary number of 21,000 and 19,000 shares granted. These grants resulted in payments of EUR 0 in fiscal year 2025 (previous year: EUR 0).

The fair value of this long-term bonus component, determined using the Black-Scholes option pricing model, amounted to EUR 52 thousand and EUR 47 thousand, respectively, for the two members of the Management Board as of December 31, 2025. Accordingly, an amount of EUR 99 thousand was recognized in personnel expenses as of December 31, 2025, and the other reserve were increased by EUR 99 thousand in the 2025 fiscal year. The other reserve will be paid out in 3 years. The Black-Scholes option pricing model was based on the input factors presented below. The expected volatility was derived from historical peer-group volatility (median).

	Dec. 31, 2025	Dec. 31, 2024
Dividend yield (%)	–	–
Expected volatility (%)	37.7	–
Risk-free interest rate (%)	1.99	–
Residual term at measurement date (years)	4.0	–
Exercise price	11.74	–

Long-term benefits are due in connection with the long-term performance-based component. Benefits from the long-term performance-based components of the 2023–2026 tranche are due in 2026. All other payments that do not form part of long-term compensation are due in the short term. Employer contributions to the pension insurance scheme are not paid. There are no pension commitments for any of the current members of the Management Board. No actual stock options were granted to members of the Management Board in either the 2025 fiscal year or the preceding 2024 fiscal year. No unusual transactions took place with members of management in key positions, their close family members, or companies controlled, jointly controlled, or significantly influenced by this group of individuals.

Pension payments totaling EUR 140 thousand (previous year: EUR 138 thousand) were made to former members of the Management Board during the 2025 fiscal year. As of the balance sheet date of December 31, 2025, a provision of EUR 1,523 thousand (previous year: EUR 1,946 thousand) exists for such pension obligations.

In addition, three other members of senior management who do not meet the classification of related parties pursuant to IAS 24 were granted LTI compensation in the 2025 fiscal year. At the start of the performance period, a provisional number of (virtual) shares was allocated to each individual. To determine the provisionally allocated shares, the LTI target amount is divided by the reference price of the PVA TePla share at the time of allocation. The allocation price is the average of the daily closing prices in XETRA trading on Deutsche Börse AG over the last 60 trading days prior to the start of the performance period. The number of shares varies depending on target achievement in the four years prior to pay-out, with targets defined for the financial performance target of consolidated earnings before interest, taxes, depreciation and amortisation of Property, plant and equipment, and depreciation and amortisation of intangible assets relative to revenue (EBITDA margin) as well as consolidated revenue growth.

Valuation is based on past target achievement as well as assumptions regarding target achievement in the remaining years until payout and is calculated using the current share price. The LTI may be paid out in cash or in shares. This is a long-term compensation component that qualifies as “equity-settled share-based payment” within the meaning of IFRS 2.

In fiscal year 2025, target amounts of EUR 100 thousand, EUR 150 thousand, and EUR 100 thousand were granted to senior management based on 100 percent target achievement. Based on the specified grant price, this results in a preliminary grant of 8,000, 12,000, and 8,000 shares.

These grants resulted in payments of EUR 0 in fiscal year 2025 (previous year: EUR 0). The fair value of these long-term bonus components, determined using the Black-Scholes option pricing model, amounted to EUR 18 thousand, EUR 27 thousand, and EUR 18 thousand as of December 31, 2025. Accordingly, an amount of EUR 63 thousand was recognized in personnel expenses as of December 31, 2025, and the other reserves were increased by EUR 63 thousand in the 2025 fiscal year. The other reserves will be paid out in 3 years.

The Black-Scholes option pricing model was based on the input factors presented below. The expected volatility was derived from historical peer-group volatility (median).

	Dec. 31, 2025	Dec. 31, 2024
Dividend yield (%)	–	–
Expected volatility (%)	37.7	–
Risk-free interest rate (%)	1.99	–
Residual term at measurement date (years)	4.0	–
Exercise price	11.74	–

Detailed information on the compensation system and the components of compensation is presented in the separate compensation report of the PVA TePla Group.

Members of the Supervisory Board

- Dr Myriam Jahn, self-employed entrepreneur, Düsseldorf
  (Chair of the Supervisory Board, Member of the Audit Committee, Chair of the Personnel and Nomination Committee)
  Other memberships in supervisory bodies:
  SUSS MicroTec AG, Munich (Vice Chair of the Supervisory Board, Chair of the ESG Committee)

- Christoph von Seidel, Certified Public Accountant and Tax Consultant in private practice, Bad Homburg v. d. Höhe
  (Vice Chair of the Supervisory Board, Chair of the Audit Committee)
  Other memberships in supervisory bodies:
  None

- Prof Dr Ingrid De Wolf, Scientist at imec, Leuven, Belgium (Member of the Supervisory Board since April 23, 2025)
  Other memberships in supervisory bodies:
  None

- Rudolf Weichert, Member of the Management Board of INDUS Holding AG, Bergisch-Gladbach
  (Member of the Supervisory Board since June 30, 2025)
  Other memberships in supervisory bodies:
  Düsseldorf Stock Exchange Council

- Prof Dr Gernot Hebestreit, self-employed entrepreneur, Leverkusen
  (Member of the Supervisory Board until June 30, 2025)
  Other memberships in supervisory bodies:
  Biotest AG, Dreieich (Member of the Supervisory Board, Chairman of the Audit Committee)

Total remuneration of Supervisory Board members

in EUR '000	2025	2024
Short-term fixed compensation	315	173
Variable compensation	–	–
Total	**315**	**173**

Performance-based components are not included in the Supervisory Board's compensation.

24. Auditor's fees and services

in EUR '000	2025	2024
Audit of annual financial statements	549	547
Other Assurance Services	104	124
Tax consulting services	–	–
Other services	–	–
Total	**653**	**671**

The fee for audit services provided by PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft, Frankfurt am Main (previous year: PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft, Frankfurt am Main) primarily related to the audit of the consolidated financial statement, including the ESEF audit and the audit of the remuneration report, and the annual financial statements of PVA TePla AG, as well as various audits of the annual financial statements of its German subsidiaries, of which EUR 80 thousand related to prior periods (previous year: EUR 155 thousand for BDO AG Wirtschaftsprüfungsgesellschaft, Frankfurt am Main). The other assurance services relate to the audit of the non-financial statement and the covenant certification. In addition to the amounts shown in the table, EUR 17 thousand relates to tax advisory services provided by a foreign PwC network firm and pertains to compliance activities regarding transfer pricing documentation.

25. Declaration of compliance pursuant to section 161 of the German Stock Corporation Act (AktG)

The Management Board and the Supervisory Board of PVA TePla AG have issued the Declaration of Conformity with the recommendations of the German Corporate Governance Code (DCGK) pursuant to Section 161 of the German Stock Corporation Act (AktG) and made it available to shareholders.

The full declaration is permanently available on the company's website
(https://www.pvatepla.com/investor-relations/corporate-governance/).
The declarations of conformity for the past fiscal years are also available there.

26. Significant events after the reporting date

No events occurred after the balance sheet date that would have had a material impact on the PVA TePla Group's net assets, financial position, and results of operations.

On February 28, 2026, Israel and the U.S. launched a joint attack on Iran. We do not foresee any immediate impact on our key markets as a result of this. The indirect effects cannot yet be assessed at this time.

Wettenberg, March 11, 2026

PVA TePla AG

On behalf of the Management Board

Jalin Ketter
CEO

Carl Markus Groß
CFO

RESPONSIBILITY STATEMENT BY THE LEGAL REPRESENTATIVES

We affirm to the best of our knowledge that, in accordance with the applicable accounting principles, the consolidated provides a fair presentation of the Group's net assets, financial position, and results of operations, and that the consolidated Management Report presents the course of business, including the results of operations and the Group's position, in such a way as to provide a fair presentation, and describes the significant opportunities and risks associated with the Group's expected development.

Wettenberg, March 11, 2026

PVA TePla AG

Jalin Ketter
CEO

Carl Markus Groß
CFO

INDEPENDENT AUDITOR'S REPORT

To PVA TePla AG, Wettenberg

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS AND THE GROUP MANAGEMENT REPORT

Audit opinions

We have audited the consolidated financial statements of PVA TePla AG, Wettenberg, and its subsidiaries (the Group), which comprise the consolidated balance sheet as at 31 December 2025, and the consolidated income statement, consolidated statement of comprehensive income, consolidated cash flow statement and consolidated statement of changes in equity for the financial year from 1 January to 31 December 2025, and notes to the consolidated financial statements, including material accounting policy information. In addition, we have audited the group management report of PVA TePla AG, which is combined with the Company's management report, for the financial year from 1 January to 31 December 2025. In accordance with the German legal requirements, we have not audited the content of those parts of the group management report listed in the "Other Information" section of our auditor's report.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) (the IFRS Accounting Standards) as adopted by the EU and the additional requirements of German commercial law pursuant to § [Article] 315e Abs. [paragraph] 1 HGB [Handelsgesetzbuch: German Commercial Code] and, in compliance with these requirements, give a true and fair view of the assets, liabilities, and financial position of the Group as at 31 December 2025, and of its financial performance for the financial year from 1 January to 31 December 2025, and
- the accompanying group management report as a whole provides an appropriate view of the Group's position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development. Our audit opinion on the group management report does not cover the content of those parts of the group management report listed in the "Other Information" section of our auditor's report.

Pursuant to § 322 Abs. 3 Satz [sentence] 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

Basis for the audit opinions

WWe conducted our audit of the consolidated financial statements and of the group management report in accordance with § 317 HGB and the EU Audit Regulation (No. 537/2014, referred to subsequently as "EU Audit Regulation") in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. In addition, in accordance with Article 10 (2) point (f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Article 5 (1) of the EU Audit Regulation. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions on the consolidated financial statements and on the group management report.

Key Audit matters in the audit of the consolidated financial statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the financial year from 1 January to 31 December 2025. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our audit opinion thereon; we do not provide a separate audit opinion on these matters.

In our view, the matters of most significance in our audit were as follows:

❶ Recognition of production orders over time
❷ Recoverability of goodwill

Our presentation of these key audit matters has been structured in each case as follows:

① Matter and issue
② Audit approach and findings
③ Reference to further information

Hereinafter we present the key audit matters:

❶ Recognition of system production orders over time

① In the Company's consolidated financial statements sales revenues amounting in total to € 244.3 million are in the consolidated income statement. € 78.2 million of revenues are attributable to customer-specific system production orders, which are recognized over time. In the case of customized system construction, the stage of completion is estimated based on the ratio of the actual contract costs already incurred to the planned total costs. IFRS 15 requires estimates or judgements to be made for certain areas, the appropriateness of which had to be assessed as part of our audit. In particular, the estimate of the planned total costs of the plant construction contracts to be recognized over time and the appropriateallocation of the costs incurred to the contracts are based on the estimates and assumptions of the executive directors. Against this background and due to the resulting estimation uncertainties and the complexity of accounting under group-wide application of IFRS 15, this matter was of particular significance in the context of our audit.

② As part of our audit, we assessed, among other things, the processes and controls established in the Group for the recognition of revenue from system production orders, taking into account the stage of completion. In addition, with regards to system production orders recognized over time, we tested, on a sample basis, orders for the existence of the requirements for revenue recognition over time in accordance with IFRS 15. In doing so, we assessed the estimates and judgements made by the executive directors regarding revenue recognition and revenue deferral for the various groups of systems of the Group companies. We also assessed the measuring of the progress and the resulting proportionate revenue and profit recognition. In this context, we analyzed the determination of both the planned total costs and the actual costs incurred. We were able to satisfy ourselves that the estimates and assumptions made by the executive directors were sufficiently documented and substantiated for the appropriate recognition of revenue.

③ The company's disclosures on the recognition of system production contracts to be recognized over time are contained in sections D, E.1, F.12 and F.17 of the notes to the consolidated financial statements.

❷ Recoverability of goodwill

① In the Company's consolidated financial statements goodwill amounting in total to € 14.4 million (5.0% of total assets or 10.1% of equity) is reported under the "Intangible assets" balance sheet item. Goodwill is tested for impairment by the Company once a year or when there are indications of impairment to determine any possible need for write-downs. The impairment test is carried out at the level of cash-generating units to which the relevant goodwill is allocated. The carrying amount of the relevant cash-generating units, including goodwill, is compared with the corresponding recoverable amount in the context of the impairment test. The recoverable amount is generally determined using the value in use. The present value of the future cash flows from the respective cash-generating units normally serves as the basis of valuation. Present values are calculated using discounted cash flow models. For this purpose, the adopted medium-term business plan of the Group forms the starting point which is extrapolated based on assumptions about long-term rates of growth. Expectations relating to future market developments and assumptions about the development of macro-economic factors are also taken into account. The discount rate used is the discount rate for the segment to which the respective cash-generating unit belongs to. The impairment test determined that no write-downs were necessary.

The outcome of this valuation is dependent to a large extent on the estimates made by the executive directors with respect to the future cash inflows from the respective cash-generating units, the discount rate used, the rate of growth and other assumptions, and is therefore subject to considerable uncertainty. Against this background and due to the complex nature of the valuation, this matter was of particular significance in the context of our audit.

② As part of our audit, we assessed the methodology used for the purposes of performing the impairment test, among other things. After matching the future cash inflows used for the calculation against the adopted medium-term business plan of the Group, we assessed the appropriateness of the calculation, in particular by reconciling it with general and sector-specific market expectations. In addition, we assessed the appropriate consideration of the costs of Group functions. In the knowledge that even relatively small changes in the discount rate and growth rates applied can have a material impact on the value of the entity calculated in this way, we focused our testing in particular on the parameters used to determine the discount rate applied, and assessed the calculation model. In order to reflect the uncertainty inherent in the projections, we evaluated the sensitivity analyses performed by the Company. We verified that the necessary disclosures were made in the notes to the consolidated financial statements relating to cash-generating units for which a reasonably possible change in an assumption would result in the recoverable amount falling below the carrying amount of the cash-generating units including the allocated goodwill.

Overall, the valuation parameters and assumptions used by the executive directors are in line with our expectations and are also within the ranges considered by us to be reasonable.

③ The Company's disclosures on goodwill are contained in sections D and F.8 of the notes to the consolidated financial statements.

Other information

The executive directors are responsible for the other information. The other information comprises the following non-audited parts of the group management report:

- the statement on corporate governance pursuant to § 289f HGB and § 315d HGB included in section "Corporate governance statement and corporate governance report" of the group management report
- the non-financial group statement to comply with §§ 315b to 315c HGB included in section "Consolidated non-financial statement" of the group management report
- the disclosure marked as unaudited included in section "Risks and opportunities", subsection "Principles and objectives of the internal control system (ICS) and risk management system (RMS)" of the group management report

The other information comprises further all remaining parts of the annual report – excluding cross-references to external information – with the exception of the audited consolidated financial statements, the audited group management report and our auditor's report.

Our audit opinions on the consolidated financial statements and on the group management report do not cover the other information, and consequently we do not express an audit opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information mentioned above and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the group management report disclosures audited in terms of content or with our knowledge obtained in the audit, or
- otherwise appears to be materially misstated.

Responsibilities of the executive directors and the supervisory board for the consolidated financial statements and the group management report

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position, and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud (i. e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The supervisory board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

Auditor's responsibilities for the audit of the consolidated financial statements and of the group management report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our audit opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with § 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our audit opinions. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.

- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures (systems) relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an audit opinion on the effectiveness of the internal control and these arrangements and measures (systems), respectively.

- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.

- Conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective audit opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming audit opinions on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinions.

- Evaluate the consistency of the group management report with the consolidated financial statements, its conformity with German law, and the view of the Group's position it provides.

- Perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate audit opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

OTHER LEGAL AND REGULATORY REQUIREMENTS

Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB

Assurance opinion

We have performed assurance work in accordance with § 317 Abs. 3a HGB to obtain reasonable assurance as to whether the rendering of the consolidated financial statements and the group management report (hereinafter the "ESEF documents") contained in the electronic file PVA_TePla_KA_LB_ESEF-2025-12-31-1-de.xbri and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance work extends only to the conversion of the information contained in the consolidated financial statements and the group management report into the ESEF format and therefore relates neither to the information contained within these renderings nor to any other information contained in the electronic file identified above.

In our opinion, the rendering of the consolidated financial statements and the group management report contained in the electronic file identified above and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format. Beyond this assurance opinion and our audit opinion on the accompanying consolidated financial statements and the accompanying group management report for the financial year from 1 January to 31 December 2025 contained in the "Report on the Audit of the Consolidated Financial Statements and on the Group Management Report" above, we do not express any assurance opinion on the information containedwithin these renderings or on the other information contained in the electronic file identified above.

Basis for the assurance opinion

We conducted our assurance work on the rendering of the consolidated financial statements and the group management report contained in the electronic file identified above in accordance with § 317 Abs. 3a HGB and the IDW Assurance Standard: Assurance Work on the Electronic Rendering of Financial Statements and Management Reports, Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB (IDW AsS 410 (06.2022)) and the International Standard on Assurance Engagements 3000 (Revised). Our responsibility in accordance therewith is further described in the "Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents" section. Our audit firm applies the IDW Standard on Quality Management: Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)).

Responsibilities of the Executive Directors and the Supervisory Board for the ESEF documents

The executive directors of the Company are responsible for the preparation of the ESEF documents including the electronicrendering of the consolidated financial statements and the group management report in accordance with § 328 Abs. 1 Satz 4 Nr. [number] 1 HGB and for the tagging of the consolidated financial statements in accordance with § 328 Abs. 1 Satz 4 Nr. 2 HGB.

In addition, the executive directors of the Company are responsible for such internal control as they have considered necessary to enable the preparation of ESEF documents that are free from material non-compliance with the requirements of § 328 Abs. 1 HGB for the electronic reporting format, whether due to fraud or error.

The supervisory board is responsible for overseeing the process for preparing the ESEF documents as part of the financial reporting process.

Group auditor's responsibilities for the assurance work on the ESEF documents

Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error. We exercise professional judgment and maintain professional skepticism throughout the assurance work. We also:

- Identify and assess the risks of material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error, design and perform assurance procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.

- Obtain an understanding of internal control relevant to the assurance work on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.

- Evaluate the technical validity of the ESEF documents, i.e., whether the electronic file containing the ESEF documents meets the requirements of the Delegated Regulation (EU) 2019/815 in the version in force at the date of the consolidated financial statements on the technical specification for this electronic file.

- Evaluate whether the ESEF documents provide an XHTML rendering with content equivalent to the audited consolidated financial statements and to the audited group management report.

- Evaluate whether the tagging of the ESEF documents with Inline XBRL technology (iXBRL) in accordance with the requirements of Articles 4 and 6 of the Delegated Regulation (EU) 2019/815, in the version in force at the date of the consolidated financial statements, enables an appropriate and complete machine-readable XBRL copy of the XHTML rendering.

Further information pursuant to article 10 of the EU audit regulation

We were elected as group auditor by the annual general meeting on 24 June 2025. We were engaged by the supervisory board on 2 October 2025. We have been the group auditor of the PVA TePla AG, Wettenberg, without interruption since the financial year 2024.

We declare that the audit opinions expressed in this auditor's report are consistent with the additional report to the audit committee pursuant to Article 11 of the EU Audit Regulation (long-form audit report).

REFERENCE TO AN OTHER MATTER– USE OF THE AUDITOR'S REPORT

Our auditor's report must always be read together with the audited consolidated financial statements and the audited group management report as well as the assured ESEF documents. The consolidated financial statements and the group management report converted to the ESEF format – including the versions to be filed in the company register – are merely electronic renderings of the audited consolidated financial statements and the audited group management report and do not take their place. In particular, the "Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB" and our assurance opinion contained therein are to be used solely together with the assured ESEF documents made available in electronic form.

GERMAN PUBLIC AUDITOR RESPONSIBLE FOR THE ENGAGEMENT

The German Public Auditor responsible for the engagement is Christina Erkmen.

Frankfurt am Main, March 11, 2026

PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

sgd. Christina Erkmen
Wirtschaftsprüferin
German Public Auditor

sgd. Dominik Höhler
Wirtschaftsprüfer
German Public Auditor

ASSURANCE REPORT OF THE INDEPENDENT GERMAN PUBLIC AUDITOR ON A LIMITED ASSURANCE ENGAGEMENT IN RELATION TO THE GROUP NON-FINANCIAL STATEMENT INCLUDED IN THE GROUP MANAGEMENT REPORT

To PVA TePla AG, Wettenberg

Assurance conclusion

We have conducted a limited assurance engagement on the group non-financial statement of PVA TePla AG, Wettenberg, (hereinafter the „Company“) included in section "consolidated non-financial statement" of the group management report, which is combined with the Company’s management report, to comply with §§ [Articles] 315b to 315c HGB [Handelsgesetzbuch: German Commercial Code] including the disclosures contained in this group non-financial statement to fulfil the require-ments of Article 8 of Regulation (EU) 2020/852 (hereinafter the „Non-Financial Group Reporting") for the financial year from 1 January to 31 December 2025.

Not subject to our assurance engagement were the external sources of documentation or expert o-pinions mentioned in the Non-Financial Group Reporting, which are marked as unassured.

Based on the procedures performed and the evidence obtained, nothing has come to our attention that causes us to believe that the accompanying Non-Financial Group Reporting for the financial year from 1 January to 31 December 2025 is not prepared, in all material respects, in accordance with § 315c in conjunction with §§ 289c to 289e HGB and the requirements of Article 8 of Regulation (EU) 2020/852 as well as with the supplementary criteria presented by the executive directors of the Company.

We do not express an assurance conclusion on the external sources of documentation or expert o-pinions mentioned in the Non-Financial Group Reporting, which are marked as unassured.

Basis for the assurance conclusion

We conducted our limited assurance engagement in accordance with the International Standard on Assurance Engagements (ISAE) 3000 (Revised): Assurance Engagements Other Than Audits or Re-views of Historical Financial Information, issued by the International Auditing and Assurance Stan-dards Board (IAASB).

The procedures in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Our responsibilities under ISAE 3000 (Revised) are further described in the "German Public Audi-tor’s Responsibilities for the Assurance Engagement on the Non-Financial Group Reporting" section.

We are independent of the Company in accordance with the requirements of European law and Ger-man commercial and professional law, and we have fulfilled our other German professional respon-sibilities in accordance with these require-ments. Our audit firm has complied with the quality ma-nagement system requirements of the IDW Standard on Quality Management: Requirements for Qua-lity Management in the Audit Firm (IDW QMS 1 (09.2022)) issued by the Institut der Wirtschaftsprü-fer (Institute of Public Auditors in Germany; IDW). We believe that the evidence we have obtained is suffi-cient and appropriate to provide a basis for our assurance conclusion.

Responsibility of the Executive Directors and the Supervisory Board for the non-financial group reporting

The executive directors are responsible for the preparation of the Non-Financial Group Reporting in accordance with the relevant German legal and European regulations as well as with the supplemen-tary criteria presented by the executive directors of the Company. They are also responsible for the design, implementation and maintenance of such internal controls that they have considered neces-sary to enable the preparation of a Non-Financial Group Reporting in accordance with these regula-tions that is free from material misstatement, whether due to fraud (i. e., manipulation of the Non-Financial Group Reporting) or error.

This responsibility of the executive directors includes selecting and applying appropriate reporting policies for preparing the Non-Financial Group Reporting, as well as making assumptions and esti-mates and ascertaining forward-looking information for individual sustainability-related disclo-sures.

The supervisory board is responsible for overseeing the process for the preparation of the Non-Financial Group Reporting.

Inherent limitations in the preparation of the non-financial group reporting

The relevant German statutory legal and European regulations contain wording and terms that are still subject to considerable interpretation uncertainties and for which no authoritative, compre-hensive interpretations have yet been published. As such wording and terms may be interpreted differently by regulators or courts, the legal conformity of measurements or evaluations of sustainability matters based on these interpretations is uncertain.

These inherent limitations also affect the assurance engagement on the Non-Financial Group Reporting.

German Public auditor's responsibilities for the assurance engagement on the non-financial group reporting

Our objective is to express a limited assurance conclusion, based on the assurance engagement we have conducted, on whether any matters have come to our attention that cause us to believe that the Non-Financial Group Reporting has not been prepared, in all material respects, in accordance with the relevant German legal and European regulations as well as with the supplementary criteria presented by the executive directors of the Company, and to issue an assurance report that includes our assurance conclusion on the Non-Financial Group Reporting.

As part of a limited assurance engagement in accordance with ISAE 3000 (Revised), we exercise pro-fessional judgment and maintain professional skepticism. We also:

- obtain an understanding of the process to prepare the Non-Financial Group Reporting.
- identify disclosures where a material misstatement due to fraud or error is likely to arise, design and perform procedures to address these disclosures and obtain limited assurance to support the assurance conclusion. The risk of not detecting a material miss-tatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misleading representations, or the override of internal controls.
- consider the forward-looking information, including the appropriateness of the underlying assumptions. There is a substantial unavoidable risk that future events will differ materially from the forward-looking information.

Summary of the procedures performed by the german public auditor

A limited assurance engagement involves the performance of procedures to obtain evidence about the sustainability information. The nature, timing and extent of the selected procedures are subject to our professional judgement.

In conducting our limited assurance engagement, we have, amongst other things:

- evaluated the suitability of the criteria as a whole presented by the executive directors in the Non-Financial Group Reporting.
- inquired of the executive directors and relevant employees involved in the preparation of the Non-Financial Group Reporting about the preparation process, and about the internal controls relating to this process.
- evaluated the reporting policies used by the executive directors to prepare the Non-Financial Group Reporting.
- evaluated the reasonableness of the estimates and the related disclosures provided by the executive directors.
- performed analytical procedures and made inquiries in relation to selected information in the Non-Financial Group Reporting.
- considered the presentation of the information in the Non-Financial Group Reporting.
- considered the process for identifying taxonomy-eligible and taxonomy-aligned economic activities and the corresponding disclosures in the Non-Financial Group Reporting.

Restriction of use

We draw attention to the fact that the assurance engagement was conducted for the Company's pur-poses and that the report is intended solely to inform the Company about the result of the assurance engagement. Accordingly, the report is not intended to be used by third parties for making (financial) decisions based on it. Our responsibility is solely towards the Company. We do not accept any responsibility, duty of care or liability towards third parties.

Frankfurt am Main, 11 March 2026

PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

sgd. Christina Erkmen
Wirtschaftsprüferin
German public auditor

sgd. Dominik Höhler
Wirtschaftsprüfer
German public auditor

Financial calendar

May 7, 2026	Interim Report Q1 2026
June 16, 2026	Annual General Meeting
August 6, 2026	Half-Year Report
November 5, 2026	Interim Report Q3 2026

Imprint

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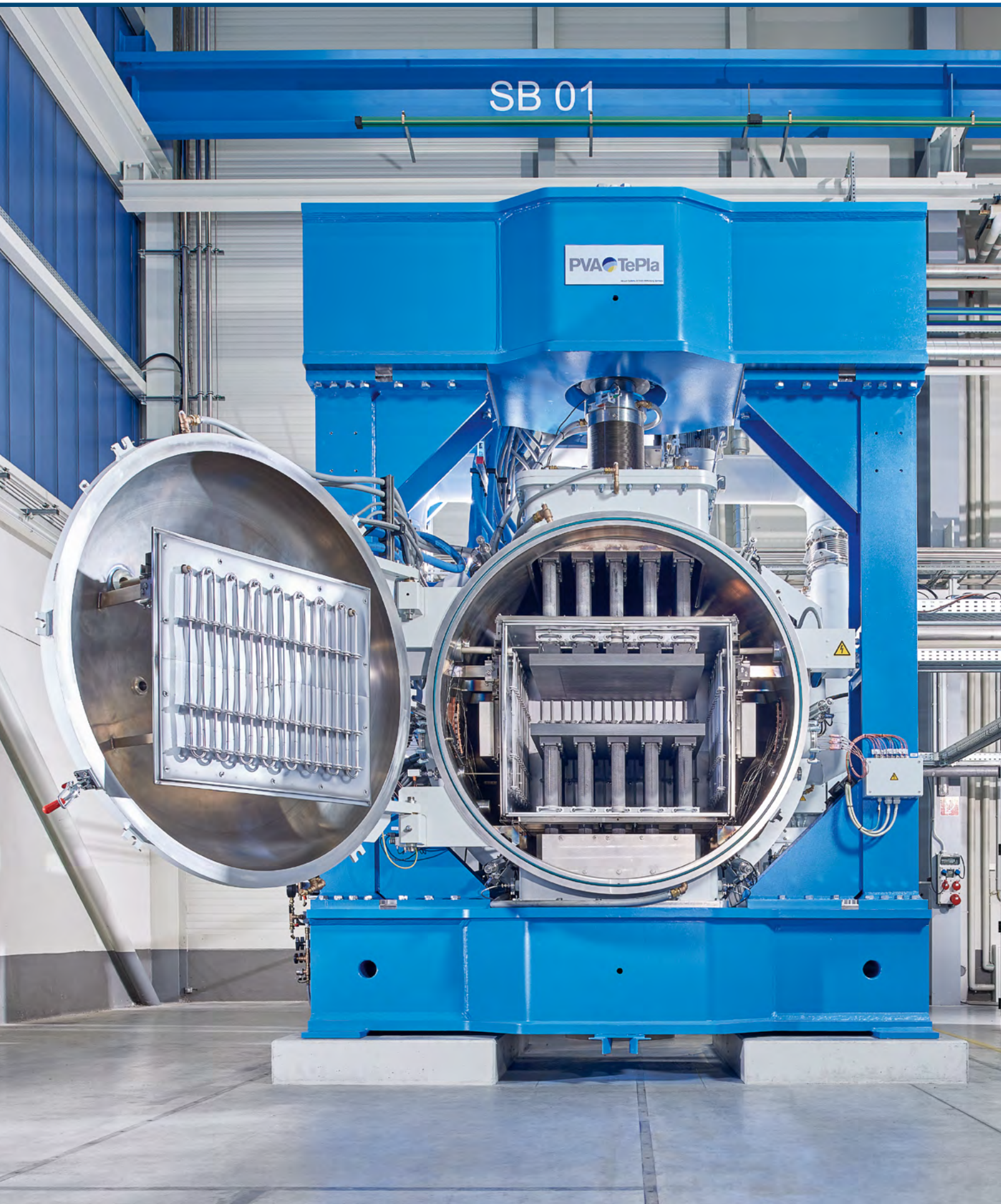
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